Deloitte.



NIKE INC

Briefing Book
Saturday, November 07, 2026

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Key information



NIKE, Inc.

Beaverton, Oregon, United States
+5036716453 · www.nike.com
Publicly Traded Company

EMPLOYEES
10600 (Total)
73000 (Total)

D&B LEGAL STATUS TYPE
Corporation

CORPORATE LINKAGE
497 Companies

TRADED
NYSE:NKE

INDUSTRY
Clothing and Apparel Manufacturing

FORTUNE 1000 RANK
99

SALES
46.4B

FISCAL YEAR END
05/31/2026

REPORTING CURRENCY
USD

TOTAL ASSETS
38.41B

MARKET VALUE
47.63B

D-U-N-S NUMBER
050957364

CREDIT RATING
Low Risk

ADDRESS
1 SW Bowerman Dr
Beaverton, Oregon, 97005-6453
United States

Latitude: 45.50715
Longitude: -122.82844

Company summary

NIKE, Inc. is a global leader in the design, marketing, and distribution of athletic and leisure footwear, apparel, and equipment. The company's operations span worldwide, with the majority of its products manufactured and sold outside of the United States. Its portfolio of iconic brands is sold through its NIKE Direct channel, which includes retail stores and digital platforms, as well as through a network of wholesale customers. The company faces intense competition and manages various risks, including global economic conditions, consumer preference shifts, and supply chain complexities. In July 2025, its credit rating was downgraded by Standard & Poor's.

Operations

The company, together with its subsidiaries, engages in the design, development, marketing, and sale of athletic footwear, apparel, equipment, accessories, and services worldwide. The company provides athletic and casual footwear, apparel, and accessories under the NIKE, Jumpman, Converse, Chuck Taylor, All Star, One Star, Star Chevron, and Jack Purcell trademarks. It also sells a line of performance equipment and accessories comprising bags, sport balls, socks, eyewear, timepieces, digital devices, bats, gloves, protective equipment, and other equipment for sports activities under the NIKE brand, and various plastic products to other manufacturers. In addition, the company markets apparel with licensed college and professional team, and league logos, as well as sells sports apparel; licenses unaffiliated parties to manufacture and sell apparel, digital devices, and applications and other equipment for sports activities under NIKE-owned trademarks; and operates digital platforms, including fitness and activity apps; sport, fitness, and wellness content; and digital services and features in retail stores.

Short company profile

NIKE, Inc. is a global leader in the design, marketing, and distribution of athletic and leisure footwear, apparel, and equipment. The company's operations span worldwide, with the majority of its products manufactured and sold outside of the United States. Its portfolio of iconic brands is sold through its NIKE Direct channel, which includes retail stores and digital platforms, as well as through a network of wholesale customers. The company faces intense competition and manages various risks, including global economic conditions, consumer preference shifts, and supply chain complexities. In July 2025, its credit rating was downgraded by Standard & Poor's.

Company operations summary

NIKE's operations are heavily reliant on a global supply chain, with nearly all of its footwear and apparel manufactured by independent contract manufacturers located outside the US. The company does not own or operate these manufacturing facilities but relies on a concentrated number of them, particularly for its footwear products. Key materials include natural and synthetic rubber, plastic compounds, and various textiles. The company distributes its products to customers directly from factories and through a worldwide network of distribution centers. Its business is divided between its NIKE Direct operations (retail and digital) and sales to wholesale partners.

Geographic reach

NIKE operates on a global scale, with the majority of its products sold outside of the United States. The company's international revenues and expenses are derived from sales and operations in numerous foreign currencies, exposing it to fluctuations in exchange rates, particularly for the Euro, Chinese Yuan, British Pound, and Japanese Yen against the U.S. Dollar.

Sales and marketing summary

NIKE markets its products globally through a dual-channel approach: its NIKE Direct operations (company-owned retail stores and digital platforms) and its wholesale partners. The company's marketing strategy is heavily dependent on maintaining its brand image through product innovation, quality, and extensive advertising campaigns. A key component of its marketing involves establishing and maintaining endorsement relationships with high-profile professional athletes, sports teams, and leagues to promote product authenticity and drive consumer demand.

Financial performance summary

The provided report does not contain the company's consolidated financial statements, such as the income statement or statement of cash flows, preventing a detailed analysis of revenue and net income trends. However, the filing does provide insight into the company's market risk and debt structure. As of May 31, 2025, NIKE had $8.0 billion in long-term fixed-rate U.S. Dollar debt, with a fair value of $6.67 billion. The company actively manages its exposure to foreign currency and interest rate fluctuations through a variety of derivative financial instruments, including forward contracts, option contracts, and interest rate swaps. The estimated maximum potential one-day loss in fair value on its foreign currency derivative instruments (Value-at-Risk) was $107 million as of May 31, 2025, an increase from $57 million in the prior year, attributed to higher foreign currency volatilities and increased trade volumes. The company's earnings are subject to seasonality, with revenues in the first and fourth fiscal quarters historically being slightly higher than in the second and third quarters. In July 2025, the company's credit rating was downgraded by Standard & Poor's, which is expected to increase borrowing costs.

Strategy summary

NIKE's business strategy includes an increased focus on sport and a rebalancing of its channel mix between its direct-to-consumer operations and wholesale partners. A core element of its strategy is continuous investment in technical innovation, research, and development to create high-quality, cutting-edge products. The company is also heavily investing in its NIKE Direct operations, including its retail stores and digital platforms, to enhance consumer experience and engagement. Furthermore, NIKE is navigating evolving expectations on corporate responsibility and sustainability, which are becoming increasingly integral to its operational strategy and brand reputation.

Industry

NORTH AMERICAN INDUSTRY CLASSIFICATION SYSTEM 2022
315250 - Cut and Sew Apparel Manufacturing (except Contractors)

NORTH AMERICAN INDUSTRY CLASSIFICATION SYSTEM 2022
316210 - Footwear Manufacturing

D&B STANDARD INDUSTRY CODE
23290101 - Athletic clothing, except uniforms: men's, youths' and boys'

US STANDARD INDUSTRY CODE 1987 - 4 DIGIT
3021 - Mfg rubber/plastic footwear

D&B STANDARD MAJOR INDUSTRY CODE
D - Manufacturing

US STANDARD INDUSTRY CODE 1987 - 4 DIGIT
2339 - Mfg women's/misses' outerwear

D&B STANDARD INDUSTRY CODE
23390301 - Athletic clothing: women's, misses', and juniors'

US STANDARD INDUSTRY CODE 1987 - 4 DIGIT
2329 - Mfg men's/boy's clothing

D&B HOOVERS INDUSTRY CLASSIFICATION
28 - Clothing and Apparel Manufacturing

D&B STANDARD INDUSTRY CODE
30210000 - Rubber and plastics footwear

NACE REVISION 2
1520 - Manufacture of footwear

Company identifiers

D-U-N-S NUMBER
050957364

FEDERAL TAXPAYER IDENTIFICATION NUMBER (US)
93-0584541

BUSINESS REGISTRATION NUMBER (US)
8739914

Corporate highlights

TRADESTYLE
Nike

YEAR FOUNDED
1964

Contacts

Elliott Hill President, Chief Executive Officer	**MARK G PARKER** Executive Chairman of the Board	**VENKATESH ALAGIRISAMY** Executive Vice President, Chief Operating Officer
ROBERT LEINWAND Executive Vice President, Officer	**DAVID M DENTON** Executive Vice President, Chief Financial Officer	**ADAM ZOLLER CISO** Principal

Top competitors

Under Armour, Inc. D-U-N-S NUMBER - 111578985	**adidas AG** D-U-N-S NUMBER - 325739811	**PUMA SE** D-U-N-S NUMBER - 315275255

Source: Audit Analytics, D&B Hoovers

Corporate structure

Company name	City	State or province	Country/Region	Employees (Total)	Sales ($M)
NIKE, Inc.	Beaverton	Oregon	United States	73,000	46,398.00M
Nike USA, Inc.	Beaverton	Oregon	United States	10,000	8.53M
Nike Retail Services, Inc.	Beaverton	Oregon	United States	1,100	34.51M
Nike de México, S. de R.L. de C.V.	México	Ciudad de Mexico	Mexico	600	70.52M
Nike IHM, Inc.	Beaverton	Oregon	United States	375	55.65M
NIKE JAPAN CORP.	MINATO-KU	TOKYO	Japan	300	61.00M
NIKE INTERNATIONAL, LTD.	Beaverton	Oregon	United States	291	7.22M
Grupo Converse de México, S.A. de C.V.	México	Chihuahua	Mexico	270	144.15M
Converse Inc.	Boston	Massachusetts	United States	261	147.72M
CONVERSE IBERIA INC SUCURSAL EN ESPAÑA	VITORIA-GASTEIZ	Araba/Álava	Spain	50	14.70M
Nike Canada Corp	Toronto	ONTARIO	Canada	60	90.33M
Nike International Ltd.	HAMILTON	Pembroke	Bermuda	27	77.43M
NIKE SOURCING INDIA PRIVATE LIMITED	Bengaluru	Karnataka	India	26	2.38M
NIKE INCORPORATION	Kota Administrasi Jakarta Selatan	DKI Jakarta	Indonesia	25	53.74M
Nike Mercurial Corp.	Beaverton	Oregon	United States	25	4.95M
Nike Impact Inc.	New York	New York	United States	13	1.09M
Nike Panama S de R.L	Panama	Panama	Panama	11	0.19M
Nike Holding, LLC	Beaverton	Oregon	United States	10	0.69M
NIKE (THAILAND) LIMITED	SATHORN	BANGKOK	Thailand	177	148.06M
NIKE HOLDING LLC	Bengaluru	Karnataka	India	100	2.17M
Nike Alpha Force LLC	Beaverton	Oregon	United States	2	0.69M
Nike Vision, Timing And Techlab, LP	Hillsboro	Oregon	United States	6	0.40M
Exeter Brands Group LLC	New York	New York	United States	5	0.46M
Nike Cortez	HAMILTON	Pembroke	Bermuda	5	29.24M
Celect, Inc.	Boston	Massachusetts	United States	4	0.95M
NIKE Roshe, Inc.	Beaverton	Oregon	United States	4	9.86M
Nike Spiridon, Inc.	New York	New York	United States	4	0.19M
RTFKT Inc.	Beaverton	Oregon	United States	4	0.79M
TRIAX INSURANCE, INC.	Honolulu	Hawaii	United States	3	1.71M
NIKE Terra LLC	Beaverton	Oregon	United States	2	2.71M
Oregon Classic	Eugene	Oregon	United States	2	0.18M
Nike Air Force LP	Toronto	ONTARIO	Canada	1	14.13M
NIKE LOGISTICS Y.K.	MINATO-KU	TOKYO	Japan	1	7.70M
Nike Magista, Inc.	New York	New York	United States	1	2.57M
Traceme Inc.	Seattle	Washington	United States	1	0.63M
York64 LLC	Portland	Oregon	United States	1	0.67M
Nike, Inc.	Surrey	BRITISH COLUMBIA	Canada	0	0.00

Source: D&B Hoovers

General info

Company type	Public	Ticker symbol	NKE	Fiscal year end	05/31
Client program(s)	PREM R | GCJR	Filer type	Large Accelerated Filer	Auditor	PWC (since 1971)
Attest	No	IPO year	1980	Audit fees	$22,800,000
Company address	1 SW Bowerman Dr, Beaverton, OR, 97005	Fortune 1000 rank	99	Proxy filing date	07/15/2026
Website	www.nike.com	Russell 3000 index	1000	Signing partner (Form AP)	Stefanie Kane (PricewaterhouseCoopers LLP)
Number of employees	73,000	NAICS industry	316210 Footwear Manufacturing	Estimated partner rotation year	2029
Revenue (TTM)	$45,891,000,000			LCSP	Paul Silverglate
Market capital (as of 08/31/2026)	$47,627,117,806				

Source: Audit Analytics, D&B Hoovers, Deloitte Master Data Repository

C-suite and board members matrix

C-suite

Name	Role	Start date	Years in role	Age	Gender	Relationship strength	Deloitte or competitor alumni
Elliott Hill	CEO (Chief Executive Officer)	10/14/2024	2.1	62	M		–
David Denton	CFO (Chief Financial Officer)	09/04/2026	0.2	61	M		Deloitte
Kipp Marcus	CIO (Chief Information Officer)	–	–	55	M		–
Cheryan Jacob	CIO (Chief Information Officer)	07/01/2024	2.3	–	M		–
Venkatesh Alagirisamy	COO (Chief Operating Officer)	12/08/2025	0.9	–	M		–

Source: BoardEx

Extended C-suite

Name	Role	Start date	Years in role	Age	Gender	Relationship strength	Deloitte or competitor alumni
Michael Gonda	CCommO (Chief Communications Officer)	07/07/2025	1.3	39	M		–
Jane Ewing	CComO (Chief Commercial Officer)	09/07/2026	0.2	56	F		–
Kizmet Mills	CDEI (Chief Diversity Officer)	11/11/2024	2	–	F		–
Thomas Clarke	CGO (Chief Growth Officer)	05/05/2025	1.5	75	M		–
Treasure Heinle	CHRO (Chief Human Resource Officer)	01/06/2025	1.8	–	F		–
Robert Leinwand	CLO (Chief Legal Officer)	10/30/2024	2.1	–	M		–
Nicole Graham	CMO (Chief Marketing Officer)	05/05/2025	1.5	–	F		–
Phil McCartney	CPO (Chief Product Officer)	05/05/2025	1.5	–	M		–
Alana Hoskin	CRO (Chief Risk Officer)	01/01/2021	5.8	–	F		–
Phil McCartney	CSO (Chief Strategy Officer)	05/05/2025	1.5	–	M		–
Tony Bignell	CSO (Chief Strategy Officer)	06/05/2025	1.4	–	M		–
Jennifer Hartley	CSO (Chief Strategy Officer)	10/01/2026	0.1	–	F		–
Cimarron Nix	CSustO (Chief Sustainability Officer)	03/15/2026	0.7	–	M		–
Paul Trussell	Treasurer (Treasurer)	10/01/2023	3.1	–	M		–

Source: BoardEx

Board members

● Deloitte alumni ● Competitor alumni ● Deloitte board ● Competitor board

Name	Role	Start date	Years on board	Committees	Age/Gender	Total boards
Alexandre Arnault	Director - SD	09/15/2026	0.1	–	34/M	5
Tim Cook	Lead Independent Director	06/30/2016	10.4	Compensation (Chair)	65/M	5
Thasunda Duckett	Independent Director	11/14/2019	7.0	Social Responsibility Governance Sustainability	53/F	17
Mónica Gil	Independent Director	09/20/2022	4.1	Compensation	54/F	4
Maria Henry	Independent Director	06/01/2023	3.4	Audit Finance	59/F	3
Peter Henry	Independent Director	02/14/2018	8.7	Audit Finance	57/M	8
Elliott Hill	President/CEO	10/14/2024	2.1	Executive	62/M	2
Travis Knight	Director - SD	06/30/2015	11.4	Executive	52/M	3
Jorgen Knudstorp	Director - SD	09/09/2025	1.2	Social Responsibility Governance Sustainability	57/M	4
Mark Parker	Chairman (Executive)	01/13/2020	6.8	Executive (Chair)	71/M	1
Michelle Peluso	Independent Director	04/17/2014	12.6	Compensation Social Responsibility (Chair) Governance (Chair) Sustainability (Chair)	55/F	3
Robert Swan	Independent Director	09/20/2022	4.1	Audit Finance	66/M	8

Source: BoardEx

Executive movement (last 12 months)

Executive VP, COO Venkatesh Alagirisamy was appointed

12/08/2025

Venkatesh Alagirisamy has become Executive VP, COO.

Executive VP, Chief Technology Officer Muge Dogan has resigned

12/02/2025
Source: 8-K

On December 2, 2025, NIKE, Inc. (the “Company”) announced certain organizational changes, including the appointment of Venkatesh Alagirisamy, currently the Company’s Chief Supply Chain Officer, as Executive Vice President, Chief Operating Officer of the Company, effective as of December 8, 2025 (the “Appointment Date”).
There are no arrangements or understandings between Mr. Alagirisamy and any person pursuant to which Mr. Alagirisamy was selected as an officer, and no family relationships exist between Mr. Alagirisamy and any director or executive officer of the Company. Mr. Alagirisamy is not a party to any transaction to which the Company is or was a participant and in which Mr. Alagirisamy has a direct or indirect material interest subject to disclosure under Item 404(a) of Regulation S-K.
On December 2, 2025, the Company also announced the elimination of the Executive Vice President, Chief Commercial Officer role. As a result of such role elimination, the Company and named executive officer Craig Williams have agreed that, effective as of December 5, 2025 (the “Transition Date”), Mr. Williams will cease serving as Executive Vice President, Chief Commercial Officer and remain a full-time non-executive employee through his separation from the Company on April 6, 2026 (the “Separation Date”).

Executive VP, COO Venkatesh Alagirisamy was appointed

12/02/2025
Source: 8-K

On December 2, 2025, NIKE, Inc. (the “Company”) announced certain organizational changes, including the appointment of Venkatesh Alagirisamy, currently the Company’s Chief Supply Chain Officer, as Executive Vice President, Chief Operating Officer of the Company, effective as of December 8, 2025 (the “Appointment Date”).
There are no arrangements or understandings between Mr. Alagirisamy and any person pursuant to which Mr. Alagirisamy was selected as an officer, and no family relationships exist between Mr. Alagirisamy and any director or executive officer of the Company. Mr. Alagirisamy is not a party to any transaction to which the Company is or was a participant and in which Mr. Alagirisamy has a direct or indirect material interest subject to disclosure under Item 404(a) of Regulation S-K.
On December 2, 2025, the Company also announced the elimination of the Executive Vice President, Chief Commercial Officer role. As a result of such role elimination, the Company and named executive officer Craig Williams have agreed that, effective as of December 5, 2025 (the “Transition Date”), Mr. Williams will cease serving as Executive Vice President, Chief Commercial Officer and remain a full-time non-executive employee through his separation from the Company on April 6, 2026 (the “Separation Date”).

Chief Supply Chain Officer Venkatesh Alagirisamy has resigned

12/02/2025
Source: 8-K

On December 2, 2025, NIKE, Inc. (the “Company”) announced certain organizational changes, including the appointment of Venkatesh Alagirisamy, currently the Company’s Chief Supply Chain Officer, as Executive Vice President, Chief Operating Officer of the Company, effective as of December 8, 2025 (the “Appointment Date”).
There are no arrangements or understandings between Mr. Alagirisamy and any person pursuant to which Mr. Alagirisamy was selected as an officer, and no family relationships exist between Mr. Alagirisamy and any director or executive officer of the Company. Mr. Alagirisamy is not a party to any transaction to which the Company is or was a participant and in which Mr. Alagirisamy has a direct or indirect material interest subject to disclosure under Item 404(a) of Regulation S-K.
On December 2, 2025, the Company also announced the elimination of the Executive Vice President, Chief Commercial Officer role. As a result of such role elimination, the Company and named executive officer Craig Williams have agreed that, effective as of December 5, 2025 (the “Transition Date”), Mr. Williams will cease serving as Executive Vice President, Chief Commercial Officer and remain a full-time non-executive employee through his separation from the Company on April 6, 2026 (the “Separation Date”).

Executive VP, Chief Commercial Officer Craig Williams was dismissed

12/02/2025
Source: 8-K

On December 2, 2025, NIKE, Inc. (the “Company”) announced certain organizational changes, including the appointment of Venkatesh Alagirisamy, currently the Company’s Chief Supply Chain Officer, as Executive Vice President, Chief Operating Officer of the Company, effective as of December 8, 2025 (the “Appointment Date”).
There are no arrangements or understandings between Mr. Alagirisamy and any person pursuant to which Mr. Alagirisamy was selected as an officer, and no family relationships exist between Mr. Alagirisamy and any director or executive officer of the Company. Mr. Alagirisamy is not a party to any transaction to which the Company is or was a participant and in which Mr. Alagirisamy has a direct or indirect material interest subject to disclosure under Item 404(a) of Regulation S-K.
On December 2, 2025, the Company also announced the elimination of the Executive Vice President, Chief Commercial Officer role. As a result of such role elimination, the Company and named executive officer Craig Williams have agreed that, effective as of December 5, 2025 (the “Transition Date”), Mr. Williams will cease serving as Executive Vice President, Chief Commercial Officer and remain a full-time non-executive employee through his separation from the Company on April 6, 2026 (the “Separation Date”).

Executive VP, COO Venkatesh Alagirisamy was appointed

12/02/2025

It has been announced that Venkatesh Alagirisamy will join this role.

Executive VP, Chief Commercial Officer Craig Anthony Williams was dismissed

12/02/2025

It has been announced that Doctor Craig Williams will leave this role.

Executive VP, Chief Commercial Officer Jane Louise Ewing was appointed

09/07/2026

Jane Ewing has joined as Executive VP, Chief Commercial Officer.

Executive VP, Chief Commercial Officer Jane Ewing was appointed

08/27/2026

It has been announced that Jane Ewing will join this role.

CFO, Executive VP Matthew (Matt) Friend has resigned

08/16/2026

Matthew (Matt) Friend has stepped down as CFO, Executive VP. Current position: Advisor.

Executive VP, CFO David (Dave) M Denton was appointed

08/16/2026

Dave Denton has joined as Executive VP, CFO.

Controller (Interim), Principal Accounting Officer David Denton was appointed

08/10/2026
Source: 8-K

On August 4, 2026, Johanna Nielsen informed NIKE, Inc. (the “Company”) of her intent to resign as Vice President, Chief Accounting Officer and Corporate Controller of the Company, effective as of September 4, 2026, to pursue another opportunity. Ms. Nielsen’s resignation is not the result of any disagreement with the Company relating to the Company’s operations, policies or practices.
As of September 4, 2026, David Denton, the Company’s newly appointed Executive Vice President and Chief Financial Officer, effective as of August 17, 2026, will also assume the role of Interim Corporate Controller and be designated as the Company’s principal accounting officer until the Company’s Board of Directors appoints a successor Corporate Controller. The Company filed a Current Report on Form 8-K with the Securities & Exchange Commission on June 23, 2026 (the “Prior Form 8-K”) to report Mr. Denton’s appointment as Executive Vice President and Chief Financial Officer, and entered into compensation arrangements in connection with that appointment as reported in the Prior Form 8-K. Mr. Denton’s compensation is not being adjusted in connection with his appointment as Interim Corporate Controller.
Certain information concerning Mr. Denton required by Items 401(b), 401(d), 401(e) and 404(a) of Regulation S-K is set forth in the Prior Form 8-K and is incorporated herein by reference. There are no arrangements or understandings between Mr. Denton and any other person pursuant to which Mr. Denton was appointed Interim Corporate Controller.

Vice President, Chief Accounting Officer, Controller Johanna Nielsen has resigned

08/10/2026
Source: 8-K

On August 4, 2026, Johanna Nielsen informed NIKE, Inc. (the “Company”) of her intent to resign as Vice President, Chief Accounting Officer and Corporate Controller of the Company, effective as of September 4, 2026, to pursue another opportunity. Ms. Nielsen’s resignation is not the result of any disagreement with the Company relating to the Company’s operations, policies or practices.
As of September 4, 2026, David Denton, the Company’s newly appointed Executive Vice President and Chief Financial Officer, effective as of August 17, 2026, will also assume the role of Interim Corporate Controller and be designated as the Company’s principal accounting officer until the Company’s Board of Directors appoints a successor Corporate Controller. The Company filed a Current Report on Form 8-K with the Securities & Exchange Commission on June 23, 2026 (the “Prior Form 8-K”) to report Mr. Denton’s appointment as Executive Vice President and Chief Financial Officer, and entered into compensation arrangements in connection with that appointment as reported in the Prior Form 8-K. Mr. Denton’s compensation is not being adjusted in connection with his appointment as Interim Corporate Controller.
Certain information concerning Mr. Denton required by Items 401(b), 401(d), 401(e) and 404(a) of Regulation S-K is set forth in the Prior Form 8-K and is incorporated herein by reference. There are no arrangements or understandings between Mr. Denton and any other person pursuant to which Mr. Denton was appointed Interim Corporate Controller.

VP, Chief Accounting Officer, Corporate Controller Johanna Nielsen was dismissed

08/10/2026

It has been announced that Johanna Nielsen will leave this role.

Executive VP, CFO, Interim Corporate Controller David (Dave) M Denton was appointed

08/10/2026

It has been announced that Dave Denton will join this role.

Executive VP, CFO David M. Denton was appointed

06/23/2026

Source: 8-K

On June 23, 2026, the Company announced the appointment of David Denton as Executive Vice President and Chief Financial Officer (“CFO”), effective as of August 16, 2026 (the “Effective Date”). There are no arrangements or understandings between Mr. Denton and any person pursuant to which Mr. Denton was selected as an officer, and no family relationships exist between Mr. Denton and any director or executive officer of the Company. Mr. Denton is not a party to any transaction to which the Company is or was a participant and in which Mr. Denton has a direct or indirect material interest subject to disclosure under Item 404(a) of Regulation S-K.
On June 23, 2026, the Company also announced that, as of the Effective Date, Matthew Friend will cease serving as Executive Vice President and CFO and begin serving as an advisor to the Chief Executive Officer of the Company and remain a full-time non-executive employee of the Company in that role through his separation from the Company on September 4, 2026 (the “Separation Date”). Mr. Friend’s transition and separation was not the result of any disagreement with Company management or the Company’s board of directors relating to the Company’s operations, policies or practices.
Biographical Information

Executive VP, CFO Matthew Friend has resigned

06/23/2026

Source: 8-K

On June 23, 2026, the Company announced the appointment of David Denton as Executive Vice President and Chief Financial Officer (“CFO”), effective as of August 16, 2026 (the “Effective Date”). There are no arrangements or understandings between Mr. Denton and any person pursuant to which Mr. Denton was selected as an officer, and no family relationships exist between Mr. Denton and any director or executive officer of the Company. Mr. Denton is not a party to any transaction to which the Company is or was a participant and in which Mr. Denton has a direct or indirect material interest subject to disclosure under Item 404(a) of Regulation S-K.
On June 23, 2026, the Company also announced that, as of the Effective Date, Matthew Friend will cease serving as Executive Vice President and CFO and begin serving as an advisor to the Chief Executive Officer of the Company and remain a full-time non-executive employee of the Company in that role through his separation from the Company on September 4, 2026 (the “Separation Date”). Mr. Friend’s transition and separation was not the result of any disagreement with Company management or the Company’s board of directors relating to the Company’s operations, policies or practices.
Biographical Information

Executive VP, CFO David (Dave) M Denton was appointed

06/23/2026

It has been announced that Dave Denton will join this role.

Executive VP, CFO Matthew (Matt) Friend was dismissed

06/23/2026

It has been announced that Matt Friend will leave this role.

Chief Sustainability Officer Cimarron Nix was appointed

03/15/2026

Cimarron Nix has become Chief Sustainability Officer.

Chief Sustainability Officer Cimarron Nix was appointed

02/27/2026

It has been announced that Cimarron Nix will join this role.

Source: BoardEx

Deloitte relationships

Top 10 Deloitte relationships

DN
Deborah Neff
deneff@deloitte.com
LPP - Principal
Consulting Services
Denver
< 1m

CW
Chris Weber
chrisweber@deloitte.com
LPP - Audit & Assurance Partner
Audit & Assurance
Boise
< 1m

JL
Jeff Lewis
jeflewis@deloitte.com
L55 - Manager, Business Process Controls Advisory, Audit and Assurance
Audit & Assurance
Seattle
< 1m

KG
Kimberly Geddes
kgeddes@deloitte.com
L65 - Senior Manager 3+, Financial Statement Audit
Audit & Assurance
Seattle
< 1m

MR
Missy Roberts
misroberts@deloitte.com
LMD - Managing Director, Audit & Assurance
Audit & Assurance
Seattle
< 1m

MF
Miranda Fang
mirfang@deloitte.com
L55 - Manager, Strategy, Growth, and Transformation
Consulting Services
Denver
< 2m

JE
Jimena Escamilla Hernandez
jescamilla@deloitte.com
L65 - Senior Manager, Business Process Controls Advisory, Audit and Assurance
Audit & Assurance
Tempe
< 1m

JH
Jamie Hueners
jhueners@deloitte.com
LPP - Audit & Assurance Partner
Audit & Assurance
Seattle
< 1m

LS
Lana Smith
lanasmith@deloitte.com
LMD - Managing Director, Audit & Assurance
Audit & Assurance
Portland
< 1m

JF
Joshua Fuentes
joshfuentes@deloitte.com
L55 - Manager, Business Process Controls Advisory, Audit and Assurance
Audit & Assurance
Seattle
< 1m

Top 5 PPMD relationships

Less than 5 relationships found

No Deloitte relationships identified

See all relationships in IQ.

Source: Introhive

Cross-board relationships

Board member	Role	Start date	Years on board	Committees	Cross-board relationships			
					Other current board positions	Committees	Current auditor	Auditor tenure
Alexandre Arnault	Director - SD	09/15/2026	0.1	–	LVMH MOET HENNESSY VUITTON SE (LVMH MOET HENNESSY VUITTON SA PRIOR TO 03/2015)	–	–	–
					MOET HENNESSY SNC (Non-board role)	–	–	–
Elliott J Hill	President/CEO	10/14/2024	2	Executive	–	–	–	–
Jorgen Vig Knudstorp	Director - SD	09/09/2025	1.1	Corporate Responsibility Sustainability and Governance	STARBUCKS CORP	Nominating and Corporate Governance (chair), Environmental Partner and Community Impact	Deloitte	Since 1987
					COPENHAGEN CONSULTING CO A/S	–	–	–
					INNOVATION ENDEAVORS LLC (Non-board role)	–	–	–
Maria G Henry	Independent Director	06/01/2023	3.3	Audit and Finance	NEXTERA ENERGY INC	Audit (chair), Executive, Finance and Investment, Governance and Nominating	Deloitte	Since 1949
					GENERAL MILLS INC	Corporate Governance, Public Responsibility	KPMG	Since 1928
Mark G Parker	Chairman (Executive)	01/13/2020	6.8	Executive (chair)	–	–	–	–
Michelle Anne Peluso	Independent Director	04/17/2014	12.5	Corporate Responsibility Sustainability and Governance (chair), Compensation	REVLON GROUP HOLDINGS LLC (REVLON INC PRIOR TO 05/2023)	–	–	–
Mónica Gil	Independent Director	09/20/2022	4.1	Compensation	NBCUNIVERSAL MEDIA LLC (COMCAST CORP) (Non-board role)	–	–	–
					NBCUNIVERSAL TELEMUNDO ENTERPRISES LLC (Non-board role)	–	–	–
					WELCOME TECH INC (SABERESPODER (SEP))	–	–	–
Peter Blair Henry	Independent Director	02/14/2018	8.7	Audit and Finance	CITIGROUP INC	Compensation Performance Management and Culture, Nomination Governance and Public Affairs	KPMG	Since 1969
					ANALOG DEVICES	Audit, Corporate Development, Nominating and Corporate Governance	EY	Since 1967
					CITIBANK EUROPE PLC	–	–	–
					CITIBANK NA (FORMERLY KNOWN AS FIRST NATIONAL CITY BANK OF NEW YORK)	–	–	–
					MAKENA CAPITAL MANAGEMENT LLC	–	Deloitte	–
					PROTIVITI INC (Non-board role)	–	–	–

Robert (Bob) Holmes Swan	Independent Director	09/20/2022	4.1	Audit and Finance (chair)	MICRON TECHNOLOGY INC	Audit (chair), Finance	PWC	Since 1984
					AUTOMATIC DATA PROCESSING	Audit, Corporate Development and Technology Advisory	Deloitte	Since 1968
					ANDREESSEN HOROWITZ LLC (A16Z) (Non-board role)	–	–	–
					AT KEARNEY	–	–	–
					E3TECH	–	–	–
					FLEXPORT INC	–	–	–
Thasunda Brown Duckett	Independent Director	11/14/2019	6.9	Corporate Responsibility Sustainability and Governance	TIAA REAL ESTATE ACCOUNT	Compliance and Risk, Executive	PWC	Since 2005
					BUSINESS ROUNDTABLE (BRT)	–	–	–
					CEO ADVISORY BOARD LLC (Non-board role)	–	–	–
					COMMITTEE FOR ECONOMIC DEVELOPMENT OF THE CONFERENCE BOARD (CED) (THE) (Non-board role)	–	–	–
					ECONOMIC CLUB OF NEW YORK (THE) (ECNY)	–	–	–
					HANKAMER SCHOOL OF BUSINESS BAYLOR UNIVERSITY (Non-board role)	–	–	–
					NATIONAL MEDAL OF HONOR MUSEUM FOUNDATION (THE)	–	–	–
					ROBERT F KENNEDY HUMAN RIGHTS (FORMERLY KNOWN AS ROBERT F KENNEDY CENTER FOR JUSTICE AND HUMAN RIGHTS)	–	–	–
					SESAME WORKSHOP INC (CHILDREN'S TELEVISION WORKSHOP PRIOR TO 2000)	–	Grant Thornton	–
					TEACHERS INSURANCE AND ANNUITY ASSOCIATION OF AMERICA (AKA TIAA)	Compliance and Risk, Executive	PWC	–
					THE BUSINESS COUNCIL (TBC)	–	–	–
					UNIVERSITY OF HOUSTON	–	–	–
Timothy (Tim) Donald Cook	Lead Independent Director	06/30/2016	10.3	Compensation (chair)	APPLE INC	–	EY	Since 2009
Travis A Knight	Director - SD	06/30/2015	11.3	Executive	LAIKA LLC (Non-board role)	–	–	–
					SWOOSH LLC (Non-board role)	–	–	–

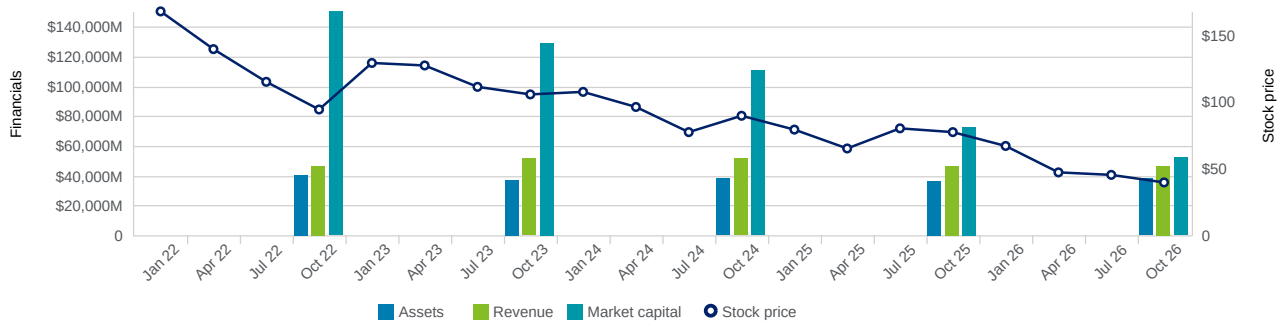
Source: BoardEx

Financials



Financial snapshot

Stock report chart



Market data

Quote symbol:	NKE	Currency:	USD	Stock price date:	10/31/2026
Exchange:	NYSE	Stock price:	$39.23	Market value:	$47,627.00M

Source: Refinitiv, S&P

Earnings estimate

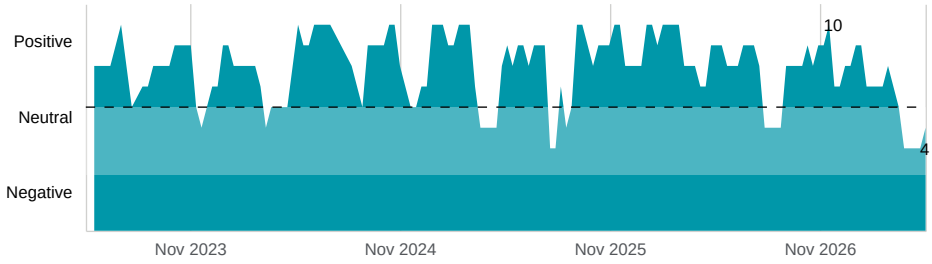
Earnings

5

Neutral outlook

Mixed earnings expectations and performance.

Earnings score trend



Earnings score average

Textiles & Apparel group	5.4
Cyclical Consumer Products sector	5.4
S&P 500 index	6.7
Large market capital	6.5

As of 11/01/2026

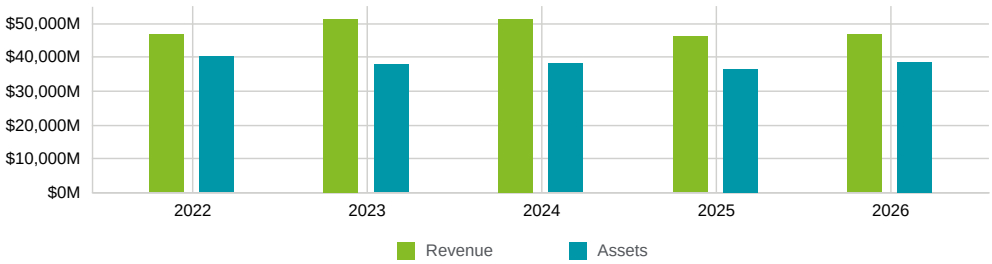
Peer comparison

Peers	-6M	-3M	-1M	-1W	Current	1 year trend
ONON	6	6	8	7	7	
NKE	8	9	4	4	5	
LULU	6	4	2	4	4	
UAA	8	3	4	4	3	
VFC	9	4	1	6	3	

Source: Refinitiv

Financial info

Company financials



Info

Market capital:	$47,627.00M
Revenue (TTM):	$45,891.00M
Earnings:	$712.00M
Assets:	$37,794.00M
Fiscal year end:	05/31
Financials date (Latest FY):	08/31/2026

Source: Audit Analytics, Refinitiv

Corporate activity



Disclosure report

Disclosure controls over financial reporting - SOX 302 (last 5 years)

Auditor	Effective mgmt controls	Material weakness	Other deficiencies/ controls	Period end date	Filing	Filing date	Reasons
PWC	Yes	No	No	05/31/2026	10-K	07/15/2026	–
PWC	Yes	No	No	05/31/2025	10-K	07/17/2025	–
PWC	Yes	No	No	05/31/2024	10-K	07/25/2024	–
PWC	Yes	No	No	05/31/2023	10-K	07/20/2023	–
PWC	Yes	No	No	05/31/2022	10-K	07/21/2022	–

Internal controls over financial reporting - SOX 404 (last 5 years)

Auditor	Fiscal year	Signature date	Auditor agrees with mgmt?	Internal controls effective	Filing	Filing date	Reasons
PWC	2026	07/15/2026	Yes	Yes	10-K	07/15/2026	–
PWC	2025	07/17/2025	Yes	Yes	10-K	07/17/2025	–
PWC	2024	07/25/2024	Yes	Yes	10-K	07/25/2024	–
PWC	2023	07/20/2023	Yes	Yes	10-K	07/20/2023	–
PWC	2022	07/21/2022	Yes	Yes	10-K	07/21/2022	–

Audit opinions (last 5 years, if available)

Auditor	Fiscal Year	Going concern?	Opinion issues	Additional opinion	Integrated audit?	Critical audit matters (MR)	Filer status	Filing	Filing date	Signature date
PWC	2026	No	–	No	Yes	1	Large Accelerated Filer	10-K	07/15/2026	07/15/2026
PWC	2025	No	–	No	Yes	1	Large Accelerated Filer	10-K	07/17/2025	07/17/2025
PWC	2024	No	–	No	Yes	1	Large Accelerated Filer	10-K	07/25/2024	07/25/2024
PWC	2023	No	–	No	Yes	1	Large Accelerated Filer	10-K	07/20/2023	07/20/2023
PWC	2022	No	–	No	Yes	1	Large Accelerated Filer	10-K	07/21/2022	07/21/2022

Class action (last 5 years)

Start date	End date	SEC action?	Document	Filing date
03/19/2021	10/01/2024	No	Filed Complaint	06/20/2024

Cyber incident

Companies affected	Relationship to parent	Incident type	Information type	Information accessed	Awareness date	Disclosure date	Start date	End date	Cost to company ($M)	Records lost	Source
Converse (Australia)	Subsidiary / Affiliate	Malware	Financial	Not Disclosed	10/12/2016	10/28/2016	09/02/2016	10/12/2016	–	–	info security
NIKE, Inc.	Parent	Not Disclosed	Other	Other	–	07/19/2012	–	–	–	–	ZDNet

Form AP (last 5 years)

Engagement partner name	Audit firm	Audit report date
Kane, Stefanie	PWC	07/15/2026
Kane, Stefanie	PWC	07/17/2025
Keller, Kelly Anne	PWC	07/25/2024
Keller, Kelly Anne	PWC	07/20/2023
Keller, Kelly Anne	PWC	07/21/2022

Management changes (last 2 years)

Name	Position	Incoming/Outgoing	Filing	Filing date	Reason
Alexandre Arnault	Director	Appointed	8-K	09/16/2026	Enlargement of Board
David Denton	Principal Accounting Officer	Appointed	8-K	08/10/2026	Assuming additional Position(s)
Johanna Nielsen	Principal Accounting Officer	Resigned	8-K	08/10/2026	Other Opportunity

David M Denton	CFO - Chief Finance Officer	Appointed	8-K	06/23/2026	None Given
Matthew Friend	CFO - Chief Finance Officer	Resigned	8-K	06/23/2026	Position Change within Company
John W Rogers	Director	Retired	8-K	06/18/2026	Position Change within Company
Craig Williams	Other	Dismissed	8-K	12/02/2025	Position Eliminated
Muge Dogan	Other	Resigned	8-K	12/02/2025	Position Eliminated
Venkatesh Alagirisamy	COO - Chief Operating Officer	Appointed	8-K	12/02/2025	Position Change within Company
Venkatesh Alagirisamy	Other	Resigned	8-K	12/02/2025	Position Change within Company
Cathleen Benko	Director	Declined Re-election	8-K	06/18/2025	Retired
Amy Montagne	Other	Appointed	8-K	05/05/2025	Position Change within Company
Amy Montagne	Other	Resigned	8-K	05/05/2025	Position Change within Company
Heidi O'Neill	Other	Retired	8-K	05/05/2025	Corporate Restructuring
Nicole Graham	Executive VP	Appointed	8-K	05/05/2025	Assuming additional Position(s)
Nicole Graham	Other	Resigned	8-K	05/05/2025	Position Change within Company
Phil McCartney	Other	Appointed	8-K	05/05/2025	Position Change within Company
Phil McCartney	Other	Resigned	8-K	05/05/2025	Position Change within Company
Thomas Clarke	Other	Resigned	8-K	05/05/2025	Position Change within Company
Tom Clarke	Other	Appointed	8-K	05/05/2025	Position Change within Company

Proxy fees increases greater than 30% (last 2 years)

Auditor	Proxy year	Audit fee percent increase (2 yr)	Audit + audit related total ($M)	Audit fees ($M)	Audit related fees ($M)	Filing	Filing date
PWC	2026	13.04%	23.40	22.80	0.60	DEF 14A	07/15/2026
PWC	2025		21.80	21.40	0.40	DEF 14A	07/17/2025
PWC	2024		20.70	20.20	0.50	DEF 14A	07/25/2024

Proxy fee increases greater than 20% (last 1 year)

Auditor	Proxy year	Audit fee percent increase (1 yr)	Audit + audit related total ($M)	Audit fees ($M)	Audit related fees ($M)	Filing	Filing date
PWC	2026	7.34%	23.40	22.80	0.60	DEF 14A	07/15/2026
PWC	2025		21.80	21.40	0.40	DEF 14A	07/17/2025

"MR" = most recent data for selected proxy year

Source: Audit Analytics

Key developments (last 6 months)

Date	Headline	Length
11/02/2026	**BRIEF-Nike Extends Long-Term Partnership With Oregon State And Signs Two Blue Ribbon Elite NIL Athletes** Nov 2 (Reuters) - NIKE, Inc.: • NIKE INC: EXTENDS LONG-TERM PARTNERSHIP WITH OREGON STATE AND SIGNS TWO BLUE RIBBON ELITE NIL ATHLETES • Source text: • Further company coverage:	50 words
10/28/2026	**BRIEF-Nike Launches Vietnam's First Fully Electric River Barge With CMA CGM & Gemadept** Oct 28 (Reuters) - NIKE, Inc.: • NIKE - LAUNCHES VIETNAM'S FIRST FULLY ELECTRIC RIVER BARGE WITH CMA CGM AND GEMADEPT • NIKE - ELECTRIC BARGE EXPECTED TO AVOID 778 TONS OF CO_2 EMISSIONS ANNUALLY • Source text: • Further company coverage:	56 words
10/15/2026	**BRIEF-Moody's Ratings Changes NIKE's Outlook To Negative Affirms A2** Oct 15 (Reuters) - NIKE, Inc.: • MOODY'S RATINGS CHANGES NIKE'S OUTLOOK TO NEGATIVE; AFFIRMS A2 • MOODY'S: CHANGE IN OUTLOOK TO NEGATIVE REFLECTS NIKE'S LONGER THAN PREVIOUSLY ANTICIPATED TURNAROUND • MOODY'S: EXPECT NIKE'S REVENUE & EARNINGS TO DECLINE THROUGH FISCAL YEAR ENDING MAY 2027, INTO ITS FISCAL 2028 • MOODY'S: EXPECT NIKE'S STRATEGIC ACTIONS TO PRESSURE EARNINGS FOR REMAINDER OF FY ENDING MAY 2027 & INTO FISCAL 2028, CONSTRAINING CREDIT METRICS • Source text: • Further company coverage: ;))	95 words
10/15/2026	**BRIEF-Nike Co & FC Barcelona Unveil Exclusive Collection With Tyler, The Creator** Oct 15 (Reuters) - NIKE, Inc.: • NIKE: CO & FC BARCELONA UNVEIL EXCLUSIVE COLLECTION WITH TYLER, THE CREATOR • Source text: • Further company coverage:	40 words
10/05/2026	**BRIEF-Nike - Lebron 24 To Launch Globally November 17 At Nike.Com And Select Retail Locations** Oct 5 (Reuters) - NIKE, Inc.: • NIKE - LEBRON 24 TO LAUNCH GLOBALLY NOVEMBER 17 AT NIKE.COM AND SELECT RETAIL LOCATIONS • Source text: • Further company coverage:	46 words
09/18/2026	**BRIEF-Sports Brand On Signs Kylian Mbappé From Nike To Lead New Football Push - FT** Sept 18 (Reuters) - • SPORTS BRAND ON SIGNS KYLIAN MBAPPÉ FROM NIKE TO LEAD NEW FOOTBALL PUSH - FT • Source text: • Further company coverage:	43 words
08/28/2026	**BRIEF-Nike Welcome Kristin Bauer As Our New Chief Operating Officer Of Converse** Aug 28 (Reuters) - NIKE, Inc.: • NIKE: WELCOME KRISTIN BAUER AS OUR NEW CHIEF OPERATING OFFICER OF CONVERSE Source text: Further company coverage:	41 words
08/28/2026	**BRIEF-Nike Hires Ex-Foot Locker Executive Kristin Bauer To Run Converse Operations - Bloomberg News** Aug 28 (Reuters) - • NIKE HIRES EX-FOOT LOCKER EXECUTIVE KRISTIN BAUER TO RUN CONVERSE OPERATIONS - BLOOMBERG NEWS Source text: [ID: here Further company coverage:	44 words
08/27/2026	**BRIEF-Jane Ewing To Join Nike As Executive Vice President, CCO Effective September 7** Aug 27 (Reuters) - NIKE, Inc.: • NIKE : JANE EWING TO JOIN AS EXECUTIVE VICE PRESIDENT AND CHIEF COMMERCIAL OFFICER EFFECTIVE SEPTEMBER 7 Further company coverage:	45 words

08/10/2026	**BRIEF-Nike - Johanna Nielsen To Resign As Chief Accounting Officer And Corporate Controller Effective Sept 4, 2026** Aug 10 (Reuters) - NIKE, Inc.: • NIKE - JOHANNA NIELSEN TO RESIGN AS CHIEF ACCOUNTING OFFICER AND CORPORATE CONTROLLER EFFECTIVE SEPT 4, 2026 - SEC FILING • NIKE - DAVID DENTON TO ASSUME ROLE OF INTERIM CORPORATE CONTROLLER AS OF SEPT 4, 2026 - SEC FILING Further company coverage:	67 words
06/23/2026	**BRIEF-Nike Names David Denton As CFO Effective August 17** June 23 (Reuters) - Nike Inc: • NIKE, INC. ANNOUNCES PLANNED CFO TRANSITION • NIKE - APPOINTS DAVID M. DENTON AS CFO EFFECTIVE AUGUST 17 • NIKE - MATTHEW FRIEND TO STEP DOWN AS CFO, WILL REMAIN THROUGH SEPTEMBER 4 • NIKE - Q4 RESULTS TO INCLUDE TARIFF REFUND BENEFIT; EXCLUDING THIS, RESULTS IN LINE WITH GUIDANCE • NIKE - APPOINTS DAVID M. DENTON AS CFO EFFECTIVE AUGUST 17 Source text: Further company coverage:	80 words

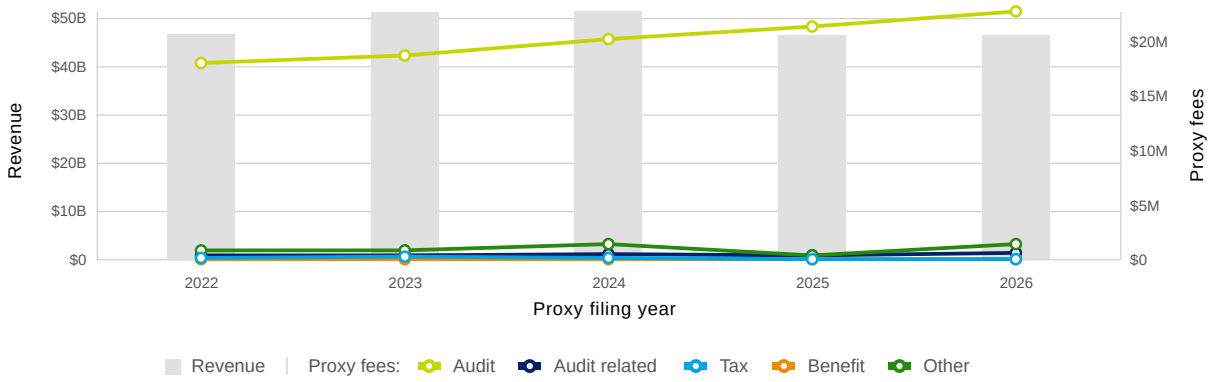
DOW JONES

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Source: Factiva

Proxy fees

5 year trends



Revenue | Proxy fees: Audit Audit related Tax Benefit Other

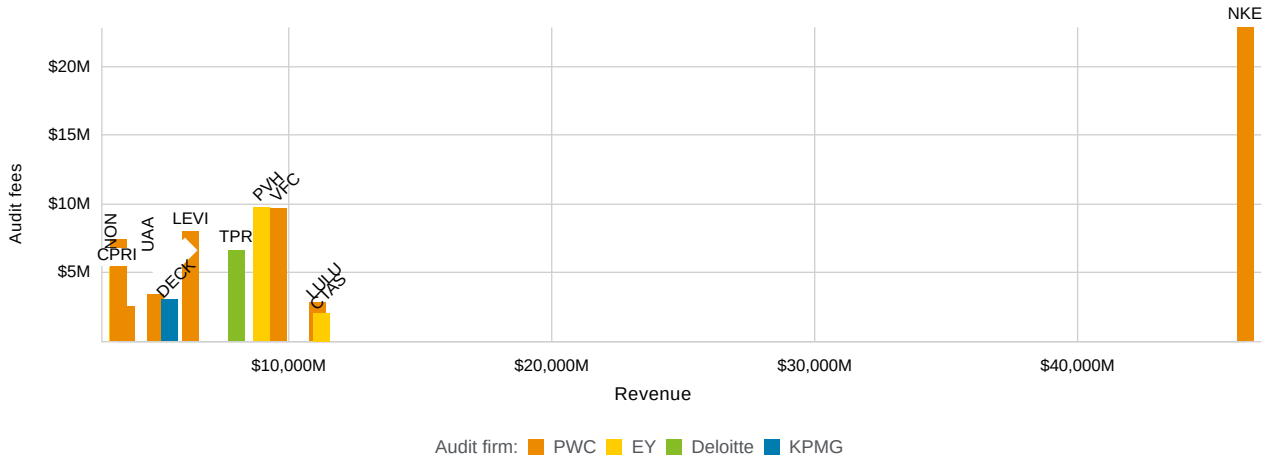
Year	Revenue ($M)	Audit fees ($M)	Audit related fees ($M)	Tax ($M)	Benefits ($M)	Other fees ($M)	Total fees ($M)	Auditor
2026	46,398.00	22.80	0.60	0.00	0.00	1.40	24.80	PWC
2025	46,309.00	21.40	0.40	0.00	0.00	0.40	22.20	PWC
2024	51,362.00	20.20	0.50	0.10	0.00	1.40	22.20	PWC
2023	51,217.00	18.70	0.30	0.20	0.00	0.80	20.00	PWC
2022	46,710.00	18.10	0.30	0.10	0.00	0.80	19.30	PWC

Source: Audit Analytics

Peer comparison

NIKE INC

Companies below are the closest peers to the subject company based on industry and revenue size



Company name	Ticker symbol	Proxy year	Audit fees ($M)	Total fees ($M)	Revenue ($M)	Assets ($M)	Market capital ($M)	Auditor
NIKE, INC.	NKE	2026	22.80	24.80	46,398.00	38,410.00	52,454.11	PWC
CINTAS CORPORATION	CTAS	2026	2.03	2.82	11,264.76	10,529.14	69,339.10	EY
LULULEMON ATHLETICA INC.	LULU	2026	2.80	3.11	11,102.60	8,456.74	19,248.45	PWC
V.F. CORPORATION	VFC	2026	9.63	10.34	9,605.21	9,290.18	6,651.85	PWC
PVH CORP.	PVH	2026	9.72	12.53	8,950.20	11,681.00	2,849.84	EY
TAPESTRY, INC.	TPR	2026	6.57	7.49	8,004.20	6,691.70	29,334.55	Deloitte
LEVI STRAUSS & CO.	LEVI	2025	8.00	8.25	6,282.00	6,848.80	2,282.75	PWC
DECKERS OUTDOOR CORPORATION	DECK	2026	2.96	2.97	5,472.30	3,687.77	13,955.10	KPMG
UNDER ARMOUR, INC.	UAA	2026	3.43	4.74	4,966.37	4,415.69	1,061.25	PWC
ON HOLDING AG	ONON	2025	2.52	3.00	3,804.40	3,579.00	13,582.46	PWC
HANESBRANDS INC.	–	2024	7.34	7.54	3,507.44	3,840.94	2,862.27	PWC
CAPRI HOLDINGS LIMITED	CPRI	2026	5.31	6.13	3,474.00	3,234.00	2,000.73	EY

Source: Audit Analytics

Perspectives



GOVERNANCE METRICS REPORT

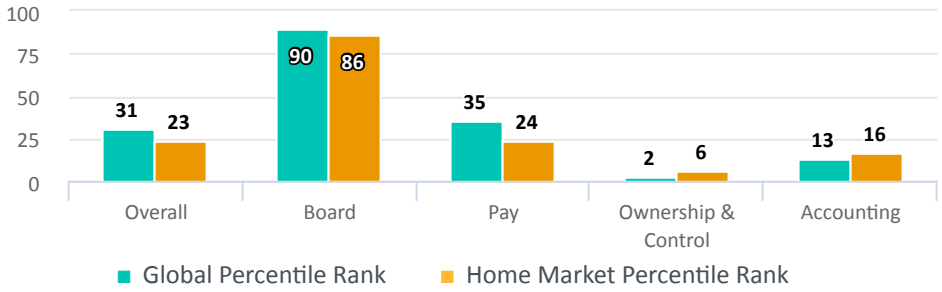
NIKE, INC. (NKE)

Governance Score **5.6** / 10

Regulatory Disclosures

Industry:	Textiles, Apparel & Luxury Goods	**Incorporated:**	US (OR)	**Last Data Update:**	Oct 21, 2026
Market Cap:	56,263,498,443 USD	**Home Market:**	United States	**Last Score Change:**	Oct 21, 2026

GOVERNANCE THEMES AND RANKINGS



SUMMARY

NIKE falls into the average scoring range for all the companies we assess relative to global peers, although we identify governance risks in relation to ownership structure which may warrant review by investors.

KEY AREAS OF CONCERN*

SCORING DEDUCTIONS

Ownership Structure **(-0.99)**
- Controlling Shareholder
- Controlling Shareholder Concerns

Pay Figures **(-0.50)**
- Executive Pay Disclosure
- Internal Pay Equity
- CEO Pay Perks & Other Comp

One Share One Vote **(-0.44)**
- Multiple Equity Classes with Different Voting Rights

OWNERSHIP OVERVIEW

Capital Structure	Multiple Equity Classes, Deviates from One-Share One Vote
Ownership Classification	Principal Shareholder
Key Owner Types	Founder Firm; Family Firm

Top Shareholders:

Knight Family - 21.3% (Swoosh, LLC - 15.6% Philip Knight - 2.9% Travis A. Knight 2009 Irrevocable Trust II - 2% Travis A. Knight - 0.8%)

KEY DATES

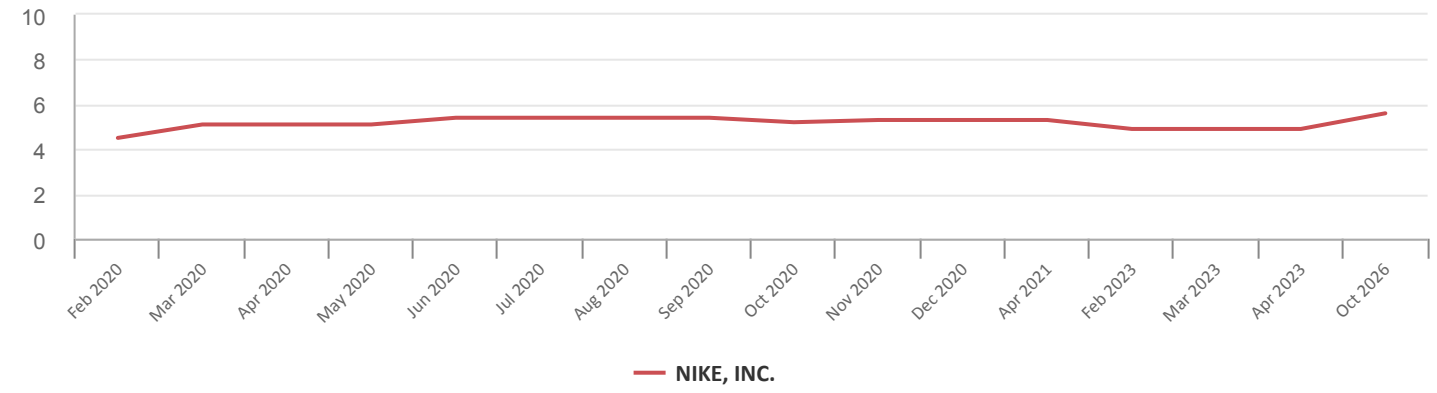
Financial Year End	May 31
Annual Filing Date	Jul 15, 2026
AGM Date	Sep 08, 2026

WEBSITE

https://about.nike.com/

**Key areas of concern include flagged key metrics within the three sub-issues that represent the largest scoring deductions. Please review the full report to see the complete set of flagged key metrics.*

CORPORATE GOVERNANCE SCORE HISTORY



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CHANGES TO FLAGGED KEY METRICS (SINCE JUNE 2025)

Key Metric	Key Metric Change	Date	Score Change	Change Notes
CEO Pay Total Fixed	Flag Removed	Oct 22, 2026	0.20	
CEO Pay Total Awarded	Flag Removed	Oct 22, 2026	0.20	
CEO Pay Total Fixed	**Flag Added**	Sep 24, 2026	**-0.20**	
CEO Pay Total Awarded	**Flag Added**	Sep 24, 2026	**-0.20**	
Significant Votes Against Directors	Flag Removed	Sep 17, 2026	0.61	
Related Party Transactions	Flag Removed	Sep 17, 2026	0.06	
Pay Committee Concerns	Flag Removed	Sep 17, 2026	0.30	
Long-Term Pay Performance Versus Peers	**Flag Added**	Sep 17, 2026	**-0.20**	
Long-Term Pay Performance	**Flag Added**	Sep 17, 2026	**-0.20**	
Internal Pay Equity	**Flag Added**	Sep 17, 2026	**-0.20**	
CEO Pay Perks & Other Comp	**Flag Added**	Sep 17, 2026	**-0.20**	
Significant Vote Against Pay Practices	Flag Removed	Sep 23, 2025	0.10	AGM voting results updated
Severance Vesting	**Flag Added**	Aug 04, 2025	**-0.10**	

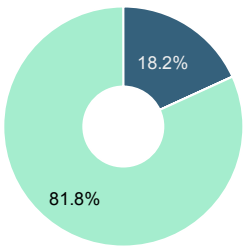
Note: A full list of score changes (including where there is no Key Metric Change) is included in the Appendix.

BOARD OVERVIEW

Board Type: Unitary Board

Board of Directors

CEO	Elliott Hill	Since: Oct 14, 2024
Chair	Mark Parker	Since: Jun 30, 2016
Lead Director	Timothy (Tim) Cook	Since: Jun 30, 2016



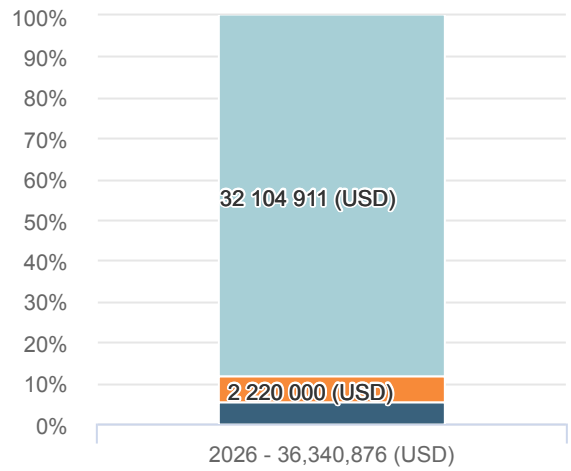
Executive Leadership

CFO	David (Dave) Denton	Since: Aug 16, 2026

■Executive ■Links to Management ■Independent of Management

PAY OVERVIEW

Highest Paid Executive - Elliott Hill



■Long Term Incentives Awarded	32,104,911 (USD)
■Short Term Incentives Awarded	2,220,000 (USD)
■Fixed Pay	2,015,965 (USD)

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BOARD

The NIKE board appears to be generally well organized to provide effective strategic oversight for the company management. We have flagged this board for potential concerns regarding the board leadership structure.

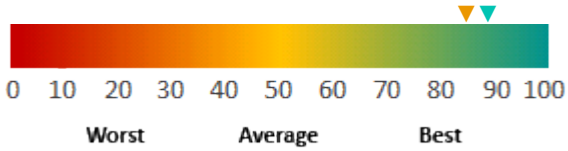
0-10 Score	Global Percentile Rank	Home Market Percentile Rank
9.1	90th (Above Average)	86th (Above Average)

KEY METRICS SCORING

	Deduction
AUDIT OVERSIGHT	
Audit Committee Industry Expert	-0.10
BOARD LEADERSHIP	
Leadership Concerns	-0.30
Independent Chair	-0.10

BOARD PERFORMANCE VS.

▼ Global ▼ Home Market



LEADERSHIP

CHIEF EXECUTIVE OFFICER

History	CEO Since	Until	Name	Gender	Age
Current	Oct 2024		Elliott Hill	M	62
Former	*Jan 2020*	*Oct 2024*	*John Donahoe II*	*M*	*66*

CHIEF FINANCIAL OFFICER

History	CFO Since	Until	Name	Gender	Age
Current	Aug 2026		David (Dave) Denton	M	61
Former	*Apr 2020*	*Aug 2026*	*Matthew Friend*	*M*	*48*

CHAIR

History	Chair Since	Until	Name	Gender	Age
Current	Jun 2016		Mark Parker	M	70

LEADERSHIP CONCERNS

- The company has an Executive Chair and a separate CEO.
- The Chairman previously served as the CEO of the company.

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BOARD OF DIRECTORS

The NIKE board currently has an independent majority, which enables it to more effectively fulfill its critical function of overseeing management on behalf of shareholders. We also note concerns with the board leadership structure which creates the potential for increased management influence and board level conflicts of interest.

Number of Board Meetings: 4
Non-executives meet in absence of Executives: Yes

Name	M/F	Age	Tenure (Years)	Boards	Independent of Mgmt	Independent of Other Interests	Management Link/ Designation Reason	Nationality
Elliott Hill CEO I	**M**	**62**	**2**	**1**	**No**	**Yes**	**Executive**	**Not Disclosed**
Jørgen Knudstorp	M	57	1	2	Yes	Yes		Denmark
Maria Henry $	F	59	3	1	Yes	Yes		Not Disclosed
Mark Parker COB I	**M**	**70**	**20**	**1**	**No**	**Yes**	**Executive**	**Not Disclosed**
Michelle Peluso	F	54	12	1	Yes	Yes		Not Disclosed
Mónica Gil	F	54	4	1	Yes	Yes		Not Disclosed
Peter Henry $	M	56	8	3	Yes	Yes		Not Disclosed
Robert (Bob) Swan $	M	66	4	2	Yes	Yes		United States of America
Thasunda Duckett R $	F	53	6	2	Yes	Yes		Not Disclosed
Timothy (Tim) Cook LD	M	65	20	2	Yes	Yes		United States of America
Travis Knight	M	52	11	1	Yes	No	Family Firm Director	Not Disclosed

	F	# >= 70	# >= 15 yrs	# >= 4			
Total (of 11)	4	1	2	0	9	10	
Percentage	36.4%	9.1%	18.2%	0%	81.8%	90.9%	

Note: Board count includes the membership of this board.

$ - Financial Expert (4) I - Industry Expert (2) R - Risk Management Expert CEO - Chief Executive Officer
COB - Chair of the Board LD - Lead Director

BOARD EFFECTIVENESS

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Nomination Committee - Number Of Meetings: 4

Name	M/F	Age	Board Tenure (Years)	Independent of Mgmt	Independent of Other Interests	Committee Status
Jørgen Knudstorp	M	57	1	Yes	Yes	Member
Michelle Peluso	F	54	12	Yes	Yes	Chair
Thasunda Duckett R $	F	53	6	Yes	Yes	Member

$ - Financial Expert R - Risk Management Expert

AUDIT OVERSIGHT

Audit Committee - Number Of Meetings: 9

The NIKE board of directors includes a fully independent audit committee and at least one member of that committee meets our standards for financial expertise.

Name	M/F	Age	Board Tenure (Years)	Boards	Independent of Mgmt	Independent of Other Interests	Committee Status
Maria Henry $	F	59	3	1	Yes	Yes	Member
Peter Henry $	M	56	8	3	Yes	Yes	Member
Robert (Bob) Swan $	M	66	4	2	Yes	Yes	Chair

$ - Financial Expert (3)

Risk Committee - Number Of Meetings: 9

Name	M/F	Age	Board Tenure (Years)	Independent of Mgmt	Independent of Other Interests	Committee Status
Maria Henry $	F	59	3	Yes	Yes	Member
Peter Henry $	M	56	8	Yes	Yes	Member
Robert (Bob) Swan $	M	66	4	Yes	Yes	Chair

$ - Financial Expert (3)

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PAY OVERSIGHT

Pay Committee - Number Of Meetings: 4

The NIKE board includes an independent pay committee, which is considered best practice for oversight of executive pay according to international corporate governance standards.

Name	M/F	Age	Board Tenure (Years)	Independent of Mgmt	Independent of Other Interests	CEO Role?	Committee Status
Michelle Peluso	F	54	12	Yes	Yes		Member
Mónica Gil	F	54	4	Yes	Yes		Member
Timothy (Tim) Cook	M	65	20	Yes	Yes	Former	Chair

CONTROVERSIES & EVENTS

No major relevant controversies have been uncovered.

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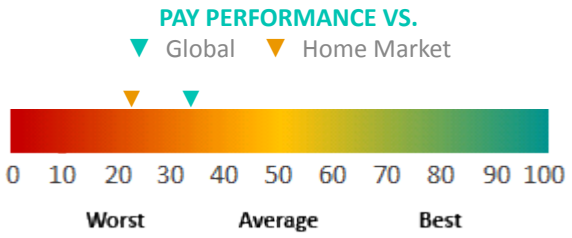
PAY

Executive pay practices at NIKE fall into the average scoring range relative to global peers. Areas of particular concern include poor disclosure in relation to executive pay and early vesting provisions in share based awards which offer a poor alignment with shareholder interests.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
5.0	35th (Average)	24th (Below Average)

KEY METRICS SCORING

	Deduction
EQUITY PLAN DILUTION	
Dilution Concerns	-0.10
PAY FIGURES	
Executive Pay Disclosure	-0.10
Internal Pay Equity	-0.20
CEO Pay Perks & Other Comp	-0.20
PAY PERFORMANCE ALIGNMENT	
Long-Term Pay Performance	-0.20
Long-Term Pay Performance Versus Peers	-0.20
SEVERANCE & CHANGE OF CONTROL	
Severance Vesting	-0.10



PAY FIGURES

DISCLOSURE

Disclosure should include, at minimum, pay for each executive member of the Board of Directors (or Management Board for companies with a two-tier board structure) on an individualized basis or in cases where there are no executive members, the CEO. The individualized disclosure should include separate information on the amount of each of the following (where such a component is provided): salary, short-term Incentives, long-term Incentives, pensions, benefits, and any one-off payments (such as recruitment or retention awards).

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EXECUTIVE PAY - 2026

Executive	Title	Tenure (Years)	Total Awarded Pay (USD)	Total Realized Pay (USD)
Ann Miller I	Executive		0	0
Craig Williams I	Executive		0	0
Elliott Hill I	CEO	2	36,340,876	5,598,283
Heidi O'Neill I	Executive		0	0
John Donahoe II I	Executive	N/A (Resigned)	0	0
Matthew Friend I $	Executive	N/A (Resigned)	15,165,400	3,327,625
Monique Matheson I	Executive		0	0
Rob Leinwand I	Executive		12,013,121	3,218,986
Treasure Heinle I	Executive		11,972,190	2,307,702
Venkatesh Alagirisamy I	Executive		11,514,852	2,303,125

$ - Financial Expert I - Industry Expert (10)

CEO PAY DETAILS - Elliott Hill

Pay Awarded	2026
Fixed Pay	
Salary	1,500,000 USD
Fees	0 USD
Pension	0 USD
Perks & Other Pay	515,965 USD
Variable Pay	
Short-term incentives	
Annual Bonus	0 USD
Other Non-equity Incentive Plan	2,220,000 USD
Long-term incentives	
Grant date value of Stock Options	3,967,113 USD
Grant date value of Stock Awards	28,137,798 USD
Total Awarded Pay	**36,340,876 USD**

Pay Realized	
Fixed Pay	
Salary	1,500,000 USD
Fees	0 USD
Pension	0 USD
Perks & Other Pay	515,965 USD
Variable Pay	
Short-term incentives	
Annual Bonus	0 USD
Other Non-equity Incentive Plan	2,220,000 USD
Long-term incentives	
Options Exercised	0 USD
Stock Awards Vested	1,362,318 USD
Total Realized Pay	**5,598,283 USD**

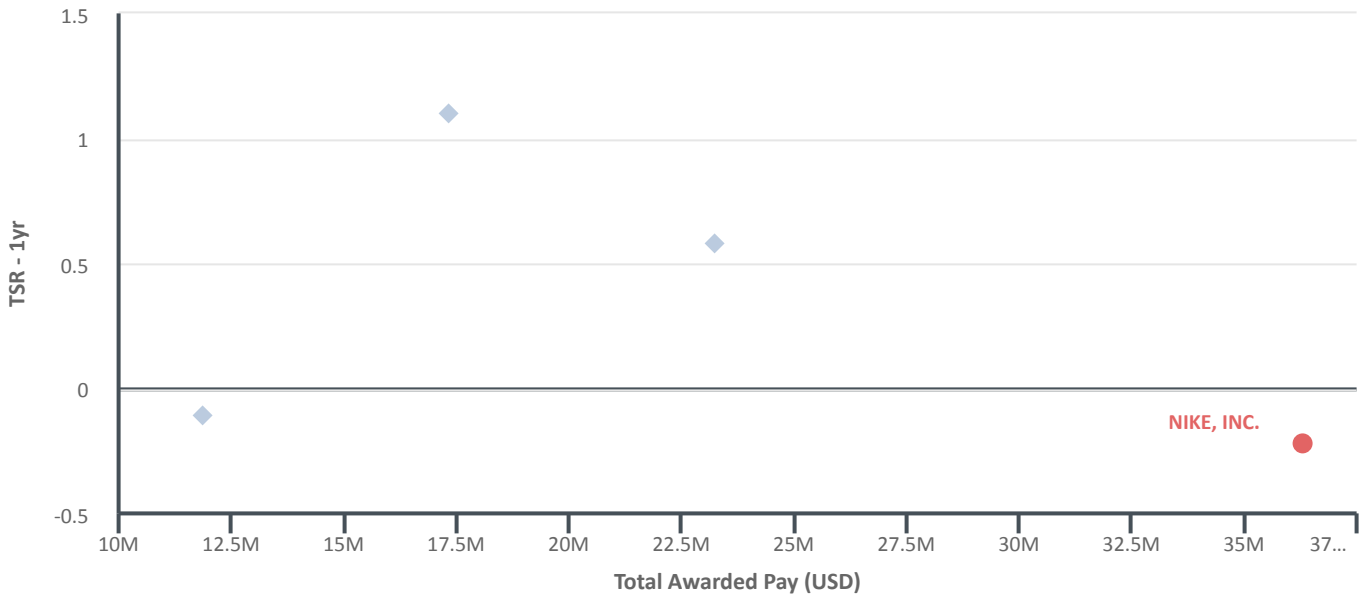
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PAY PEER GROUP

LARGECAP - DEVELOPED AMERICAS - TEXTILES, APPAREL & LUXURY GOODS (4 COMPANIES)

Company	Home Market	Market Cap (USD m)	Pay Year	1 Yr TSR	Total CEO Annual Pay (USD)	CEO Name	CEO Since
RALPH LAUREN CORPORATION	United States	22,335	2026	0.58%	9,554,090	Louvet	Jul 2017
TAPESTRY, INC.	United States	24,603	2025	1.10%	6,766,671	Crevoiserat	Jul 2020
DECKERS OUTDOOR CORPORATION	United States	11,859	2026	-0.10%	4,905,045	Caroti	Aug 2024
NIKE, INC.	**United States**	**55,268**	**2026**	**-0.22%**	**4,235,965**	**Hill**	**Oct 2024**

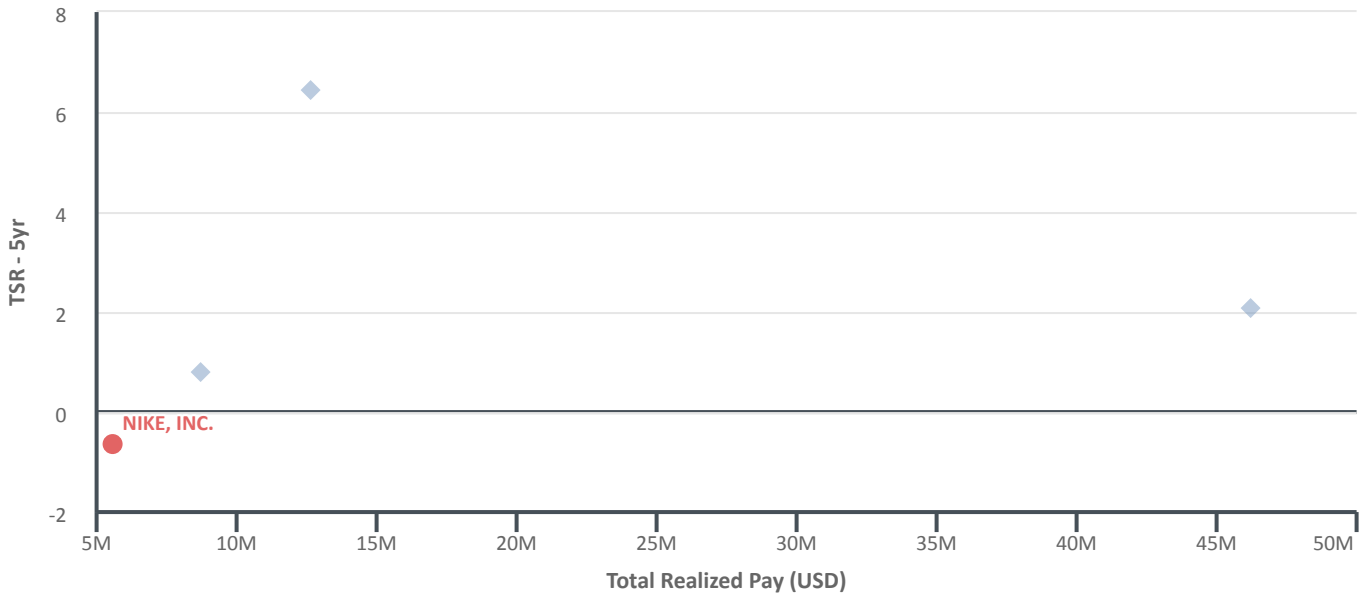
CEO TOTAL AWARDED PAY VERSUS PAY PEER GROUP



Pay Peers (♦) are used in the calculation of the Key Metric CEO Pay Total Summary and selected as set out in the MSCI Governance Metrics Methodology Document.

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CEO TOTAL REALIZED PAY VERSUS PAY PEER GROUP



Pay Peers (♦) are used in the calculation of the Key Metric CEO Pay Total Summary and selected as set out in the MSCI Governance Metrics Methodology Document.

PAY PERFORMANCE ALIGNMENT

CEO & EXECUTIVE EQUITY

CEO equity policy as a multiple of salary: **8.0**

STOCK OWNERSHIP GUIDELINES

stock ownership guidelines for executive officers that are designed to further align the interests of our executive officers with those of our shareholders. Under the guidelines, each executive officer is required to hold NIKE stock valued at the following multiple of their annual base salary:

Chief Executive Officer: 8X Base Salary

Executive	Tenure (Years)	Shares Held	YoY % Change	Shareholding As % of Salary
Elliott Hill I	2	225,951		696.38%
Mark Parker I	20	665,254		
Matthew Friend I $	N/A (Resigned)	48,455		
Rob Leinwand I		37,785		
Treasure Heinle I		33,749		
Venkatesh Alagirisamy I		23,450		

$ - Financial Expert I - Industry Expert (6)

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CLAWBACK & MALUS

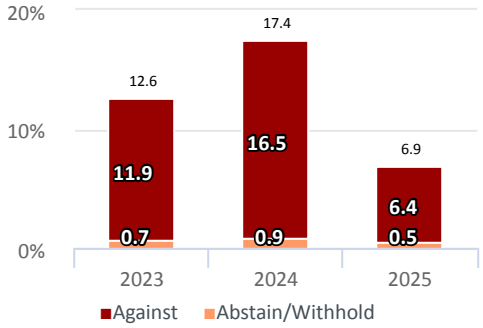
Clawback or malus provisions are in place.
Clawback Type: **Performance Based**

LATEST PAY VOTES

Year	Vote Type	Votes For %	Votes Against %	Abstain %
2025	Advisory Vote on Executive Compensation	93.1%	6.4%	0.5%

Vote Results History

Say on Pay Vote



EQUITY PLAN DILUTION

	2026	2025	2024
Shares Outstanding	1,483,498,703	1,476,903,492	1,499,358,944
Equity Reserved	14.1%	11.2%	11.7%
Shares granted/awarded (in year)	1.2%	1.4%	1.2%

NON-EXECUTIVE DIRECTOR PAY

NON-EXECUTIVE EQUITY

Director	Tenure (Years)	Shares Held
John Rogers Jr. $	N/A (Resigned)	41,022
Jørgen Knudstorp	1	21,388
Maria Henry $	3	8,767
Michelle Peluso	12	32,814
Mónica Gil	4	8,893
Peter Henry $	8	11,099
Robert (Bob) Swan $	4	53,978
Thasunda Duckett R $	6	13,589
Timothy (Tim) Cook	20	130,480
Travis Knight	11	4,839,081

$ - Financial Expert (5) R - Risk Management Expert

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NON-EXECUTIVE PAY TABLES

Director	Tenure (Years)	Cash Fees	Other Comp	Stock Award	Total Pay	Total Pay (USD)
John Rogers Jr. $	N/A (Resigned)	100,000 USD	0 USD	192,758 USD	292,758 USD	292,758
Jørgen Knudstorp	1	72,802 USD	0 USD	385,517 USD	458,319 USD	458,319
Maria Henry $	3	105,000 USD	20,000 USD	192,758 USD	317,758 USD	317,758
Michelle Peluso	12	125,000 USD	20,000 USD	192,758 USD	337,758 USD	337,758
Mónica Gil	4	100,000 USD	0 USD	192,758 USD	292,758 USD	292,758
Peter Henry $	8	105,000 USD	0 USD	192,758 USD	297,758 USD	297,758
Robert (Bob) Swan $	4	135,000 USD	20,000 USD	192,758 USD	347,758 USD	347,758
Thasunda Duckett R $	6	100,000 USD	20,000 USD	192,758 USD	312,758 USD	312,758
Timothy (Tim) Cook	20	165,000 USD	20,000 USD	192,758 USD	377,758 USD	377,758
Travis Knight	11	100,000 USD	0 USD	192,758 USD	292,758 USD	292,758

$ - Financial Expert (5) R - Risk Management Expert

CONTROVERSIES & EVENTS

No major relevant controversies have been uncovered.

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OWNERSHIP & CONTROL

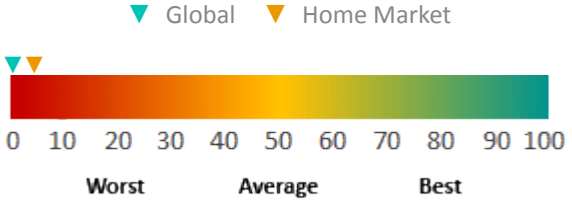
The ownership structure and shareholder rights at NIKE raise potential concerns for shareholders, including the relationship with the controlling shareholder, share classes with unequal voting rights and the vote standard utilized for the election of directors.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
1.2	2nd (Worst In Class)	6th (Worst In Class)

KEY METRICS SCORING

	Deduction
DIRECTOR ELECTIONS	
Majority Voting	-0.30
Cumulative Voting	-0.10
ONE SHARE ONE VOTE	
Multiple Equity Classes with Different Voting Rights	-0.44
OWNERSHIP STRUCTURE	
Controlling Shareholder	0.00
Controlling Shareholder Concerns	-0.99
SHAREHOLDER RIGHTS	
Bylaws Amendments	-0.10
Shareholder Rights Concerns	-0.20
Confidential Voting	-0.10
TAKEOVER PROVISIONS	
Constituency Provision	-0.10
Business Combination Provision	-0.10
Fair Bid Treatment Provisions	-0.10

OWNERSHIP & CONTROL PERFORMANCE VS.



CORPORATE STRUCTURE

Public Company

CAPITAL STRUCTURE

Capital Type	Votes Per Share	Shares Outstanding
Class A Common Stock	1.0	281,387,752
Class B Common Stock	1.0	1,202,110,951
Preferred Stock	0.0	300,000

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Each Class A share and Class B share having one vote per share. Preferred Stock has no voting right.

On the close of business on July 8, 2026, 281,387,752 shares of Class A Stock and 1,202,110,951 shares of Class B Stock were issued and outstanding and entitled to vote at the meeting.

OWNERSHIP STRUCTURE

OWNERSHIP CATEGORIES

- Principal Shareholder
- Founder Firm
- Family Firm

NOTABLE SHAREHOLDERS

Knight Family - 21.3% (Swoosh, LLC - 15.6% Philip Knight - 2.9% Travis A. Knight 2009 Irrevocable Trust II - 2% Travis A. Knight - 0.8%)	**21.3%**
5%+ shareholders - Aggregate Voting Power	**12.5%**
Insider Voting Power	**21.6%**

NIKE is a controlled company, where a single shareholder or shareholder block holds 30% or more of the voting shares or has effective control of the board. The controlling shareholder controls 21.3% of the voting power. The company has not, however, taken the controlled company exemption available to such firms under current SEC and exchange listing requirements, but has chosen to meet the prevailing standards regarding board and committee independence. The company's multiple share classes also have disparate voting rights which, in concert with the presence of a controlling shareholder, may have a negative impact on minority shareholder rights. We have identified this company as a 'family firm', where one or more families control the voting shares and are typically represented on the board. When assessing family firms, we consider the extent to which the family makes decisions that are in the best interests of non-family shareholders. We have identified this company as a 'founder firm', where the company's founder is still an active member of either the board or company management. At NIKE, there may be no governance risks associated with related party transactions among the controlling founders/family. There are concerns regarding pay practices and takeover defenses that may impact minority shareholders' interests. Of companies in United States, some 19% are flagged for this KeyMetric. Differential voting rights mean that the economic exposure of certain shareholders is higher than their voting power.

Controlling Shareholder Concerns Criteria

No Independent Directors	**No**	Controlling Shareholder Percentage of Voting Rights	
Leadership Concerns	**Yes**	Controlled via Stock Pyramid	**No**
Undersized Board	**No**	Cross Shareholdings	**No**
Structured as a Limited Partnership	**No**	Golden Shares	**No**
Poison Pill	**No**		

FAMILY FIRM

The Knight family owns 21.3% of total voting power in the company. Travis Knight is the Son of Philip Knight (co-founder) serves on the board as a member.

FOUNDER FIRM

Mr. Philip Knight, NIKE's co-founder, serves as Chairman Emeritus. Travis Knight is the Son of Philip Knight (co-founder) serves on the board as a member. The Knight family owns 21.3% of total voting power in the company.

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TAKEOVER PROVISIONS

Fair Price Provision	Mandatory Bid Provision	Mandatory Bid Ownership Threshold
No	No	

State of Incorporation	Business Combination Provision
Oregon	Yes

% of Votes to Approve a Merger
80%

GOVERNING DOCUMENTS

MAJORITY REQUIREMENTS

	Bylaws	Charter
Default percentage of votes required to amend a provision	51%	51%
Highest percentage of votes required to amend a specific provision	N/A	80%

Bylaws Pg. 28

Amendment of Bylaws. Except as otherwise provided by applicable law or by the Restated Articles, the Board of Directors may amend or repeal these Bylaws at any regular or special meeting. The Corporation’s shareholders may also amend or repeal these Bylaws, as authorized by applicable laws.

AOI ARTICLE VII,

Articles V and VI, and this Article VII, of these Restated Articles of Incorporation may not be amended except upon the affirmative vote of 80 percent of the outstanding Common Stock.

SHAREHOLDER RIGHTS

There may be governance risks for investors in relation to shareholder rights and management-controlled takeover defense mechanisms at NIKE including:

- The board's ability to amend the company's bylaws without shareholder approval
- constituency provisions that may be invoked to deter tender offers regarded as hostile by current management
- business combination provisions that fail to include protections of shareholder interests
- fair price provisions that fail to ensure that all shareholders are treated fairly
- Limits on the right of shareholders to take action by written consent
- The absence of confidential voting policies
- The absence of cumulative voting rights

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SHAREHOLDER MEETINGS & RESOLUTIONS

	Call Special Meeting	Requisition a Resolution at AGM	Act by Written Consent
Percentage of shares required	10%		100%

RESTRICTIONS ON LEGAL ACTION BY SHAREHOLDERS

No exclusive forum provision has been identified.

SAY ON PAY

We note that shareholder votes on executive pay are mandatory in this market, affording shareholders the ability to review and approve executive pay practices at this company.

DIRECTOR ELECTIONS

BOARD RE-ELECTION PROVISIONS

Board Re-election Provisions	
Board Re-election Frequency (Years)	1
% of Board subject to re-election	100%

DIRECTOR ELECTION STANDARD

The company has not adopted a binding majority director election standard (with immediate resignation if the director does not receive a majority of the votes cast), which may limit shareholders' ability to hold members of the board accountable in uncontested elections.

Director Election Rules	
Vote Standard	Plurality & Resignation Policy
Immediate Binding Resignation	No

Bylaws, Election and Tenure, p. 21

Directors shall be elected by a plurality of the votes cast by holders of the shares entitled to vote in the election at a meeting at which a quorum is present; provided, however, that any nominee for director in an uncontested election who fails to receive a greater number of shares voted "for" his or her election than shares "withheld" from such election shall tender his or her resignation for consideration by the Corporate Responsibility, Sustainability & Governance Committee. Shares voted shall not include a share otherwise present at the meeting but which abstains from voting on a director, or gives no authority or direction. An "uncontested election" means an election in which the number of nominees proposed to be elected by a class of shares is equal to the number of directors determined by the Board of Directors for that class. The Corporate Responsibility, Sustainability & Governance Committee shall recommend to the Board the action to be taken with respect to the resignation. The Board will publicly disclose its decision within 90 days of the certification of the election results.

2026 DEF 14A, Election of Directors, p. 4

Each elected director will hold office until the next annual meeting of shareholders and until their successor is elected and qualified, or until their earlier death, resignation or removal.

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PROXY ACCESS

A proxy access provision is in place.

Proxy Access Terms	
Ownership Duration (Years)	3
Ownership Threshold (% of shares)	3%
Min/Max % of Board Seats	20%
Min/Max Number of Board Seats	1

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ACCOUNTING

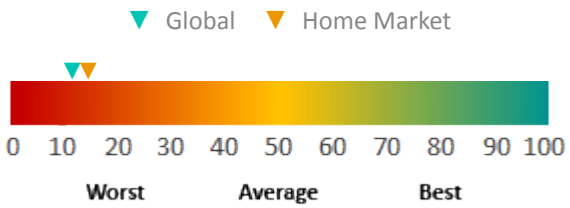
Based on the company's disclosures and other public information, accounting and financial reporting practices at NIKE may warrant close attention from shareholders. We have flagged this company for potential concerns regarding the length of tenure of the external audit firm.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
8.2	13th (Below Average)	16th (Below Average)

KEY METRICS SCORING

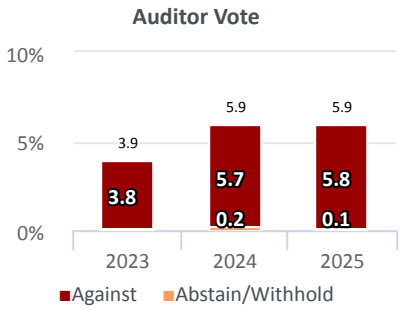
	Deduction
AUDITOR INDEPENDENCE	
Auditor Tenure	-0.30

ACCOUNTING PERFORMANCE VS.



EXTERNAL AUDITORS

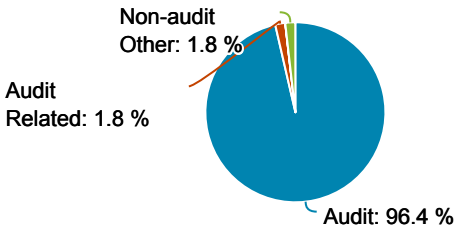
Type	Since	Firm	Most Recent Fiscal Year End Signed Off
Primary	1974	PricewaterhouseCoopers LLP	2025



AUDITOR FEES

Fees paid to: PricewaterhouseCoopers LLP (Primary)

Fee	May 31, 2025 (USD)	May 31, 2025 (USD)	May 31, 2024 (USD)
Audit	21,400,000	22,800,000	20,200,000
Audit Related	400,000	600,000	500,000
Total Audit + Audit Related	**21,800,000**	**23,400,000**	**20,700,000**
Tax Compliance/Advice	0	0	100,000
Other Non-audit Services	400,000	1,400,000	1,400,000
Total Non-audit Fees	**400,000**	**1,400,000**	**1,500,000**
Total Fees	**22,200,000**	**24,800,000**	**22,200,000**



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AUDITOR'S REPORT

	May 31, 2026	May 31, 2025	May 31, 2024
Report Disclosed	Yes	Yes	Yes
Opinion	Unqualified Opinion	Unqualified Opinion	Unqualified Opinion
Emphasis of Matter	No	No	No

CONTROVERSIES & EVENTS

No major relevant controversies have been uncovered.

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APPENDIX

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DIRECTOR VOTES

Proxy Year	Name	Votes For %	Votes Against %	Votes Abstained / Withheld %
2025	Cook,Timothy	100%		0%
2025	Duckett,Thasunda	100%		0%
2025	Gil,Mónica	97.02%		2.98%
2025	Henry,Maria	100%		0%
2025	Henry,Peter	100%		0%
2025	Hill,Elliott	100%		0%
2025	Knight,Travis	100%		0%
2025	Knudstorp,Jørgen	100%		0%
2025	Parker,Mark	100%		0%
2025	Peluso,Michelle	100%		0%
2025	Rogers,John	64.74%		35.26%
2025	Swan,Robert	98.15%		1.85%
2024	Cook,Timothy	98.10%		1.90%
2024	Duckett,Thasunda	98.10%		1.90%
2024	Gil,Mónica	98.10%		1.90%
2024	Henry,Maria	98.10%		1.90%
2024	Henry,Peter	98.10%		1.90%
2024	Knight,Travis	100%		0%
2024	Parker,Mark	98.10%		1.90%
2024	Peluso,Michelle	98.10%		1.90%
2024	Rogers,John	60.04%		39.96%
2024	Swan,Robert	96.62%		3.38%
2023	Cook,Timothy	100%		0%
2023	Duckett,Thasunda	100%		0%
2023	Gil,Mónica	100%		0%
2023	Henry,Maria	100%		0%
2023	Henry,Peter	100%		0%
2023	Knight,Travis	100%		0%
2023	Parker,Mark	100%		0%
2023	Peluso,Michelle	100%		0%
2023	Rogers,John	64.51%		35.49%
2023	Swan,Robert	98.13%		1.87%
2022	Cook,Timothy	100%		0%

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Proxy Year	Name	Votes For %	Votes Against %	Votes Abstained / Withheld %
2022	Duckett,Thasunda	100%		0%
2022	Henry,Peter	98.30%		1.70%
2022	Knight,Travis	100%		0%
2022	Parker,Mark	100%		0%
2022	Peluso,Michelle	87.04%		12.96%
2022	Rogers,John	100%		0%
2021	Cook,Timothy	100%		0%
2021	Duckett,Thasunda	100%		0%
2021	Henry,Peter	97.22%		2.78%
2021	Knight,Travis	100%		0%
2021	Parker,Mark	100%		0%
2021	Peluso,Michelle	96.93%		3.07%
2021	Rogers,John	100%		0%
2020	Cook,Timothy	100%		0%
2020	Duckett,Thasunda	100%		0%
2020	Henry,Peter	99.52%		0.48%
2020	Knight,Travis	100%		0%
2020	Parker,Mark	100%		0%
2020	Peluso,Michelle	99.36%		0.64%
2020	Rogers,John	100%		0%
2019	Cook,Timothy	100%		0%
2019	Henry,Peter	99.53%		0.47%
2019	Knight,Travis	100%		0%
2019	Parker,Mark	100%		0%
2019	Peluso,Michelle	98.43%		1.57%
2019	Rogers,John	100%		0%
2018	Cook,Timothy	100%		
2018	Henry,Peter	100%		
2018	Knight,Travis	100%		
2018	Parker,Mark	100%		
2018	Peluso,Michelle	99.78%		0.22%
2017	Knight,Travis	100%		0%
2017	Parker,Mark	100%		0%
2017	Peluso,Michelle	99.67%		0.33%

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Proxy Year	Name	Votes For %	Votes Against %	Votes Abstained / Withheld %
2016	Cook,Timothy	99.99%		0.01%
2016	Knight,Travis	100%		0%
2016	Parker,Mark	100%		0%
2016	Peluso,Michelle	99.83%		0.17%
2015	Peluso,Michelle	99%		0.32%

SHAREHOLDER/MANAGEMENT PROPOSALS

MANAGEMENT PROPOSALS

Proxy Year	Proposal	Proposal Summary	Outcome	Votes For	Votes Against	Abstain/ Withheld%
2025	Advisory Vote on Executive Compensation	Proposal 2 - Advisory Vote on Executive Compensation	Approved	93.1%	6.4%	0.5%
2025	Auditor Ratification	Proposal 3 - Ratification of the Appointment of PricewaterhouseCoopers LLP as the Company's Independent Registered Public Accounting Firm for the Fiscal Year ending May 31, 2026	Approved	94.1%	5.8%	0.1%
2025	Director & Employee Comp	Proposal 4 - Approval of the NIKE, Inc. Stock Incentive Plan, as amended and restated	Approved	95.4%	4.4%	0.2%
2024	Advisory Vote on Executive Compensation	Proposal 2 - Advisory Vote on Executive Compensation	Approved	82.6%	16.5%	0.9%
2024	Auditor Ratification	Proposal 3 - Ratification of the Appointment of PricewaterhouseCoopers LLP as the Company's Independent Registered Public Accounting Firm for the Fiscal Year ending May 31, 2025	Approved	94.1%	5.7%	0.2%
2023	Advisory Vote on Executive Compensation	Proposal 2 - Advisory Vote on Executive Compensation	Approved	87.4%	11.9%	0.7%
2023	Advisory Vote Frequency	Proposal 3 - Advisory Vote on the Frequency of Advisory Votes on Executive Compensation	1 year			
2023	Auditor Ratification	Proposal 4 - Ratification of the Appointment of PricewaterhouseCoopers LLP as the Company's Independent Registered Public Accounting Firm for the Fiscal Year ending May 31, 2024	Approved	96.1%	3.8%	0.1%

**For Management Proposals at AGM's held more than three years ago, please refer to the Screener tool on ESG Manager.*

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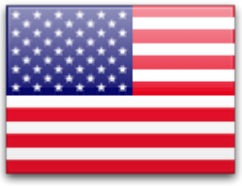
SHAREHOLDER PROPOSALS

Proxy Year	Proposal	Proposal Summary	Proposal Proponent	Outcome	Votes For	Votes Against	Abstain/ Withheld%
2024	Employment Discrimination	Proposal 4 - Shareholder Proposal Regarding Supplemental Pay Equity Disclosure	Robert and Mary McInnes, c/o Arjuna Capital, 13 Elm Street, Manchester, MA 01944,	Defeated	25.7%	73.2%	1.1%
2024	Human Rights	Proposal 5 - Shareholder Proposal Regarding a Supply Chain Management Report	Tulipshare Ltd., c/o Tulipshare Capital LLC, 251 Little Falls Dr., Wilmington, DE 19808,	Defeated	13%	86.1%	0.8%
2024	Corporate Social Responsibility - General	Proposal 6 - Shareholder Proposal Regarding Worker-Driven Social Responsibility	Domini Impact Equity Fund, 180 Maiden Lane, Suite 1302, New York, NY 10038,	Defeated	12.2%	86.9%	0.8%
2024	Environmental - Climate Change, Renewable Energy and GHG Emissions	Proposal 7 - Shareholder Proposal Regarding Environmental Targets	Trium Sustainable Innovators funds, 60 Gresham Street, London EC2V 7BB, UK	Defeated	26.3%	72.3%	1.4%
2024	Employment Discrimination	Proposal 8 - Shareholder Proposal Regarding a Divisive Partnerships Congruency Report	National Center for Public Policy Research, 2005 Massachusetts Ave. NW, Washington, DC 20036	Defeated	0.6%	98.7%	0.7%
2023	Employment Discrimination	Proposal 5 - Shareholder Proposal Regarding Supplemental Pay Equity Disclosure	Mary McInnes, c/o Arjuna Capital submitted the Proposal together with co-filer Change Finance, P.B.C.	Defeated	29%	69%	2%
2023	Human Rights	Proposal 6 - Shareholder Proposal Regarding a Supply Chain Management Report	Tulipshare Ltd.,	Defeated	11.7%	86.1%	2.2%
2022	Disclosure Policy	Proposal 5 - Shareholder proposal regarding a policy on China sourcing	Domini Impact Equity Fund, 180 Maiden Ln, Ste. 1302, New York, NY 10038	Defeated	6.2%	91.4%	2.4%

**For Shareholder Proposals at AGM's held more than three years ago, please refer to the Screener tool on ESG Manager.*

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OREGON



CURRENCY: UNITED STATES DOLLAR (USD)

In the United States, most governance principles are governed by State laws that are not uniform and are not enforced nationally. All US companies have a unitary board structure. Companies must explain their board leadership structure (e.g. whether it has an independent or non-executive Chair or combines the role with the role of Chief Executive Officer and whether it has a Lead Director).

Many key governance attributes are provided on a company by company basis using what is known as “private ordering”, whereby shareholders act to either put governance requirements in place or request the board to do so. Some of the most common results of private ordering in recent times include provisions for majority voting, annual elections, the capacity to call special general meetings and an independent Chair or Lead Director. Shareholders can seek access to the company’s proxy to propose candidates on the same proxy documentation as the board’s own nominees. This can be sought via private ordering.

Other issues subject to private ordering include confidential voting, a requirement for “cause” before a director can be removed (if they can be removed), the percentage of shareholders required to call a special general meeting (if allowed), the vote requirement to amend the Certificate of Incorporation and Bylaws (if allowed) and takeover defenses, such as poison pills (with varying features), supermajority vote requirements to approve a merger and various class voting restrictions.

There are many US companies that have shares in different classes, which provide for different voting rights either on all matters or on election of directors. Most commonly, the higher voting rights are confined to a small insider group of shareholders related to the founders of the company.

There are many provisions, particularly in the Federal *Sarbanes-Oxley* Act, that govern the audit process. Companies are required to disclose related party transactions. They also must have an audit committee that has direct access to outside auditors. The audit committee reviews the accounts of the company, oversees the audit process and reviews internal controls.

All US companies must provide an annual assessment of its executive pay through a Compensation Discussion and Analysis Report. They must also provide for a non-binding “Say on Pay” shareholder vote on the company’s executive pay plan. The company can provide for this on an annual, biannual or triennial basis depending on the preference of shareholders. Most companies have annual Say on Pay votes.

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KEY METRIC & SCORE CHANGES

ALL KEY METRIC & SCORE CHANGES (SINCE JUNE 2025)

Key Metric	Key Metric Change	Date	Score Change	Change Notes
CEO Pay Total Fixed	Flag Removed	Oct 22, 2026	0.20	
CEO Pay Total Awarded	Flag Removed	Oct 22, 2026	0.20	
CEO Pay Total Fixed	**Flag Added**	Sep 24, 2026	**-0.20**	
CEO Pay Total Awarded	**Flag Added**	Sep 24, 2026	**-0.20**	
Significant Votes Against Directors	Flag Removed	Sep 17, 2026	0.61	
Related Party Transactions	Flag Removed	Sep 17, 2026	0.06	
Pay Committee Concerns	Flag Removed	Sep 17, 2026	0.30	
Multiple Equity Classes with Different Voting Rights	Score Change	Sep 17, 2026	0.06	
Long-Term Pay Performance Versus Peers	**Flag Added**	Sep 17, 2026	**-0.20**	
Long-Term Pay Performance	**Flag Added**	Sep 17, 2026	**-0.20**	
Internal Pay Equity	**Flag Added**	Sep 17, 2026	**-0.20**	
CEO Pay Perks & Other Comp	**Flag Added**	Sep 17, 2026	**-0.20**	
Significant Vote Against Pay Practices	Flag Removed	Sep 23, 2025	0.10	AGM voting results updated
Executive Pay Disclosure	Score Change	Sep 23, 2025	**-0.10**	
Severance Vesting	**Flag Added**	Aug 04, 2025	**-0.10**	
Related Party Transactions	Score Change	Aug 04, 2025	0.06	

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DIRECTOR PROFILES

ELLIOTT HILL

Age: 62
Gender: M
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Consumer Durables & Apparel - Textiles, Apparel & Luxury Goods

BIOGRAPHICAL INFORMATION

NIKE, INC. - Executive, Board Member, CEO Source Date: 07/15/2026

Hill is President & Chief Executive Officer of the Company. He was employed by the Company from 1988 - 2020 holding senior leadership positions across Europe and North America. Before retiring in 2020, he was President of Consumer and Marketplace leading all commercial and marketing operations for Nike and Jordan Brand, including the P&L across the Company's four geographies. Mr. Hill was appointed: President, Consumer and Marketplace in 2018, President, Geographies & Integrated Marketplace in 2016, President, Geographies & Sales in 2013, VP/General Manager, North America in 2010, and VP, Global Retail in 2006. Mr. Hill currently serves on the board of trustees for Texas Christian University.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
NIKE, INC.	Executive, Board Member, CEO	1	Oct 14, 2024		No	Yes	

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
NIKE, INC.	2025	100%	0%

EXECUTIVE PAY (all values USD)

Company	Role	Tenure	Pay Year	Total Annual Pay	Total Awarded Pay	Total Realized Pay	Shares Held
NIKE, INC.	CEO	1	2026	4,235,965	36,340,876	5,598,283	225,951

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JØRGEN KNUDSTORP

Age:	57	Financial:	No
Gender:	M	Risk:	No
Nationality:	Denmark	Industry:	Consumer Durables & Apparel - Leisure Products

BIOGRAPHICAL INFORMATION

STARBUCKS CORPORATION - Board Member, Lead Director Source Date: 01/26/2026

JØRGEN VIG KNUDSTORP currently serves as the lead independent director of the board, effective March 13, 2025, and has been a Starbucks director since March 2017. Mr. Knudstorp is also currently chair of the LEGO Foundation, KIRKBI Education & Learning, and BrainPOP Education, organizations supporting children's development and learning. From September 2023 through September 2024, he served as Special Partner to the LEGO Brand Owner Family, KIRKBI Group, the holding company for LEGO Brand and the LEGO Group (among other activities) responsible for brand and business development. From January 2017 to September 2023, Mr. Knudstorp served as Executive Chairman of LEGO Brand Group, owner of the LEGO brand. From 2004 to 2016, he served as President and Chief Executive Officer of the LEGO Group. He previously held various leadership positions at the LEGO Group from 2001 to 2004, including Senior Vice President, Corporate Affairs Vice President, Strategic Development Senior Director, Global Strategic Development & Alliance Management, and Director, Strategic Development. Prior to joining the LEGO Group, Mr. Knudstorp served as a Management Consultant at McKinsey & Company, a management consulting firm, from 1998 to 2001.

Mr. Knudstorp brings to the board his top executive leadership experience at one of the world's most renowned toy manufacturers, which has a highly recognizable brand and a record of innovation. His extensive global leadership experience provides the board with unique insights and knowledge of brand and digital marketing, strategy, consumer products, development and nurturing of human capital and organizational culture and values, environmental impact, finance, capital allocation, international operations and distribution, and formation and management of strategic alliances, and Mr. Knudstorp brings experience in building an authentic brand across sustainability considerations in addition to product and employee experiences.

NIKE, INC. - Board Member Source Date: 07/15/2026

Knudstorp is the former President and Chief Executive Officer of the LEGO Group, a position he held from 2004 to 2016, and served as Executive Chairman of LEGO Brand Group, owner of the LEGO brand, from 2017 to 2023. From 2023 to 2024, Mr. Knudstorp served as Special Partner to the LEGO Brand Owner Family, KIRKBI Group, the holding company for LEGO Brand and the LEGO Group. He also held various leadership positions at the LEGO Group from 2001 to 2004, including Senior Vice President, Corporate Affairs and Vice President, Strategic Development. Prior to joining the LEGO Group, he served as a Management Consultant at McKinsey & Company from 1998 to 2001. Mr. Knudstorp is a member and lead independent director of the Board of Directors of Starbucks Corporation. In addition to this public company board service, he is the chair of BrainPOP Education, NYC. Furthermore, he chairs the Foundation Board and Supervisory Board of IMD, the Swiss Executive Education School. Finally, he acts as executive advisor and advisory board member of various venture firms, geopolitical advisory firms, and consulting and academic firms and institutions.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
NIKE, INC.	Board Member	1	Sep 09, 2025		Yes	Yes	
STARBUCKS CORPORATION	Board Member, Lead Director	9	Mar 22, 2017		Yes	Yes	

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BOARD COMMITTEES

Company	Committee Type	Position
NIKE, INC.	Corporate Governance	Member
NIKE, INC.	Nomination	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
NIKE, INC.	2025	100%	0%
STARBUCKS CORPORATION	2026	94.5%	5.5%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
NIKE, INC.	Non-Executive	1	2026	72,802	458,319	21,388
STARBUCKS CORPORATION	Lead Director	9	2025	0	514,964	53,236

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MARIA HENRY

Age: 59
Gender: F
Nationality: Not Disclosed

Financial: Yes
Risk: No
Industry: Household & Personal Products - Household Products,Food, Beverage & Tobacco - Food Products

BIOGRAPHICAL INFORMATION

NIKE, INC. - Board Member Source Date: 07/15/2026

Henry is the former Chief Financial Officer of Kimberly-Clark Corporation ("Kimberly-Clark"), a position she held from 2015 to 2022. Prior to joining Kimberly-Clark, she was Executive Vice President and Chief Financial Officer of The Hillshire Brands Company, formerly known as Sara Lee Corporation ("Sara Lee"), from 2012 to 2014. Ms. Henry was the Chief Financial Officer of Sara Lee's North American Retail and Foodservice business from 2011 to 2012. Prior to Sara Lee, she held various senior leadership positions in finance and strategy in three portfolio companies of Clayton, Dubilier, & Rice, most recently as Executive Vice President and Chief Financial Officer of Culligan International. Ms. Henry also held senior finance roles in several technology companies, and she began her career at General Electric. Ms. Henry is a member of the Board of Directors of General Mills, Inc. and NextEra Energy, Inc. She served on the Board of Directors of Kimberly-Clark de México from February 2016 to March 2022.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
NIKE, INC.	Board Member	3	Jun 01, 2023		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
NIKE, INC.	Audit	Member
NIKE, INC.	Risk	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
NIKE, INC.	2025	100%	0%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
NIKE, INC.	Non-Executive	3	2026	105,000	317,758	8,767

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MARK PARKER

Age: 70
Gender: M
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Consumer Durables & Apparel - Textiles, Apparel & Luxury Goods

BIOGRAPHICAL INFORMATION

NIKE, INC. - Executive, Board Member, Chairman Source Date: 07/15/2026

Parker is Executive Chairman of the Company's Board of Directors. He served as President and Chief Executive Officer of the Company from 2006 to January 2020. Mr. Parker has been employed by NIKE since 1979 with primary responsibilities in product research, design and development, marketing, and brand management. Mr. Parker was appointed: President and Chief Executive Officer in 2006, President of the NIKE Brand in 2001, Vice President of Global Footwear in 1998, General Manager in 1993, Corporate Vice President in 1989, and Divisional Vice President in charge of product development in 1987. Mr. Parker served on the Board of Directors of The Walt Disney Company from January 2016 to January 2025. In addition to his skills and qualifications described above, Mr. Parker was selected to serve on the Board because the experience gained while serving as the Company's Chief Executive Officer makes his position as Executive Chairman of the Board instrumental.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
NIKE, INC.	Executive, Board Member, Chairman	20	Jan 01, 2006		No	Yes	

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
NIKE, INC.	2025	100%	0%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
THE WALT DISNEY COMPANY	Non-Executive		2025	0	78,448	0

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MICHELLE PELUSO

Age: 54
Gender: F
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Household & Personal Products - Personal Care Products,Health Care Equipment & Services - Health Care Providers & Services

BIOGRAPHICAL INFORMATION

NIKE, INC. - Board Member Source Date: 07/15/2026

Peluso is Chief Executive Officer of Revlon Group Holdings LLC ("Revlon"), a position she has held since 2024. Prior to Revlon, Ms. Peluso served as the Executive Vice President and Chief Customer and Experience Officer for CVS Health from 2023 to 2024, where she oversaw the end-to-end consumer experience across all channels, including leading the brand and marketing efforts. She also served as the Executive Vice President and Chief Customer Officer, CVS Health, and co-President, Pharmacy and Consumer Wellness. Prior to joining CVS Health, Ms. Peluso was Senior Vice President, Digital Sales and Chief Marketing Officer at IBM from 2016 to 2021. She oversaw marketing, digital sales, client experience, and the commercial business, globally. Previous to her work at IBM, Ms. Peluso served as Chief Executive Officer of online shopping destination Gilt Groupe, Inc. ("Gilt") from 2013 until its sale to Hudson's Bay Company in February 2016 and was on Gilt's Board of Directors from 2009 to 2016. From 2009 to 2013, Ms. Peluso served as Global Consumer Chief Marketing and Internet Officer of Citigroup Inc. From 2002 to 2009, Ms. Peluso held senior management positions at Travelocity.com LP ("Travelocity"), being appointed President and Chief Executive Officer in 2003. Prior to joining Travelocity, in 1999 Ms. Peluso founded Site59, an online travel site, serving as its Chief Executive Officer until its acquisition by Travelocity in 2002. Ms. Peluso is a member of the Board of Directors of Revlon and Save the Children US. She is a White House Fellow and served as Senior Advisor to the Secretary of Labor. She is also a member of The Conference Board's Committee for Economic Development.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
NIKE, INC.	Board Member	12	Apr 21, 2014		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
NIKE, INC.	Pay	Member
NIKE, INC.	Corporate Governance	Chair
NIKE, INC.	Nomination	Chair

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
NIKE, INC.	2025	100%	0%

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DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
NIKE, INC.	Non-Executive	12	2026	125,000	337,758	32,814

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MÓNICA GIL

Age: 54
Gender: F
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Media & Entertainment - Media,Software & Services - Internet Software & Services

BIOGRAPHICAL INFORMATION

NIKE, INC. - Board Member Source Date: 07/15/2026

Gil is Chief Administrative and Marketing Officer, NBCUniversal Telemundo Enterprises ("Telemundo") for Comcast Corp, a position she has held since 2020. Prior to her current role, Ms. Gil served as Chief Marketing Officer, Telemundo from 2018 until 2020, and as Executive Vice President, Telemundo, managing Communications and Corporate Affairs and Human Resources from 2017 until 2018. Prior to joining Telemundo, Ms. Gil served as Senior Vice President and General Manager, Multicultural Growth and Strategy of the Nielsen Company ("Nielsen") from 2014 until 2017. Ms. Gil joined Nielsen in 2005 as Vice President, Communications and was subsequently promoted in 2009 to Senior Vice President, Public Affairs and Government Relations. Previously, Ms. Gil served as Senior Vice President for Greer, Margolis, Mitchell and Burns from 2004 until 2005. Ms. Gil is a member of the Board of Directors of the National Women's History Museum.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
NIKE, INC.	Board Member	4	Sep 20, 2022		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
NIKE, INC.	Pay	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
NIKE, INC.	2025	97%	3%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
NIKE, INC.	Non-Executive	4	2026	100,000	292,758	8,893

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PETER HENRY

Age:	56	Financial:	Yes
Gender:	M	Risk:	No
Nationality:	Not Disclosed	Industry:	

BIOGRAPHICAL INFORMATION

CITIGROUP INC. - Board Member Source Date: 04/02/2026

Peter Blair Henry Class of 1984 Senior Fellow, Hoover Institution, and Senior Fellow, Freeman Spogli Institute for International Studies, Stanford University Class of 1984 Senior Fellow, Hoover Institution, and Senior Fellow, Freeman Spogli Institute for International Studies, Stanford University – September 2022 to Present Dean Emeritus, New York University, Leonard N. Stern School of Business –December 2017 to Present W. R. Berkley Professor of Economics and Finance, New York University, Leonard N.Stern School of Business – December 2017 to September 2022 Dean, New York University, Leonard N. Stern School of Business – January 2010 to December 2017 Faculty Member, Stanford University – 1997 to 2009

ANALOG DEVICES, INC. - Board Member Source Date: 01/23/2026

Henry has served as the Class of 1984 Senior Fellow at Stanford University's Hoover Institution and a Senior Fellow at Stanford's Freeman Spogli Institute for International Studies since September 2022. Previously, Dr. Henry served at New York University's Leonard N. Stern School of Business as William R. Berkley Professor of Economics and Finance from January 2018 through August 2022 and as Dean from January 2010 through December 2017. Before that, Dr. Henry was the Konosuke Matsushita Professor of International Economics at the Stanford University Graduate School of Business, where his early research was funded by a National Science Foundation CAREER Award. Dr. Henry currently serves on the Boards of Directors of Citigroup and NIKE, Inc., and as Chair of the Board of the National Bureau of Economic Research. He previously served on the Boards of Directors of General Electric Company, Kraft Foods Inc., and Kraft Foods Group, Inc. as well as the Economic Club of New York. He is a member of the Council on Foreign Relations. In addition, Dr. Henry leads the Ph.D. Excellence Initiative, a post-baccalaureate program designed to address underrepresentation in economics by mentoring exceptional students from underrepresented backgrounds interested in pursuing doctoral studies in the field. For his founding and leadership of the Ph.D. Excellence Initiative, Dr. Henry received the 2022 Impactful Mentoring Award from the American Economic Association. Dr. Henry has published groundbreaking articles in top economics journals that evaluate the impact of economic reform on asset prices, investment, wages, and economic growth. His current research on the global infrastructure challenge builds on the scholarship in his book, Turnaround: Third World Lessons for First World Growth (Basic Books, 2013), which addresses questions of economic efficiency as well as international relations, with the aim of increasing awareness of the interconnected fortunes of advanced and developing nations. Dr. Henry received a bachelor's degree in economics from the University of North Carolina at Chapel Hill, a bachelor's degree in mathematics from Oxford University, where he was a Rhodes Scholar, and a Ph.D. in economics from the Massachusetts Institute of Technology.

NIKE, INC. - Board Member Source Date: 07/15/2026

Henry is the Class of 1984 Senior Fellow at Stanford University's Hoover Institution and Senior Fellow at Stanford's Freeman Spogli Institute for International Studies, positions he has held since September 2022. He is also Dean Emeritus of New York University's Leonard N. Stern School of Business ("Stern"). From January 2018 through August 2022, Dr. Henry served as Stern's William R. Berkley Professor of Economics and Finance. He assumed the Deanship of Stern in January 2010 and served through December 2017. Prior to joining Stern, Dr. Henry was the Konosuke Matsushita Professor of International Economics at the Stanford University Graduate School of Business. In June 2009, President Obama appointed Dr. Henry to the President's Commission on White House Fellowships. In 2008, Dr. Henry led Barack Obama's Presidential Transition Team in its review of international lending agencies such as the IMF and the World Bank. Dr. Henry is a member of the Board of Directors of Citigroup Inc. and Analog Devices, Inc. In addition to this public company board service, he also serves on the Board of Directors of the National Bureau of Economic Research and the Economic Club of New York, serves on the Advisory Board for Protiviti and Biospring Partners, and serves as Chair of the Jamaica Reconstruction and Resilience Oversight Committee. Dr. Henry is a member of the Council on Foreign Relations and the Economic Advisory Panel of the Federal Reserve Bank of New York. Dr. Henry served on the Board of Directors of General Electric from July 2016 to April 2018 and Kraft Foods Group, Inc. and its predecessor, Kraft Foods Inc., from May 2011 to July 2015.

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CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
ANALOG DEVICES, INC.	Board Member	2	Dec 05, 2023		Yes	Yes	
NIKE, INC.	Board Member	8	Feb 14, 2018		Yes	Yes	
CITIGROUP INC.	Board Member	11	Jul 01, 2015		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
ANALOG DEVICES, INC.	Audit	Member
ANALOG DEVICES, INC.	Corporate Governance	Member
ANALOG DEVICES, INC.	Nomination	Member
ANALOG DEVICES, INC.	Risk	Member
CITIGROUP INC.	Pay	Member
CITIGROUP INC.	Corporate Governance	Member
CITIGROUP INC.	Nomination	Member
NIKE, INC.	Audit	Member
NIKE, INC.	Risk	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
ANALOG DEVICES, INC.	2026	99.5%	0.5%
CITIGROUP INC.	2026	96.6%	3.4%
NIKE, INC.	2025	100%	0%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
ANALOG DEVICES, INC.	Non-Executive	2	2024	130,000	365,202	1,519
CITIGROUP INC.	Non-Executive	11	2025	170,000	320,000	29,879
NIKE, INC.	Non-Executive	8	2026	105,000	297,758	11,099

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ROBERT (BOB) SWAN

Age:	66	Financial:	Yes
Gender:	M	Risk:	No
Nationality:	United States of America	Industry:	Semiconductors & Semiconductor Equipment - Semiconductors & Semiconductor Equipment,Consumer Discretionary Distribution & Retail - Broadline Retail

BIOGRAPHICAL INFORMATION

MICRON TECHNOLOGY, INC. - Board Member Source Date: 11/25/2025

Swan is an operating partner at Andreessen Horowitz (a venture capital firm) where he advises growth stage portfolio companies as they scale their businesses. Previously, he was CEO of Intel Corporation (“Intel”), a multinational technology company. He first served as Intel’s Executive Vice President (CEO) and Chief Financial Officer (CFO) from 2016 and added interim CEO to his duties in June 2018 to January 2019, then served as a director and CEO from January 2019 to February 2021. Swan served as an operating partner of General Atlantic, a leading global growth equity firm. From 2006 to 2015, Swan served as senior vice president, finance and CFO at eBay, where he oversaw all aspects of its finance function, including controllership, financial planning and analysis, tax, treasury, audit, mergers and acquisitions, and investor relations. Prior to eBay, Swan served as CFO at Electronic Data Systems Corp., TRW Inc., and Webvan Group, Inc. He also served as Chief Operating Officer and CEO and director of Webvan Group. He currently serves on the board of commissions of GoTo Group, an Indonesian technology company publicly traded on the IDX. The board of directors of eBay, board of directors of Flexport, a logistics technology company and the board of directors of Nike, Inc. Additionally, Swan is a global advisor for Kearney, a management consulting company and a director of the American Heart Association. He previously served on the board of directors of Applied Materials, Inc. from 2009 to 2016, and AppDynamics from 2016 to 2017. Swan began his career at General Electric, where he spent 15 years in numerous senior finance roles, including divisional CFO for GE Transportation Systems, GE Healthcare Europe, and GE Lighting. Swan received his B.S. from the University at Buffalo and his M.B.A. from the State University of New York at Binghamton. He received his honorary doctorate from Binghamton in '22.

NIKE, INC. - Board Member Source Date: 07/15/2026

Swan has been an Operating Partner at Andreessen Horowitz since 2021. Prior to his current role, Mr. Swan served as the Chief Executive Officer and a member of the Board of Directors of Intel Corp. ("Intel") from 2019 to 2021. Before that appointment, he was appointed to various management positions at Intel, including: Interim Chief Executive Officer and Chief Financial Officer from 2018 until 2019 and Chief Financial Officer from 2016 until 2019. Prior to joining Intel, Mr. Swan served as Operating Partner at General Atlantic LLC, a private equity firm, from 2015 to 2016. He also served as Senior Vice President, Finance and Chief Financial Officer of eBay Inc. ("eBay") from 2006 to 2015. Previously, Mr. Swan served as Chief Financial Officer of Electronic Data Systems Corporation, Chief Financial Officer of TRW Inc., as well as Chief Executive Officer, Chief Operating Officer, and Chief Financial Officer of Webvan Group, Inc. Mr. Swan began his career in 1985 at General Electric, serving in numerous senior finance roles. Mr. Swan is a member of the Board of Directors of Micron Technology, Inc. and Automatic Data Processing, Inc. In addition to this public company board service, he is also a member of the Board of Directors of Flexport, the American Heart Association, E3Tech, and Kearney. Mr. Swan served on the Board of Commissioners of GoTo Group from December 2021 to June 2024, and on the Board of Directors of eBay from July 2015 to June 2023, Intel from January 2019 to February 2021, and Applied Materials, Inc. from March 2009 to September 2016.

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CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
MICRON TECHNOLOGY, INC.	Board Member	2	Mar 11, 2024		Yes	Yes	
NIKE, INC.	Board Member	4	Sep 20, 2022		Yes	Yes	
INTEL CORPORATION	Executive		Jan 01, 2019	Feb 15, 2021	No	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
MICRON TECHNOLOGY, INC.	Audit	Chair
MICRON TECHNOLOGY, INC.	Risk	Chair
NIKE, INC.	Audit	Chair
NIKE, INC.	Risk	Chair

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
MICRON TECHNOLOGY, INC.	2026	99.8%	0.2%
NIKE, INC.	2025	98.2%	1.8%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
MICRON TECHNOLOGY, INC.	Non-Executive	2	2025	125,000	374,979	5,238
NIKE, INC.	Non-Executive	4	2026	135,000	347,758	53,978

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THASUNDA DUCKETT

Age:	53	Financial:	Yes
Gender:	F	Risk:	Yes
Nationality:	Not Disclosed	Industry:	Banks - Banks,Insurance - Insurance

BIOGRAPHICAL INFORMATION

NIKE, INC. - Board Member Source Date: 07/15/2026

Duckett is President and Chief Executive Officer of the Teachers Insurance and Annuity Association of America ("TIAA"), a leading provider of financial services in the academic, research, medical, cultural, and governmental fields. Prior to joining TIAA, Ms. Duckett was Chief Executive Officer of Chase Consumer Banking at JPMorgan Chase & Co. ("JPMorgan Chase") from 2016 to 2021. Before that appointment, Ms. Duckett was appointed to various management positions at JPMorgan Chase, including: From 2013 to 2016, Ms. Duckett served as the Chief Executive Officer of Chase Auto Finance, and From 2004 to 2013, Ms. Duckett held multiple management and consumer lending roles. Prior to joining JPMorgan Chase, Ms. Duckett was Director of Emerging Markets at the Federal National Mortgage Association, or Fannie Mae. Ms. Duckett serves on the Board of Governance and Board of Trustees of TIAA. She is also Chair of the Otis and Rosie Brown Foundation and serves on the Board of Directors of The National Medal of Honor Museum, and the Robert F. Kennedy Human Rights. She also serves on the Board of Trustees for Sesame Workshop.

TEACHERS INSURANCE AND ANNUITY ASSOCIATION OF AMERICA - Executive, Board Member, CEO Source Date: 02/28/2024

Thasunda Brown Duckett is President and Chief Executive Officer of TIAA, effective May 1, 2021. From 2016 to 2021, she was Chief Executive Officer, Consumer Banking at JPMorgan Chase & Co. From 2013 to 2016, she was Chief Executive Officer, Chase Auto Finance, and from 2004 to 2013 she held a number of positions at JPMorgan Chase & Co., including National Retail Sales Executive for Chase Home Lending. From 1996 to 2004, she held various roles including Director, Emerging Markets at Fannie Mae. Thasunda serves as a Director of Brex and Nike, Inc., and is a member of the Dean's Council of Baylor University Hankamer School of Business, the Board of Visitors of the University of Houston, and the Boards of Directors of the Children's Learning Centers of Fairfield County, National Medal of Honor Museum Foundation, Robert F. Kennedy Human Rights, Sesame Workshop, and the Otis and Rosie Brown Foundation, which Board she also chairs. She holds a Bachelor's degree in Finance and Marketing from the University of Houston and an MBA from Baylor University. Ms. Duckett provides extensive experience in executive leadership, business management, banking and financial services operations and marketing, client engagement and digital transformation. COMMITTEE MEMBERSHIPS TIAA Executive Committee TIAA Risk and Compliance Committee.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
TEACHERS INSURANCE AND ANNUITY ASSOCIATION OF AMERICA	Executive, Board Member, CEO	5	Jan 01, 2021		No	Yes	
NIKE, INC.	Board Member	6	Nov 14, 2019		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
NIKE, INC.	Corporate Governance	Member
NIKE, INC.	Nomination	Member
TEACHERS INSURANCE AND ANNUITY ASSOCIATION OF AMERICA	Risk	Member

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VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
NIKE, INC.	2025	100%	0%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
NIKE, INC.	Non-Executive	6	2026	100,000	312,758	13,589

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TIMOTHY (TIM) COOK

Age: 65
Gender: M
Nationality: United States of America

Financial: No
Risk: No
Industry: Technology Hardware & Equipment - Technology Hardware, Storage & Peripherals

BIOGRAPHICAL INFORMATION

APPLE INC. - Executive, Board Member, Chairman Source Date: 01/08/2026

Tim Cook is the CEO of Apple and serves on its board of directors. Before being named CEO in August 2011, Tim was Apple's chief operating officer and was responsible for all of the company's worldwide sales and operations, including end-to-end management of Apple's supply chain, sales activities, and service and support in all markets and countries. He also headed Apple's Macintosh division and played a key role in the continued development of strategic reseller and supplier relationships, ensuring flexibility in response to an increasingly demanding marketplace. Prior to joining Apple, Tim was vice president of Corporate Materials for Compaq and was responsible for procuring and managing all of Compaq's product inventory. Previous to his work at Compaq, Tim was the chief operating officer of the Reseller Division at Intelligent Electronics. Tim also spent 12 years with IBM, most recently as director of North American Fulfillment where he led manufacturing and distribution functions for IBM's Personal Computer Company in North and Latin America. Tim earned an MBA from Duke University, where he was a Fuqua Scholar, and a Bachelor of Science degree in Industrial Engineering from Auburn University.

NIKE, INC. - Board Member, Lead Director Source Date: 07/15/2026

Cook is the Company's Lead Independent Director and is the Chief Executive Officer of Apple Inc. ("Apple"). Mr. Cook joined Apple in 1998 as Senior Vice President of Worldwide Operations and also served as its Executive Vice President, Worldwide Sales and Operations and Chief Operating Officer. Mr. Cook was Vice President, Corporate Materials for Compaq Computer Corporation from 1997 to 1998. Previous to his work at Compaq, Mr. Cook served in the positions of Senior Vice President Fulfillment and Chief Operating Officer of the Reseller Division at Intelligent Electronics from 1994 to 1997. Mr. Cook also worked for International Business Machines Corporation from 1983 to 1994, including as Director of North American Fulfillment. Mr. Cook is a member of the Board of Directors of Apple. In addition to this public company board service, he is also a member of the Board of Directors of the National Football Foundation and Duke University Board of Trustees.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
APPLE INC.	Executive, Board Member, Chairman	15	Aug 24, 2011		No	Yes	
NIKE, INC.	Board Member, Lead Director	20	Nov 01, 2005		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
NIKE, INC.	Pay	Chair

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VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
APPLE INC.	2026	98.8%	1.3%
NIKE, INC.	2025	100%	0%

EXECUTIVE PAY (all values USD)

Company	Role	Tenure	Pay Year	Total Annual Pay	Total Awarded Pay	Total Realized Pay	Shares Held
APPLE INC.	Chair	15	2025	16,759,518	74,294,811	175,658,290	4,116,962

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
NIKE, INC.	Lead Director	20	2026	165,000	377,758	130,480

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TRAVIS KNIGHT

Age:	52	Financial:	No
Gender:	M	Risk:	No
Nationality:	Not Disclosed	Industry:	Media & Entertainment - Media

BIOGRAPHICAL INFORMATION

NIKE, INC. - Board Member Source Date: 07/15/2026

Knight is the President and Chief Executive Officer of the animation studio, LAIKA, LLC ("LAIKA"), which specializes in feature-length films. Mr. Knight has been involved in all principal creative and business decisions at LAIKA since its founding in 2003, serving in successive management positions as Lead Animator, Vice President of Animation, and then as President and Chief Executive Officer in 2009. Mr. Knight was Producer and Director of the feature film Kubo and the Two Strings (2017) which was nominated for an Academy Award and winner of the BAFTA award for Best Animated Film. Mr. Knight has served as Producer and Lead Animator on Academy Award-nominated feature-length films The Boxtrolls (2014) and ParaNorman (2012), for which he won an Annie Award for Outstanding Achievement in Character Animation, and Lead Animator for Coraline (2009). Prior to his work at LAIKA, Mr. Knight held various animation positions at Will Vinton Studios from 1998 to 2002, and as a stop-motion animator for television series, commercials, and network promotions. He has been recognized for his work on the Emmy Award-winning stop-motion animated television series The PJs. Mr. Knight serves on the Board of Directors of LAIKA. He is the son of NIKE's co-founder, Mr. Philip Knight, who currently serves as Chairman Emeritus.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
NIKE, INC.	Board Member	11	Jun 30, 2015		Yes	No	

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
NIKE, INC.	2025	100%	0%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
NIKE, INC.	Non-Executive	11	2026	100,000	292,758	4,839,081

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REGULATORY DISCLOSURES

Factor	Value
Governance Metrics Score - Solicited Status (EU Reg. 2024/3005 disclosures)	No
Governance Metrics Score - Informed Status (EU Reg. 2024/3005 disclosures)	No
Governance Metrics - major new information status (EU Reg. 2024/3005 disclosures)	No

EU REGULATION 2024/3005 - DISCLOSURE INFORMATION

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NIKE, INC. (NKE)

Textiles, Apparel & Luxury Goods | US

MSCI ESG RATINGS

BBB

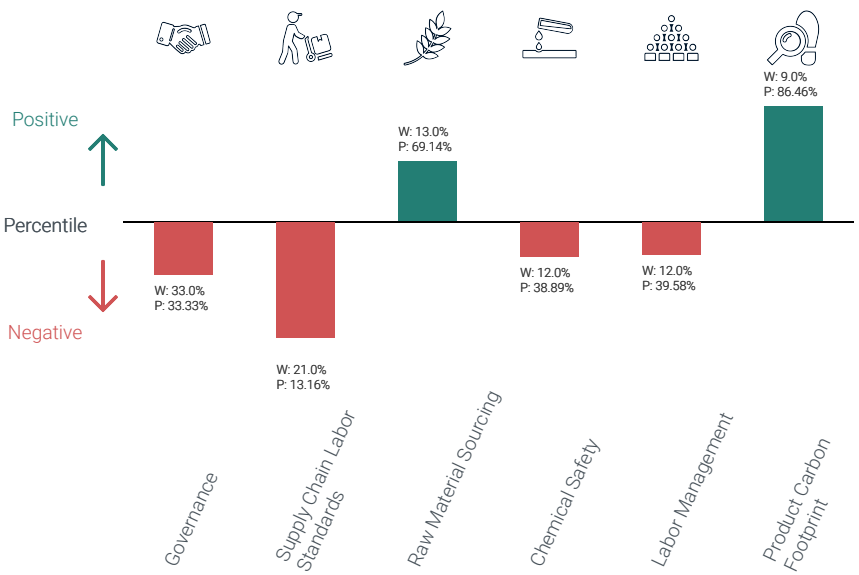
CCC	B	BB	BBB	A	AA	AAA

RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

Regulatory Disclosures

Key issue scores vs ESG industry mean

This chart highlights the company's positioning relative to the ESG industry median (50%) for each Key Issue that contributed to its ESG Rating as of November 02, 2026.



50% Base line

W: Key Issue weight

P: Key Issue score percentile

Company-specific key issues without peer scores for comparison are not included in this chart.

Last ESG Rating action

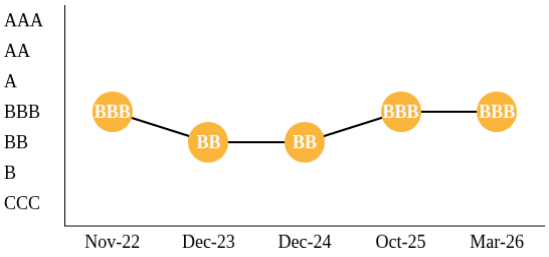
Rating action date: March 23, 2026
Methodology update: ESG Ratings model version 5.0 and associated rating action for all issuers released on March 23, 2026.

Nike's rating is unchanged at 'BBB'.

Nike's products rely on cotton and leather, the sourcing of which is typically tied to potential adverse environmental impacts, per our model. Like leading industry peers, Nike sources only LWG-certified leather, and uses organic, recycled, and third-party-certified cotton for most of its products. Nike's overall governance practices are average relative to those of global peers, under our model. The company continues to lag industry peers in supply chain labor management.

- Footwear manufacturing is labor-intensive and thus may pose the risk of operational disruptions tied to labor management, per our model. Like leading industry peers, Nike conducts employee engagement surveys and offers leadership training to staff. However, it continues to face allegations related to improper conduct at the workplace.
- The board is majority independent of management and other interests. However, as of September 2025, an executive chair served alongside the CEO on the board, which may pose leadership concerns. On business ethics, while Nike has board-level oversight, it appears to lack regular ethics audits.
- Nike conducts social audits of direct and Tier 2 suppliers to monitor their labor practices. However, it appears to lack any commitment to pay a living wage to supply chain workers. Furthermore, as of July 2025, a controversy related to its indirect involvement in employing ethnic minorities through alleged coercive state-sponsored labor-transfer programs (as of July 2024) continues to weigh on the assessment.

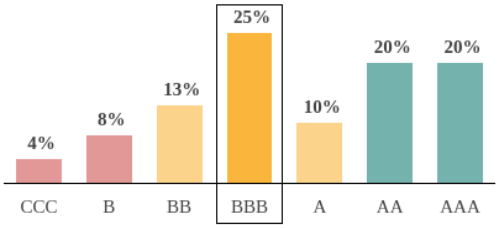
ESG Rating history



ESG Rating history shows five most recent rating actions

ESG Rating distribution

Universe: MSCI ESG Ratings, Textiles, Apparel & Luxury Goods, n=97



Key scores

	Weight	Score (0-10)
Industry-Adjusted Score (Last Updated: March 23, 2026)		4.75
Weighted-Average Key Issue Score (Last updated: November 02, 2026)		4.4
Environmental Pillar Score	22%	7.4
Social Pillar Score	45%	2.6
Governance Pillar Score	33%	5.0

Report table of contents

ESG Rating tearsheet

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Data report

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Key issue details	P32
Appendix	P51
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What is an ESG Rating? MSCI ESG Ratings aim to measure a company's resilience to long-term ESG risks. Companies are scored on an industry-relative AAA-CCC scale across the most relevant Key Issues based on a company's business model.

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NIKE, INC. (NKE)



RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

Disclaimer: The ESG Rating action and ESG Rating summary highlight key elements of the company's ESG Rating. AI tools were used in drafting the ESG Rating action and ESG Rating summary. While efforts are made to ensure accuracy, such tools may introduce errors or omissions. In the event of any discrepancies between the ESG Rating action or ESG Rating summary and the underlying ESG Rating, the underlying ESG Rating prevails.

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NIKE, INC. (NKE)

MSCI ESG RATINGS BBB

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

ESG Rating scorecard

As of November 02, 2026

KEY ISSUE	WEIGHT	INDUSTRY AVERAGE	SCORE (0-10)	CHANGE
Weighted-Average Key Issue Score		**4.8**	**4.4**	
ENVIRONMENT	**22%**	**5.8**	**7.4**	
Raw Material Sourcing	13%	4.9	**5.9**	▲0.1
Product Carbon Footprint	9%	6.6	**9.6**	
SOCIAL	**45%**	**3.6**	**2.6**	**▲0.1**
Supply Chain Labor Standards	21%	4.0	**2.1**	
Chemical Safety	12%	3.4	**2.8**	▲0.5
Labor Management	12%	4.0	**3.4**	
GOVERNANCE	**33%**	**5.5**	**5.0**	**▲0.4**
Corporate Governance		6.0	**5.6**	▲0.3
Corporate Behavior		6.5	**6.0**	▲0.6

* denotes company-specific Key Issue
This table shows the Key Issue scores and weights contributing to the company's ESG Rating and any changes to those scores since the last ESG Rating action. The range of possible scores is 0-10, where 10 is best and 0 is worst.

Rating model details

Nike was rated based on the Textiles, Apparel & Luxury Goods ESG Rating model.

MODEL VERSION: 5.0

Represents the MSCI ESG Ratings model version used to assess the company. Please refer to the "ESG Ratings Methodology" document for more details on the model versions.

EU Regulation 2024/3005 - Disclosure Information

Information on whether the rated entity solicited an ESG rating from MSCI Sustainability & Climate and whether the rated entity was informed in accordance with MSCI's Prior Notification Policy by MSCI Sustainability & Climate that it would be rated for the first time under the ESG Ratings methodology.

ESG Ratings - solicited status (EU Reg. 2024/3005 disclosures): No
ESG Ratings - informed status (EU Reg. 2024/3005 disclosures): No

Ratings-related data feedback in last 12 months

Data feedback in last 12 months? — No
Date of last feedback — Aug 2019

This section only captures inputs provided by companies through our online issuer portal that may have an impact on the weighted Key Issues for the company — regardless of whether they were accepted per our rules-based review. Issuers are welcome to share data feedback at any time throughout the year.

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Most recent controversies

Last update	Headline	Assessment	Type
Jul-26	China: Allegations of forced labor related to suppliers employing ethnic minorities through coercive state-sponsored labor-transfer programs	Very Severe	Supply Chain Labor Standards
Jul-26	Criticism over alleged wage underpayment and poor labor conditions in supplier factories globally	Severe	Supply Chain Labor Standards
May-26	Oregon, US: Nike Sued Over Alleged Failure to Refund Tariff-Related Consumer Overcharges	Minor	Customer Relations
May-26	Boston, US: Marathon advertisement reportedly criticized for insensitivity, prompting removal and public apology	Minor	Marketing & Advertising
Apr-26	Boston, US: Controversial store advertisement during marathon week reportedly criticized for discriminatory messaging; sign removed and apology issued	Moderate	Customer Relations

This table shows the most recently updated controversies facing the company. Controversies are considered alongside other factors when assessing a company and may or may not impact the company's ESG Rating. For further details, See Controversies Detail section in full ESG Rating report appendix.

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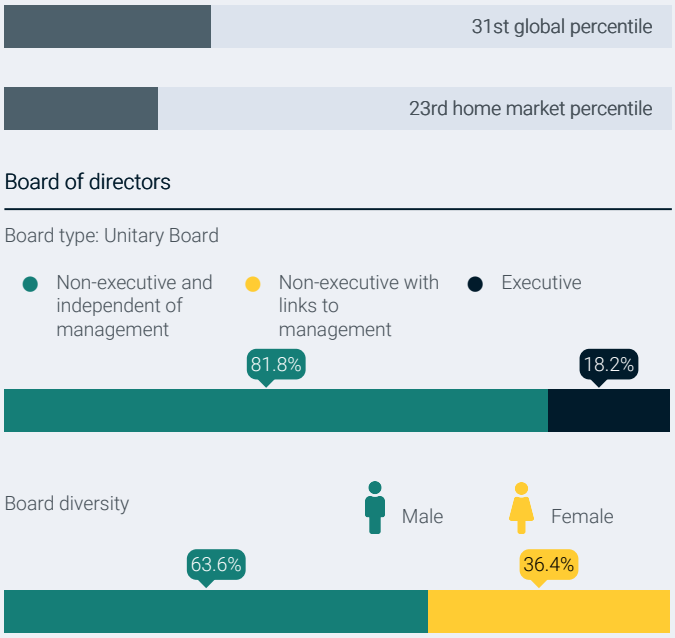
NIKE, INC. (NKE)

MSCI ESG RATINGS **BBB**

CCC | B | BB | **BBB** | A | AA | AAA

RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

Corporate governance summary



Ownership summary

Capital structure	Multiple Equity Classes; Deviates from One-Share One Vote
Ownership classification	Principal Shareholder
Key Owner Types	Founder Firm; Family Firm

Top shareholders

Knight Family - 21.3% (Swoosh, LLC - 15.6% Philip Knight - 2.9% Travis A. Knight 2009 Irrevocable Trust II - 2% Travis A. Knight - 0.8%)

CEO

Name: Elliott Hill

Tenure: 2 Years

Total realized pay*:
USD 5,598,283.00

Total summary pay*:
USD 36,340,876.00

*CEO pay figures are sourced from listed company annual reports and proxy filings. When a new CEO is named the pay figures for the previous CEO will be displayed until this information has been updated for the new CEO

Peer benchmarking

	Raw Material Sourcing	Product Carbon Footprint	Chemical Safety	Labor Management	Supply Chain Labor Standards	Corporate Governance	Corporate Behaviour	Rating & Trend
DECKERS OUTDOOR CORPORATION	● ● ● ●	● ● ● ●	● ●	● ● ● ●	● ● ●	● ● ● ●	● ● ● ●	AAA ◄ ►
CROCS, INC.	N/A	● ● ●	●	● ● ● ●	● ●	● ● ●	● ● ● ●	AA ◄ ►
TAPESTRY, INC.	●	● ● ● ●	●	● ● ● ●	● ●	● ● ● ●	●	AA ◄ ►
RALPH LAUREN CORPORATION	● ● ●	● ● ● ●	● ● ●	● ● ● ●	● ● ● ●	●	● ● ● ●	A ◄ ►
LULULEMON ATHLETICA INC.	● ● ●	● ● ● ●	● ● ● ●	● ● ● ●	● ●	● ●	● ●	A ▼
NIKE, INC.	● ● ●	● ● ● ●	● ●	● ●	●	● ●	● ●	BBB ◄ ►

QUARTILE KEY : Bottom Quartile ● Top Quartile ● ● ● ●

RATING TREND KEY : Maintain ◄ ► Upgrade ▲ Upgrade by two or more notches ▲▲ Downgrade ▼ Downgrade by two or more notches ▼▼

The five industry peers are companies in the Textiles, Apparel & Luxury Goods ESG Rating Industry, as of November 02, 2026, selected based on similarities in four attributes (ESG Key Issue weights, industry classification, region, and size), sorted by ESG Rating (best to worst).

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ESG Rating drill down

Description	As of prior rating action date: Oct 28, 2025		As of last rating action date: Mar 23, 2026		As of last report update date: Nov 02, 2026		Difference	
	Score	Weight	Score	Weight	Score	Weight	Score	Weight
ESG Rating Letter Grade	BBB		BBB		BBB		-	-
Industry Adjusted Score	5.0		4.75		4.75		-	-
Industry Minimum Score	2.2		2.4		2.4		-	-
Industry Maximum Score	6.8		6.3		6.3		-	-
Weighted Average Key Issue Score	4.5		4.3		4.4		0.1	-
Environmental Pillar Score	7.2	22.0%	7.4	22.0%	7.4	22.0%	-	-
Raw Material Sourcing Key Issue Score	5.6	13.0%	5.8	13.0%	5.9	13.0%	0.1	-
Exposure Score	7.6		7.6		7.6		-	-
Company-Specific Exposure Score			7.6		7.6		-	-
Management Score	6.2		6.5		6.5		-	-
Management Score - Excluding Controversies			6.5		6.5		-	-
Practices Score	6.2		6.5		6.5		-	-
Commitments towards responsible leather sourcing	10.0		10.0	9.1%	10.0	9.1%	-	-
Commitments towards responsible cotton sourcing	7.0		7.0	9.1%	7.0	9.1%	-	-
Extent of supply chain initiatives - leather	10.0		10.0	9.1%	10.0	9.1%	-	-
Extent of supply chain initiatives - cotton	6.0		6.0	9.1%	6.0	9.1%	-	-
Percentage certified - leather	10.0		10.0	9.1%	10.0	9.1%	-	-
Percentage certified - cotton	5.0		5.0	9.1%	5.0	9.1%	-	-
Future targets for leather sourcing	10.0		10.0	9.1%	10.0	9.1%	-	-
Future targets for cotton sourcing	10.0		10.0	9.1%	10.0	9.1%	-	-
Extent of traceability - leather	0.0		0.0	9.1%	0.0	9.1%	-	-
Extent of traceability - cotton	3.0		3.0	9.1%	3.0	9.1%	-	-
Extent of stringent certification - leather	0.0		0.0	9.1%	0.0	9.1%	-	-
Controversy Deduction	0.0		0.0		0.0		-	-
Product Carbon Footprint Key Issue Score	9.6	9.0%	9.6	9.0%	9.6	9.0%	-	-
Exposure Score	6.2		6.2		6.2		-	-
Business Segment Exposure Score	6.2		6.2		6.2		-	-
Management Score	8.8		8.8		8.8		-	-
Practices Score	8.8		8.8		8.8		-	-
Targets to reduce Scope 3 upstream carbon emissions	10.0		10.0	20.0%	10.0	20.0%	-	-
Reduction programs in transportation and logistics	6.0		6.0	5.0%	6.0	5.0%	-	-
Reduction programs in raw materials sourcing	6.0		6.0	5.0%	6.0	5.0%	-	-
Reduction programs in manufacturing operations	6.0		6.0	5.0%	6.0	5.0%	-	-
Reduction programs in distribution and store operations	6.0		6.0	5.0%	6.0	5.0%	-	-
Energy or carbon assessment of transportation and logistics	10.0		10.0	5.0%	10.0	5.0%	-	-
Energy or carbon assessment of raw materials sourcing	10.0		10.0	5.0%	10.0	5.0%	-	-

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Description	As of prior rating action date: Oct 28, 2025		As of last rating action date: Mar 23, 2026		As of last report update date: Nov 02, 2026		Difference	
	Score	Weight	Score	Weight	Score	Weight	Score	Weight
Energy or carbon assessment of manufacturing operations	10.0		10.0	5.0%	10.0	5.0%	-	-
Energy or carbon assessment of distribution and store operations	10.0		10.0	5.0%	10.0	5.0%	-	-
Assessment of energy consumption and/or carbon emissions of suppliers	8.0		8.0	20.0%	8.0	20.0%	-	-
Extent of product carbon footprint assessments	10.0		10.0	20.0%	10.0	20.0%	-	-
Controversy Deduction	0.0		0.0		0.0		-	-
Social Pillar Score	3.0	45.0%	2.5	45.0%	2.6	45.0%	0.1	-
Labor Management Key Issue Score	3.4	12.0%	3.4	12.0%	3.4	12.0%	-	-
Exposure Score	8.5		8.5		8.5		-	-
Business Segment Exposure Score	6.7		6.7		6.7		-	-
Geographic Exposure Score	6.0		6.0		6.0		-	-
Company-Specific Exposure Score	8.7		8.7		8.7		-	-
Management Score	4.9		4.9		4.9		-	-
Management Score - Excluding Controversies	6.2		6.2		6.2		-	-
Practices Score	6.2		6.2		6.2		-	-
Scope of workforce eligibility for variable performance-based component to pay	5.0		5.0	16.7%	5.0	16.7%	-	-
Workforce eligible for paid parental leave policy	0.0		0.0	16.7%	0.0	16.7%	-	-
Support for degree programs or certifications for employees	5.0		5.0	8.3%	5.0	8.3%	-	-
Restructuring policies and programs	10.0		10.0	16.6%	10.0	16.6%	-	-
Skills and knowledge development training	5.0		5.0	8.3%	5.0	8.3%	-	-
Employee satisfaction survey frequency	10.0		10.0	16.6%	10.0	16.6%	-	-
Employee equity programs	7.0		7.0	16.7%	7.0	16.7%	-	-
Controversy Deduction	-1.3		-1.3		-1.3		-	-
Supply Chain Labor standards Key Issue Score	2.6	21.0%	2.1	21.0%	2.1	21.0%	-	-
Exposure Score	10.0		9.3		9.3		-	-
Business Segment Exposure Score			8.5		8.5		-	-
Company-Specific Exposure Score	10.0		10.0		10.0		-	-
Business Segment Exposure Score			8.5		8.5		-	-
Management Score	5.6		4.3		4.3		-	-
Management Score - Excluding Controversies	8.6		7.3		7.3		-	-
Practices Score	8.6		7.3		7.3		-	-
Trains suppliers on labor related social issues			10.0	11.1%	10.0	11.1%	-	-
Supplier selection based on labor management performance	10.0		10.0	11.1%	10.0	11.1%	-	-
Evidence of supplier audits	10.0		10.0	11.1%	10.0	11.1%	-	-
Scope of supplier audits			8.0	11.1%	8.0	11.1%	-	-
Scope of supplier code of conduct			10.0	11.1%	10.0	11.1%	-	-
Action taken to address supplier misconduct	10.0		10.0	11.1%	10.0	11.1%	-	-
Effectiveness of Grievance Mechanisms			3.0	11.1%	3.0	11.1%	-	-

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NIKE, INC. (NKE)



RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

Description	As of prior rating action date: Oct 28, 2025 Score	Weight	As of last rating action date: Mar 23, 2026 Score	Weight	As of last report update date: Nov 02, 2026 Score	Weight	Difference Score	Weight
Extent of disclosure on instances of supplier misconduct	5.0		5.0	11.1%	5.0	11.1%	-	-
Commitment to pay living wage for workers in supply chains			0.0	11.1%	0.0	11.1%	-	-
Controversy Deduction	-3.0		-3.0		-3.0		-	-
Chemical Safety Key Issue Score	**3.4**	**12.0%**	**2.3**	**12.0%**	**2.8**	**12.0%**	**0.5**	**-**
Exposure Score	10.0		10.0		10.0		-	-
Business Segment Exposure Score	8.6		8.6		8.6		-	-
Geographic Exposure Score	7.2		7.2		7.2		-	-
Management Score	6.4		5.4		5.8		0.4	-
Management Score - Excluding Controversies	6.4		5.8		5.8		-	-
Practices Score	6.4		5.8		5.8		-	-
Scope of chemical phase-out plan	6.0		6.0	12.5%	6.0	12.5%	-	-
Level of efforts to identify substances for regulatory risk	10.0		10.0	12.5%	10.0	12.5%	-	-
Initiatives to improve consumer awareness on product chemical content	0.0		0.0	18.8%	0.0	18.8%	-	-
Environmental and health standards in new product design	10.0		10.0	18.8%	10.0	18.8%	-	-
Scope of disclosure of registration and use of regulated substances	5.0		5.0	18.8%	5.0	18.8%	-	-
Reducing reliance on substances of concern (product manufacturers)	5.0		5.0	18.8%	5.0	18.8%	-	-
Controversy Deduction	0.0		-0.4		0.0		0.4	-
Governance Pillar Score*	**4.8**	**33.0%**	**4.6**	**33.0%**	**5.0**	**33.0%**	**0.4**	**-**
Corporate Governance Key Issue Score	**5.3**		**5.3**		**5.6**		**0.3**	**-**
Board			7.5		9.1		1.6	-
Pay			8.6		5.0		-3.6	-
Ownership & Control			1.0		1.2		0.2	-
Accounting			8.2		8.2		-	-
Corporate Behavior Score	**6.0**		**5.4**		**6.0**		**0.6**	**-**
Business Ethics	5.9		5.3		5.9		0.6	-
Tax Transparency	10.0		10.0		10.0		-	-

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NIKE, INC. (NKE)

MSCI ESG RATINGS **BBB**

CCC | B | BB | **BBB** | A | AA | AAA

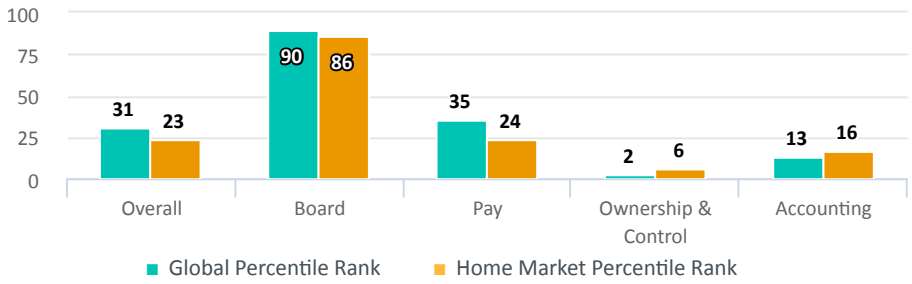
RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

Corporate Governance

Score	Change (since rating)	Quartile	Last score change date
5.6	▲ 0.2	●●	Nov 02, 2026

Market Cap: 55,179,222,997 USD **Home Market:** United States **Last Data Update:** Oct 21, 2026

GOVERNANCE THEMES AND RANKINGS



KEY DATES

Financial Year End	May 31
Annual Filing Date	Jul 15, 2026
AGM Date	Sep 08, 2026

WEBSITE

https://about.nike.com/

SUMMARY

NIKE falls into the average scoring range for all the companies we assess relative to global peers, although we identify governance risks in relation to ownership structure which may warrant review by investors.

**Key areas of concern include flagged key metrics within the three sub-issues that represent the largest scoring deductions. Please review the full report to see the complete set of flagged key metrics.*

KEY AREAS OF CONCERN* — SCORING DEDUCTIONS

Ownership Structure **(-0.99)**
- Controlling Shareholder
- Controlling Shareholder Concerns

Pay Figures **(-0.50)**
- Executive Pay Disclosure
- Internal Pay Equity
- CEO Pay Perks & Other Comp

One Share One Vote **(-0.44)**
- Multiple Equity Classes with Different Voting Rights

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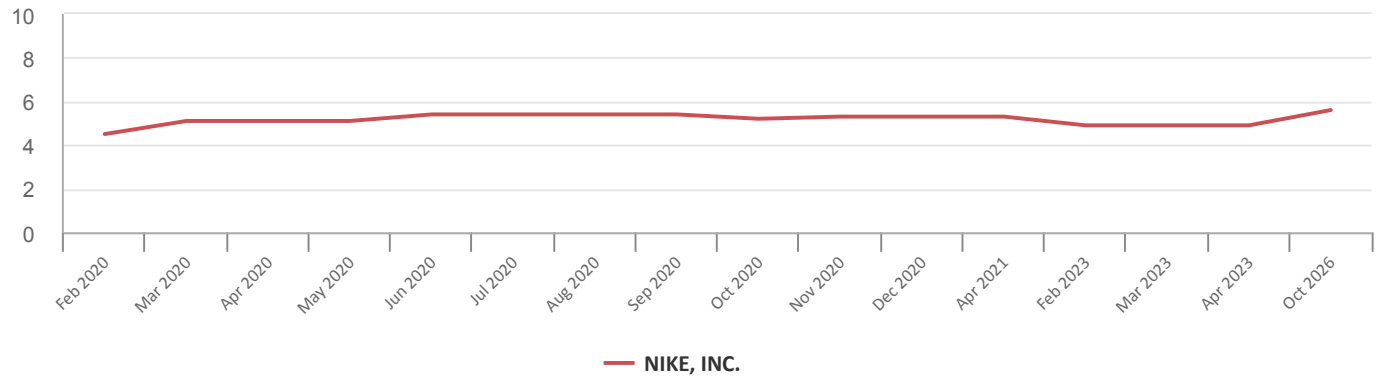
NIKE, INC. (NKE)

MSCI ESG RATINGS BBB

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

CORPORATE GOVERNANCE SCORE HISTORY



CHANGES TO FLAGGED KEY METRICS (SINCE JUNE 2025)

Key Metric	Key Metric Change	Date	Score Change	Change Notes
CEO Pay Total Fixed	Flag Removed	Oct 22, 2026	0.20	
CEO Pay Total Awarded	Flag Removed	Oct 22, 2026	0.20	
CEO Pay Total Fixed	**Flag Added**	Sep 24, 2026	**-0.20**	
CEO Pay Total Awarded	**Flag Added**	Sep 24, 2026	**-0.20**	
Significant Votes Against Directors	Flag Removed	Sep 17, 2026	0.61	
Related Party Transactions	Flag Removed	Sep 17, 2026	0.06	
Pay Committee Concerns	Flag Removed	Sep 17, 2026	0.30	
Long-Term Pay Performance Versus Peers	**Flag Added**	Sep 17, 2026	**-0.20**	
Long-Term Pay Performance	**Flag Added**	Sep 17, 2026	**-0.20**	
Internal Pay Equity	**Flag Added**	Sep 17, 2026	**-0.20**	
CEO Pay Perks & Other Comp	**Flag Added**	Sep 17, 2026	**-0.20**	
Significant Vote Against Pay Practices	Flag Removed	Sep 23, 2025	0.10	AGM voting results updated
Severance Vesting	**Flag Added**	Aug 04, 2025	**-0.10**	

Note: A full list of score changes (including where there is no Key Metric Change) is included in the Appendix.

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NIKE, INC. (NKE)

MSCI ESG RATINGS BBB

CCC | B | BB | BBB | A | AA | AAA

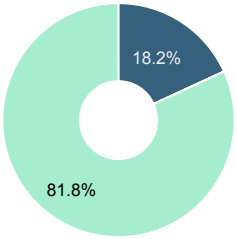
RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

BOARD OVERVIEW

Board Type: Unitary Board

Board of Directors

CEO	Elliott Hill	Since: Oct 14, 2024
Chair	Mark Parker	Since: Jun 30, 2016
Lead Director	Timothy (Tim) Cook	Since: Jun 30, 2016



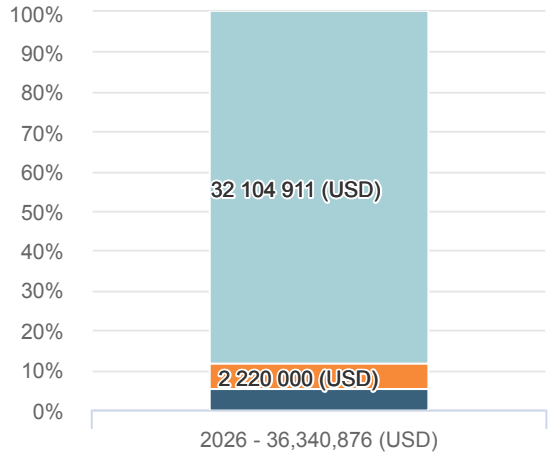
Executive Leadership

CFO	David (Dave) Denton	Since: Aug 16, 2026

■Executive ■Links to Management ■Independent of Management

PAY OVERVIEW

Highest Paid Executive - Elliott Hill



■ Long Term Incentives Awarded	32,104,911 (USD)
■ Short Term Incentives Awarded	2,220,000 (USD)
■ Fixed Pay	2,015,965 (USD)

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BOARD

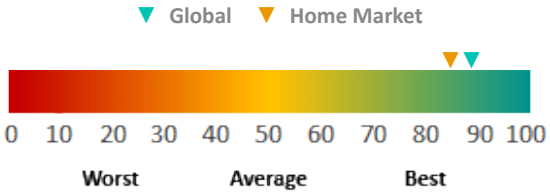
The NIKE board appears to be generally well organized to provide effective strategic oversight for the company management. We have flagged this board for potential concerns regarding the board leadership structure.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
9.1	90th (Above Average)	86th (Above Average)

KEY METRICS SCORING

	Deduction
AUDIT OVERSIGHT	
Audit Committee Industry Expert	-0.10
BOARD LEADERSHIP	
Leadership Concerns	-0.30
Independent Chair	-0.10

BOARD PERFORMANCE VS.



LEADERSHIP

CHIEF EXECUTIVE OFFICER

History	CEO Since	Until	Name	Gender	Age
Current	Oct 2024		Elliott Hill	M	62
Former	*Jan 2020*	*Oct 2024*	*John Donahoe II*	*M*	*66*

CHIEF FINANCIAL OFFICER

History	CFO Since	Until	Name	Gender	Age
Current	Aug 2026		David (Dave) Denton	M	61
Former	*Apr 2020*	*Aug 2026*	*Matthew Friend*	*M*	*48*

CHAIR

History	Chair Since	Until	Name	Gender	Age
Current	Jun 2016		Mark Parker	M	70

LEADERSHIP CONCERNS

- The company has an Executive Chair and a separate CEO.
- The Chairman previously served as the CEO of the company.

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NIKE, INC. (NKE)

MSCI ESG RATINGS BBB

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RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

BOARD OF DIRECTORS

The NIKE board currently has an independent majority, which enables it to more effectively fulfill its critical function of overseeing management on behalf of shareholders. We also note concerns with the board leadership structure which creates the potential for increased management influence and board level conflicts of interest.

Number of Board Meetings: 4

Non-executives meet in absence of Executives: Yes

Name	M/F	Age	Tenure (Years)	Boards	Independent of Mgmt	Independent of Other Interests	Management Link/ Designation Reason	Nationality
Elliott Hill CEO I	**M**	**62**	**2**	**1**	**No**	**Yes**	**Executive**	**Not Disclosed**
Jørgen Knudstorp	M	57	1	2	Yes	Yes		Denmark
Maria Henry $	F	59	3	1	Yes	Yes		Not Disclosed
Mark Parker COB I	**M**	**70**	**20**	**1**	**No**	**Yes**	**Executive**	**Not Disclosed**
Michelle Peluso	F	54	12	1	Yes	Yes		Not Disclosed
Mónica Gil	F	54	4	1	Yes	Yes		Not Disclosed
Peter Henry $	M	56	8	3	Yes	Yes		Not Disclosed
Robert (Bob) Swan $	M	66	4	2	Yes	Yes		United States of America
Thasunda Duckett R $	F	53	6	2	Yes	Yes		Not Disclosed
Timothy (Tim) Cook LD	M	65	20	2	Yes	Yes		United States of America
Travis Knight	M	52	11	1	Yes	No	Family Firm Director	Not Disclosed

	F	# >= 70	# >= 15 yrs	# >= 4			
Total (of 11)	4	1	2	0	9	10	
Percentage	36.4%	9.1%	18.2%	0%	81.8%	90.9%	

Note: Board count includes the membership of this board.

$ - Financial Expert (4) I - Industry Expert (2) R - Risk Management Expert CEO - Chief Executive Officer
COB - Chair of the Board LD - Lead Director

BOARD EFFECTIVENESS

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Nomination Committee - Number Of Meetings: 4

Name	M/F	Age	Board Tenure (Years)	Independent of Mgmt	Independent of Other Interests	Committee Status
Jørgen Knudstorp	M	57	1	Yes	Yes	Member
Michelle Peluso	F	54	12	Yes	Yes	Chair
Thasunda Duckett R $	F	53	6	Yes	Yes	Member

$ - Financial Expert R - Risk Management Expert

AUDIT OVERSIGHT

Audit Committee - Number Of Meetings: 9

The NIKE board of directors includes a fully independent audit committee and at least one member of that committee meets our standards for financial expertise.

Name	M/F	Age	Board Tenure (Years)	Boards	Independent of Mgmt	Independent of Other Interests	Committee Status
Maria Henry $	F	59	3	1	Yes	Yes	Member
Peter Henry $	M	56	8	3	Yes	Yes	Member
Robert (Bob) Swan $	M	66	4	2	Yes	Yes	Chair

$ - Financial Expert (3)

Risk Committee - Number Of Meetings: 9

Name	M/F	Age	Board Tenure (Years)	Independent of Mgmt	Independent of Other Interests	Committee Status
Maria Henry $	F	59	3	Yes	Yes	Member
Peter Henry $	M	56	8	Yes	Yes	Member
Robert (Bob) Swan $	M	66	4	Yes	Yes	Chair

$ - Financial Expert (3)

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PAY OVERSIGHT

Pay Committee - Number Of Meetings: 4

The NIKE board includes an independent pay committee, which is considered best practice for oversight of executive pay according to international corporate governance standards.

Name	M/F	Age	Board Tenure (Years)	Independent of Mgmt	Independent of Other Interests	CEO Role?	Committee Status
Michelle Peluso	F	54	12	Yes	Yes		Member
Mónica Gil	F	54	4	Yes	Yes		Member
Timothy (Tim) Cook	M	65	20	Yes	Yes	Former	Chair

CONTROVERSIES & EVENTS

No major relevant controversies have been uncovered.

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PAY

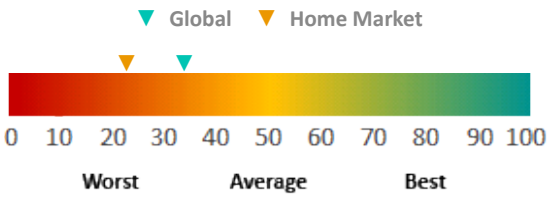
Executive pay practices at NIKE fall into the average scoring range relative to global peers. Areas of particular concern include poor disclosure in relation to executive pay and early vesting provisions in share based awards which offer a poor alignment with shareholder interests.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
5.0	35th (Average)	24th (Below Average)

KEY METRICS SCORING

	Deduction
EQUITY PLAN DILUTION	
Dilution Concerns	-0.10
PAY FIGURES	
Executive Pay Disclosure	-0.10
Internal Pay Equity	-0.20
CEO Pay Perks & Other Comp	-0.20
PAY PERFORMANCE ALIGNMENT	
Long-Term Pay Performance	-0.20
Long-Term Pay Performance Versus Peers	-0.20
SEVERANCE & CHANGE OF CONTROL	
Severance Vesting	-0.10

PAY PERFORMANCE VS.



PAY FIGURES

DISCLOSURE

Disclosure should include, at minimum, pay for each executive member of the Board of Directors (or Management Board for companies with a two-tier board structure) on an individualized basis or in cases where there are no executive members, the CEO. The individualized disclosure should include separate information on the amount of each of the following (where such a component is provided): salary, short-term Incentives, long-term Incentives, pensions, benefits, and any one-off payments (such as recruitment or retention awards).

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NIKE, INC. (NKE)

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EXECUTIVE PAY - 2026

Executive	Title	Tenure (Years)	Total Awarded Pay (USD)	Total Realized Pay (USD)
Ann Miller I	Executive		0	0
Craig Williams I	Executive		0	0
Elliott Hill I	CEO	2	36,340,876	5,598,283
Heidi O'Neill I	Executive		0	0
John Donahoe II I	Executive	N/A (Resigned)	0	0
Matthew Friend I $	Executive	N/A (Resigned)	15,165,400	3,327,625
Monique Matheson I	Executive		0	0
Rob Leinwand I	Executive		12,013,121	3,218,986
Treasure Heinle I	Executive		11,972,190	2,307,702
Venkatesh Alagirisamy I	Executive		11,514,852	2,303,125

$ - Financial Expert I - Industry Expert (10)

CEO PAY DETAILS - Elliott Hill

Pay Awarded	2026
Fixed Pay	
Salary	1,500,000 USD
Fees	0 USD
Pension	0 USD
Perks & Other Pay	515,965 USD
Variable Pay	
Short-term incentives	
Annual Bonus	0 USD
Other Non-equity Incentive Plan	2,220,000 USD
Long-term incentives	
Grant date value of Stock Options	3,967,113 USD
Grant date value of Stock Awards	28,137,798 USD
Total Awarded Pay	**36,340,876 USD**

Pay Realized	
Fixed Pay	
Salary	1,500,000 USD
Fees	0 USD
Pension	0 USD
Perks & Other Pay	515,965 USD
Variable Pay	
Short-term incentives	
Annual Bonus	0 USD
Other Non-equity Incentive Plan	2,220,000 USD
Long-term incentives	
Options Exercised	0 USD
Stock Awards Vested	1,362,318 USD
Total Realized Pay	**5,598,283 USD**

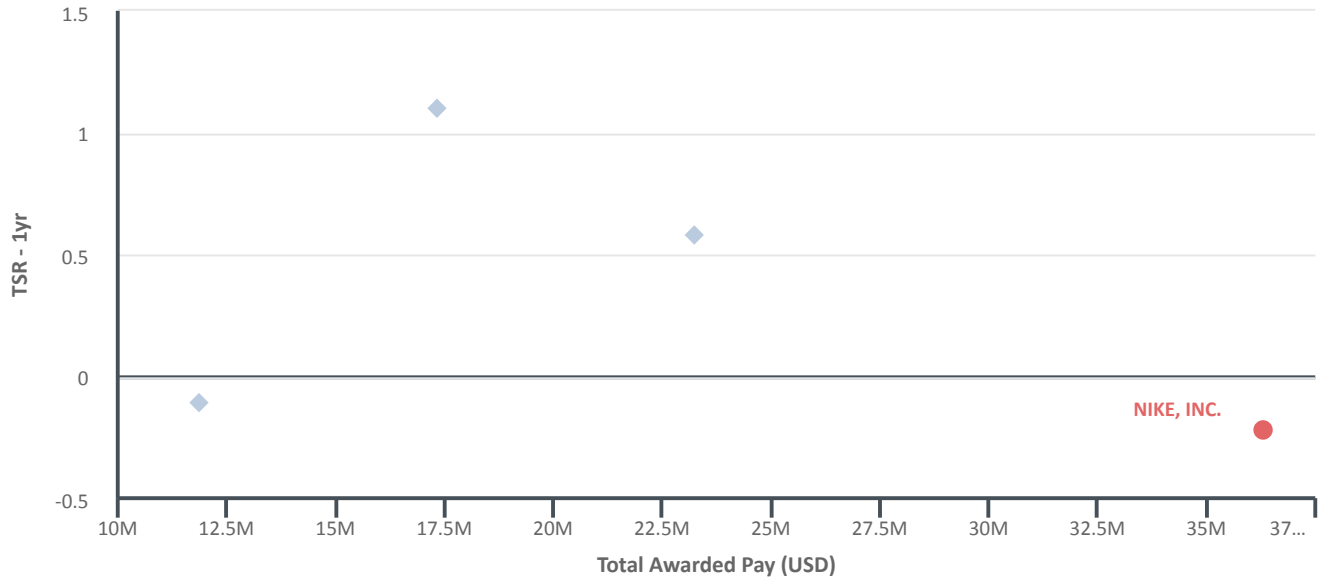
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PAY PEER GROUP

LARGECAP - DEVELOPED AMERICAS - TEXTILES, APPAREL & LUXURY GOODS (4 COMPANIES)

Company	Home Market	Market Cap (USD m)	Pay Year	1 Yr TSR	Total CEO Annual Pay (USD)	CEO Name	CEO Since
RALPH LAUREN CORPORATION	United States	22,335	2026	0.58%	9,554,090	Louvet	Jul 2017
TAPESTRY, INC.	United States	24,603	2025	1.10%	6,766,671	Crevoiserat	Jul 2020
DECKERS OUTDOOR CORPORATION	United States	11,859	2026	-0.10%	4,905,045	Caroti	Aug 2024
NIKE, INC.	**United States**	**55,179**	**2026**	**-0.22%**	**4,235,965**	**Hill**	**Oct 2024**

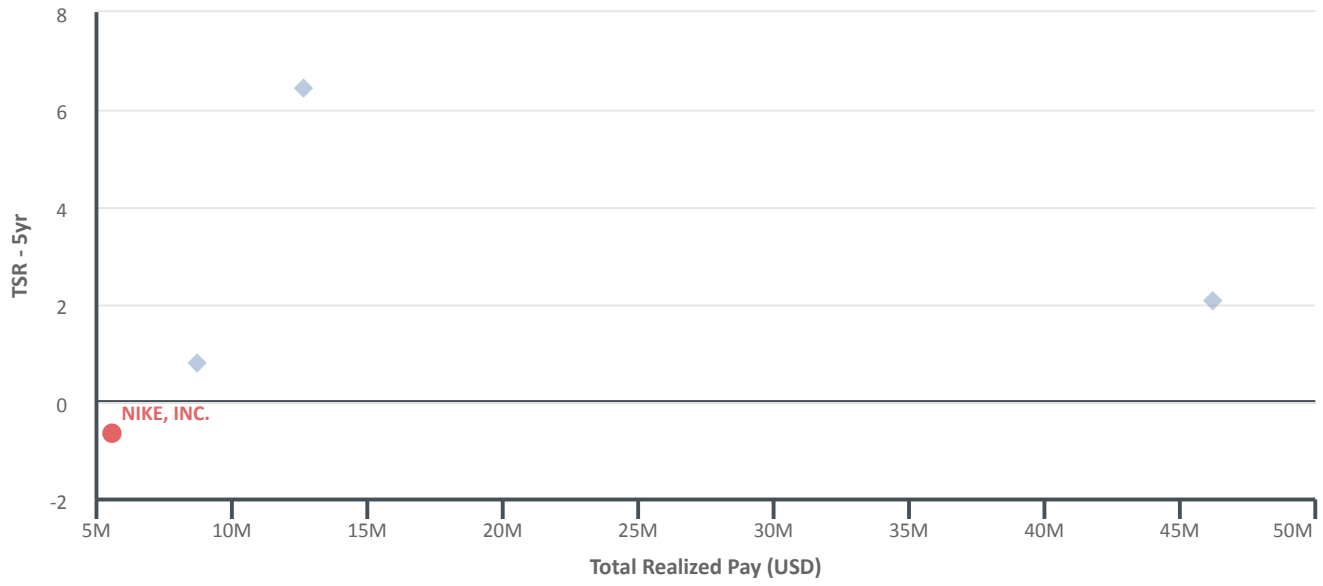
CEO TOTAL AWARDED PAY VERSUS PAY PEER GROUP



Pay Peers (♦) are used in the calculation of the Key Metric CEO Pay Total Summary and selected as set out in the MSCI Governance Metrics Methodology Document.

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CEO TOTAL REALIZED PAY VERSUS PAY PEER GROUP



Pay Peers (♦) are used in the calculation of the Key Metric CEO Pay Total Summary and selected as set out in the MSCI Governance Metrics Methodology Document.

PAY PERFORMANCE ALIGNMENT

CEO & EXECUTIVE EQUITY

CEO equity policy as a multiple of salary: **8.0**

STOCK OWNERSHIP GUIDELINES

stock ownership guidelines for executive officers that are designed to further align the interests of our executive officers with those of our shareholders. Under the guidelines, each executive officer is required to hold NIKE stock valued at the following multiple of their annual base salary:

Chief Executive Officer: 8X Base Salary

Executive	Tenure (Years)	Shares Held	YoY % Change	Shareholding As % of Salary
Elliott Hill I	2	225,951		696.38%
Mark Parker I	20	665,254		
Matthew Friend I $	N/A (Resigned)	48,455		
Rob Leinwand I		37,785		
Treasure Heinle I		33,749		
Venkatesh Alagirisamy I		23,450		

$ - Financial Expert I - Industry Expert (6)

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NIKE, INC. (NKE)

MSCI ESG RATINGS BBB

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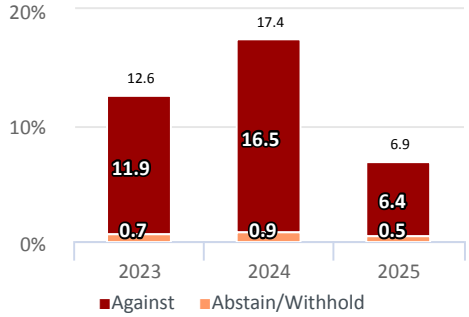
CLAWBACK & MALUS

Clawback or malus provisions are in place.
Clawback Type: **Performance Based**

LATEST PAY VOTES

Year	Vote Type	Votes For %	Votes Against %	Abstain %
2025	Advisory Vote on Executive Compensation	93.1%	6.4%	0.5%

Vote Results History
Say on Pay Vote



EQUITY PLAN DILUTION

	2026	2025	2024
Shares Outstanding	1,483,498,703	1,476,903,492	1,499,358,944
Equity Reserved	14.1%	11.2%	11.7%
Shares granted/awarded (in year)	1.2%	1.4%	1.2%

NON-EXECUTIVE DIRECTOR PAY

NON-EXECUTIVE EQUITY

Director	Tenure (Years)	Shares Held
John Rogers Jr. $	N/A (Resigned)	41,022
Jørgen Knudstorp	1	21,388
Maria Henry $	3	8,767
Michelle Peluso	12	32,814
Mónica Gil	4	8,893
Peter Henry $	8	11,099
Robert (Bob) Swan $	4	53,978
Thasunda Duckett R $	6	13,589
Timothy (Tim) Cook	20	130,480
Travis Knight	11	4,839,081

$ - Financial Expert (5) R - Risk Management Expert

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NON-EXECUTIVE PAY TABLES

Director	Tenure (Years)	Cash Fees	Other Comp	Stock Award	Total Pay	Total Pay (USD)
John Rogers Jr. $	N/A (Resigned)	100,000 USD	0 USD	192,758 USD	292,758 USD	292,758
Jørgen Knudstorp	1	72,802 USD	0 USD	385,517 USD	458,319 USD	458,319
Maria Henry $	3	105,000 USD	20,000 USD	192,758 USD	317,758 USD	317,758
Michelle Peluso	12	125,000 USD	20,000 USD	192,758 USD	337,758 USD	337,758
Mónica Gil	4	100,000 USD	0 USD	192,758 USD	292,758 USD	292,758
Peter Henry $	8	105,000 USD	0 USD	192,758 USD	297,758 USD	297,758
Robert (Bob) Swan $	4	135,000 USD	20,000 USD	192,758 USD	347,758 USD	347,758
Thasunda Duckett R $	6	100,000 USD	20,000 USD	192,758 USD	312,758 USD	312,758
Timothy (Tim) Cook	20	165,000 USD	20,000 USD	192,758 USD	377,758 USD	377,758
Travis Knight	11	100,000 USD	0 USD	192,758 USD	292,758 USD	292,758

$ - Financial Expert (5) R - Risk Management Expert

CONTROVERSIES & EVENTS

No major relevant controversies have been uncovered.

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OWNERSHIP & CONTROL

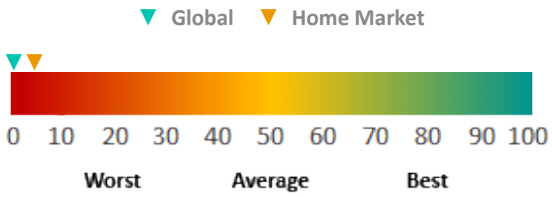
The ownership structure and shareholder rights at NIKE raise potential concerns for shareholders, including the relationship with the controlling shareholder, share classes with unequal voting rights and the vote standard utilized for the election of directors.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
1.2	2nd (Worst In Class)	6th (Worst In Class)

KEY METRICS SCORING

	Deduction
DIRECTOR ELECTIONS	
Majority Voting	-0.30
Cumulative Voting	-0.10
ONE SHARE ONE VOTE	
Multiple Equity Classes with Different Voting Rights	-0.44
OWNERSHIP STRUCTURE	
Controlling Shareholder	0.00
Controlling Shareholder Concerns	-0.99
SHAREHOLDER RIGHTS	
Bylaws Amendments	-0.10
Shareholder Rights Concerns	-0.20
Confidential Voting	-0.10
TAKEOVER PROVISIONS	
Constituency Provision	-0.10
Business Combination Provision	-0.10
Fair Bid Treatment Provisions	-0.10

OWNERSHIP & CONTROL PERFORMANCE VS.



CORPORATE STRUCTURE

Public Company

CAPITAL STRUCTURE

Capital Type	Votes Per Share	Shares Outstanding
Class A Common Stock	1.0	281,387,752
Class B Common Stock	1.0	1,202,110,951
Preferred Stock	0.0	300,000

Each Class A share and Class B share having one vote per share. Preferred Stock has no voting right.

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On the close of business on July 8, 2026, 281,387,752 shares of Class A Stock and 1,202,110,951 shares of Class B Stock were issued and outstanding and entitled to vote at the meeting.

OWNERSHIP STRUCTURE

OWNERSHIP CATEGORIES

- Principal Shareholder
- Founder Firm
- Family Firm

NOTABLE SHAREHOLDERS

Knight Family - 21.3% (Swoosh, LLC - 15.6% Philip Knight - 2.9% Travis A. Knight 2009 Irrevocable Trust II - 2% Travis A. Knight - 0.8%)	**21.3%**
5%+ shareholders - Aggregate Voting Power	**12.5%**
Insider Voting Power	**21.6%**

NIKE is a controlled company, where a single shareholder or shareholder block holds 30% or more of the voting shares or has effective control of the board. The controlling shareholder controls 21.3% of the voting power. The company has not, however, taken the controlled company exemption available to such firms under current SEC and exchange listing requirements, but has chosen to meet the prevailing standards regarding board and committee independence. The company's multiple share classes also have disparate voting rights which, in concert with the presence of a controlling shareholder, may have a negative impact on minority shareholder rights. We have identified this company as a 'family firm', where one or more families control the voting shares and are typically represented on the board. When assessing family firms, we consider the extent to which the family makes decisions that are in the best interests of non-family shareholders. We have identified this company as a 'founder firm', where the company's founder is still an active member of either the board or company management. At NIKE, there may be no governance risks associated with related party transactions among the controlling founders/family. There are concerns regarding pay practices and takeover defenses that may impact minority shareholders' interests. Of companies in United States, some 20% are flagged for this KeyMetric. Differential voting rights mean that the economic exposure of certain shareholders is higher than their voting power.

Controlling Shareholder Concerns Criteria

No Independent Directors	No	Controlling Shareholder Percentage of Voting Rights	
Leadership Concerns	Yes	Controlled via Stock Pyramid	No
Undersized Board	No	Cross Shareholdings	No
Structured as a Limited Partnership	No	Golden Shares	No
Poison Pill	No		

FAMILY FIRM

The Knight family owns 21.3% of total voting power in the company. Travis Knight is the Son of Philip Knight (co-founder) serves on the board as a member.

FOUNDER FIRM

Mr. Philip Knight, NIKE's co-founder, serves as Chairman Emeritus. Travis Knight is the Son of Philip Knight (co-founder) serves on the board as a member. The Knight family owns 21.3% of total voting power in the company.

TAKEOVER PROVISIONS

Fair Price Provision	Mandatory Bid Provision	Mandatory Bid Ownership Threshold
No	No	

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State of Incorporation	Business Combination Provision
Oregon	Yes

% of Votes to Approve a Merger
80%

GOVERNING DOCUMENTS

MAJORITY REQUIREMENTS

	Bylaws	Charter
Default percentage of votes required to amend a provision	51%	51%
Highest percentage of votes required to amend a specific provision	N/A	80%

Bylaws Pg. 28

Amendment of Bylaws. Except as otherwise provided by applicable law or by the Restated Articles, the Board of Directors may amend or repeal these Bylaws at any regular or special meeting. The Corporation's shareholders may also amend or repeal these Bylaws, as authorized by applicable laws.

AOI ARTICLE VII,

Articles V and VI, and this Article VII, of these Restated Articles of Incorporation may not be amended except upon the affirmative vote of 80 percent of the outstanding Common Stock.

SHAREHOLDER RIGHTS

There may be governance risks for investors in relation to shareholder rights and management-controlled takeover defense mechanisms at NIKE including:

- The board's ability to amend the company's bylaws without shareholder approval
- constituency provisions that may be invoked to deter tender offers regarded as hostile by current management
- business combination provisions that fail to include protections of shareholder interests
- fair price provisions that fail to ensure that all shareholders are treated fairly
- Limits on the right of shareholders to take action by written consent
- The absence of confidential voting policies
- The absence of cumulative voting rights

SHAREHOLDER MEETINGS & RESOLUTIONS

	Call Special Meeting	Requisition a Resolution at AGM	Act by Written Consent
Percentage of shares required	10%		100%

RESTRICTIONS ON LEGAL ACTION BY SHAREHOLDERS

No exclusive forum provision has been identified.

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SAY ON PAY

We note that shareholder votes on executive pay are mandatory in this market, affording shareholders the ability to review and approve executive pay practices at this company.

DIRECTOR ELECTIONS

BOARD RE-ELECTION PROVISIONS

Board Re-election Provisions	
Board Re-election Frequency (Years)	1
% of Board subject to re-election	100%

DIRECTOR ELECTION STANDARD

The company has not adopted a binding majority director election standard (with immediate resignation if the director does not receive a majority of the votes cast), which may limit shareholders' ability to hold members of the board accountable in uncontested elections.

Director Election Rules	
Vote Standard	Plurality & Resignation Policy
Immediate Binding Resignation	No

Bylaws, Election and Tenure, p. 21

Directors shall be elected by a plurality of the votes cast by holders of the shares entitled to vote in the election at a meeting at which a quorum is present; provided, however, that any nominee for director in an uncontested election who fails to receive a greater number of shares voted "for" his or her election than shares "withheld" from such election shall tender his or her resignation for consideration by the Corporate Responsibility, Sustainability & Governance Committee. Shares voted shall not include a share otherwise present at the meeting but which abstains from voting on a director, or gives no authority or direction. An "uncontested election" means an election in which the number of nominees proposed to be elected by a class of shares is equal to the number of directors determined by the Board of Directors for that class. The Corporate Responsibility, Sustainability & Governance Committee shall recommend to the Board the action to be taken with respect to the resignation. The Board will publicly disclose its decision within 90 days of the certification of the election results.

2026 DEF 14A, Election of Directors, p. 4

Each elected director will hold office until the next annual meeting of shareholders and until their successor is elected and qualified, or until their earlier death, resignation or removal.

PROXY ACCESS

A proxy access provision is in place.

Proxy Access Terms	
Ownership Duration (Years)	3
Ownership Threshold (% of shares)	3%
Min/Max % of Board Seats	20%
Min/Max Number of Board Seats	1

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ACCOUNTING

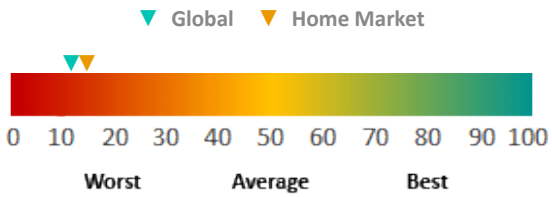
Based on the company's disclosures and other public information, accounting and financial reporting practices at NIKE may warrant close attention from shareholders. We have flagged this company for potential concerns regarding the length of tenure of the external audit firm.

0-10 Score	Global Percentile Rank	Home Market Percentile Rank
8.2	13th (Below Average)	16th (Below Average)

KEY METRICS SCORING

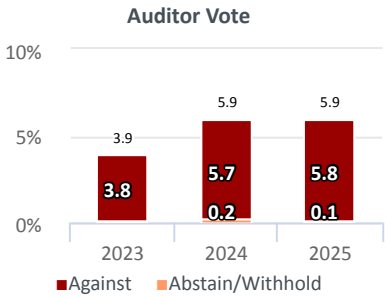
	Deduction
AUDITOR INDEPENDENCE	
Auditor Tenure	-0.30

ACCOUNTING PERFORMANCE VS.



EXTERNAL AUDITORS

Type	Since	Firm	Most Recent Fiscal Year End Signed Off
Primary	1974	PricewaterhouseCoopers LLP	2025

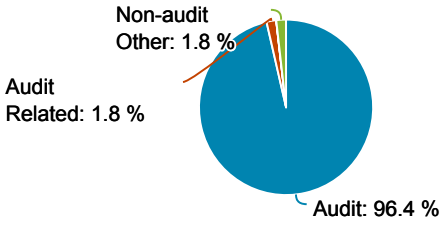


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AUDITOR FEES

Fees paid to: PricewaterhouseCoopers LLP (Primary)

Fee	May 31, 2025 (USD)	May 31, 2025 (USD)	May 31, 2024 (USD)
Audit	21,400,000	22,800,000	20,200,000
Audit Related	400,000	600,000	500,000
Total Audit + Audit Related	**21,800,000**	**23,400,000**	**20,700,000**
Tax Compliance/ Advice	0	0	100,000
Other Non-audit Services	400,000	1,400,000	1,400,000
Total Non-audit Fees	**400,000**	**1,400,000**	**1,500,000**
Total Fees	**22,200,000**	**24,800,000**	**22,200,000**



AUDITOR'S REPORT

	May 31, 2026	May 31, 2025	May 31, 2024
Report Disclosed	Yes	Yes	Yes
Opinion	Unqualified Opinion	Unqualified Opinion	Unqualified Opinion
Emphasis of Matter	No	No	No

CONTROVERSIES & EVENTS

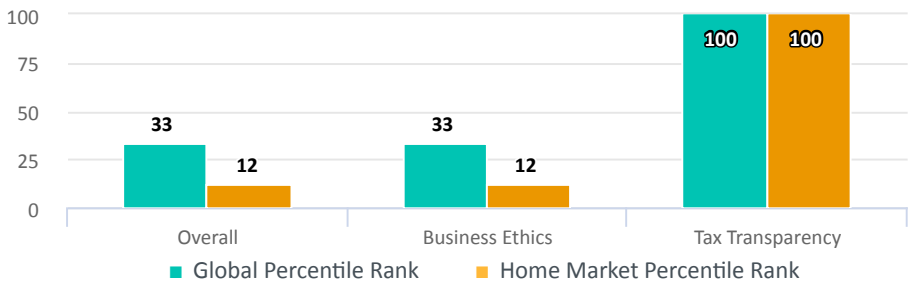
No major relevant controversies have been uncovered.

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Corporate Behavior

0-10 Score	Change (since rating)	Quartile	Last score change date
6.0	▲ 0.6	●●	Nov 02, 2026

CORPORATE BEHAVIOR THEME AND KEY ISSUE RANKINGS



METHODOLOGY NOTE

This theme evaluates the extent to which companies may face ethics issues such as fraud, executive misconduct, corruption scandals, money laundering, anti-trust violations, or tax-related controversies.

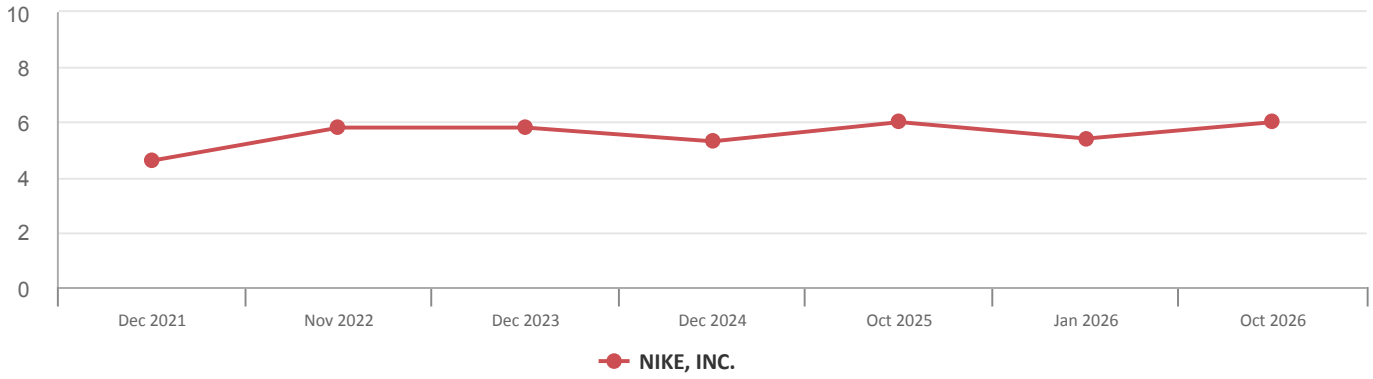
*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

KEY AREAS OF CONCERN* — SCORING DEDUCTIONS

Business Ethics Policies & Practices	**(-2.80)**
Regular Audits of Ethical Standards	
Employee Training on Ethical Standards	
Business Ethics Risk & Controversies	**(-1.20)**
Corruption Risk Exposure & Controversies	

**Key areas of concern include flagged key metrics that represent the largest scoring deductions. Please review the full report to see a complete set of flagged key metrics.*

CORPORATE BEHAVIOR SCORE HISTORY



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NIKE, INC. (NKE)

MSCI ESG RATINGS BBB

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

BUSINESS ETHICS

KEY METRICS SCORING

	Deduction
BUSINESS ETHICS POLICIES & PRACTICES	**-2.80**
Regular Audits of Ethical Standards	-1.40
Employee Training on Ethical Standards	-1.40
BUSINESS ETHICS RISK & CONTROVERSIES	**-1.20**
Corruption Risk Exposure & Controversies	-1.20

Note: Business Ethics Policies & Practices deductions as well as Business Ethics Risk & Controversies are capped at a maximum of -7.0. Cumulative deductions are capped at 10.

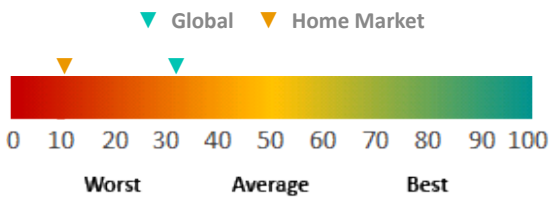
0-10 Score	Change (since rating)	Global Percentile Rank	Home Market Percentile Rank
5.9	▲ 0.6	33rd (Average)	12th (Below Average)

METHODOLOGY NOTE

Companies are evaluated on their oversight and management of business ethics issues such as fraud, executive misconduct, corrupt practices, money laundering, or anti-trust violations.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

BUSINESS ETHICS VS.



BUSINESS ETHICS POLICIES & PRACTICES

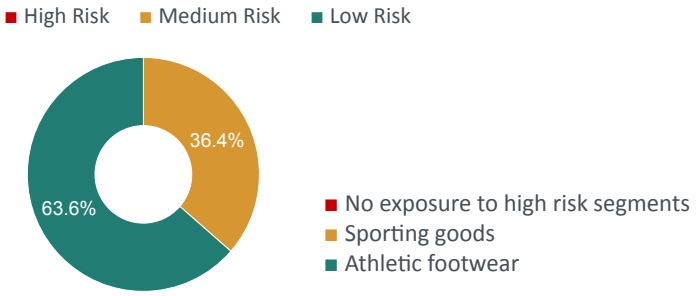
Indicators	Company Practice	Best Practice	Deduction
Responsibility for ethics issues	Board-level committee	Board-level committee or C-suite or Executive committee	0.00
Policy against bribery and corruption	Detailed formal policy on bribery and anti-corruption	Detailed formal policy on bribery and anti-corruption	0.00
Regular Audits of Ethical Standards	No evidence	Audits of all operations at least once every three years	-1.40
Whistleblower protection	Policy provides whistleblowers with protection from retaliation	Policy provides whistleblowers with protection from retaliation	0.00
Employee training on ethical standards	No evidence	Programs covering all employees (including part-time) and contractors	-1.40
Policy against bribery and corruption for suppliers	NA	All suppliers are required to have anti-corruption policies and programs to verify compliance	0.00
Anti-money laundering policy	NA	Policy and implementation strategy articulated	0.00

**Business Ethics Policies & Practices deductions are capped at a maximum of -7.0.*

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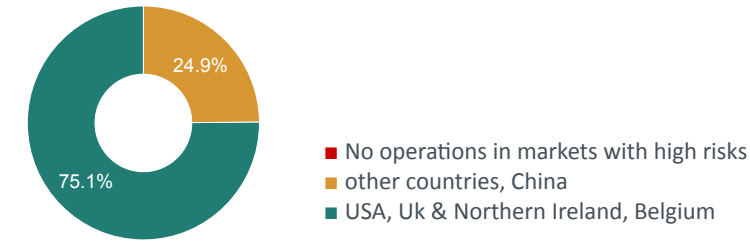
CORRUPTION RISK EXPOSURE

Exposure to: Regulatory risks or lost market access due to corruption scandals or political and social instability
Business Types : Percentage of operations in business segments perceived most likely to pay or receive bribes



Source: Foreign Corrupt Practices Act (FCPA) enforcement actions, U.S. Securities and Exchange Commission (SEC); EU public procurement data, Opentender.eu; State Capture Analysis, World Bank; Lobbying data, OpenSecrets.org; MSCI Sustainability & Climate; Refinitiv; company disclosures.

Business Locations : Percentage of operations in countries with high/moderate/low level of corruption and political instability, violence or terrorism



Source: Corruption Perception Index, Transparency International; Control of Corruption Index, World Governance Indicator; MSCI Sustainability & Climate; Refinitiv; company disclosures.

CORRUPTION RISK EXPOSURE SCORING DEDUCTION KEY

% of operations in medium and high risk geographies	% of operations in high risk business segments	>=20% government ownership	<20% government ownership	No evidence of government ownership
20% or more	50% or more	-4.00	-2.60	-2.00
	Less than 50%	-1.20	-1.20	-1.20
Less than 20%	50% or more	-0.60	-0.60	-0.60
	Less than 50%	0.00	0.00	0.00

**The Corruption Risk and Controversies Deduction is based on the maximum of deductions from the corruption risk exposure and corruption controversies category listed below*

BUSINESS ETHICS CONTROVERSIES

Controversy Cases

Category	Assessment	Headline	Status	Last Updated	Deduction
Business Ethics & Fraud	Minor	**Boston, US: Marathon advertisement reportedly criticized for insensitivity, prompting removal and public apology**	Concluded	May 2026	0.0
Anticompetitive Practices	--	**No ongoing controversies.**	--	--	--
Corruption	--	**No ongoing controversies.**	--	--	--

**The maximum deductions from the Anticompetitive Practices and Business Ethics & Fraud categories are summed to arrive at the overall Business Ethics Controversies deduction, which is capped at a maximum of -7.0.*

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TAX TRANSPARENCY

TAX GAP ASSESSMENT

Indicators

Tax Gap

Estimated Effective Tax Rate	14.7%
Estimated Corporate Income Tax Rate	25.3%
Estimated Tax Gap	(10.6%)
Tax Gap Assessment	High Gap

Revenue

Foreign Revenue	57.4%

Confidence

Confidence Level of Estimation	

Involvement in Controversies 0.0

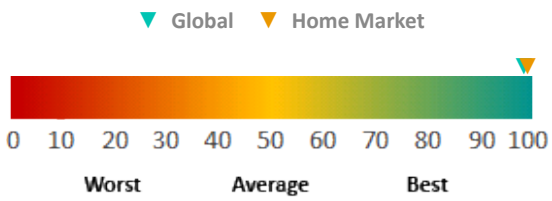
0-10 score	Change (since rating)	Global Percentile Rank	Home Market Percentile Rank
10.0	0.0	100th (Best In Class)	100th (Best In Class)

METHODOLOGY NOTE

Companies are evaluated on their estimated corporate tax gap (i.e. gap between estimated effective tax rate and estimated corporate income tax rate) and their involvement in tax-related controversies.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

TAX TRANSPARENCY VS.



TAX CONTROVERSIES

Controversy Cases

Category	Assessment	Headline	Status	Last Updated	Deduction
Tax Transparency	--	**No ongoing controversies.**	--	--	--

TAX CONTROVERSIES SCORING DEDUCTION KEY

Involvement in tax controversies	Estimated tax gap	Tax gap assessment	Deduction
Yes	Below 5%	Low	-0.80
	5-10%	Moderate	-1.40
	Above 10%	High	-2.00
No	Below 5%	Low	0.00
	5-10%	Moderate	0.00
	Above 10%	High	0.00

Tax related controversies are not considered for companies in Real Estate Management services or Mortgage REITs industries. Tax gap assessment is effectively low for companies with less than 5% of total revenue categorized as foreign.

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NIKE, INC. (NKE)

MSCI ESG RATINGS **BBB**

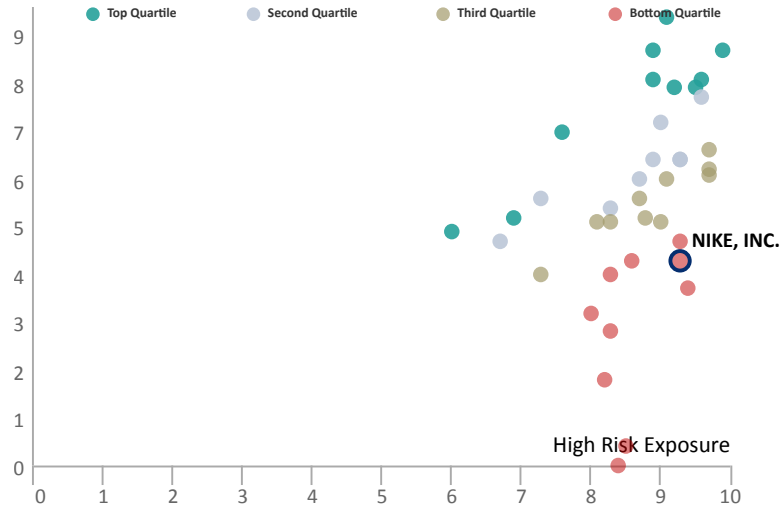
CCC | B | BB | **BBB** | A | AA | AAA

RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

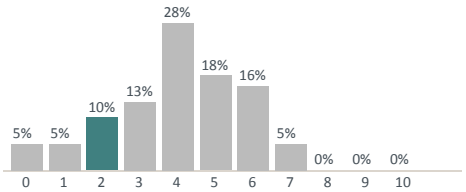
Supply Chain Labor Standards

Score	Change (since rating)	Quartile	Weight	Last score change date
2.1	0.0	●	21.0%	Mar 23, 2026

Strong Risk Management



KEY ISSUE SCORE DISTRIBUTION*



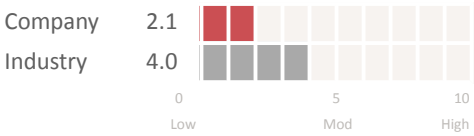
TOP 5 INDUSTRY LEADERS

BOSIDENG INTERNATIONAL HOLDINGS LIMITED	7.4
BURBERRY GROUP PLC	6.8
Capri Holdings Limited	6.4
Kontoor Brands, Inc.	6.2
MOVADO GROUP, INC.	5.9

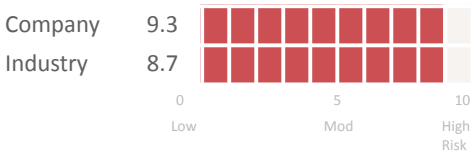
BOTTOM 5 INDUSTRY LAGGARDS

VIVA GOODS COMPANY LIMITED	1.5
LEVI STRAUSS & CO.	1.3
JNBY Design Ltd	0.6
361 DEGREES INTERNATIONAL LIMITED	0.0
WACOAL HOLDINGS CORP.	0.0

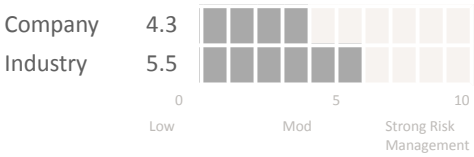
KEY ISSUE ASSESSMENT



RISK EXPOSURE ASSESSMENT



RISK MANAGEMENT ASSESSMENT



Drivers of Risk Exposure

Business Types



Drivers of Risk Management

Practices Score



Controversy Deduction



METHODOLOGY NOTE

Companies are evaluated on the management and transparency of their supply chain and the working standards in the regions in which their suppliers are located.

* [For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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NIKE, INC. (NKE)

MSCI ESG RATINGS

BBB

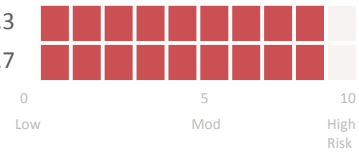
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

EXPOSURE

RISK EXPOSURE ASSESSMENT

Company	9.3
Industry	8.7



Additional Exposure Indicators

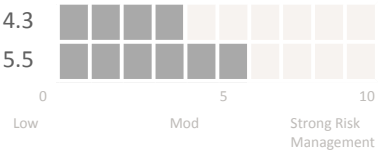
Footprint

Private label as percentage of sales (est.):	**100.00%**

MANAGEMENT

RISK MANAGEMENT ASSESSMENT

Company	4.3
Industry	5.5



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Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Supplier selection based on labor management performance	Preference shown for suppliers demonstrating superior labor management performance (e.g. factor is included in supplier "scorecard" along with price and quality)	Preference shown for suppliers demonstrating superior labor management performance (e.g. factor is included in supplier "scorecard" along with price and quality)	LOW MID 10	4
Scope of supplier audits			8	7
Tier 1 supplier audits (direct suppliers)	Yes - Almost all Tier 1 suppliers or "high risk" suppliers identified through rigorous systematic analysis	Yes - Almost all Tier 1 suppliers or "high risk" suppliers identified through rigorous systematic analysis	—	—
Tier 2 suppliers audits (components)	Audits include Tier 2 suppliers (components)	Audits include Tier 2 suppliers (components)	—	—
Tier 3 suppliers audits (raw materials)	No	Yes - Includes at least some Tier 3 suppliers	—	—
Action taken to address supplier misconduct	Detailed action plan to correct specified issues	Detailed action plan to correct specified issues	LOW MID 10	5
Effectiveness of Grievance Mechanisms	Grievance mechanism exists with limited detail	Comprehensive grievance mechanism available in local languages, with channels of communication specified and full safeguards	LOW TOP	5
Extent of disclosure on instances of supplier misconduct	Reports some information on instances of non-compliance but not in detail on types or frequency of violations	Reports detailed instances of non-compliance including types and frequency of violations	LOW 5 TOP	4
Trains suppliers on labor related social issues	Yes	Yes	LOW 10	8
Evidence of supplier audits	Yes - Both internal and third-party auditors	Yes - Both internal and third-party auditors	LOW MID 10	8

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Scope of supplier code of conduct				10	10
Supply chain code of conduct covers forced labor	Yes	Yes		—	—
Supply chain code of conduct covers child labor	Yes	Yes		—	—
Supply chain code of conduct covers working hours	Yes	Yes		—	—
Supply chain code of conduct covers paid overtime	Yes	Yes		—	—
Supply chain code of conduct covers minimum wage	Yes	Yes		—	—
Supply chain code of conduct covers anti-discrimination	Yes	Yes		—	—
Supply chain code of conduct covers freedom of association	Yes	Yes		—	—
Supply chain code of conduct covers health and safety	Yes	Yes		—	—
Commitment to pay living wage for workers in supply chains	No evidence	Commitment for its suppliers to pay a living wage to their workers, and detailed initiatives	0	TOP	4

Controversy Cases

Assessment	Headline	Status	Last Updated
Very Severe	**China: Allegations of forced labor related to suppliers employing ethnic minorities through coercive state-sponsored labor-transfer programs**	Ongoing	July 2026
Severe	**Criticism over alleged wage underpayment and poor labor conditions in supplier factories globally**	Ongoing	July 2026
Severe	**China: Workers reached an agreement to end strike over compensation plan for factory closure**	Concluded	January 2026

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NIKE, INC. (NKE)

MSCI ESG RATINGS **BBB**

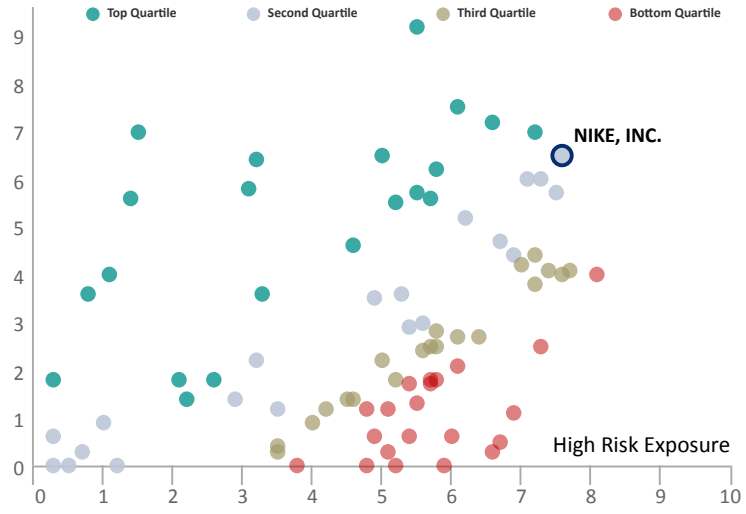
CCC | B | BB | **BBB** | A | AA | AAA

RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

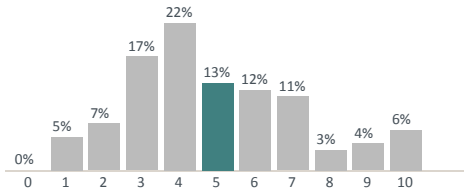
Raw Material Sourcing

Score	Change (since rating)	Quartile	Weight	Last score change date
5.9	0.0	●●●	13.0%	Mar 23, 2026

Strong Risk Management



KEY ISSUE SCORE DISTRIBUTION*



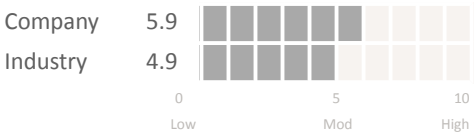
TOP 5 INDUSTRY LEADERS

DR. MARTENS PLC	10.0
MAVI GIYIM SANAYI VE TICARET ANONIM SIRKETI	10.0
Makalot Industrial Co., Ltd.	10.0
WELSPUN LIVING LIMITED	10.0
ARVIND LIMITED	9.7

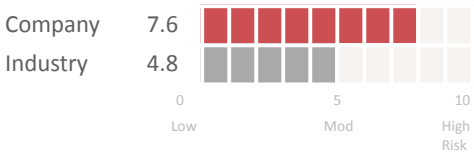
BOTTOM 5 INDUSTRY LAGGARDS

Pou Chen Corporation	1.6
G-III APPAREL GROUP, LTD.	1.2
WACOAL HOLDINGS CORP.	1.1
ONWARD HOLDINGS CO., LTD.	0.9
BRUNELLO CUCINELLI S.P.A.	0.7

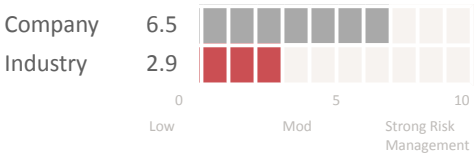
KEY ISSUE ASSESSMENT



RISK EXPOSURE ASSESSMENT



RISK MANAGEMENT ASSESSMENT



Drivers of Risk Exposure

Business Types

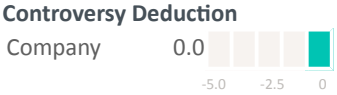


Drivers of Risk Management

Practices Score



Controversy Deduction



METHODOLOGY NOTE

Companies are evaluated on the environmental impacts of the raw materials used in their products and their efforts around supply chain traceability and certification.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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NIKE, INC. (NKE)

MSCI ESG RATINGS

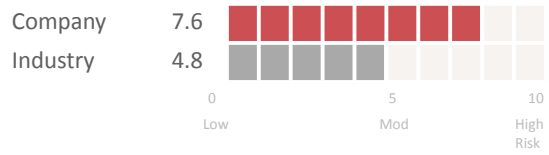
BBB

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

EXPOSURE

RISK EXPOSURE ASSESSMENT



Additional Exposure Indicators

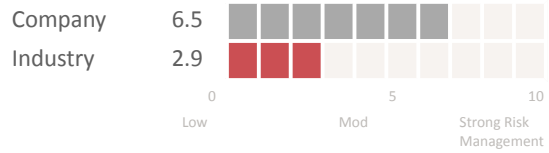
Risk: Dependency on Raw Material

Estimated percent of sales reliant on material (private label where applicable)

Leather:	**25.00%**
Cotton:	**30.00%**

MANAGEMENT

RISK MANAGEMENT ASSESSMENT



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NIKE, INC. (NKE)

MSCI ESG RATINGS BBB

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Extent of supply chain initiatives to address impacts of leather production	Requires all suppliers to produce or purchase sustainable leather and verifies compliance	Requires all suppliers to produce or purchase sustainable leather and verifies compliance	LOW MID **10**	4
Percentage of leather third-party certified to an environmental sustainability standard	All Products	All Products	LOW MID **10**	5
Future targets for leather sourcing	The company has clear measurable targets or all products are already certified or traced	The company has clear measurable targets or all products are already certified or traced	LOW MID **10**	4
Extent of leather traceability to place of origin	None	All Products	**0** MID TOP	1
Extent of leather certification against the most stringent sustainable criteria	None	All Products	**0** MID TOP	0
Commitments towards responsible leather sourcing	Publicly stated formal policy	Publicly stated formal policy	LOW MID **10**	6
Extent of supply chain initiatives to address impacts of cotton production	Has pilot projects to EITHER reduce water use OR eliminate pesticides	Requires all suppliers to produce or purchase sustainable cotton and verifies compliance	LOW **6** TOP	2
Percentage of cotton third-party certified to an environmental standard	Between 30-60% (approximately)	All Products	LOW **5** TOP	4
Future targets for cotton sourcing	The company has clear measurable targets or all products are already certified or traced	The company has clear measurable targets or all products are already certified or traced	LOW MID **10**	4
Extent of cotton traceability to place of origin	Up to 30%	All Products	LOW **3** TOP	2

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Commitments towards responsible cotton sourcing	Company belongs to an industry group with a stated policy	Publicly stated formal policy	LOW 7 TOP	4

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NIKE, INC. (NKE)

MSCI ESG RATINGS **BBB**

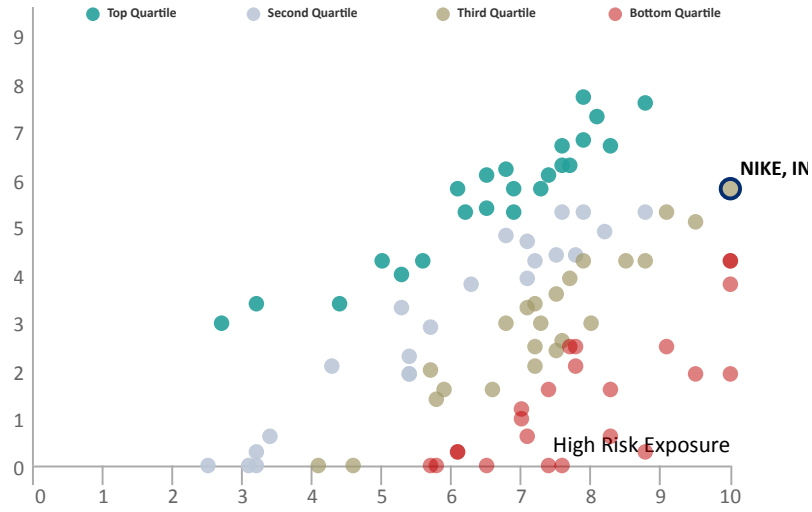
CCC | B | BB | **BBB** | A | AA | AAA

RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

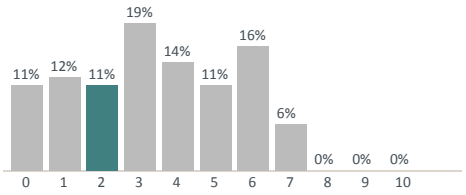
Chemical Safety

Score	Change (since rating)	Quartile	Weight	Last score change date
2.8	▲ 0.4	●●	12.0%	Nov 02, 2026

Strong Risk Management



KEY ISSUE SCORE DISTRIBUTION*



TOP 5 INDUSTRY LEADERS

LULULEMON ATHLETICA INC.	7.3
MAVI GIYIM SANAYI VE TICARET ANONIM SIRKETI	7.3
BOSIDENG INTERNATIONAL HOLDINGS LIMITED	6.8
Capri Holdings Limited	6.7
KERING SA	6.6

BOTTOM 5 INDUSTRY LAGGARDS

CROCS, INC.	0.0
F&F Co Ltd	0.0
New Wave Group AB	0.0
ONWARD HOLDINGS CO., LTD.	0.0
WACOAL HOLDINGS CORP.	0.0

KEY ISSUE ASSESSMENT

Company 2.8
Industry 3.4
0 5 10
Low Mod High

RISK EXPOSURE ASSESSMENT

Company 10.0
Industry 6.6
0 5 10
Low Mod High Risk

RISK MANAGEMENT ASSESSMENT

Company 5.8
Industry 3.3
0 5 10
Low Mod Strong Risk Management

Drivers of Risk Exposure

Business Types
Company 8.6
0 5 10

Business Locations
Company 7.2
0 5 10

Drivers of Risk Management

Practices Score
Company 5.8
0 5 10

Controversy Deduction
Company 0.0
-5.0 -2.5 0

METHODOLOGY NOTE

Companies are evaluated on the possible presence of harmful chemicals in their product portfolio, their potential exposure to strengthening or pending chemical regulations and their efforts to develop less harmful alternatives.

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NIKE, INC. (NKE)

MSCI ESG RATINGS BBB

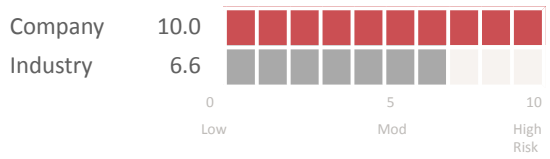
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

EXPOSURE

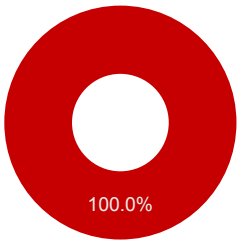
RISK EXPOSURE ASSESSMENT



Key Drivers of Risk Exposure

Exposure to: Risk of losing market access or reformulation costs due to presence of chemicals of concern in products

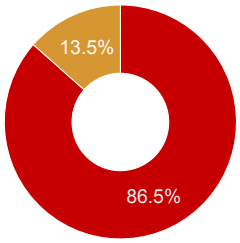
Business Types : Percentage of revenue from product lines that typically contain substances of very high concern (SVHC) and Substitute It Now (SIN) List substances



- Sporting goods, Athletic footwear
- No exposure to medium risk segments
- No exposure to low risk segments

Source: Danish Working Environment Authority; International Chemical Secretariat Substitute It Now List; MSCI Sustainability & Climate; Refinitiv; company disclosures.

Business Locations : Percentage of revenue in markets with strengthening or evolving chemical regulations

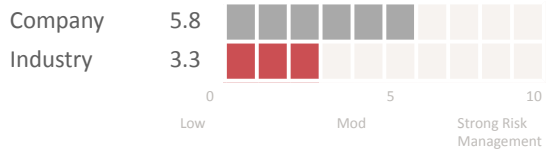


- USA, other countries, North America, EMEA, Greater China
- Latin America & Asia Pacific
- No operations in markets with low risks

Source: MSCI Sustainability & Climate; Refinitiv; company disclosures.

MANAGEMENT

RISK MANAGEMENT ASSESSMENT



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RATING ACTION DATE: March 23, 2026
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Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Scope of disclosure of registration and use of regulated substances	Discloses all regulatory registrations	Discloses all regulatory registrations and use	LOW **5** TOP	4
Environmental and health standards in new product design	Company applies well-defined standards (e.g. Principles of Green Chemistry, Cradle to Cradle certification, Organic certification)	Company applies well-defined standards (e.g. Principles of Green Chemistry, Cradle to Cradle certification, Organic certification)	LOW MID **10**	5
Initiatives to improve consumer awareness on product chemical content	No evidence	Extensive information explaining chemical content to consumers (e.g. website, app)	**0** MID TOP	0
Demonstrated track record of phasing out and/or reformulating products with chemicals of concern	As required by law	Proactively (ahead of regulations or exceeds regulations)	LOW **5** TOP	4
Level of efforts to identify substances for regulatory risk	Comprehensive identification of all chemicals used	Comprehensive identification of all chemicals used	LOW MID **10**	5
Scope of chemical phase-out plan	Company has plans to phase-out all chemicals of concern	Company has already phased out all chemicals of concern	LOW **6** TOP	2

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NIKE, INC. (NKE)

MSCI ESG RATINGS **BBB**

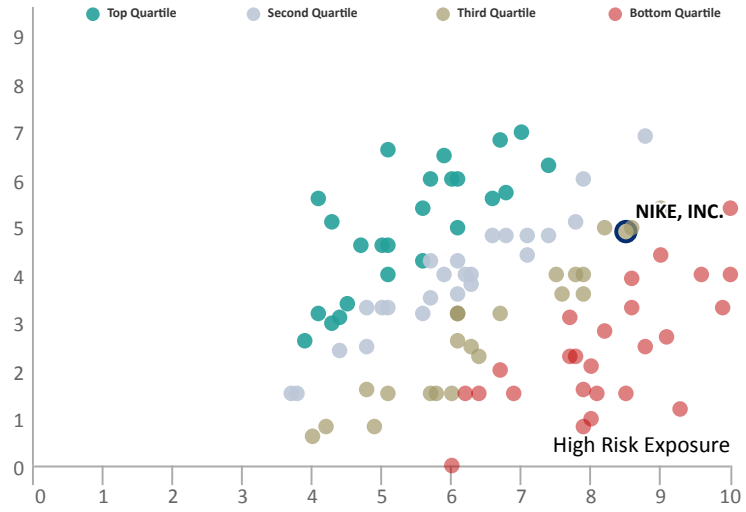
CCC | B | BB | **BBB** | A | AA | AAA

RATING ACTION DATE: March 23, 2026
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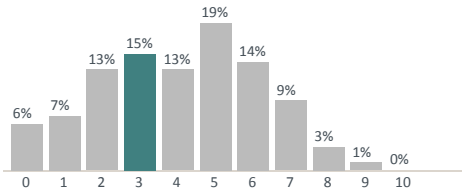
Labor Management

Score	Change (since rating)	Quartile	Weight	Last score change date
3.4	0.0	●●	12.0%	Mar 23, 2026

Strong Risk Management



KEY ISSUE SCORE DISTRIBUTION*



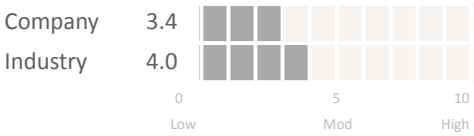
TOP 5 INDUSTRY LEADERS

DECKERS OUTDOOR CORPORATION	8.5
GOLDWIN INC.	8.5
Bjorn Borg AB	7.8
TAPESTRY, INC.	7.6
BOSIDENG INTERNATIONAL HOLDINGS LIMITED	7.2

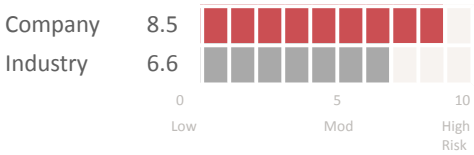
BOTTOM 5 INDUSTRY LAGGARDS

Grendene SA	0.4
INDO COUNT INDUSTRIES LIMITED	0.0
K.P.R. Mill Limited	0.0
Vedant Fashions Limited	0.0
Vulcabras S.A.	0.0

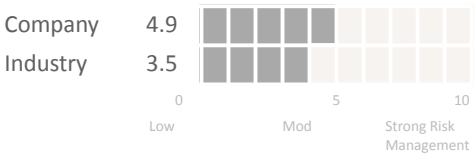
KEY ISSUE ASSESSMENT



RISK EXPOSURE ASSESSMENT



RISK MANAGEMENT ASSESSMENT

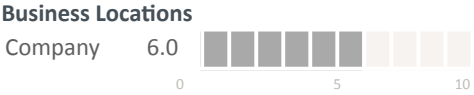


Drivers of Risk Exposure

Business Types



Business Locations



Drivers of Risk Management

Practices Score



Controversy Deduction



METHODOLOGY NOTE

Companies are evaluated on the complexity of their workforce (size, labor intensity, and regions of operation), employee relations, strength of worker protections, and employee engagement efforts.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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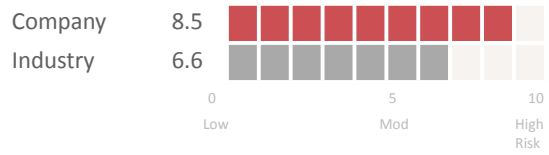
MSCI ESG RATINGS BBB

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: March 23, 2026
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EXPOSURE

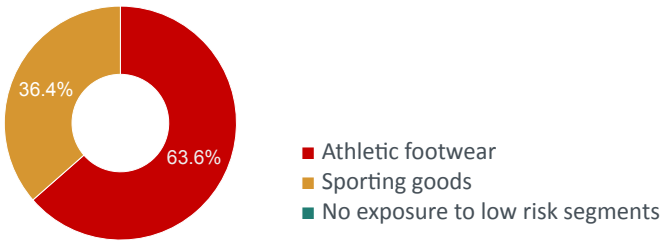
RISK EXPOSURE ASSESSMENT



Key Drivers of Risk Exposure

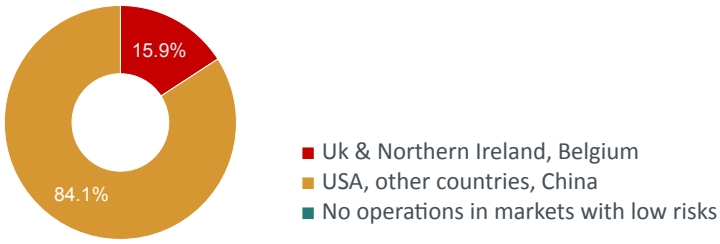
Exposure to: Risk of workflow disruptions due to labor unrest, or reduced productivity due to poor job satisfaction

Business Types : Percentage of operations in business segments with high/moderate/low labor intensities, as measured by average sales per employee of industries



Source: MSCI Sustainability & Climate; Refinitiv; company disclosures.

Business Locations : Percentage of operations in countries with high/moderate/low likelihood of labor unrest (based on historic precedent)



Source: International Labour Organization (ILO); MSCI Sustainability & Climate; Refinitiv; company disclosures.

Additional Drivers of Exposure

Size and Composition of Workforce

Number of Employees

Year	Number of employees
2024	77,800
2023	79,400
2022	75,746
2021	79,100
2020	73,300

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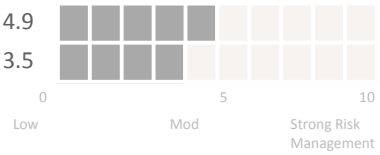
Layoffs Events

Major Layoffs:	**Yes**

MANAGEMENT

RISK MANAGEMENT ASSESSMENT

Company	4.9
Industry	3.5



Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Scope of workforce eligibility for variable performance-based component to pay	Selective performance-based incentive pay for non-officer staff	Strong performance-based incentive pay structure covers all employees	LOW 5 TOP	3
Workforce eligible for paid parental leave policy	No evidence	Benefits cover all employees	0 MID TOP	2
Employee equity programs	Only select number of employees eligible for ESOP and/or ESPP	Sector-leading number of employees eligible for ESOP and/or ESPP	LOW 7 TOP	5
Support for degree programs or certifications for employees	Program exists but does not cover all employees	Program covers all employees (including part-time and contractors)	LOW 5 TOP	1
Restructuring policies and programs	Evidence of severance pay and assistance with outplacement, reemployment or retraining	Evidence of severance pay and assistance with outplacement, reemployment or retraining	LOW MID 10	5
Employee satisfaction survey frequency	Surveys conducted annually	Surveys conducted annually	LOW MID 10	6
Skills and knowledge development training	Program exists but no indication of scope	Program covers all employees (including part-time and contractors)	LOW 5 TOP	4

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NIKE, INC. (NKE)



RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

Controversy Cases

Assessment	Headline	Status	Last Updated
Moderate	**US: EEOC reportedly investigated alleged systemic discrimination in Diversity, Equity, and Inclusion practices**	Ongoing	February 2026
Moderate	**Proposed settlement to lawsuit over complaints alleging improper conduct at work impacting female employees**	Partially Concluded	April 2025
Moderate	**Turkey: Workers strike for better wages, job security, and working conditions; negotiation ongoing**	Ongoing	March 2025

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NIKE, INC. (NKE)

MSCI ESG RATINGS **BBB**

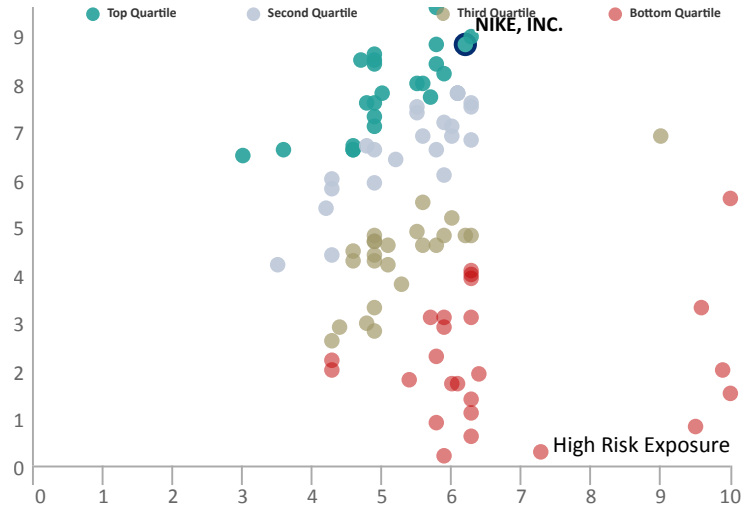
CCC | B | BB | **BBB** | A | AA | AAA

RATING ACTION DATE: March 23, 2026
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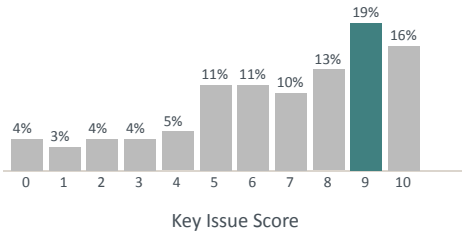
Product Carbon Footprint

Score	Change (since rating)	Quartile	Weight	Last score change date
9.6	0.0	●●●●	9.0%	Mar 23, 2026

Strong Risk Management



KEY ISSUE SCORE DISTRIBUTION*



TOP 5 INDUSTRY LEADERS

CANADA GOOSE HOLDINGS INC.	10.0
GILDAN ACTIVEWEAR INC.	10.0
KERING SA	10.0
LPP SPOLKA AKCYJNA	10.0
MONCLER S.P.A.	10.0

BOTTOM 5 INDUSTRY LAGGARDS

TAINAN SPINNING CO., LTD.	0.7
AKSA AKRILIK KIMYA SANAYII ANONIM SIRKETI	0.0
K.P.R. Mill Limited	0.0
TRIDENT LIMITED	0.0
VARDHMAN TEXTILES LIMITED	0.0

KEY ISSUE ASSESSMENT

Company	9.6
Industry	6.6

0 5 10
Low Mod High

RISK EXPOSURE ASSESSMENT

Company	6.2
Industry	5.7

0 5 10
Low Mod High Risk

RISK MANAGEMENT ASSESSMENT

Company	8.8
Industry	5.3

0 5 10
Low Mod Strong Risk Management

Drivers of Risk Exposure

Business Types

Company	6.2

0 5 10

Drivers of Risk Management

Practices Score

Company	8.8

0 5 10

Controversy Deduction

Company	0.0

-5.0 -2.5 0

METHODOLOGY NOTE

Companies are evaluated on the carbon intensity of their products and their ability to reduce the carbon footprint in their supply chains or in the use of their products and services.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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NIKE, INC. (NKE)

MSCI ESG RATINGS BBB

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: March 23, 2026
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EXPOSURE

RISK EXPOSURE ASSESSMENT

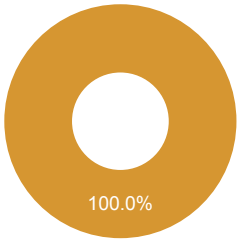
Company	6.2
Industry	5.7



Key Drivers of Risk Exposure

Exposure to: Risk of having to pay increased product purchasing costs (cost of goods sold) due to aggregate increase in input costs (primarily energy) throughout the upstream stages

Business Types : Percent of total revenue from products with large/moderate/low carbon footprint (carbon emissions attributed to upstream supply chain per economic value of output) For Automobile: Composition of product portfolio (as percent of total revenue) by vehicle type based on regulatory requirements for vehicle carbon emissions or fuel efficiency, (expressed as fleet average gCO2/km or mpg)



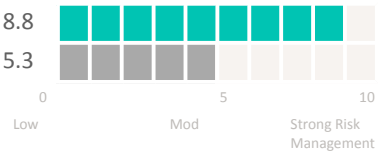
- No exposure to high risk segments
- Sporting goods, Athletic footwear
- No exposure to low risk segments

Source: IERS' Comprehensive Environmental Data Archive (CEDA); MSCI Sustainability & Climate; Refinitiv; company disclosures.

MANAGEMENT

RISK MANAGEMENT ASSESSMENT

Company	8.8
Industry	5.3



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Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Targets to reduce Scope 3 upstream carbon emissions	The company has already calculated the carbon footprint of its core products and production stages and has a plan for impact reduction	The company has already calculated the carbon footprint of its core products and production stages and has a plan for impact reduction	LOW MID **10**	5
Extent of energy consumption or carbon emissions reduction programs in transportation and logistics	Improvements in fleet, routes, OR load/packaging optimization	Improvements in fleet, routes, AND load/ packaging optimization	LOW **6** TOP	5
Extent of energy consumption or carbon emissions reduction programs in raw materials sourcing	Some products (anecdotal cases)	All or core products	LOW **6** TOP	6
Extent of energy consumption or carbon emissions reduction programs in manufacturing operations (including suppliers)	Some facilities (anecdotal cases)	All or core production facilities	LOW **6** TOP	5
Extent of energy consumption or carbon emissions reduction programs in distribution centers or store operations	Some stores/distribution centers (anecdotal cases)	All or most stores and distribution centers	LOW **6** TOP	4
Energy consumption or carbon emissions assessment of transportation and logistics	Yes	Yes	LOW **10**	7
Energy consumption or carbon emissions assessment of raw materials sourcing	Yes	Yes	LOW **10**	5
Energy consumption or carbon emissions assessment of manufacturing operations (including suppliers)	Yes	Yes	LOW **10**	6
Energy consumption or carbon emissions assessment of distribution and store operations	Yes	Yes	LOW **10**	8

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Assessment of energy consumption and/or carbon emissions of suppliers	Core or largest direct suppliers submit carbon and/or energy use data	All suppliers submit carbon and/or energy use data	LOW 8 TOP	4
Extent of product carbon footprint assessments	Carbon footprint is calculated for all products	Carbon footprint is calculated for all products	LOW MID 10	6

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APPENDIX

CONTENTS

ADDITIONAL ESG ISSUES

CONTROVERSIES DETAIL

ADDITIONAL CORPORATE GOVERNANCE CONTENT

KEY METRIC & SCORE CHANGES

CEO PAY CHARTS

DIRECTOR VOTES

SHAREHOLDER/MANAGEMENT PROPOSALS

GOVERNANCE STANDARDS

DIRECTOR PROFILES

EU REGULATION 2024/3005 DISCLOSURES

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MSCI ESG RATINGS

BBB

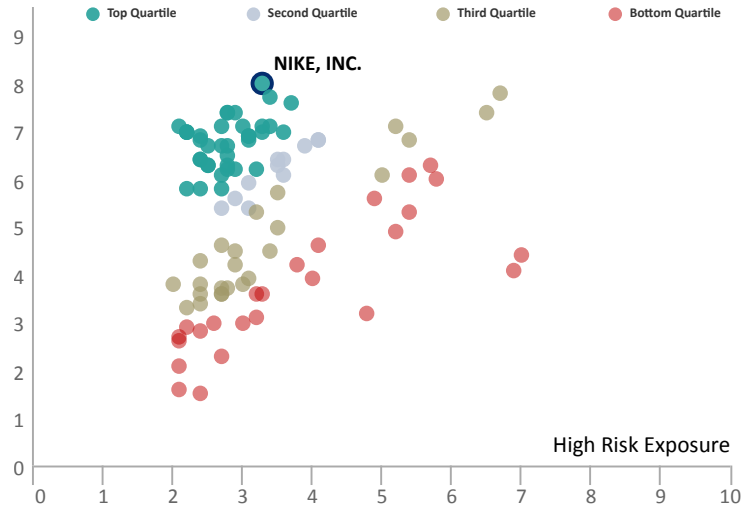
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: March 23, 2026
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Carbon Emissions

Score	Change (since rating)	Quartile	Weight	Last score change date
10.0	0.0	●●●●		Mar 23, 2026

Strong Risk Management



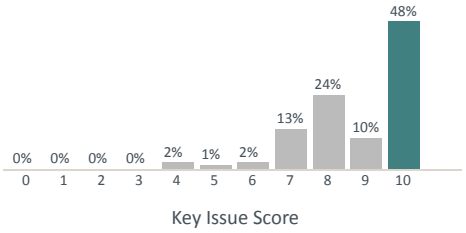
This issue does not present significant risks or opportunities to the company and with the assigned weight of 0% does not contribute to the overall ESG rating for the company.

MSCI Research provides additional scores on a select set of Key Issues for all companies on the MSCI ACWI Index and MSCI ACWI IMI Index. Every company on the index receives scores for the following Key Issues, regardless of whether they contribute to the overall Company ESG Rating.

The additional key issue scores and data available by index are as follows:

- MSCI ACWI: Water Stress, Labor Management, Privacy and Data Security
- MSCI ACWI IMI: Carbon Emissions and Human Capital Development

KEY ISSUE SCORE DISTRIBUTION*



TOP 5 INDUSTRY LEADERS

ASICS Corporation	10.0
Azzas 2154 S.A.	10.0
BRUNELLO CUCINELLI S.P.A.	10.0
BURBERRY GROUP PLC	10.0
CANADA GOOSE HOLDINGS INC.	10.0

BOTTOM 5 INDUSTRY LAGGARDS

LAO FENG XIANG CO., LTD.	6.0
BIRKENSTOCK HOLDING PLC	5.7
K.P.R. Mill Limited	5.3
AKSA AKRILIK KIMYA SANAYII ANONIM SIRKETI	4.3
TAINAN SPINNING CO., LTD.	4.3

METHODOLOGY NOTE

Companies are evaluated on the carbon intensity of their operations and their efforts to manage climate-related risks and opportunities.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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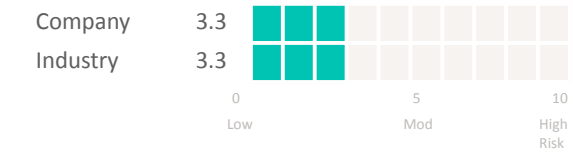
MSCI ESG RATINGS BBB

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: March 23, 2026
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EXPOSURE

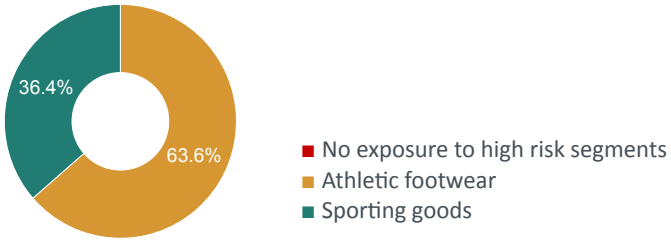
RISK EXPOSURE ASSESSMENT



Key Drivers of Risk Exposure

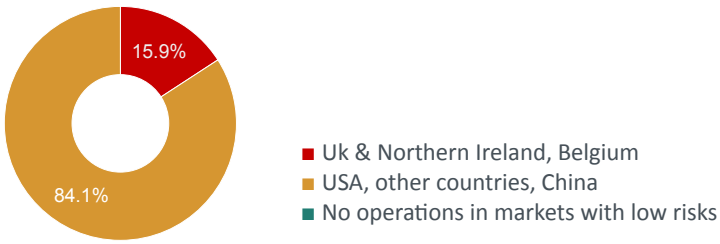
Exposure to: Risks of having to pay increased compliance costs tied to carbon emissions regulations

Business Types : Percentage of operations in business segments with high/moderate/low carbon intensity



Source: GHG emissions intensities compiled by MSCI Sustainability & Climate; Refinitiv; company disclosures.

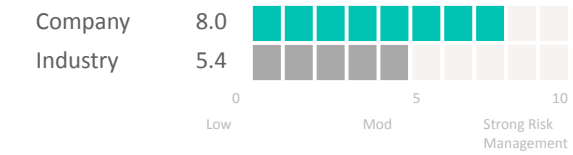
Business Locations : Percentage of operations in countries with strengthening or pending carbon emissions regulation



Source: International Monetary Fund (IMF) Implied Mitigation Targets; Net Zero Tracker; Carbon Pricing Dashboard, IMF Fossil Fuel subsidies data; MSCI Sustainability & Climate; Refinitiv; company disclosures.

MANAGEMENT

RISK MANAGEMENT ASSESSMENT



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NIKE, INC. (NKE)

MSCI ESG RATINGS BBB

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Carbon emissions target verification			10	10
Carbon emissions target progress			7	3
Carbon emissions target comprehensiveness			10	6
Use of cleaner sources of energy	Some efforts	Aggressive efforts	LOW 7 TOP	6
Energy Consumption Management & Operational Efficiency	Some efforts	Aggressive efforts	LOW 7 TOP	6

Description	Company Performance	Best Practice	Performance Score	Industry Average
Performance				
Carbon emissions performance relative to peers			8	5

GHG Emissions - metric tons CO2e

Year	Scope 1 Disclosed	Scope 1 Estimate Key	Scope 2 Disclosed	Scope 2 Estimate Key	Scope 1+2 Disclosed	Scope 3 (upstream)	Scope 3 (downstream)	Scope 3 (undefined)	Scope 1 Estimated	Scope 2 Estimated	Scope 1+2 Estimated	Scope 1+2 Estimate Key	GHG Emissions Details
2024		E.CSI		E.CSI								E.CSI	May 2026 Emissions Estimation Model Update
2023	57,390	Reported	12,120	Reported	69,510							Reported	
2022	59,672	Reported	11,051	Reported	70,723							Reported	
2021	50,868	Reported	24,900	Reported	75,768							Reported	
2020	42,720	Reported	76,420	Reported	119,140							Reported	

GHG Emissions Intensity - metric tons CO2e / USD million sales

Year	GHG Intensity	GHG Intensity Details	GHG Intensity - Reported	GHG Intensity - Reported Details
2024	1.54			
2023	1.35			
2022	1.38			
2021	1.62			
2020	2.68			

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NIKE, INC. (NKE)

MSCI ESG RATINGS

BBB

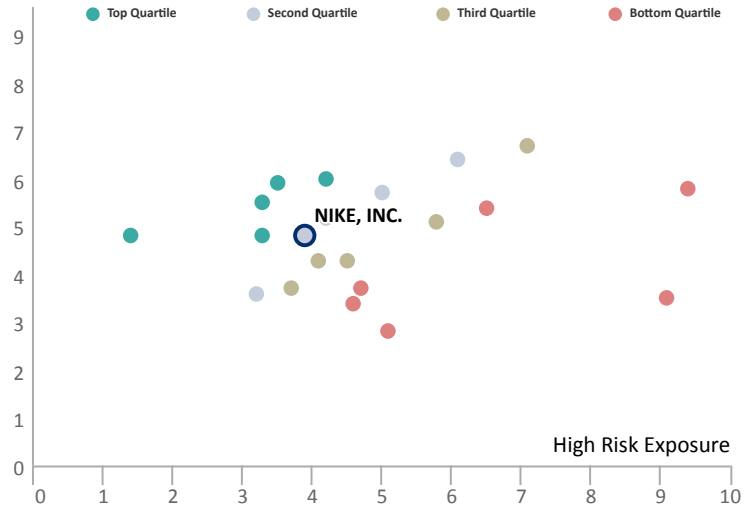
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

Water Stress

Score	Change (since rating)	Quartile	Weight	Last score change date
8.0	n/a	●●●		Mar 23, 2026

Strong Risk Management

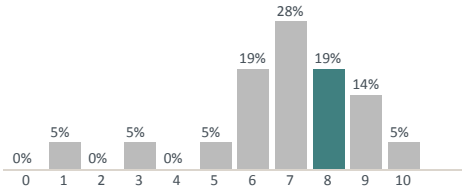


This issue does not present significant risks or opportunities to the company and with the assigned weight of 0% does not contribute to the overall ESG rating for the company.

MSCI Research provides additional scores on a select set of Key Issues for all companies on the MSCI ACWI Index and MSCI ACWI IMI Index. Every company on the index receives scores for the following Key Issues, regardless of whether they contribute to the overall Company ESG Rating.

The additional key issue scores and data available by index are as follows:
- MSCI ACWI: Water Stress, Labor Management, Privacy and Data Security
- MSCI ACWI IMI: Carbon Emissions and Human Capital Development

KEY ISSUE SCORE DISTRIBUTION*



TOP 5 INDUSTRY LEADERS

ASICS Corporation	9.8
Laopu Gold Co., Ltd.	9.5
COMPAGNIE FINANCIERE RICHEMONT SA	9.3
adidas AG	8.8
The Swatch Group AG	8.5

BOTTOM 5 INDUSTRY LAGGARDS

HERMES INTERNATIONAL S.C.A.	6.0
BOSIDENG INTERNATIONAL HOLDINGS LIMITED	5.8
DECKERS OUTDOOR CORPORATION	4.7
TAPESTRY, INC.	3.4
SHENZHOU INTERNATIONAL GROUP HOLDINGS LIMITED	1.3

METHODOLOGY NOTE

Companies are evaluated on the water intensity of their operations, levels of water stress in their areas of operation and their efforts to manage water-related risks and opportunities.

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NIKE, INC. (NKE)

MSCI ESG RATINGS BBB

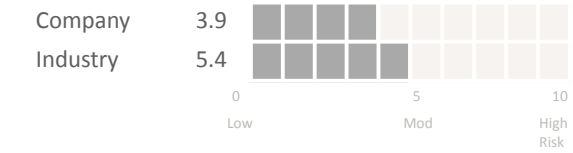
CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

EXPOSURE

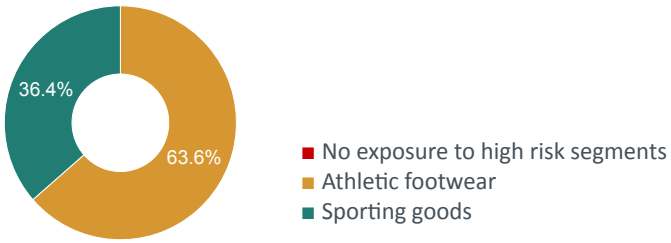
RISK EXPOSURE ASSESSMENT



Key Drivers of Risk Exposure

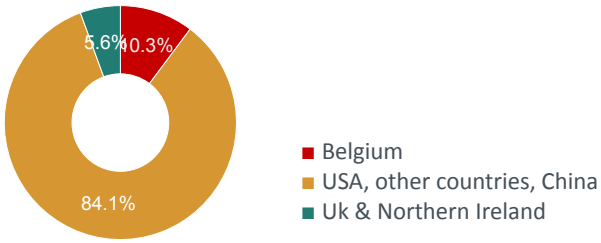
Exposure to: Risk of increased cost of input, disputes around access rights to key resources or operational disruptions to production processes requiring water as a critical input

Business Types : Percentage of operations in business segments with high/moderate/low water intensity



Source: The International Earth Rotation Service's Comprehensive Environmental Data Archive; M.M. Mekonnen and A.Y. Hoekstra, "The green, blue and grey water footprint of crops and derived crop products," Hydrology and Earth System Sciences 15, no. 5 (2011): 1,577-1,600.; MSCI Sustainability & Climate; Refinitiv; company disclosures.

Business Locations : Percentage of operations in countries or regions with high/moderate/low percent of territory affected by oversubscription to water resources



Source: Hofste, R., S. Kuzma, S. Walker, E.H. Sutanudjaja, et. al., 2019, "Aqueduct 4.0: Updated Decision- Relevant Global Water Risk Indicators," Technical Note, Washington, DC: World Resources Institute; MSCI Sustainability & Climate; Refinitiv; company disclosures.

MANAGEMENT

RISK MANAGEMENT ASSESSMENT



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Description	Company Practice	Best Practice	Practices Score		Industry Average
Practice					
Executive body responsible for water management strategy and performance			10		10
Executive body responsible for company's environmental management strategy and performance	Board-level committee	Board-level committee	—		—
Scope of water reduction programs at own operations	No evidence	Multiple water use-reduction programs implemented across all water-stressed areas	0	TOP	0
Water recycling rate score			3		3
Use of alternative water			0		4
Evidence of using alternative water sources	No	Yes	—		—
Water stress target comprehensiveness			9		4
Water stress target progress			10		3

Water Consumption/ Withdrawal Targets

Baseline Year	Target Year	Target Description	Target Reduction (%)
2020	2025	25% reduction in freshwater usage L per kg in textile dyeing and finishing	25.00%
2015	2020	FY2020 goal is to achieve a 20% reduction in freshwater use in textile dyeing and finishing per kilogram of material from primary material vendors	20.00%
2011	2015	Improve water efficiency per unit in apparel materials dyeing and finishing, and in footwear manufacturing	15.00%

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NIKE, INC. (NKE)



RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

Description	Company Performance	Best Practice	Performance Score	Industry Average

Performance

Freshwater withdrawal performance relative to peers		4	5

Water Consumption Performance

Year	Freshwater Consumption (m3)	Freshwater Consumption Intensity (m3/ USD million sales)	Details
2019	15,437,300	412.73	
2018	16,524,800	422.45	
2017	17,103,600	469.92	
2016	15,876,400	462.20	

Water Withdrawal Performance

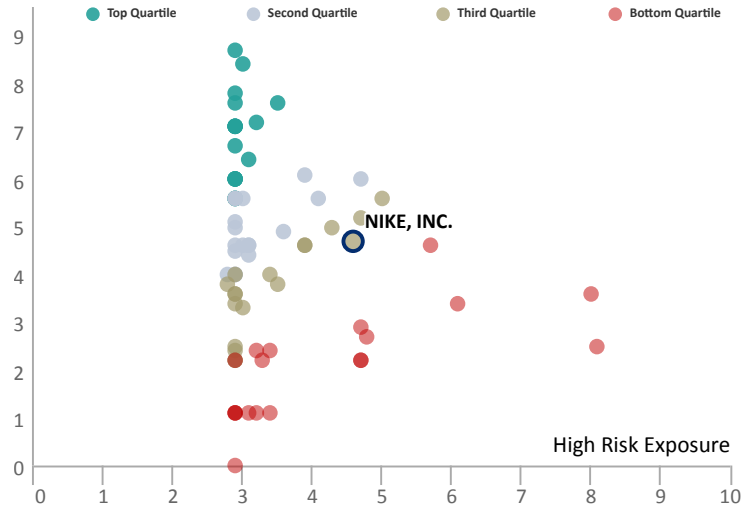
Year	Freshwater Withdrawal (m3)	Freshwater Withdrawal Intensity (m3/ USD million sales)
2023	17,627,000	343.19
2022	18,234,000	356.01
2021	21,220,000	454.29
2020	19,321,500	433.82
2019	20,575,000	550.09

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Human Capital Development

Score	Change (since rating)	Quartile	Weight	Last score change date
7.1	n/a	●●		Mar 23, 2026

Strong Risk Management

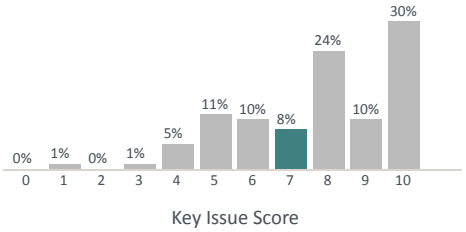


This issue does not present significant risks or opportunities to the company and with the assigned weight of 0% does not contribute to the overall ESG rating for the company.

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- MSCI ACWI IMI: Carbon Emissions and Human Capital Development

KEY ISSUE SCORE DISTRIBUTION*



TOP 5 INDUSTRY LEADERS

BOSIDENG INTERNATIONAL HOLDINGS LIMITED	10.0
BURBERRY GROUP PLC	10.0
CANADA GOOSE HOLDINGS INC.	10.0
DECKERS OUTDOOR CORPORATION	10.0
DR. MARTENS PLC	10.0

BOTTOM 5 INDUSTRY LAGGARDS

Vivara Participacoes S.A.	4.5
SAFILO GROUP S.P.A.	4.3
361 DEGREES INTERNATIONAL LIMITED	4.1
SEIKO GROUP CORPORATION	2.6
The Swatch Group AG	1.3

METHODOLOGY NOTE

Companies are evaluated on their workforce talent requirements and their ability to attract, retain, and develop a highly skilled workforce.

*[For symbols and terms used in this report, refer to the Glossary section at the end of the report]

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NIKE, INC. (NKE)

MSCI ESG RATINGS

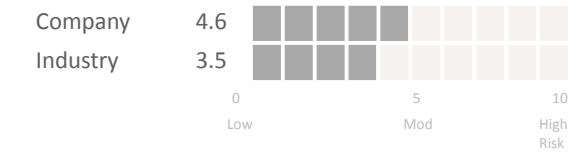
BBB

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: March 23, 2026
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EXPOSURE

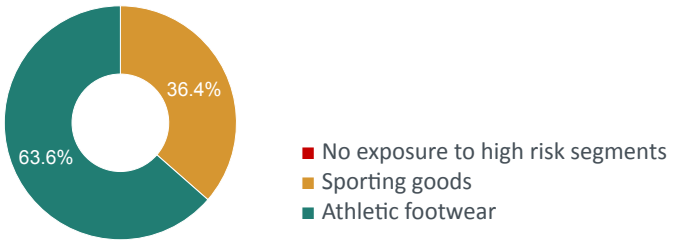
RISK EXPOSURE ASSESSMENT



Key Drivers of Risk Exposure

Exposure to: Risk of increased turnover and associated costs of rehiring, loss of intellectual and human capital through attrition, reduced ability to attract talent

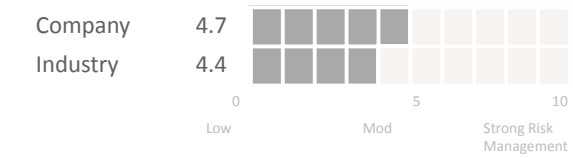
Business Types : Percentage of operations in business segments with high/moderate/low levels of employee qualification needs and compensation per employee



Source: Employment Projections Program, Bureau of Labor Statistics; Occupational Employment Statistics, Bureau of Labor Statistics; MSCI Sustainability & Climate; Refinitiv; company disclosures.

MANAGEMENT

RISK MANAGEMENT ASSESSMENT



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RATING ACTION DATE: March 23, 2026
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Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Skills and knowledge development training	General statements on leadership training with unknown scope or achieved results	Comprehensive succession planning & development programs at multiple levels	LOW 5 TOP	4
Employee equity programs	Only select number of employees eligible for ESOP and/or ESPP	Sector-leading number of employees eligible for ESOP and/or ESPP	LOW 7 TOP	5
Workforce eligible for paid parental leave policy	No evidence	Benefits cover all employees	0 MID TOP	2
Employee satisfaction survey frequency	Surveys conducted annually	Surveys conducted annually	LOW MID 10	6

Workforce Diversity

Year (YYYY)	Annual employee turnover
2024	
2023	
2022	
2021	
2020	

Controversy Cases

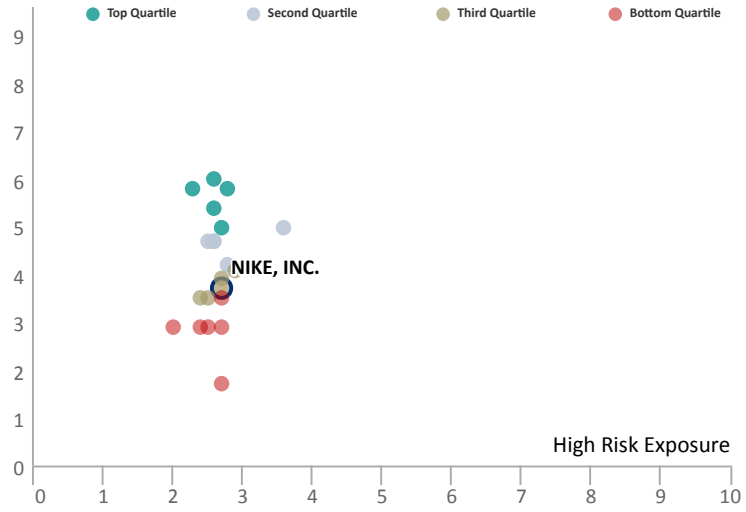
Assessment	Headline	Status	Last Updated
Moderate	**US: EEOC reportedly investigated alleged systemic discrimination in Diversity, Equity, and Inclusion practices**	Ongoing	February 2026
Moderate	**Turkey: Workers strike for better wages, job security, and working conditions; negotiation ongoing**	Ongoing	March 2025

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Privacy & Data Security

Score	Change (since rating)	Quartile	Weight	Last score change date
7.9	n/a	●●		Mar 23, 2026

Strong Risk Management



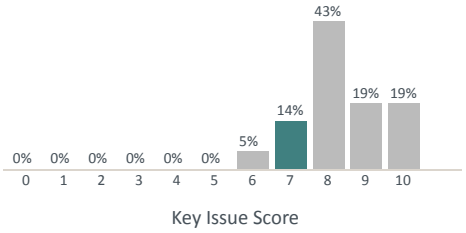
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KEY ISSUE SCORE DISTRIBUTION*



TOP 5 INDUSTRY LEADERS

ANTA SPORTS PRODUCTS LIMITED	10.0
DECKERS OUTDOOR CORPORATION	10.0
TITAN COMPANY LIMITED	10.0
HERMES INTERNATIONAL S.C.A.	9.9
ASICS Corporation	9.3

BOTTOM 5 INDUSTRY LAGGARDS

The Swatch Group AG	7.8
LPP SPOLKA AKCYJNA	7.5
SHENZHOU INTERNATIONAL GROUP HOLDINGS LIMITED	7.4
Li Ning Co Ltd	7.3
Pandora A/S	6.0

METHODOLOGY NOTE

Companies are evaluated on the amount of personal data they collect, their exposure to evolving or increasing privacy regulations, their vulnerability to potential data breaches, and their systems for protecting personal data.

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NIKE, INC. (NKE)

MSCI ESG RATINGS BBB

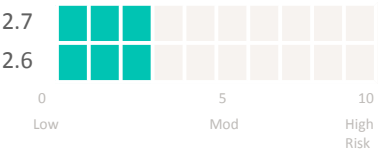
CCC | B | BB | BBB | A | AA | AAA

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EXPOSURE

RISK EXPOSURE ASSESSMENT

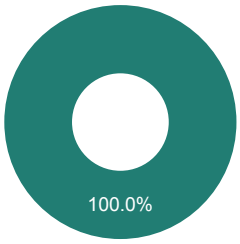
Company	2.7
Industry	2.6



Key Drivers of Risk Exposure

Exposure to: Risk of compliance cost increase or reputational damage from data breaches or controversial use of personal data

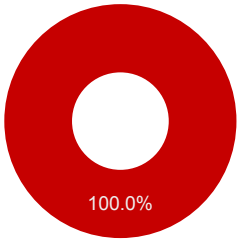
Business Types : Percentage of revenue derived from business segments that · require collection and/or handling of sensitive personal data · have witnessed high cost and frequency of data breaches



- No exposure to high risk segments
- No exposure to medium risk segments
- Sporting goods, Athletic footwear

Source: Ponemon Institute and IBM's Cost of a Data Breach report series; Verizon's Data Breach Investigations Report; MSCI Sustainability & Climate; Refinitiv; company disclosures.

Business Locations : Percentage of operations in countries with strengthening or evolving data and privacy regulations, with high cost of data breaches



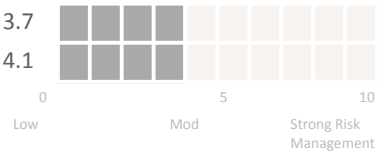
- USA, other countries, North America, Latin America & Asia Pacific, EMEA, Greater China
- No operations in markets with medium risks
- No operations in markets with low risks

Source: Ponemon Institute and IBM's Cost of a Data Breach report series; MSCI Sustainability & Climate; Refinitiv; company disclosures.

MANAGEMENT

RISK MANAGEMENT ASSESSMENT

Company	3.7
Industry	4.1



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RATING ACTION DATE: March 23, 2026
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Description	Company Practice	Best Practice	Practices Score	Industry Average
Practice				
Data protection programs covering suppliers and business partners	No evidence	Yes - inspections are conducted to verify their compliance	0 MID TOP	1
Consent policy for use of consumer data for secondary purposes	No evidence	Company does not rent, sell, or provide personal data to third parties for purposes other than completing transactions/ services	0 MID TOP	1
Scope of information security management system certifications	No evidence	Most (over 80%) owned operations are certified to widely accepted standards	0 MID TOP	0
Rights provided to consumers regarding the control of their data	Right of access and rectification of individuals' data	Right of access, rectification and deletion of individuals' data	LOW 5 TOP	5
Scope of data protection policy	Policy governs all relevant business lines/subsidiaries	Policy governs all relevant business lines/subsidiaries	LOW MID 10	5
Responsibility for privacy and data security	Special task force or risk officer	Board-level committee	LOW 5 TOP	5
Scope of employee training on privacy and data security	Training is provided to selected employees or scope unclear	Training is provided to all employees, including contractors	LOW 5 TOP	5
Measures to address data breaches	Proactive measures are in place	Both proactive and reactive measures are in place	LOW 5 TOP	7
Frequency of audits of information security system	General statements on conducting information security audits	External independent audits are conducted at least once every two years	LOW 5 TOP	5

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Controversy Cases

Assessment	Headline	Status	Last Updated
Minor	**California, US: Proposed class action lawsuits over alleged unauthorized use of online tracking technologies to collect personal data without user consent**	Ongoing	January 2026
Minor	**Florida, US: Proposed class action alleged unauthorized tracking software used on retail website**	Ongoing	January 2026

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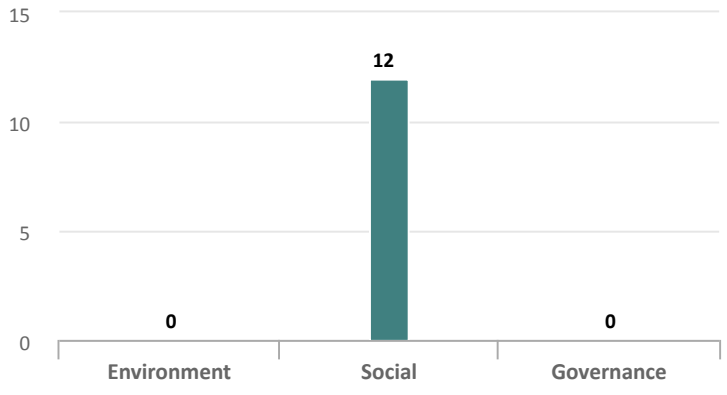
CONTROVERSIES DETAIL

Here you will find the narratives for all controversies relevant to the company. Please note while every controversy case may signal reputational risk, not every controversy is judged to pose material risks; therefore, not every controversy affects the company's overall rating.

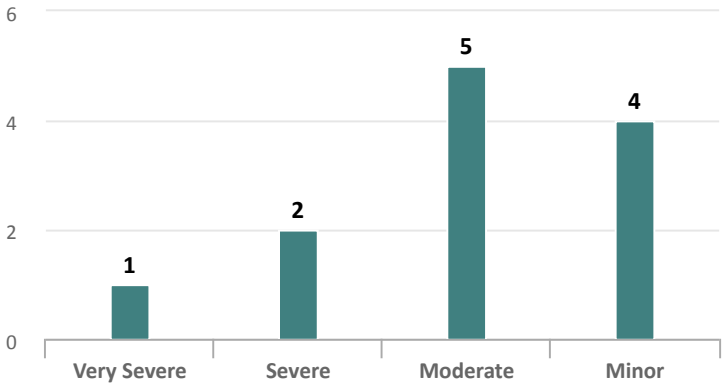
CONTROVERSY CARD

	ASSESSMENT				
	VERY SEVERE	SEVERE	MODERATE	MINOR	CONTROVERSY COUNT
Environment					
Product Carbon Footprint	0	0	0	0	0
Carbon Emissions	0	0	0	0	0
Raw Material Sourcing	0	0	0	0	0
Water Stress	0	0	0	0	0
Social					
Supply Chain Labor Standards	1	2	0	0	3
Human Capital Development	0	0	2	0	2
Chemical Safety	0	0	0	0	0
Labor Management	0	0	3	0	3
Privacy & Data Security	0	0	0	2	2
Governance					
Corporate Governance	0	0	0	0	0
Corporate Behavior	0	0	0	1	1

NUMBER OF CONTROVERSIES BY PILLAR



NUMBER OF CONTROVERSIES BY ASSESSMENT



CONTROVERSIES

- ***Very Severe:*** Indicates an action by a company that results in a very large impact on society and/or the environment.
- ***Severe:*** Indicates an action by a company that results in a large impact on society and/or the environment.
- ***Moderate:*** Indicates an action by a company that results in a moderate impact on society and/or the environment.
- ***Minor:*** Indicates an action by a company that results in a low impact on society and/or the environment.
- ***None:*** There is no evidence that a company is involved in any controversy.

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SOCIAL CONTROVERSIES

Very Severe Controversies

Date: July 2026

Assessment: Very Severe
Status: Ongoing

China: Allegations of forced labor related to suppliers employing ethnic minorities through coercive state-sponsored labor-transfer programs

Since 2019, Nike, Inc. (Nike) has faced criticism over its supply chain practices allegedly involving coercive state-sponsored labor transfers in its supply chain that may pose risks of human rights violations against ethnic minorities in the Xinjiang Uyghur Autonomous Region (XUAR).

LATEST CASE DEVELOPMENTS In August 2025, a joint investigation by The Bureau of Investigative Journalism (TBIJ) and The Guardian titled "Major NBA brands linked to forced labour in China" alleged that Nike was linked to China's state-imposed Xinjiang labor transfer scheme through its supply chain. The report alleged that Nike's footwear supplier, Fulgent Sun, brought Uyghur and Kyrgyz people to work in its factories in Fujian Province since 2013. A Nike spokesperson responded by saying that the company had cut ties with the Fujian factory in 2015. However, the investigation alleged that export records points to shipments from the Fujian factory to Nike in the US after 2015.

PREVIOUS CASE UPDATES (FROM LEAST TO MOST RECENT) In March 2020, the Australian Strategic Policy Institute (ASPI) released a policy brief entitled "Uyghurs for sale" in which it identified 82 foreign and Chinese companies "potentially directly or indirectly benefiting from the use of Uyghur workers outside Xinjiang through coercive labor transfer programs," including Nike.

ASPI reported that that apparel manufacturers which participated in the labor transfer schemes listed Nike as one of their customers. The companies included Haoyuanpeng Garment Group, which transferred 63 workers in February 2018; Qingdao Jifa Huajin Garment Co. Ltd., which was set to employ over a thousand workers from Xinjiang as of May 2018; and Changji Esquel Co. Ltd., which has taken in at least 34 Uyghurs since 2017. The ASPI's report further alleged that approximately 600 minority workers—mostly women who were transferred from Hotan and Kashgar prefectures in Xinjiang—were employed by Qingdao Taekwang Shoes Co. Ltd. (Taekwang) to work in their factory complex in Laixi (Shandong province) as of January 2020. Nike was reported to be Taekwang's primary customer.

In a March 2020 response to the Business and Human Rights Resource Centre (BHRRC), Nike denied sourcing from the Xinjiang region or from Haoyuanpeng, Jifa, or Esquel. In July 2020, Nike told Radio Free Asia that Taekwang Shoes no longer employs Uyghurs and that they have been sent home after their contracts expired. According to BHRRC, some critics have demanded proof of the workers being allowed to return home.

A December 2020 New York Times article claimed that several companies, including Nike, were allegedly involved in lobbying efforts to limit certain provisions of the Uyghur Forced Labor Prevention Act. Nike denied allegations that it lobbied against the legislation designed to prevent goods manufactured under allegations of state-sponsored forced labor, but rather, had constructive discussions with Congress regarding human rights.

In August 2022, the United Nations High Commissioner for Human Rights (OHCHR) published its "Assessment of human rights concerns in the Xinjiang Uyghur Autonomous Region, People's Republic of China" and considered the legal framework justifying these re-education camps to be discriminatory in nature and posed a serious risk of human rights violations.

The OHCHR report also claimed to have found a link between the VETCs and (state-sponsored) labor transfer schemes, where companies both local and international were incentivized to absorb labor from the camps.

The OHCHR report has reiterated concerns raised in the February 2022 report published by the International Labor Organization (ILO) that claimed to have found evidence of coercive measures and forced labor practices targeting Uyghurs and other ethnic minorities. According to the ILO, practices included "government-led mobilization of rural households, organizing forced transfers in accordance with labor export quotas; the relocation or transfer of workers under security escort; onsite management and retention of workers under strict surveillance; the threat of internment in vocational education and training centers if workers do not accept 'government administration' and the inability of placed workers to freely change employers."

In response to the OHCHR report, the People's Republic of China (PRC) has defended VETCs as tools for poverty alleviation and countering terrorism and religious extremism, and claims "trainees who have completed their studies in education and training centers have gone on to find employment in factories and enterprises."

UPDATES: 14 Jul 2026: No new information available.

30 Aug 2025: Major NBA brands linked to forced labour in China. (The Bureau of Investigative Journalism)

11 Jul 2023: Canada watchdog to probe complaints against Nike, Dynasty Gold on use of Uyghur forced labour. (THE NATIONAL POST)

11 Jul 2023: The CORE launches investigations into two Canadian companies. (Canadian Ombudsperson for Responsible Enterprise)

31 Aug 2022: OHCHR Assessment of human rights concerns in the Xinjiang Uyghur Autonomous Region, People's Republic of China. (Office of the United Nations High Commissioner for Human Rights)

26 July 2022: Note Verbale in response to the OHCHR Assessment of human rights concerns in the Xinjiang Uyghur Autonomous Region (The Permanent Mission of the People's Republic of China to the United Nations Office at Geneva; GJ/56/2022)

05 Jan 2022: U.S. Effort to Combat Forced Labor Targets Corporate China Ties. (The New York Times)

02 Dec 2021: Nike, Patagonia, C&A named in Dutch criminal filing on Chinese forced labour in Xinjiang. (South China Morning Post)

10 Jul 2021: Like We Were Enemies in a War. (Amnesty International)

25 Jun 2021: Nike boss defends firm's business in China. (BBC News)

24 Jun 2021: Nike's China sales in spotlight after Xinjiang backlash. (Reuters)

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25 Mar 2021: Nike, Adidas join brands feeling Chinese social media heat over Xinjiang. (Reuters)

17 Mar 2021: Uighur abuse: MPs criticize companies over China forced labour. (BBC News)

15 Dec 2020: Nike and Coca-Cola lobby against Xinjiang forced labor bill. (The New York Times) 05 Dec 2020: Chinese dissident targets Apple, Nike, others after report says they lobbied to weaken forced labor bill. (CNBC)

23 Jul 2020: Apple and Nike urged to cut 'China Uighur ties'. (BBC) Politicians and activists called on several companies, including Nike, to cut ties with suppliers allegedly using forced labor from Uyghurs.

21 Jul 2020: Nike says China-based supplier sent all Uyghur workers home amid forced labor allegations. (Radio Free Asia)

11 Mar 2020: Nike's response. (Business & Human Rights Resource Centre)

01 Mar 2020: Uyghurs for Sale: 'Re-education', forced labour and surveillance beyond Xinjiang. (Australian Strategic Policy Institute)

06 Aug 2019: Response by Nike. (Business & Human Rights Resource Centre)

15 Jul 2019: China is running forced labour camps in the remote province of Xinjiang — and retailers like Ikea, Target, Cotton On, Jeanswest and H&M are embroiled in the scandal. (Business Insider Australia)

16 May 2019: Western companies get tangled in China's Muslim clampdown. (The Wall Street Journal)

Source: 30 Aug 2025 (The Bureau of Investigative Journalism)

Severe Controversies

Date: July 2026
Assessment: Severe
Status: Ongoing

Criticism over alleged wage underpayment and poor labor conditions in supplier factories globally

Nike, Inc. (Nike) has faced continuous criticism from nonprofit organizations for alleged labor and human rights issues affecting factory workers in its supply chain, including poor working conditions, low wages, and failure to pay severance wages.

LATEST CASE UPDATES In January 2026, an investigative report by ProPublica and The Oregonian/OregonLive alleged that Nike's claim of paying factory workers, on average, 1.9 times the local minimum wage misrepresented conditions for parts of its supply chain, particularly in Indonesia, Nike's second-largest production hub. The report was based on interviews with approximately 100 workers from more than 10 Indonesian factories, none of whom said they earned close to twice the minimum wage as Nike claimed. The workers further alleged that the pay was not enough to cover their basic living expenses, with one worker estimating that about 70% of her colleagues taking second jobs to supplement their income. A Nike representative said that the 1.9 times figure is a global average, acknowledging that some workers, including those in Indonesia and Cambodia, may make less than this.

In March 2026, ProPublica and The Oregonian/OregonLive published a follow-up investigation alleging that Nike was expanding production to Indonesia's lower-wage regions. The report found that between 2015 to 2025, Nike's suppliers cut approximately 36,000 jobs in higher-wage areas such as Jakarta, where the minimum wage is about USD 300 a month, while adding approximately 112,000 jobs in Central and West Java, where the minimum wage is closer to USD 165 a month.

BACKGROUND (FROM LEAST TO MOST RECENT) In March 2021, the Business & Human Rights Resource Centre (BHRRC) published an report alleging that garment factories in Bangladesh, Cambodia, Ethiopia, Myanmar, and the Philippines, that supplied to 16 major fashion brands, including Nike, Inc. (Nike) had defaulted on payment of wages to their workers. The allegations stated approximately 9,800 workers had been denied complete wages amounting to around USD 10 billion since the second half of 2020. BHRRC alleged that the fashion brands had violated the basic rights of garment workers by failing to ensure legal wages and benefits were properly distributed by their supply chains. Additionally, it claimed that the brands' business model promoted power inequality and resulted in poverty for workers in supply chains. Other brands named in the report involved include Canadian Tire Corporation Limited, Carter's, Inc., H & M Hennes And Mauritz AB, Hanesbrands Inc., J Sainsbury PLC, L Brands Inc., Levi Strauss & Co., Next PLC, PVH Corp., and The Children's Place, Inc.

In July 2023, BHRRC reported more than 50 organizations, including Human Rights Watch, had urged Nike to ensure its supplier Ramatex Group settled wages and severance dues of USD 1.4 million to 1,280 Cambodian workers. Ramatex Group closed its Violet Apparel factory in June 2020 during the Covid-19 pandemic. The report claimed the Ramatex Group had denied the workers' claims. The Cambodian Arbitration Council refused to rule on the workers' claims, stating it lacked jurisdiction.

In September 2023, the NGO ActionAid published an investigative report alleging that garment factories in Cambodia, which supplied apparel and footwear to garment companies including Nike, reduced monthly wages compared to 2020 levels and failed to pay sufficient severance when the factories closed. The report, which interviewed 308 garment workers in 15 factories, claimed that workers were unable to afford basic necessities due to lower wages and overtime hours, while overtime pay became a systemic dependency. Other companies allegedly involved include Adidas AG, PUMA SE, and Levi Strauss & Co.

In May 2025, a report published by ProPublica alleged that Nike significantly expanded its manufacturing footprint in Cambodia despite being aware of widespread of alleged widespread labor rights violations. The report detailed an increase in the number of workers for Nike in Cambodia from approximately 16,000 in 2013 to over 57,000 by early 2025. The report alleged these supplier companies operated under conditions that suppressed union activity, exposed workers to extreme heat and mass fainting episodes, and page wages barely above the local minimum. Furthermore, the report claimed that most of the factory workers did not receive the 1.9 times minimum wage that Nike stated in its disclosure.

In June 2025, ProPublica published an investigative report criticizing Nike's claim that its contract factory workers earn, on average, 1.9 times the local minimum wage. The report alleged that only 1% of the workers at one of Nike's suppliers earned 1.9 times the local minimum wage, and that the majority of workers earned close to the minimum wage of USD 204 per month.

UPDATES: 21 Jul 2026: No new information available.

03 Mar 2026: Nike Is Moving Jobs to Low-Wage Regions of Indonesia. (ProPublica)

30 Jan 2026: Nike Says Its Factory Workers Make Nearly Double the Minimum Wage. In Indonesia, Workers Say, "It's Not True." (ProPublica)

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05 Jun 2025: In Cambodia, Our Journalists Put Nike's Claims About Factory Conditions to the Test. (ProPublica)

29 May 2025: Nike Repeatedly Raised Concerns About Repression in Cambodia. It Expanded Its Factory Workforce There Anyway. (ProPublica)

20 Sep 2023: Adidas, Nike accused of wage theft; 'CYCLE OF POVERTY' CAMBODIA. (THE AGE (MELBOURNE, AUSTRALIA))

20 Jul 2023: Cambodia: Over 50 human rights orgs call on Nike to ensure over 1,000 garment workers are paid legally owed severance pay of over $1 million. (BUSINESS & HUMAN RIGHTS)

11 Mar 2021: Fashion brands bring US$10bn in pandemic profits as thousands of their garment workers face wage theft. (BUSINESS & HUMAN RIGHTS)

Source: 03 Mar 2026 (ProPublica)

Date: January 2026
Assessment: Severe
Status: Concluded

China: Workers reached an agreement to end strike over compensation plan for factory closure

In January 2024, the Business & Human Rights Resource Centre reported that more than 1,000 workers at Yangzhou Baoyi Shoes Manufacturing Co. Ltd. (Yangzhou Baoyi), a subsidiary of Pou Chen Corporation, went on strike in November 2023 following the announcement of the closure of the Yangzhou factory in Jiangsu Province. The workers reportedly demanded that severance compensation be calculated in line with legal requirements, with some workers with more than 15 years of service seeking higher compensation. Yangzhou Baoyi is purportedly a manufacturer of footwear for Nike, Inc. in China. On December 8, 2023, the company reportedly issued a supplementary notice stating that it would compensate workers based on the average monthly salary at the Yangzhou Baoyi factory from December 2022 to November 2023, multiplied by the number of years of service, plus one additional month of compensation. Workers reportedly resumed work on the same day. Yangzhou Baoyi had first issued a factory closure notice on November 29, 2023. The factory reportedly closed on December 31, 2023, and production was relocated to Indonesia. The Business & Human Rights Resource Centre also referenced allegations that Yangzhou Baoyi had failed to make full social security and housing provident fund contributions in prior years. Local authorities reportedly acknowledged the issue, but described it as a legacy matter and indicated that enforcement had not been pursued. BHRRC reported calls for international brands, suppliers, and other stakeholders to take responsibility for labor standards and remediation in global supply chains.

UPDATES: 19 Jan 2026: No new information available.

19 Jan 2024: China: Over 1000 workers at alleged Nike supplier strike demanding compensation following factory closure announcement. (Business & Human Rights Resource Centre)

Source: 19 Jan 2024 (CHINA LABOUR BULLETIN)

Moderate Controversies

Date: April 2026

Assessment: Moderate
Status: Concluded

Boston, US: Controversial store advertisement during marathon week reportedly criticized for discriminatory messaging; sign removed and apology issued

UPDATES: 18 Apr 2026: Nike removes controversial sign that drew widespread criticism and vows to 'do better'. (The Straits Times (singapore))

Source: 18 Apr 2026 (The Straits Times (singapore))

Date: February 2026
Assessment: Moderate
Status: Ongoing

US: EEOC reportedly investigated alleged systemic discrimination in Diversity, Equity, and Inclusion practices

UPDATES: 11 Feb 2026: Fair is foul: inside the eeoc's sweeping subpoena in the nike dei pattern or practice discrimination investigation- and what employers should know. (Jd Supra)

Source: 11 Feb 2026 (Jd Supra)

Date: December 2025
Assessment: Moderate
Status: Ongoing

Brazil: Allegations of land grabbing and environmental harm impacting local communities by cotton supplier

UPDATES: 19 Nov 2025: Cotton grower billed as 'ethical investment' linked to land invasions. (The Bureau of Investigative Journalism)

Source: 19 Nov 2025 (The Bureau of Investigative Journalism)

Date: April 2025
Assessment: Moderate
Status: Partially Concluded

Proposed settlement to lawsuit over complaints alleging improper conduct at work impacting female employees

UPDATES: 30 Jan 2024: Hubler v. Nike, Inc., 3:23-cv-01974. (Oregon District Court)

20 Dec 2022: Nike lawsuit records allege culture of sexism, bullying and fear of retaliation. (The Guardian)

13 Oct 2021: Runner Sues Former Coach, Nike for $20 Million Over Alleged Abuse. (NBC News)

10 Oct 2020: Nike Needn't Hand Over Pay Analyses In Sex Bias Suit. (LAW360)

11 Dec 2019: Nike staff protests treatment of women. (WALL STREET JOURNAL ABSTRACTS)

10 Dec 2019: At Nike, Employees March to Protest Support for Alberto Salazar. (New York Times) Nike employees protested at Ore headquarters for alleged treatment of female employees and sponsored athletes.

20 Aug 2019: Company Communication. (Nike, Inc.)

01 Mar 2019: Nike Can't Just Do It – Court Denies Company's Request To Dismiss Pay Equity Class Action. (Fisher Phillips.com)

20 May 2019: Nike retreats on pregnancy-penalising policy. (THE AUSTRALIAN)

27 Feb 2019: Nike loses initial challenge to gender bias class-action lawsuit. (Bloomberg News)

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19 Feb 2019: Nike, plaintiffs' attorneys square off in first court hearing. (Portland Business Journal)

23 Dec 2018: Oregon's new pay equity law raises prospects, worries. (Oregon Live)

06 Nov 2018: Nike files motion to dismiss class-action gender, pay discrimination lawsuit. (Portland Business Journal)

21 Sep 2018: Current Nike worker joins suit alleging gender pay gap. (Oregon Live)

01 Nov 2018: 3 More Women Join Nike Gender Discrimination, Hostile Workplace Lawsuit. (Business & Human Rights Resource Centre (Main))

10 Aug 2018: Ex-Employees Sue Nike, Alleging Gender Discrimination. (THE NEW YORK TIMES)

23 Jul 2018: Nike will raise wages for thousands after outcry over inequality. (Seattle Times)

05 May 2018: Nike C.E.O., Seeking to Reassure Workers, Promises Changes. (THE NEW YORK TIMES) The Chief Executive Officer sought to reassure workers in a company-wide meeting stating that Nike was working towards reviewing its HR processes to ensure that similar opportunities are provided to all employees. The CEO further stated that the company would initaite training and mentoring prgrams, including making unconscious bias training mandatory for all employees.

28 Apr 2018: At Nike, Revolt Led by Women Leads to Exodus of Male Executives. (THE NEW YORK TIMES)

15 Mar 2018: Nike Investigates Workplace Complaints, Says No. 2 Executive Resigns. (The Wall Street Journal)

Source: 01 Apr 2025 (FORBES.COM)

Date: March 2025
Assessment: Moderate
Status: Ongoing

Turkey: Workers strike for better wages, job security, and working conditions; negotiation ongoing

UPDATES: 20 Mar 2025: Turkey: Workers across nine Nikes stores set to strike as collective bargaining agreement negotiations fail. (Business & Human Rights)

20 Mar 2025: Nike faces store strike in turkey on top of online sales pause. (Bloomberg)

Source: 20 Mar 2025 (Business & Human Rights)

Minor Controversies

Date: May 2026
Assessment: Minor
Status: Ongoing

Oregon, US: Nike Sued Over Alleged Failure to Refund Tariff-Related Consumer Overcharges

UPDATES: 10 May 2026: Nike hit with second lawsuit for allegedly discriminating against white job applicants. (Msn Uk)

Source: 10 May 2026 (Msn Uk)

Date: May 2026
Assessment: Minor
Status: Concluded

Boston, US: Marathon advertisement reportedly criticized for insensitivity, prompting removal and public apology

UPDATES: 19 Apr 2026: Nike forced to take action after boston marathon advert 'missed the mark'. (Aol.com)

Source: 19 Apr 2026 (Aol.com)

Date: January 2026

Assessment: Minor
Status: Ongoing

California, US: Proposed class action lawsuits over alleged unauthorized use of online tracking technologies to collect personal data without user consent

UPDATES: 31 Dec 2025: A wave of cipa lawsuits targets este lauder, nike, and luxottica for online tracking. (NATIONAL LAW REVIEW)

Source: 31 Dec 2025 (NATIONAL LAW REVIEW)

Date: January 2026
Assessment: Minor
Status: Ongoing

Florida, US: Proposed class action alleged unauthorized tracking software used on retail website

UPDATES: 17 Dec 2025: Proposed florida class action suit alleges nike tracked, shared consumer data. (DAILY BUSINESS REVIEW)

Source: 17 Dec 2025 (DAILY BUSINESS REVIEW)

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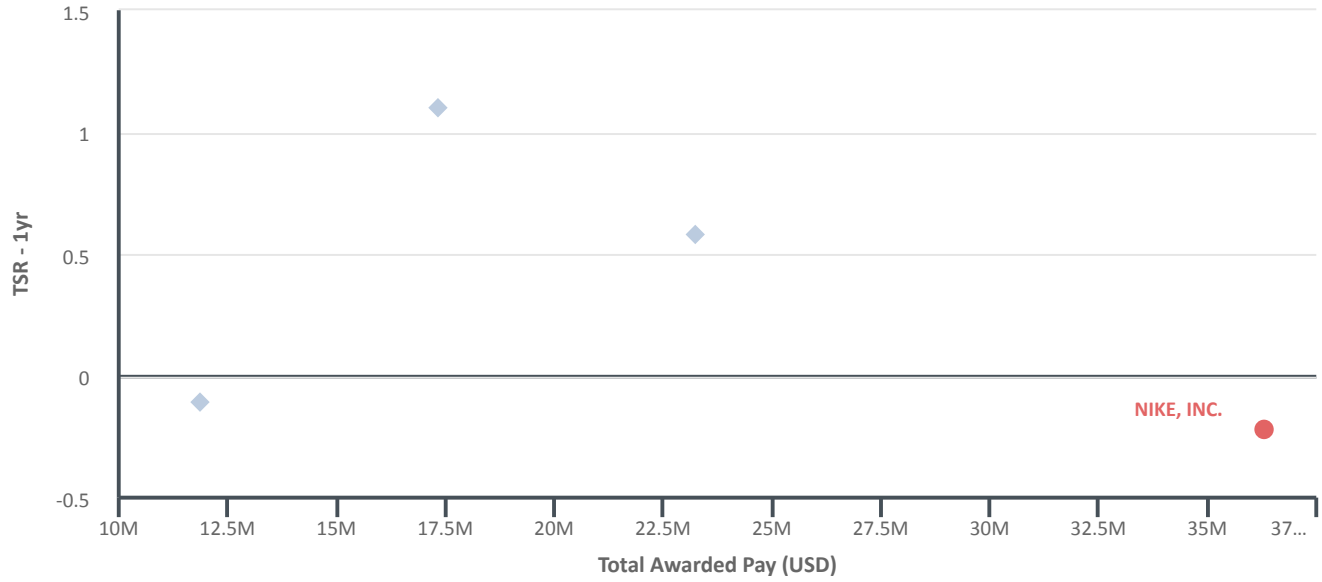
KEY METRIC & SCORE CHANGES

ALL KEY METRIC & SCORE CHANGES (SINCE JUNE 2025)

Key Metric	Key Metric Change	Date	Score Change	Change Notes
CEO Pay Total Fixed	Flag Removed	Oct 22, 2026	0.20	
CEO Pay Total Awarded	Flag Removed	Oct 22, 2026	0.20	
CEO Pay Total Fixed	**Flag Added**	Sep 24, 2026	**-0.20**	
CEO Pay Total Awarded	**Flag Added**	Sep 24, 2026	**-0.20**	
Significant Votes Against Directors	Flag Removed	Sep 17, 2026	0.61	
Related Party Transactions	Flag Removed	Sep 17, 2026	0.06	
Pay Committee Concerns	Flag Removed	Sep 17, 2026	0.30	
Multiple Equity Classes with Different Voting Rights	Score Change	Sep 17, 2026	0.06	
Long-Term Pay Performance Versus Peers	**Flag Added**	Sep 17, 2026	**-0.20**	
Long-Term Pay Performance	**Flag Added**	Sep 17, 2026	**-0.20**	
Internal Pay Equity	**Flag Added**	Sep 17, 2026	**-0.20**	
CEO Pay Perks & Other Comp	**Flag Added**	Sep 17, 2026	**-0.20**	
Significant Vote Against Pay Practices	Flag Removed	Sep 23, 2025	0.10	AGM voting results updated
Executive Pay Disclosure	Score Change	Sep 23, 2025	**-0.10**	
Severance Vesting	**Flag Added**	Aug 04, 2025	**-0.10**	
Related Party Transactions	Score Change	Aug 04, 2025	0.06	

CEO PAY CHARTS

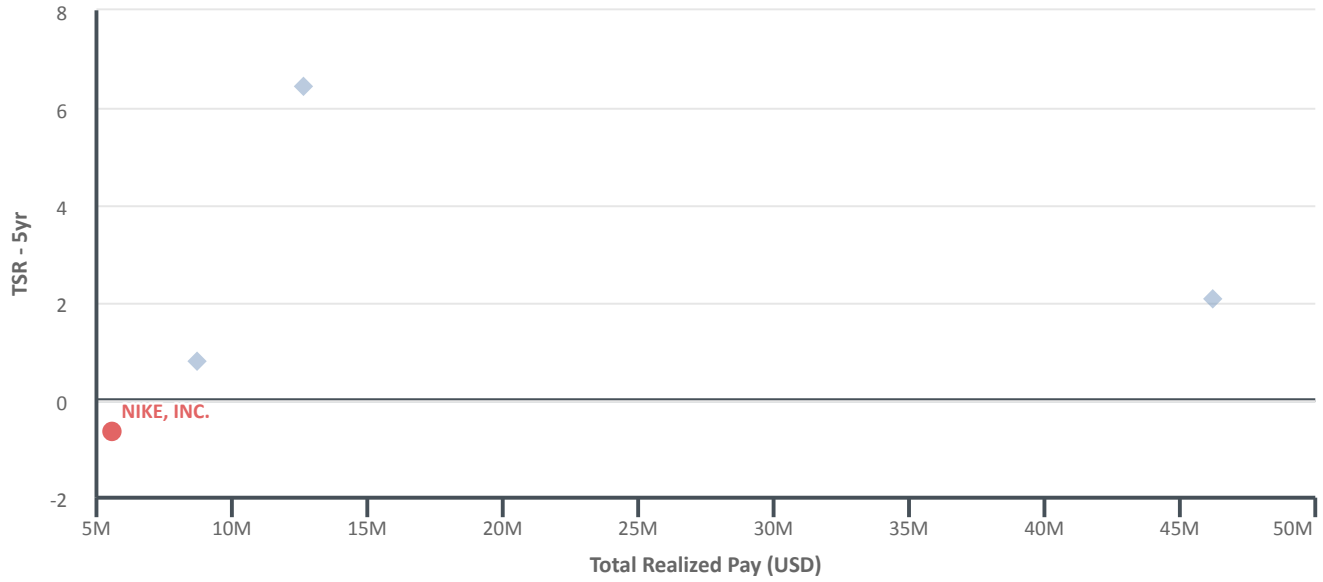
CEO TOTAL AWARDED PAY VERSUS PAY PEER GROUP



Pay Peers (♦) are used in the calculation of the Key Metric CEO Pay Total Summary and selected as set out in the MSCI Governance Metrics Methodology Document.

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CEO TOTAL REALIZED PAY VERSUS PAY PEER GROUP



Pay Peers (♦) are used in the calculation of the Key Metric CEO Pay Total Summary and selected as set out in the MSCI Governance Metrics Methodology Document.

DIRECTOR VOTES

Proxy Year	Name	Age	Tenure	Votes For	Votes Against, Withheld and / or Abstained
2025	Elliott Hill	62	2	100%	0%
2025	John Rogers Jr.	67	-7	64.7%	35.3%
2025	Jørgen Knudstorp	57	1	100%	0%
2025	Maria Henry	59	3	100%	0%
2025	Mark Parker	70	20	100%	0%
2025	Michelle Peluso	54	12	100%	0%
2025	Mónica Gil	54	4	97%	3%
2025	Peter Henry	56	8	100%	0%
2025	Robert (Bob) Swan	66	4	98.2%	1.8%
2025	Thasunda Duckett	53	6	100%	0%
2025	Timothy (Tim) Cook	65	20	100%	0%
2025	Travis Knight	52	11	100%	0%

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SHAREHOLDER/MANAGEMENT PROPOSALS

MANAGEMENT PROPOSALS

Proxy Year	Proposal	Proposal Summary	Outcome	Votes For	Votes Against	Abstain/ Withheld%
2025	Advisory Vote on Executive Compensation	Proposal 2 - Advisory Vote on Executive Compensation	Approved	93.1%	6.4%	0.5%
2025	Auditor Ratification	Proposal 3 - Ratification of the Appointment of PricewaterhouseCoopers LLP as the Company's Independent Registered Public Accounting Firm for the Fiscal Year ending May 31, 2026	Approved	94.1%	5.8%	0.1%
2025	Director & Employee Comp	Proposal 4 - Approval of the NIKE, Inc. Stock Incentive Plan, as amended and restated	Approved	95.4%	4.4%	0.2%
2024	Advisory Vote on Executive Compensation	Proposal 2 - Advisory Vote on Executive Compensation	Approved	82.6%	16.5%	0.9%
2024	Auditor Ratification	Proposal 3 - Ratification of the Appointment of PricewaterhouseCoopers LLP as the Company's Independent Registered Public Accounting Firm for the Fiscal Year ending May 31, 2025	Approved	94.1%	5.7%	0.2%
2023	Advisory Vote on Executive Compensation	Proposal 2 - Advisory Vote on Executive Compensation	Approved	87.4%	11.9%	0.7%
2023	Advisory Vote Frequency	Proposal 3 - Advisory Vote on the Frequency of Advisory Votes on Executive Compensation	1 year			
2023	Auditor Ratification	Proposal 4 - Ratification of the Appointment of PricewaterhouseCoopers LLP as the Company's Independent Registered Public Accounting Firm for the Fiscal Year ending May 31, 2024	Approved	96.1%	3.8%	0.1%

**For Management Proposals at AGM's held more than three years ago, please refer to the Screener tool on ESG Manager.*

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SHAREHOLDER PROPOSALS

Proxy Year	Proposal	Proposal Summary	Proposal Proponent	Outcome	Votes For	Votes Against	Abstain/ Withheld%
2024	Employment Discrimination	Proposal 4 - Shareholder Proposal Regarding Supplemental Pay Equity Disclosure	Robert and Mary McInnes, c/o Arjuna Capital, 13 Elm Street, Manchester, MA 01944,	Defeated	25.7%	73.2%	1.1%
2024	Human Rights	Proposal 5 - Shareholder Proposal Regarding a Supply Chain Management Report	Tulipshare Ltd., c/o Tulipshare Capital LLC, 251 Little Falls Dr., Wilmington, DE 19808,	Defeated	13%	86.1%	0.8%
2024	Corporate Social Responsibility - General	Proposal 6 - Shareholder Proposal Regarding Worker-Driven Social Responsibility	Domini Impact Equity Fund, 180 Maiden Lane, Suite 1302, New York, NY 10038,	Defeated	12.2%	86.9%	0.8%
2024	Environmental - Climate Change, Renewable Energy and GHG Emissions	Proposal 7 - Shareholder Proposal Regarding Environmental Targets	Trium Sustainable Innovators funds, 60 Gresham Street, London EC2V 7BB, UK	Defeated	26.3%	72.3%	1.4%
2024	Employment Discrimination	Proposal 8 - Shareholder Proposal Regarding a Divisive Partnerships Congruency Report	National Center for Public Policy Research, 2005 Massachusetts Ave. NW, Washington, DC 20036	Defeated	0.6%	98.7%	0.7%
2023	Employment Discrimination	Proposal 5 - Shareholder Proposal Regarding Supplemental Pay Equity Disclosure	Mary McInnes, c/o Arjuna Capital submitted the Proposal together with co-filer Change Finance, P.B.C.	Defeated	29%	69%	2%
2023	Human Rights	Proposal 6 - Shareholder Proposal Regarding a Supply Chain Management Report	Tulipshare Ltd.,	Defeated	11.7%	86.1%	2.2%
2022	Disclosure Policy	Proposal 5 - Shareholder proposal regarding a policy on China sourcing	Domini Impact Equity Fund, 180 Maiden Ln, Ste. 1302, New York, NY 10038	Defeated	6.2%	91.4%	2.4%

**For Shareholder Proposals at AGM's held more than three years ago, please refer to the Screener tool on ESG Manager.*

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OREGON



CURRENCY: UNITED STATES DOLLAR (USD)

In the United States, most governance principles are governed by State laws that are not uniform and are not enforced nationally. All US companies have a unitary board structure. Companies must explain their board leadership structure (e.g. whether it has an independent or non-executive Chair or combines the role with the role of Chief Executive Officer and whether it has a Lead Director).

Many key governance attributes are provided on a company by company basis using what is known as “private ordering”, whereby shareholders act to either put governance requirements in place or request the board to do so. Some of the most common results of private ordering in recent times include provisions for majority voting, annual elections, the capacity to call special general meetings and an independent Chair or Lead Director. Shareholders can seek access to the company’s proxy to propose candidates on the same proxy documentation as the board’s own nominees. This can be sought via private ordering.

Other issues subject to private ordering include confidential voting, a requirement for “cause” before a director can be removed (if they can be removed), the percentage of shareholders required to call a special general meeting (if allowed), the vote requirement to amend the Certificate of Incorporation and Bylaws (if allowed) and takeover defenses, such as poison pills (with varying features), supermajority vote requirements to approve a merger and various class voting restrictions.

There are many US companies that have shares in different classes, which provide for different voting rights either on all matters or on election of directors. Most commonly, the higher voting rights are confined to a small insider group of shareholders related to the founders of the company.

There are many provisions, particularly in the Federal *Sarbanes-Oxley* Act, that govern the audit process. Companies are required to disclose related party transactions. They also must have an audit committee that has direct access to outside auditors. The audit committee reviews the accounts of the company, oversees the audit process and reviews internal controls.

All US companies must provide an annual assessment of its executive pay through a Compensation Discussion and Analysis Report. They must also provide for a non-binding “Say on Pay” shareholder vote on the company’s executive pay plan. The company can provide for this on an annual, biannual or triennial basis depending on the preference of shareholders. Most companies have annual Say on Pay votes.

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DIRECTOR PROFILES

ELLIOTT HILL

Age: 62
Gender: M
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Consumer Durables & Apparel - Textiles, Apparel & Luxury Goods

BIOGRAPHICAL INFORMATION

NIKE, INC. - Executive, Board Member, CEO Source Date: 07/15/2026

Hill is President & Chief Executive Officer of the Company. He was employed by the Company from 1988 - 2020 holding senior leadership positions across Europe and North America. Before retiring in 2020, he was President of Consumer and Marketplace leading all commercial and marketing operations for Nike and Jordan Brand, including the P&L across the Company's four geographies. Mr. Hill was appointed: President, Consumer and Marketplace in 2018, President, Geographies & Integrated Marketplace in 2016, President, Geographies & Sales in 2013, VP/General Manager, North America in 2010, and VP, Global Retail in 2006. Mr. Hill currently serves on the board of trustees for Texas Christian University.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
NIKE, INC.	Executive, Board Member, CEO	2	Oct 14, 2024		No	Yes	

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
NIKE, INC.	2025	100%	0%

EXECUTIVE PAY (all values USD)

Company	Role	Tenure	Pay Year	Total Annual Pay	Total Awarded Pay	Total Realized Pay	Shares Held
NIKE, INC.	CEO	2	2026	4,235,965	36,340,876	5,598,283	225,951

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NIKE, INC. (NKE)



RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

JØRGEN KNUDSTORP

Age:	57	Financial:	No
Gender:	M	Risk:	No
Nationality:	Denmark	Industry:	Consumer Durables & Apparel - Leisure Products

BIOGRAPHICAL INFORMATION

STARBUCKS CORPORATION - Board Member, Lead Director Source Date: 01/26/2026

JØRGEN VIG KNUDSTORP currently serves as the lead independent director of the board, effective March 13, 2025, and has been a Starbucks director since March 2017. Mr. Knudstorp is also currently chair of the LEGO Foundation, KIRKBI Education & Learning, and BrainPOP Education, organizations supporting children's development and learning. From September 2023 through September 2024, he served as Special Partner to the LEGO Brand Owner Family, KIRKBI Group, the holding company for LEGO Brand and the LEGO Group (among other activities) responsible for brand and business development. From January 2017 to September 2023, Mr. Knudstorp served as Executive Chairman of LEGO Brand Group, owner of the LEGO brand. From 2004 to 2016, he served as President and Chief Executive Officer of the LEGO Group. He previously held various leadership positions at the LEGO Group from 2001 to 2004, including Senior Vice President, Corporate Affairs Vice President, Strategic Development Senior Director, Global Strategic Development & Alliance Management, and Director, Strategic Development. Prior to joining the LEGO Group, Mr. Knudstorp served as a Management Consultant at McKinsey & Company, a management consulting firm, from 1998 to 2001.

Mr. Knudstorp brings to the board his top executive leadership experience at one of the world's most renowned toy manufacturers, which has a highly recognizable brand and a record of innovation. His extensive global leadership experience provides the board with unique insights and knowledge of brand and digital marketing, strategy, consumer products, development and nurturing of human capital and organizational culture and values, environmental impact, finance, capital allocation, international operations and distribution, and formation and management of strategic alliances, and Mr. Knudstorp brings experience in building an authentic brand across sustainability considerations in addition to product and employee experiences.

NIKE, INC. - Board Member Source Date: 07/15/2026

Knudstorp is the former President and Chief Executive Officer of the LEGO Group, a position he held from 2004 to 2016, and served as Executive Chairman of LEGO Brand Group, owner of the LEGO brand, from 2017 to 2023. From 2023 to 2024, Mr. Knudstorp served as Special Partner to the LEGO Brand Owner Family, KIRKBI Group, the holding company for LEGO Brand and the LEGO Group. He also held various leadership positions at the LEGO Group from 2001 to 2004, including Senior Vice President, Corporate Affairs and Vice President, Strategic Development. Prior to joining the LEGO Group, he served as a Management Consultant at McKinsey & Company from 1998 to 2001. Mr. Knudstorp is a member and lead independent director of the Board of Directors of Starbucks Corporation. In addition to this public company board service, he is the chair of BrainPOP Education, NYC. Furthermore, he chairs the Foundation Board and Supervisory Board of IMD, the Swiss Executive Education School. Finally, he acts as executive advisor and advisory board member of various venture firms, geopolitical advisory firms, and consulting and academic firms and institutions.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
NIKE, INC.	Board Member	1	Sep 09, 2025		Yes	Yes	
STARBUCKS CORPORATION	Board Member, Lead Director	9	Mar 22, 2017		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
NIKE, INC.	Corporate Governance	Member
NIKE, INC.	Nomination	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
NIKE, INC.	2025	100%	0%
STARBUCKS CORPORATION	2026	94.5%	5.5%

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NIKE, INC. (NKE)



RATING ACTION DATE: March 23, 2026
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DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
NIKE, INC.	Non-Executive	1	2026	72,802	458,319	21,388
STARBUCKS CORPORATION	Lead Director	9	2025	0	514,964	53,236

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NIKE, INC. (NKE)



RATING ACTION DATE: March 23, 2026
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MARIA HENRY

Age: 59
Gender: F
Nationality: Not Disclosed

Financial: Yes
Risk: No
Industry: Household & Personal Products - Household Products,Food, Beverage & Tobacco - Food Products

BIOGRAPHICAL INFORMATION

NIKE, INC. - Board Member Source Date: 07/15/2026

Henry is the former Chief Financial Officer of Kimberly-Clark Corporation ("Kimberly-Clark"), a position she held from 2015 to 2022. Prior to joining Kimberly-Clark, she was Executive Vice President and Chief Financial Officer of The Hillshire Brands Company, formerly known as Sara Lee Corporation ("Sara Lee"), from 2012 to 2014. Ms. Henry was the Chief Financial Officer of Sara Lee's North American Retail and Foodservice business from 2011 to 2012. Prior to Sara Lee, she held various senior leadership positions in finance and strategy in three portfolio companies of Clayton, Dubilier, & Rice, most recently as Executive Vice President and Chief Financial Officer of Culligan International. Ms. Henry also held senior finance roles in several technology companies, and she began her career at General Electric. Ms. Henry is a member of the Board of Directors of General Mills, Inc. and NextEra Energy, Inc. She served on the Board of Directors of Kimberly-Clark de México from February 2016 to March 2022.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
NIKE, INC.	Board Member	3	Jun 01, 2023		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
NIKE, INC.	Audit	Member
NIKE, INC.	Risk	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
NIKE, INC.	2025	100%	0%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
NIKE, INC.	Non-Executive	3	2026	105,000	317,758	8,767

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NIKE, INC. (NKE)



RATING ACTION DATE: March 23, 2026
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MARK PARKER

Age: 70
Gender: M
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Consumer Durables & Apparel - Textiles, Apparel & Luxury Goods

BIOGRAPHICAL INFORMATION

NIKE, INC. - Executive, Board Member, Chairman Source Date: 07/15/2026

Parker is Executive Chairman of the Company's Board of Directors. He served as President and Chief Executive Officer of the Company from 2006 to January 2020. Mr. Parker has been employed by NIKE since 1979 with primary responsibilities in product research, design and development, marketing, and brand management. Mr. Parker was appointed: President and Chief Executive Officer in 2006, President of the NIKE Brand in 2001, Vice President of Global Footwear in 1998, General Manager in 1993, Corporate Vice President in 1989, and Divisional Vice President in charge of product development in 1987. Mr. Parker served on the Board of Directors of The Walt Disney Company from January 2016 to January 2025. In addition to his skills and qualifications described above, Mr. Parker was selected to serve on the Board because the experience gained while serving as the Company's Chief Executive Officer makes his position as Executive Chairman of the Board instrumental.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
NIKE, INC.	Executive, Board Member, Chairman	20	Jan 01, 2006		No	Yes	

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
NIKE, INC.	2025	100%	0%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
THE WALT DISNEY COMPANY	Non-Executive		2025	0	78,448	0

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NIKE, INC. (NKE)



RATING ACTION DATE: March 23, 2026
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MICHELLE PELUSO

Age: 54
Gender: F
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Household & Personal Products - Personal Care Products,Health Care Equipment & Services - Health Care Providers & Services

BIOGRAPHICAL INFORMATION

NIKE, INC. - Board Member Source Date: 07/15/2026

Peluso is Chief Executive Officer of Revlon Group Holdings LLC ("Revlon"), a position she has held since 2024. Prior to Revlon, Ms. Peluso served as the Executive Vice President and Chief Customer and Experience Officer for CVS Health from 2023 to 2024, where she oversaw the end-to-end consumer experience across all channels, including leading the brand and marketing efforts. She also served as the Executive Vice President and Chief Customer Officer, CVS Health, and co-President, Pharmacy and Consumer Wellness. Prior to joining CVS Health, Ms. Peluso was Senior Vice President, Digital Sales and Chief Marketing Officer at IBM from 2016 to 2021. She oversaw marketing, digital sales, client experience, and the commercial business, globally. Previous to her work at IBM, Ms. Peluso served as Chief Executive Officer of online shopping destination Gilt Groupe, Inc. ("Gilt") from 2013 until its sale to Hudson's Bay Company in February 2016 and was on Gilt's Board of Directors from 2009 to 2016. From 2009 to 2013, Ms. Peluso served as Global Consumer Chief Marketing and Internet Officer of Citigroup Inc. From 2002 to 2009, Ms. Peluso held senior management positions at Travelocity.com LP ("Travelocity"), being appointed President and Chief Executive Officer in 2003. Prior to joining Travelocity, in 1999 Ms. Peluso founded Site59, an online travel site, serving as its Chief Executive Officer until its acquisition by Travelocity in 2002. Ms. Peluso is a member of the Board of Directors of Revlon and Save the Children US. She is a White House Fellow and served as Senior Advisor to the Secretary of Labor. She is also a member of The Conference Board's Committee for Economic Development.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
NIKE, INC.	Board Member	12	Apr 21, 2014		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
NIKE, INC.	Pay	Member
NIKE, INC.	Corporate Governance	Chair
NIKE, INC.	Nomination	Chair

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
NIKE, INC.	2025	100%	0%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
NIKE, INC.	Non-Executive	12	2026	125,000	337,758	32,814

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NIKE, INC. (NKE)



RATING ACTION DATE: March 23, 2026
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MÓNICA GIL

Age: 54
Gender: F
Nationality: Not Disclosed

Financial: No
Risk: No
Industry: Media & Entertainment - Media,Software & Services - Internet Software & Services

BIOGRAPHICAL INFORMATION

NIKE, INC. - Board Member Source Date: 07/15/2026

Gil is Chief Administrative and Marketing Officer, NBCUniversal Telemundo Enterprises ("Telemundo") for Comcast Corp, a position she has held since 2020. Prior to her current role, Ms. Gil served as Chief Marketing Officer, Telemundo from 2018 until 2020, and as Executive Vice President, Telemundo, managing Communications and Corporate Affairs and Human Resources from 2017 until 2018. Prior to joining Telemundo, Ms. Gil served as Senior Vice President and General Manager, Multicultural Growth and Strategy of the Nielsen Company ("Nielsen") from 2014 until 2017. Ms. Gil joined Nielsen in 2005 as Vice President, Communications and was subsequently promoted in 2009 to Senior Vice President, Public Affairs and Government Relations. Previously, Ms. Gil served as Senior Vice President for Greer, Margolis, Mitchell and Burns from 2004 until 2005. Ms. Gil is a member of the Board of Directors of the National Women's History Museum.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
NIKE, INC.	Board Member	4	Sep 20, 2022		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
NIKE, INC.	Pay	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
NIKE, INC.	2025	97%	3%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
NIKE, INC.	Non-Executive	4	2026	100,000	292,758	8,893

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PETER HENRY

Age:	56	Financial:	Yes
Gender:	M	Risk:	No
Nationality:	Not Disclosed	Industry:	

BIOGRAPHICAL INFORMATION

CITIGROUP INC. - Board Member Source Date: 04/02/2026

Peter Blair Henry Class of 1984 Senior Fellow, Hoover Institution, and Senior Fellow, Freeman Spogli Institute for International Studies, Stanford University Class of 1984 Senior Fellow, Hoover Institution, and Senior Fellow, Freeman Spogli Institute for International Studies, Stanford University – September 2022 to Present Dean Emeritus, New York University, Leonard N. Stern School of Business –December 2017 to Present W. R. Berkley Professor of Economics and Finance, New York University, Leonard N.Stern School of Business – December 2017 to September 2022 Dean, New York University, Leonard N. Stern School of Business – January 2010 to December 2017 Faculty Member, Stanford University – 1997 to 2009

ANALOG DEVICES, INC. - Board Member Source Date: 01/23/2026

Henry has served as the Class of 1984 Senior Fellow at Stanford University's Hoover Institution and a Senior Fellow at Stanford's Freeman Spogli Institute for International Studies since September 2022. Previously, Dr. Henry served at New York University's Leonard N. Stern School of Business as William R. Berkley Professor of Economics and Finance from January 2018 through August 2022 and as Dean from January 2010 through December 2017. Before that, Dr. Henry was the Konosuke Matsushita Professor of International Economics at the Stanford University Graduate School of Business, where his early research was funded by a National Science Foundation CAREER Award. Dr. Henry currently serves on the Boards of Directors of Citigroup and NIKE, Inc., and as Chair of the Board of the National Bureau of Economic Research. He previously served on the Boards of Directors of General Electric Company, Kraft Foods Inc., and Kraft Foods Group, Inc. as well as the Economic Club of New York. He is a member of the Council on Foreign Relations. In addition, Dr. Henry leads the Ph.D. Excellence Initiative, a post-baccalaureate program designed to address underrepresentation in economics by mentoring exceptional students from underrepresented backgrounds interested in pursuing doctoral studies in the field. For his founding and leadership of the Ph.D. Excellence Initiative, Dr. Henry received the 2022 Impactful Mentoring Award from the American Economic Association. Dr. Henry has published groundbreaking articles in top economics journals that evaluate the impact of economic reform on asset prices, investment, wages, and economic growth. His current research on the global infrastructure challenge builds on the scholarship in his book, Turnaround: Third World Lessons for First World Growth (Basic Books, 2013), which addresses questions of economic efficiency as well as international relations, with the aim of increasing awareness of the interconnected fortunes of advanced and developing nations. Dr. Henry received a bachelor's degree in economics from the University of North Carolina at Chapel Hill, a bachelor's degree in mathematics from Oxford University, where he was a Rhodes Scholar, and a Ph.D. in economics from the Massachusetts Institute of Technology.

NIKE, INC. - Board Member Source Date: 07/15/2026

Henry is the Class of 1984 Senior Fellow at Stanford University's Hoover Institution and Senior Fellow at Stanford's Freeman Spogli Institute for International Studies, positions he has held since September 2022. He is also Dean Emeritus of New York University's Leonard N. Stern School of Business ("Stern"). From January 2018 through August 2022, Dr. Henry served as Stern's William R. Berkley Professor of Economics and Finance. He assumed the Deanship of Stern in January 2010 and served through December 2017. Prior to joining Stern, Dr. Henry was the Konosuke Matsushita Professor of International Economics at the Stanford University Graduate School of Business. In June 2009, President Obama appointed Dr. Henry to the President's Commission on White House Fellowships. In 2008, Dr. Henry led Barack Obama's Presidential Transition Team in its review of international lending agencies such as the IMF and the World Bank. Dr. Henry is a member of the Board of Directors of Citigroup Inc. and Analog Devices, Inc. In addition to this public company board service, he also serves on the Board of Directors of the National Bureau of Economic Research and the Economic Club of New York, serves on the Advisory Board for Protiviti and Biospring Partners, and serves as Chair of the Jamaica Reconstruction and Resilience Oversight Committee. Dr. Henry is a member of the Council on Foreign Relations and the Economic Advisory Panel of the Federal Reserve Bank of New York. Dr. Henry served on the Board of Directors of General Electric from July 2016 to April 2018 and Kraft Foods Group, Inc. and its predecessor, Kraft Foods Inc., from May 2011 to July 2015.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
ANALOG DEVICES, INC.	Board Member	2	Dec 05, 2023		Yes	Yes	
NIKE, INC.	Board Member	8	Feb 14, 2018		Yes	Yes	
CITIGROUP INC.	Board Member	11	Jul 01, 2015		Yes	Yes	

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NIKE, INC. (NKE)

MSCI ESG RATINGS BBB

CCC | B | BB | BBB | A | AA | AAA

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BOARD COMMITTEES

Company	Committee Type	Position
ANALOG DEVICES, INC.	Audit	Member
ANALOG DEVICES, INC.	Corporate Governance	Member
ANALOG DEVICES, INC.	Nomination	Member
ANALOG DEVICES, INC.	Risk	Member
CITIGROUP INC.	Pay	Member
CITIGROUP INC.	Corporate Governance	Member
CITIGROUP INC.	Nomination	Member
NIKE, INC.	Audit	Member
NIKE, INC.	Risk	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
ANALOG DEVICES, INC.	2026	99.5%	0.5%
CITIGROUP INC.	2026	96.6%	3.4%
NIKE, INC.	2025	100%	0%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
ANALOG DEVICES, INC.	Non-Executive	2	2024	130,000	365,202	1,519
CITIGROUP INC.	Non-Executive	11	2025	170,000	320,000	29,879
NIKE, INC.	Non-Executive	8	2026	105,000	297,758	11,099

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NIKE, INC. (NKE)

MSCI ESG RATINGS BBB

CCC | B | BB | BBB | A | AA | AAA

RATING ACTION DATE: March 23, 2026
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ROBERT (BOB) SWAN

Age: 66
Gender: M
Nationality: United States of America

Financial: Yes
Risk: No
Industry: Semiconductors & Semiconductor Equipment - Semiconductors & Semiconductor Equipment,Consumer Discretionary Distribution & Retail - Broadline Retail

BIOGRAPHICAL INFORMATION

MICRON TECHNOLOGY, INC. - Board Member Source Date: 11/25/2025

Swan is an operating partner at Andreessen Horowitz (a venture capital firm) where he advises growth stage portfolio companies as they scale their businesses. Previously, he was CEO of Intel Corporation (“Intel”), a multinational technology company. He first served as Intel’s Executive Vice President (CEO) and Chief Financial Officer (CFO) from 2016 and added interim CEO to his duties in June 2018 to January 2019, then served as a director and CEO from January 2019 to February 2021. Swan served as an operating partner of General Atlantic, a leading global growth equity firm. From 2006 to 2015, Swan served as senior vice president, finance and CFO at eBay, where he oversaw all aspects of its finance function, including controllership, financial planning and analysis, tax, treasury, audit, mergers and acquisitions, and investor relations. Prior to eBay, Swan served as CFO at Electronic Data Systems Corp., TRW Inc., and Webvan Group, Inc. He also served as Chief Operating Officer and CEO and director of Webvan Group. He currently serves on the board of commissions of GoTo Group, an Indonesian technology company publicly traded on the IDX. The board of directors of eBay, board of directors of Flexport, a logistics technology company and the board of directors of Nike, Inc. Additionally, Swan is a global advisor for Kearney, a management consulting company and a director of the American Heart Association. He previously served on the board of directors of Applied Materials, Inc. from 2009 to 2016, and AppDynamics from 2016 to 2017. Swan began his career at General Electric, where he spent 15 years in numerous senior finance roles, including divisional CFO for GE Transportation Systems, GE Healthcare Europe, and GE Lighting. Swan received his B.S. from the University at Buffalo and his M.B.A. from the State University of New York at Binghamton. He received his honorary doctorate from Binghamton in '22.

NIKE, INC. - Board Member Source Date: 07/15/2026

Swan has been an Operating Partner at Andreessen Horowitz since 2021. Prior to his current role, Mr. Swan served as the Chief Executive Officer and a member of the Board of Directors of Intel Corp. ("Intel") from 2019 to 2021. Before that appointment, he was appointed to various management positions at Intel, including: Interim Chief Executive Officer and Chief Financial Officer from 2018 until 2019 and Chief Financial Officer from 2016 until 2019. Prior to joining Intel, Mr. Swan served as Operating Partner at General Atlantic LLC, a private equity firm, from 2015 to 2016. He also served as Senior Vice President, Finance and Chief Financial Officer of eBay Inc. ("eBay") from 2006 to 2015. Previously, Mr. Swan served as Chief Financial Officer of Electronic Data Systems Corporation, Chief Financial Officer of TRW Inc., as well as Chief Executive Officer, Chief Operating Officer, and Chief Financial Officer of Webvan Group, Inc. Mr. Swan began his career in 1985 at General Electric, serving in numerous senior finance roles. Mr. Swan is a member of the Board of Directors of Micron Technology, Inc. and Automatic Data Processing, Inc. In addition to this public company board service, he is also a member of the Board of Directors of Flexport, the American Heart Association, E3Tech, and Kearney. Mr. Swan served on the Board of Commissioners of GoTo Group from December 2021 to June 2024, and on the Board of Directors of eBay from July 2015 to June 2023, Intel from January 2019 to February 2021, and Applied Materials, Inc. from March 2009 to September 2016.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
MICRON TECHNOLOGY, INC.	Board Member	2	Mar 11, 2024		Yes	Yes	
NIKE, INC.	Board Member	4	Sep 20, 2022		Yes	Yes	
INTEL CORPORATION	Executive		Jan 01, 2019	Feb 15, 2021	No	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
MICRON TECHNOLOGY, INC.	Audit	Chair
MICRON TECHNOLOGY, INC.	Risk	Chair
NIKE, INC.	Audit	Chair
NIKE, INC.	Risk	Chair

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NIKE, INC. (NKE)



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VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
MICRON TECHNOLOGY, INC.	2026	99.8%	0.2%
NIKE, INC.	2025	98.2%	1.8%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
MICRON TECHNOLOGY, INC.	Non-Executive	2	2025	125,000	374,979	5,238
NIKE, INC.	Non-Executive	4	2026	135,000	347,758	53,978

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NIKE, INC. (NKE)



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THASUNDA DUCKETT

Age:	53	Financial:	Yes
Gender:	F	Risk:	Yes
Nationality:	Not Disclosed	Industry:	Banks - Banks,Insurance - Insurance

BIOGRAPHICAL INFORMATION

NIKE, INC. - Board Member Source Date: 07/15/2026

Duckett is President and Chief Executive Officer of the Teachers Insurance and Annuity Association of America ("TIAA"), a leading provider of financial services in the academic, research, medical, cultural, and governmental fields. Prior to joining TIAA, Ms. Duckett was Chief Executive Officer of Chase Consumer Banking at JPMorgan Chase & Co. ("JPMorgan Chase") from 2016 to 2021. Before that appointment, Ms. Duckett was appointed to various management positions at JPMorgan Chase, including: From 2013 to 2016, Ms. Duckett served as the Chief Executive Officer of Chase Auto Finance, and From 2004 to 2013, Ms. Duckett held multiple management and consumer lending roles. Prior to joining JPMorgan Chase, Ms. Duckett was Director of Emerging Markets at the Federal National Mortgage Association, or Fannie Mae. Ms. Duckett serves on the Board of Governance and Board of Trustees of TIAA. She is also Chair of the Otis and Rosie Brown Foundation and serves on the Board of Directors of The National Medal of Honor Museum, and the Robert F. Kennedy Human Rights. She also serves on the Board of Trustees for Sesame Workshop.

TEACHERS INSURANCE AND ANNUITY ASSOCIATION OF AMERICA - Executive, Board Member, CEO Source Date: 02/28/2024

Thasunda Brown Duckett is President and Chief Executive Officer of TIAA, effective May 1, 2021. From 2016 to 2021, she was Chief Executive Officer, Consumer Banking at JPMorgan Chase & Co. From 2013 to 2016, she was Chief Executive Officer, Chase Auto Finance, and from 2004 to 2013 she held a number of positions at JPMorgan Chase & Co., including National Retail Sales Executive for Chase Home Lending. From 1996 to 2004, she held various roles including Director, Emerging Markets at Fannie Mae. Thasunda serves as a Director of Brex and Nike, Inc., and is a member of the Dean's Council of Baylor University Hankamer School of Business, the Board of Visitors of the University of Houston, and the Boards of Directors of the Children's Learning Centers of Fairfield County, National Medal of Honor Museum Foundation, Robert F. Kennedy Human Rights, Sesame Workshop, and the Otis and Rosie Brown Foundation, which Board she also chairs. She holds a Bachelor's degree in Finance and Marketing from the University of Houston and an MBA from Baylor University. Ms. Duckett provides extensive experience in executive leadership, business management, banking and financial services operations and marketing, client engagement and digital transformation. COMMITTEE MEMBERSHIPS TIAA Executive Committee TIAA Risk and Compliance Committee.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
TEACHERS INSURANCE AND ANNUITY ASSOCIATION OF AMERICA	Executive, Board Member, CEO	5	Jan 01, 2021		No	Yes	
NIKE, INC.	Board Member	6	Nov 14, 2019		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
NIKE, INC.	Corporate Governance	Member
NIKE, INC.	Nomination	Member
TEACHERS INSURANCE AND ANNUITY ASSOCIATION OF AMERICA	Risk	Member

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
NIKE, INC.	2025	100%	0%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
NIKE, INC.	Non-Executive	6	2026	100,000	312,758	13,589

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NIKE, INC. (NKE)

MSCI ESG RATINGS BBB

CCC | B | BB | BBB | A | AA | AAA

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TIMOTHY (TIM) COOK

Age: 65
Gender: M
Nationality: United States of America

Financial: No
Risk: No
Industry: Technology Hardware & Equipment - Technology Hardware, Storage & Peripherals

BIOGRAPHICAL INFORMATION

APPLE INC. - Executive, Board Member, Chairman Source Date: 01/08/2026

Tim Cook is the CEO of Apple and serves on its board of directors. Before being named CEO in August 2011, Tim was Apple's chief operating officer and was responsible for all of the company's worldwide sales and operations, including end-to-end management of Apple's supply chain, sales activities, and service and support in all markets and countries. He also headed Apple's Macintosh division and played a key role in the continued development of strategic reseller and supplier relationships, ensuring flexibility in response to an increasingly demanding marketplace. Prior to joining Apple, Tim was vice president of Corporate Materials for Compaq and was responsible for procuring and managing all of Compaq's product inventory. Previous to his work at Compaq, Tim was the chief operating officer of the Reseller Division at Intelligent Electronics. Tim also spent 12 years with IBM, most recently as director of North American Fulfillment where he led manufacturing and distribution functions for IBM's Personal Computer Company in North and Latin America. Tim earned an MBA from Duke University, where he was a Fuqua Scholar, and a Bachelor of Science degree in Industrial Engineering from Auburn University.

NIKE, INC. - Board Member, Lead Director Source Date: 07/15/2026

Cook is the Company's Lead Independent Director and is the Chief Executive Officer of Apple Inc. ("Apple"). Mr. Cook joined Apple in 1998 as Senior Vice President of Worldwide Operations and also served as its Executive Vice President, Worldwide Sales and Operations and Chief Operating Officer. Mr. Cook was Vice President, Corporate Materials for Compaq Computer Corporation from 1997 to 1998. Previous to his work at Compaq, Mr. Cook served in the positions of Senior Vice President Fulfillment and Chief Operating Officer of the Reseller Division at Intelligent Electronics from 1994 to 1997. Mr. Cook also worked for International Business Machines Corporation from 1983 to 1994, including as Director of North American Fulfillment. Mr. Cook is a member of the Board of Directors of Apple. In addition to this public company board service, he is also a member of the Board of Directors of the National Football Foundation and Duke University Board of Trustees.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
APPLE INC.	Executive, Board Member, Chairman	15	Aug 24, 2011		No	Yes	
NIKE, INC.	Board Member, Lead Director	20	Nov 01, 2005		Yes	Yes	

BOARD COMMITTEES

Company	Committee Type	Position
NIKE, INC.	Pay	Chair

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
APPLE INC.	2026	98.8%	1.3%
NIKE, INC.	2025	100%	0%

EXECUTIVE PAY (all values USD)

Company	Role	Tenure	Pay Year	Total Annual Pay	Total Awarded Pay	Total Realized Pay	Shares Held
APPLE INC.	Chair	15	2025	16,759,518	74,294,811	175,658,290	4,116,962

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NIKE, INC. (NKE)



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DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
NIKE, INC.	Lead Director	20	2026	165,000	377,758	130,480

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NIKE, INC. (NKE)

MSCI ESG RATINGS BBB

CCC | B | BB | BBB | A | AA | AAA

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TRAVIS KNIGHT

Age:	52	Financial:	No
Gender:	M	Risk:	No
Nationality:	Not Disclosed	Industry:	Media & Entertainment - Media

BIOGRAPHICAL INFORMATION

NIKE, INC. - Board Member Source Date: 07/15/2026

Knight is the President and Chief Executive Officer of the animation studio, LAIKA, LLC ("LAIKA"), which specializes in feature-length films. Mr. Knight has been involved in all principal creative and business decisions at LAIKA since its founding in 2003, serving in successive management positions as Lead Animator, Vice President of Animation, and then as President and Chief Executive Officer in 2009. Mr. Knight was Producer and Director of the feature film Kubo and the Two Strings (2017) which was nominated for an Academy Award and winner of the BAFTA award for Best Animated Film. Mr. Knight has served as Producer and Lead Animator on Academy Award-nominated feature-length films The Boxtrolls (2014) and ParaNorman (2012), for which he won an Annie Award for Outstanding Achievement in Character Animation, and Lead Animator for Coraline (2009). Prior to his work at LAIKA, Mr. Knight held various animation positions at Will Vinton Studios from 1998 to 2002, and as a stop-motion animator for television series, commercials, and network promotions. He has been recognized for his work on the Emmy Award-winning stop-motion animated television series The PJs. Mr. Knight serves on the Board of Directors of LAIKA. He is the son of NIKE's co-founder, Mr. Philip Knight, who currently serves as Chairman Emeritus.

CORPORATE BOARDS

Company	Role	Tenure	Appointed	Resigned	Independent of Management	Independent of Other Interests	Attendance
NIKE, INC.	Board Member	11	Jun 30, 2015		Yes	No	

VOTING RESULTS

Company	Year	For %	Against, Withheld and / or Abstained %
NIKE, INC.	2025	100%	0%

DIRECTOR PAY (all values USD)

Company	Role	Tenure	Pay Year	Cash Fees	Total Awarded Pay	Shares Held
NIKE, INC.	Non-Executive	11	2026	100,000	292,758	4,839,081

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RATING ACTION DATE: March 23, 2026
LAST REPORT UPDATE: November 02, 2026

EU Regulation 2024/3005 disclosures

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GLOSSARY

MSCI ESG RATINGS AND SCORES

FINAL ESG RATING

- Letter ratings are relative within each MSCI ESG Ratings industry. Each Final Industry-Adjusted Company Score is converted to an equivalent rating on the AAA-CCC scale.

ESG PILLARS

- the ***Environment Score*** represents the weighted average of all Key Issues that fall under the Environment Pillar
- the ***Social Score*** represents the weighted average of all Key Issues that fall under the Social Pillar
- the ***Governance Score*** represents the sum of score deductions derived from Key Metrics included in Corporate Governance (including Board, Pay, Ownership & Control, and Accounting) and Corporate Behavior (including Business Ethics and Tax Transparency)
- the ***Environment Weight*** represents the sum of the weights of all Key Issues that fall under the Environment Pillar
- the ***Social Weight*** represents the sum of the weights of all Key Issues that fall under the Social Pillar
- the ***Governance Weight*** represents the sum of the weights of Corporate Governance and Corporate Behavior, with a minimum weight set at 33% for all rated issuers

KEY ISSUES

For each industry and Company-Specific Key Issue that contributes to the final rating:

- ***Weight*** contribution to the final rating
- ***Exposure*** Score (available for companies published since June 2011; excluding Raw Material Sourcing – Environmental)
- ***Management*** Score (available for companies published since June 2011; excluding Raw Material Sourcing – Environmental)
- Overall ***Key Issue Score***

WEIGHTED-AVERAGE KEY ISSUE SCORE VS. INDUSTRY RELATIVE SCORE

- the ***Weighted-Average Key Issue Score*** is dynamic, reflecting changes in any underlying scores as of the Last Update date, while the ***Industry Relative Score*** is more static and corresponds to the Rating Date. Issues that we determine do not present material risks or opportunities to companies in a given industry receive 0% weight and do not impact the overall ESG rating.

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All averages, percentiles, and rating distributions found in the report are based on companies in the relevant MSCI ESG Ratings Industry and are calculated based on industry scores as of the date of publication of this report.

ESTIMATED CARBON EMISSIONS

Carbon estimates are based on carbon intensity (carbon emissions/sales). The Estimate Key represents the source of the estimated carbon emissions data. E.CSI represents Company-Specific Intensity estimates based on previously disclosed data. E.GICSSI represents estimates based on the GICS Sub-Industry average. For E.GICSSI we set five levels of confidence (High, Moderately High, Moderate, Moderately Low, and Low). The Carbon Estimation Methodology document, available on ESG Manager, describes the estimation model in greater detail.

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IBISWorld

Manufacturing • 31621

Shoe & Footwear Manufacturing in the US

Tariff tensions hike: Elevated shoe manufacturing costs loom amid trade disputes with China, challenging supply chains and reshaping economic landscapes

Christian Perdomo
Published: August 2026

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About

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About This Industry

Definition

The shoe and footwear manufacturing industry produces a wide range of products for men, women and children. These include rubber and plastic footwear, protective shoes, house slippers and slipper socks. In addition, manufacturers create footwear tailored for casual, formal and work settings. These products often feature rubber or plastic soles paired with leather or vinyl uppers, catering to diverse consumer needs while maintaining a variety of functional and stylistic attributes.

Codes

NAICS

2022	31621 – Footwear Manufacturing
2022	316210 – Footwear Manufacturing
2017	31621 – Footwear Manufacturing
2017	316210 – Footwear Manufacturing

ISIC

2006	1520 – Manufacture of footwear

What's Included

- Manufacturing rubber and plastic footwear
- Manufacturing men's footwear
- Manufacturing women's footwear

Companies

- New Balance
- Rocky Brands
- Red Wing Shoes
- Caleres Inc.
- Nike
- Crocs
- Deckers Brands
- Caleres
- The Frye Company
- L.L.Bean
- Timberland Pro
- Red Wing
- Weyco Group
- Lacrosse Footwear
- McRae Industries
- Sebago
- Tecovas
- Trudave Gear
- The Original Footwear Co.
- Weinbrenner Shoe Company

Related Industries

Domestic industries

Competitors

- Women's, Girls' and Infants' Apparel Manufacturing in the US
- Leather Goods & Luggage Manufacturing in the US

Complementors

- Textile Mills in the US
- Medical Instrument & Supply Manufacturing in the US

International industries

- Footwear Manufacturing in the UK
- Footwear Manufacturing in China
- Footwear Manufacturing in Germany
- Footwear Manufacturing in Australia
- Global Footwear Manufacturing
- Shoe & Footwear Manufacturing in Canada

Related Terms

NORTH AMERICAN FREE TRADE AGREEMENT (NAFTA)

A generally duty-free agreement signed by the governments of Canada, Mexico and the United States, creating a trilateral trade bloc in North America.

OFFSHORING

The transfer of manufacturing operations to another country, regardless of whether the work is outsourced or stays within the same corporation or company.

OUTSOURCING

Subcontracting process in which manufacturing is conducted by a third-party company either locally or internationally.

Additional Resources

- Textile World
- US Census Bureau
- Textile Society of America
- Manufacturing News
- American Apparel and Footwear Association

At a Glance

Revenue		Employees		Businesses	
$1.9bn	2021-26 ↓ 1.0% 2026-31 ↑ 0.2%	9.5k	2021-26 ↓ 0.9% 2026-31 ↑ 0.0%	1.0k	2021-26 ↑ 2.9% 2026-31 ↑ 1.2%
Profit		**Profit Margin**		**Wages**	
$118.9m	2021-26 ↓ 0.6%	6.3%	2021-26 ↑ 0.1pp	$415.6m	2021-26 ↓ 2.2% 2026-31 ↑ 0.1%

ⓘ Five-year growth rates display historic and forecast CAGRs

Major Players

Company	Revenue ($m)	Market Share (%)
New Balance	613.4	32.5
Rocky Brands	139.5	7.4
Other Companies	1,133.7	60.1

Products & Services

Item	Revenue ($m)	Market Share (%)
Men's footwear (except athletic)	670.4	46.9
Rubber and plastic footwear including athletic footwear	303.0	21.2
Other footwear	265.9	18.6
Women's footwear (except athletic)	190.1	13.3

Key External Drivers

Driver	Impact
Import penetration into the manufacturing sector	Negative
Trade-weighted index	Negative
Per capita disposable income	Positive
Demand from footwear wholesaling	Positive

Key Takeaways

Performance

New forced-labor tariffs could give footwear makers a pricing edge as imports from major sourcing hubs become costlier. But the upside isn't uniform: domestic capacity is limited, and import-dependent producers may still face higher input costs and disruptions.

Domestic footwear makers won't get a legislative boost from the failed BOOTS Act and must compete for military and commercial buyers on merit. Without a new domestic-content requirement, consistent demand will depend on stronger products, competitive pricing, dependable capacity and resilient supply chains.

Products and Markets

Men's dress and casual shoe makers are squeezed between tariff-driven cost increases and an enduring consumer shift toward athleisure. Winning brands are making classic styles less formal, adding lightweight construction, flexible soles and cushioning without sacrificing a polished look.

Footwear manufacturers face fewer specialty-store doors and less wholesale visibility as retailers shrink their physical footprints and consumers move online. That shift favors vertically integrated brands with direct digital channels, while supplier-dependent manufacturers contend with fewer replenishment orders and tighter relationships with retailers.

SWOT

Strengths	Low Capital Requirements Low Product/Service Concentration Medium & Increasing Barriers to Entry
Weaknesses	Decline Life Cycle Stage High & Decreasing Level of Assistance High Competition High Customer Class Concentration High Imports Low Profit vs. Sector Average Low Revenue per Employee
Opportunities	Per capita disposable income
Threats	Low Revenue Growth (2021-2026) Trade-weighted index

Industry Structure

Characteristic	Level & Trend
Concentration	Low
Barriers to Entry	Moderate, Increasing
Regulation and Policy	Moderate, Steady
Life Cycle	Decline
Revenue Volatility	Moderate
Assistance	High, Decreasing
Competition	High, Increasing
Innovation	Moderate

Executive Summary

Tariff tensions hike: Elevated shoe manufacturing costs loom amid trade disputes with China, challenging supply chains and reshaping economic landscapes

The Shoe and Footwear Manufacturing industry is experiencing notable trends amid changing consumer behavior and global economic shifts. Over recent years, the industry has contended with challenges like price sensitivity among consumers, increased competition from imports, the imposition of new tariffs and a shift towards athleisure and casual footwear. Industry revenue has dropped at a CAGR of 1.0% over the past five years and is expected to total $1.9 billion in 2026, while revenue will increase by an estimated 2.1%.

Historically, the industry has faced stagnation because of high domestic production costs and heavy reliance on foreign manufacturing. US–China trade tensions further intensified these challenges by disrupting supply chains and prompting brands to reassess sourcing and domestic production strategies. During the period, the industry has increasingly focused on supply-chain diversification, e-commerce expansion and demand for comfortable, performance-oriented footwear. In response, many brands have streamlined product assortments, expanded digital sales channels and incorporated more sustainable materials. These strategies reflect consumer preferences for value, quality, convenience and ethically produced products.

The industry is poised for modest growth, driven largely by the continuing shift toward casual and sportswear and an increased focus on innovation in materials and production processes. The integration of technologies such as 3D printing and advanced robotics is expected to enhance manufacturing efficiency and customization capabilities. In addition, the Berry Amendment, which requires certain Department of Defense procurement to use domestically produced textiles and apparel, is likely to broaden the domestic customer base and support further expansion. Over the next five years, revenue will hike at a CAGR of 0.2% to reach an estimated $1.9 billion in 2031. However, ongoing geopolitical tensions, including conflict between the US and Iran, are expected to contribute to fluctuations in global energy and raw material prices, adding cost pressure on manufacturers. The industry will also contend with competition from overseas producers and increased tariffs, which may limit profit.

Performance

Key Takeaways

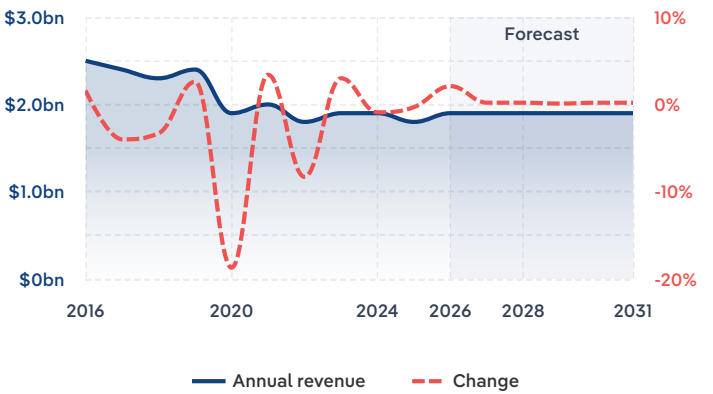
New forced-labor tariffs could give footwear makers a pricing edge as imports from major sourcing hubs become costlier. But the upside isn't uniform: domestic capacity is limited, and import-dependent producers may still face higher input costs and disruptions.

Domestic footwear makers won't get a legislative boost from the failed BOOTS Act and must compete for military and commercial buyers on merit. Without a new domestic-content requirement, consistent demand will depend on stronger products, competitive pricing, dependable capacity and resilient supply chains.

Performance Snapshot

Revenue

Total value ($) and annual change from 2016 – 2031. Includes 5-year outlook.



IBISWorld Source: IBISWorld

Revenue

$1.9bn

2021-26 ↓ 1.0%

2026-31 ↑ 0.2%

2026 Revenue Growth

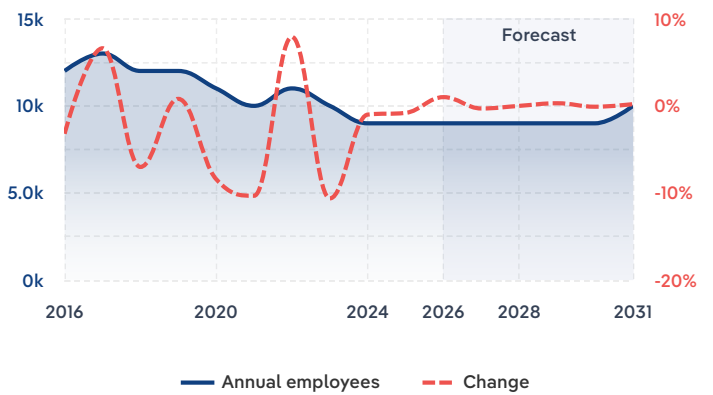
2.1% ↑ Increasing

Revenue Volatility

Moderate

Employees

Total number of employees and annual change from 2016 – 2031. Includes 5-year outlook.



IBISWorld Source: IBISWorld

Employees

9.5k

2021-26 ↓ 0.9%

2026-31 ↑ 0.0%

Employees per Business

9

2021-26 ↓ 3.7%

2026-31 ↓ 1.2%

Revenue per Employee

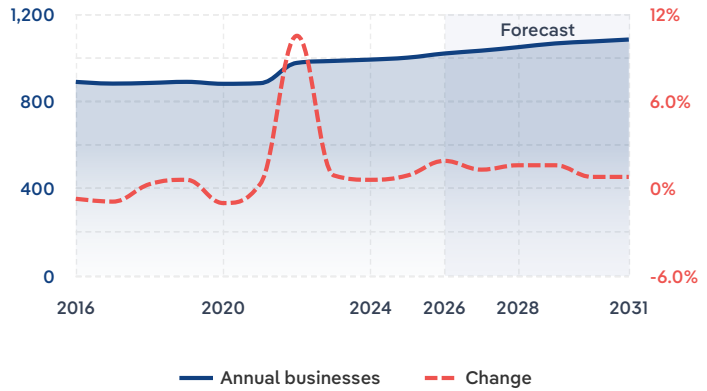
$198.8k

2021-26 ↓ 0.1%

2026-31 ↑ 0.1%

Businesses

Total number of businesses and annual change from 2016 – 2031. Includes 5-year outlook.



IBISWorld Source: IBISWorld

Businesses

1.0k

2021-26 ↑ 2.9%

2026-31 ↑ 1.2%

Employees per Business

9

2021-26 ↓ 3.7%

2026-31 ↓ 1.2%

Revenue per Business

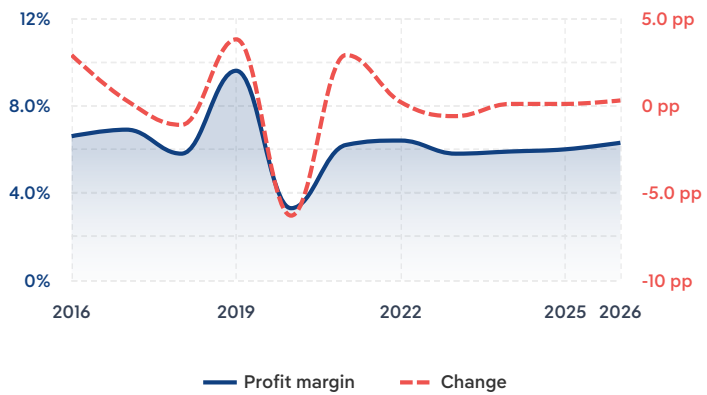
$1.9m

2021-26 ↓ 3.8%

2026-31 ↓ 1.0%

Profit Margin

Total profit margin (%) and annual change from 2016 – 2026



IBISWorld Source: IBISWorld

Total Profit

$118.9m

2021-26 ↓ 0.6%

Profit Margin

6.3% 2021-26 ↑ 0.1pp

Profit per Business

$116.7k

Current Performance

↓2021-26 Revenue CAGR: -1.0%

What's driving current industry performance?

Rising crude prices reverse temporary cost relief across footwear production supply chains

- The 14.4% drop in crude oil prices in 2025 reduced petroleum-based input costs for footwear manufacturing, lowering prices for EVA, PU, PVC and other synthetic materials used in soles, midsoles, uppers, adhesives and coatings. This created temporary cost relief across the production chain, particularly for manufacturers with substantial reliance on oil-derived materials.
- This favorable cost environment improved the sector's ability to compete in price-sensitive markets during 2025. Brands and suppliers had greater flexibility to support promotional activity, protect consumer demand, absorb expenses elsewhere in the supply chain and retain more of each sale as operating profit.
- However, since US and Israeli forces began strikes against Iran in February 2026, escalating regional tensions have created substantial upside risk for oil and petrochemical prices. The projected 38.2% strengthen in global crude oil prices during 2026 would raise feedstock and resin costs, reverse recent cost relief for footwear manufacturers, climb the cost of synthetic components and further compress sector profitability.

Forced-labor tariffs create uneven opportunities for footwear manufacturing

- The July 2026 Section 301 forced-labor tariff action imposed new duties on imports from 60 economies, including additional 12.5% duties on imports from China and Vietnam and 10.0% duties on imports from Indonesia. For footwear manufacturers, the measure can improve the relative price competitiveness of domestically made finished shoes versus affected imports; however, its benefit is limited because approximately 90.0% of footwear sold in the US is imported and domestic production capacity remains comparatively small.
- The impact on domestic manufacturers will vary with their input-sourcing model. Producers that make finished footwear in the US and procure more materials domestically may gain a competitive advantage as imported shoes become more expensive. Conversely, manufacturers dependent on imported leather, uppers, soles, components, machinery, or other specialized inputs may face higher costs or supply chain disruptions, although the July policy provides exemptions for certain manufacturing inputs and goods not available from US sources in sufficient quantities.
- Nike demonstrates the industry's continued exposure to offshore production and the financial significance of tariff policy changes. In fiscal 2026, Vietnam, Indonesia and China manufactured 52%, 27% and 16%, respectively, of NIKE Brand footwear; following the February 2026 Supreme Court ruling that IEEPA tariffs were unauthorized, Nike recognized a $986.0 million recovery in cost of sales for previously paid IEEPA tariffs. The recovery reduced the impact of the invalidated emergency tariffs, but it does not eliminate the company's or the wider industry's exposure to the separate Section 301 duties on imports from key footwear-sourcing countries, effective July 2026.

Declining household confidence drives value-focused footwear demand and inventory restraint

- In 2025, consumer confidence fell 8.4%, signaling a marked deterioration in household sentiment and greater caution around discretionary purchases. Footwear, especially mid-tier and premium products, was particularly exposed because consumers could postpone replacements, trade down to lower-priced alternatives and delay purchases until promotional events offered a more compelling value proposition.
- Persistent inflation, elevated borrowing costs and excess retail inventories further weakened demand and profitability. As retailers cleared stock through deeper promotions and markdowns, manufacturers faced lower sales volumes and reduced pricing power. Consequently, producers narrowed assortments, reduced production commitments and scaled back planned product launches to protect profit and limit inventory risk.
- With consumer confidence projected to decline a further 0.6% in 2026, footwear manufacturers will likely remain exposed to cautious, value-conscious shoppers. Companies could respond by expanding value-oriented offerings, improving omnichannel convenience and service and reinforcing brand authenticity, product quality and price-value messaging to strengthen trust, defend demand and support customer retention.

Athleisure trends drive demand for versatile, technology-enhanced athletic footwear

- The surge in athleisure fashion is increasing demand for athletic footwear that combines aesthetics with practicality. Consumers are gravitating toward versatile, stylish designs that can be worn for exercise, wellness activities and everyday use, supporting brands such as Alo as they expand across the activewear category.
- Footwear manufacturers are responding through technological innovation, developing athletic shoes with greater in-shoe comfort, shock absorption, energy return and recovery-oriented features. Nike's 2025 Nike x Hyperice Hyperboot—featuring dual-air Normatec bladders and warming technology designed to support muscle recovery—illustrates how biomechanical innovation can differentiate products for casual consumers and serious athletes alike.
- Celebrity and influencer collaborations provide a route to translate performance and lifestyle innovation into broader consumer relevance. Nike's 2025 NikeSKIMS partnership with Kim Kardashian demonstrates how brands can use star power to strengthen visibility among women and extend performance-and-lifestyle footwear lines into new and wider consumer segments.

Consumer demand for eco-friendly products drives sustainable footwear innovation

- The footwear manufacturing industry is increasingly turning to sustainable practices in response to rising consumer demand for eco-friendly products. Many manufacturers are adopting environmentally conscious practices, such as using sustainable materials and energy-efficient processes, to align with these expectations.
- Leading brands, including Adidas and Nike, are setting industry standards by incorporating recycled plastics into their shoe designs. Adidas collaborates with Parley for the Oceans, while Nike's "Move to Zero" initiative reflects a strong commitment to reducing environmental impact. These efforts underscore a broader industry trend, highlighting the importance of sustainable production.
- Corporate sustainability goals further underscore this transformation. New Balance's 2024 Sustainability and Impact Report reiterates its ambitious 2030 product targets, including sourcing 100% "preferred" leather—defined as chrome-free, regenerative, or low-emission based on life-cycle assessment—and 100% "preferred" polyester, with 25% of the polyester fibers derived specifically from textile waste by 2030. These updated benchmarks strengthen the link between material choices and climate science, highlighting an industry response to consumer expectations and global environmental challenges that reflects a long-term commitment to sustainability beyond short-term trends.

Outlook

↑2026-31 Revenue CAGR: 0.2%

What's driving the industry outlook?

Domestic footwear producers will compete commercially after the BOOTS Act mandate fails

- Domestic producers will continue to compete for commercial and existing military footwear demand following the BOOTS Act's failure to establish a new domestic-content requirement for optional combat boots. Introduced in June 2025, the Better Outfitting Our Troops (BOOTS) Act would have required optional boots worn with military uniforms to be made in the US from domestic materials and components, effectively extending Berry Amendment-style requirements to this category.
- The policy would have addressed a gap in existing procurement rules. Supporters argued that service members purchase about 1 million pairs of optional combat boots annually, with much of that spending going to foreign manufacturers; advocates estimated the market at up to $250.0 million per year. Domestic producers viewed a mandate as a way to create steadier demand, support production scale and strengthen the US footwear supply chain.
- The measure faced a significant setback when House lawmakers rejected it 38–18 during consideration of the fiscal year 2026 NDAA, after an earlier House version had not advanced in the Senate. Without legislation, manufacturers could win demand through product performance, price, capacity and supply-chain reliability rather than through a new sourcing mandate. The Army's 2026 SWIFT RFI remains a positive longer-term signal of interest in reshoring and modernizing domestic footwear production, but it is not a funded procurement program.

Rising incomes will spur demand and profit growth for footwear manufacturers

- In 2027, per capita disposable income will climb by 2.1%, marking a moderate but meaningful boost to consumer purchasing power. This will encourage greater spending in mid-range and premium footwear categories, supporting steady output growth among domestic manufacturers, who will benefit from improved retail volumes and reduced inventory pressures.
- Higher disposable income will lead consumers to allocate a larger share of their budgets to discretionary goods, including shoes and specialized footwear. This will enhance manufacturers' pricing flexibility, strengthen brand loyalty and sustain healthier profit despite persistent input cost challenges. Improved household sentiment will also stimulate demand for innovative, comfort-driven and ethically produced footwear lines across core buyer segments.
- Footwear manufacturers could capitalize on this surge in demand by enhancing production efficiency, adopting data-driven forecasting, and expanding their direct-to-consumer channels. Companies could also invest in product differentiation and material innovation to align with evolving consumer preferences. Over the next year, these strategic adaptations will strengthen competitiveness, enhance profitability and bolster the sector's resilience amid global cost and trade volatility.

Resale growth will pressure footwear manufacturers to offer value and circular solutions

- The shoe and footwear manufacturing industry will be increasingly affected by the growth of second-hand shopping, particularly as rising import costs and retail prices encourage consumers to seek lower-cost alternatives. According to ThredUp, nearly 60.0% of consumers said they would seek more affordable options, such as second-hand purchases, if tariffs raised apparel and footwear prices.
- Footwear already has a meaningful presence on resale platforms. In the BoF–McKinsey State of Fashion 2026 Consumer Survey, sneakers ranked among the five most commonly purchased resale categories in the US, with 59.0% of resale consumers reporting purchases in the category. In China, boots ranked fourth, purchased by 55.0% of consumers, while watches, bags and outerwear also showed strong resale demand across the US, UK and China. For footwear producers, these results support investment in resale programs that authenticate, clean, repair and resell returned, traded-in or cosmetically imperfect shoes. Such programs can make brand-name footwear accessible at lower price points while protecting product quality and brand equity.
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- Programs such as New Balance Reconsidered will demonstrate how footwear brands can resell pre-owned, returned and cosmetically imperfect products while accepting eligible consumer trade-ins. Similar initiatives are expected to help manufacturers advance circularity commitments, recover value from returned inventory and attract younger and more price-conscious shoppers. Trade-in credits will also be used to encourage repeat purchases of new footwear, while resale activity will provide manufacturers with insights into product durability, condition, price sensitivity and consumer preferences.

Customization and personalization of shoes and footwear will drive change in the industry

- The shoe and footwear manufacturing industry is poised to capitalize on personalization trends, with industry giants such as Nike and Adidas leading the way. As consumers increasingly seek unique and tailored footwear, platforms like Nike By You enable individuals to customize design elements such as color and material. This shift meets consumer demand and helps brands differentiate themselves in a competitive market.
- Emerging technologies, such as 3D printing and AI-powered customization, will continue to play pivotal roles in advancing the footwear sector. These technologies enable the creation of highly customized shoes, supporting more flexible and digitally streamlined production processes.
- Recent launches, including Nike's 3D-printed Air Max 1000, adidas' fully 3D-printed Climacool24 line and PUMA's technology-led PUMA x F1 collaboration under A$AP Rocky's creative direction, exemplify the industry's shift toward innovative, experimentally designed footwear. This emphasis on cutting-edge digital design and manufacturing underscores how leading shoe brands are striving to stay ahead of rapidly evolving consumer expectations in terms of performance, style, and personalization.

- Manufacturers will also likely intensify the release of limited-edition collections and collaborate with celebrities to boost consumer engagement. Such strategies have proven effective; for example, Nike's collaboration with Billie Eilish has heightened the brand's allure through exclusivity and trendsetting designs.

Volatility

Moderate

What influences industry volatility?

Weaker dollar and volatile input costs intensify earnings pressure on footwear manufacturers

- Volatile input prices, particularly for plastics, rubber, leather and other synthetic materials, continue to pressure footwear manufacturers' profit, even as plastic materials and resin prices slipped 1.4% in 2025. Persistent cost swings complicate pricing strategies, disrupt budgeting and inventory planning and ultimately contribute to heightened revenue volatility.
- The trade-weighted index is expected to drop a further 3.7% in 2026, signaling a weaker US dollar relative to major trading partners. This depreciation can improve export competitiveness for US-made footwear but may also raise costs for imported components and materials, reinforcing overall earnings volatility for manufacturers.

Consumer preferences and celebrity endorsements drive footwear volatility

- Rapid changes in fashion trends lead to significant volatility within the footwear market. Manufacturers must frequently adapt their production and sales strategies to align with what consumers find stylish at any given moment. As a result, manufacturers face challenges in maintaining consistent revenue streams, with some seasons experiencing substantial increases or decreases in sales.
- Celebrity endorsements can dramatically alter demand for specific footwear styles. When influential figures embrace a particular shoe, its popularity can surge, influencing market trends. An example is the collaboration between Nike and Kim Kardashian's SKIMS in February 2025, which aims to revitalize Nike's appeal by tapping into Kardashian's widespread influence, illustrating how endorsements can shape industry dynamics.

Stagnant

Industry volatility vs. revenue growth (2021-2026 CAGR)



IBISWorld

Source: IBISWorld

Key Success Factors

How do successful businesses overcome volatility?

Leverage product design, quality and brand strengths

Investing in innovative designs, ensuring high-quality materials and craftsmanship and building strong, recognizable brands creates customer loyalty, allows premium pricing, differentiates from competitors and enhances market stability for footwear manufacturers.

Secure export markets

Export demand in Canada, Mexico and Japan gives manufacturers a revenue channel priced under different trade terms than the domestic tariff regime, partly offsetting swings tied to the trade-weighted index.

Life Cycle

Decline

Life Cycle

Indication of the industry's stage in its life cycle compared to similar industries



*Growth is based on change in share of economy combined with change in establishment numbers

IBISWorld

Source: IBISWorld

Why is the industry declining?

Contribution to GDP

The shoe and footwear manufacturing industry is experiencing slower growth compared to the US GDP, primarily because of intense global competition, elevated labor costs, market saturation and supply chain disruptions. Shifting consumer preferences and growing sustainability concerns pose additional challenges for domestic production, thereby limiting its economic contribution.

Market Saturation

Numerous companies compete fiercely for the same consumer base and differentiating products has become increasingly challenging. This saturation leads to heightened competition, often resulting in price wars and a heavy reliance on promotions and discounts. Companies must innovate or consolidate to maintain their positions as the market becomes more crowded.

Innovation

Innovation focuses on sustainable materials, such as recycled plastics and plant-based alternatives, as well as customization options through 3D scanning for perfect fits and technological enhancements in design and production processes. These innovations cater to consumer demands for eco-friendliness, comfort and a unique style, helping manufacturers distinguish themselves in crowded markets.

Consolidation

More prominent manufacturers strategically acquire smaller companies to expand their market share, diversify product offerings and enhance operational efficiencies. This necessity for consolidation stems from the need to remain competitive amid limited growth prospects and intense market rivalry domestically and abroad.

Technology & Systems

The industry relies heavily on technology and systems to drive efficiency and maintain competitiveness. Automation, 3D printing and advanced analytics optimize production and distribution, reducing costs and improving customer experiences. These tech-driven enhancements are crucial for manufacturers seeking to remain competitive in a highly saturated market.

Products and Markets

Key Takeaways

Men's dress and casual shoe makers are squeezed between tariff-driven cost increases and an enduring consumer shift toward athleisure. Winning brands are making classic styles less formal, adding lightweight construction, flexible soles and cushioning without sacrificing a polished look.

Footwear manufacturers face fewer specialty-store doors and less wholesale visibility as retailers shrink their physical footprints and consumers move online. That shift favors vertically integrated brands with direct digital channels, while supplier-dependent manufacturers contend with fewer replenishment orders and tighter relationships with retailers.

Largest Market

$670.4m

Men's footwear (except athletic)

Product Innovation

Moderate

Products and Services

How are the industry's products and services performing?

Men's non-athletic footwear faces tariff pressures and shifting consumer preferences

- Men's footwear (except athletic) comprises manufactured shoes and boots intended for dress, casual, street and work use. Products are made from leather, synthetic materials, textiles and other inputs, serving everyday, professional and formal consumer needs across retail and wholesale markets.
- Men's non-athletic footwear has faced higher landed costs as US tariffs compound already significant footwear duties on imported leather shoes, dress shoes, boots and casual styles. Retailers and brands have responded with price increases, margin pressure, supplier negotiations and sourcing diversification; FDRA reported that men's footwear prices rose 5.4% in May 2026, underscoring tariff-driven consumer price pressure.
- The athleisure shift has weakened demand for traditional men's dress shoes by making comfort and casual versatility central to everyday and office wardrobes. To remain competitive, brands such as Cole Haan have redesigned classic styles, including wingtips and cap-toe oxfords, with lightweight, flexible, sneaker-inspired outsoles and cushioned midsoles, preserving a polished appearance while delivering all-day comfort.

Rubber and plastic footwear benefits from wellness demand but faces energy-cost risks

- Rubber and plastic footwear includes sneakers, sandals, rain boots and similar shoes made mainly from synthetic materials. These products are designed for everyday wear, sports and outdoor activities, offering consumers practical benefits such as durability, comfort, water resistance and relatively affordable pricing.
- Total health expenditure rose 7.1% in 2025, reflecting a broader consumer focus on health and wellness that has supported demand for athletic footwear. As more consumers incorporate running, training and studio workouts into their daily routines, brands such as Alo Yoga have expanded into performance-oriented sneakers alongside their yoga apparel. Likewise, Nike and Adidas leverage partnerships with star athletes and celebrities to generate buzz and build preference for specific shoe lines.
- The roughly 13.9% drop in global crude oil prices in 2025 likely lowered the cost of petroleum-derived inputs, including synthetic rubber, plastics and foam, providing some profit relief for footwear manufacturers. However, this benefit may be eroded in 2026 as the oil and natural gas price index is projected to strengthen 37.7%, driven by geopolitical disruptions and infrastructure constraints. The conflict involving Iran has damaged regional energy infrastructure, including facilities in Qatar and disrupted shipping through the Strait of Hormuz, a critical export corridor for Gulf Cooperation Council producers. Higher energy and petrochemical prices could therefore raise material and manufacturing costs for footwear producers.

Women's footwear manufacturers face rising pressure from fast fashion and imports

- Women's footwear, excluding athletic shoes, includes non-sport styles designed specifically for women, such as heels, boots, flats, sandals and dress shoes. Characterized by fashion-led design and frequent style updates, the segment addresses diverse consumer preferences across formal, casual, professional and seasonal occasions.
- The growing presence of fast-fashion retailers is reshaping the women's footwear segment. These retailers are introducing trend-driven styles at low prices and refreshing assortments frequently, encouraging consumers to expect new fashion options more often and at lower price points. This is heightening competitive pressure on shoe and footwear manufacturers, which must respond to shorter fashion cycles, faster-changing demand and greater risk of unsold inventory.
- Demand for luxury, Italian-made women's footwear is increasing

competition for US manufacturers serving the upper end of the women's footwear segment. Italian producers benefit from an established reputation for craftsmanship, premium materials and fashion design, enabling them to command high prices without competing primarily on cost. This pressure domestic manufacturers to invest in product quality, specialized materials, distinctive design and brand-building to secure premium positioning and protect profit against established luxury imports.

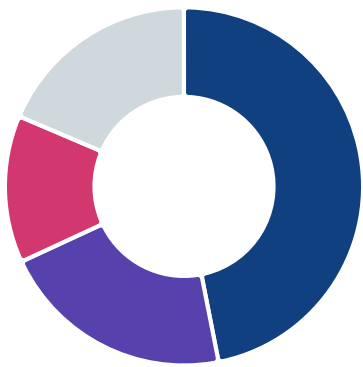
- Consumers are also increasingly purchasing women's footwear through e-commerce, online marketplaces and social-commerce platforms. This shift expands product visibility and price transparency, allowing consumers to compare US-made offerings with a wide range of lower-priced imported footwear. For shoe and footwear manufacturers, digital retail therefore intensifies import competition and puts pressure on selling prices and profit, as domestically produced women's footwear generally faces higher production costs than comparable imported products.

Other footwear manufacturers benefit from the lasting demand for comfort and protected military procurement

- This category encompasses all other forms of footwear that don't fit neatly into the conventional classifications. It includes casual footwear like slippers and flip-flops, as well as highly specialized shoes designed for specific activities or scenarios.
- The continued prevalence of hybrid and remote work has reinforced consumer demand for comfortable, casual and versatile footwear. This broader shift has supported interest in slippers, sandals and flip-flops for home and everyday wear, while encouraging brands to emphasize cushioning, support and indoor-outdoor versatility in product design.
- The Berry Amendment benefits shoe and footwear manufacturers by requiring the Department of Defense to purchase covered footwear made entirely in the US, generally including domestic materials, components and manufacturing processes. This creates protected demand for US military boots, recruits athletic-shoe suppliers, supports domestic supply chains and jobs and reduces direct competition from lower-cost imports.

Products & Services Segmentation

Industry revenue in 2026 broken down by key product and service lines.



- Men's footwear (except athletic) ($670.4m) 46.9%
- Rubber and plastic footwear including athletic footwear ($303.0m) 21.2%
- Women's footwear (except athletic) ($190.1m) 13.3%
- Other footwear ($265.9m) 18.6%

IBISWorld

Source: IBISWorld

☆ Key Success Factors

What products or services do successful businesses offer?

Invest in new technology to enhance operational efficiency and quality

Automation lets manufacturers offset a labor cost gap with Asian producers that runs into double digits, making robotics and process technology a precondition for keeping any domestic production viable at all.

Leverage product design, quality and brand strengths

Brand heritage and consistent quality let a handful of manufacturers command premium pricing despite import competition, turning design reputation and perceived durability into the industry's clearest defense against cheaper alternatives.

Innovations

Moderate

What are innovations in industry products and services?

Automated footwear manufacturing expands through robotics, nearshoring and streamlined production

- On's Busan facility demonstrates product innovation through its LightSpray technology, where 32 robotic units spray shoe uppers directly onto molds. This converts a traditionally fragmented, 200-step upper production process into a single automated operation, enabling lightweight performance footwear with a distinctly differentiated construction method.
- The factory represents a service and supply-chain innovation by shortening the path between production and major consumer markets. Planned automated sites in the US and Europe could improve time-to-market, reduce dependence on Asian sourcing and help manage tariff exposure and geopolitical disruption.
- Automation also advances sustainability-oriented manufacturing services. Producing closer to consumers may reduce the transport requirements for shipping finished footwear from Asia to Western markets, while robot-led processes can reduce production complexity. The model responds to tighter labor availability and rising expectations for faster, lower-impact product delivery.

Adjustable and growth-adaptable footwear revolutionizes shoe longevity

- The introduction of ÜNOS sneakers by Sz brings a revolutionary approach to the footwear industry by incorporating an expandable, Z-shaped outsole. This innovation allows the shoes to grow alongside the user's feet, potentially extending their lifecycle and reducing waste by minimizing the need for frequent replacements as individuals outgrow their shoe sizes.
- These sneakers are machine washable, providing consumers with a convenient maintenance option. Constructed from a blend of ethylene vinyl acetate, viscose, and rubber, they emphasize durability and environmental sustainability. This design ensures the product adapts to the user's needs while adhering to eco-conscious principles.

Major Markets

What's influencing demand from the industry's markets?

Fewer specialty footwear stores weaken manufacturers' physical retail exposure

- Footwear retailers are businesses that specialize in selling shoes, boots, sandals and related products directly to consumers, typically in small quantities. They occupy a significant position in the supply chain as the final point before products reach consumers.
- Footwear retail consolidation is constraining downstream demand for shoe and footwear manufacturers. In the first quarter of 2026, Foot Locker closed 88 stores across its Foot Locker, Champs, Kids Foot Locker and WSS banners, while Shoe Carnival plans to close 12–14 locations during fiscal 2026. The shrinking specialty-footwear retail footprint is reducing shelf space, consumer visibility and wholesale replenishment opportunities for domestic manufacturers that rely on these accounts. As retailers operate fewer physical locations, manufacturers have fewer outlets through which to place products, build brand exposure and generate repeat orders.
- Footwear retailers are also being affected by the continued shift toward e-commerce. According to the Census Bureau, seasonally adjusted retail e-commerce sales reached $327.9 billion in the first quarter of 2026, up 3.1% from the fourth quarter of 2025 and 10.1% from the prior-year quarter. E-commerce represented 17.0% of total retail sales.
- Growth in online sales is shifting footwear purchases from physical stores to brand-owned direct-to-consumer websites, online marketplaces and other digital retailers. As a result, store-based footwear retailers face weaker in-store traffic, greater price competition and higher spending on e-commerce platforms, omnichannel fulfillment, digital marketing and flexible returns. These

pressures have constrained wholesale inventory purchases and replenishment orders, reducing demand for shoe and footwear manufacturers.

- Vertically integrated companies, such as New Balance and Nike, which are prominent players in the footwear manufacturing industry, leverage their control over the supply chain to optimize efficiency and maintain a competitive edge in retail.

Direct-to-consumer sales reduce footwear wholesalers' role in distribution

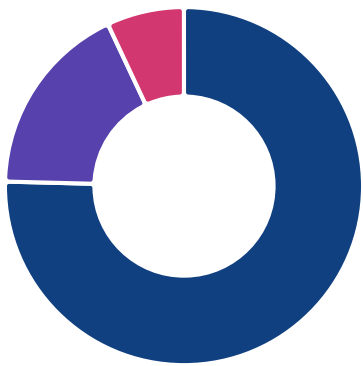
- Footwear wholesalers serve as crucial intermediaries in the supply chain, purchasing shoes in bulk directly from manufacturers and distributing products to specialty retailers, mass merchandisers and department stores. This role supports an efficient flow of goods from production facilities to consumer markets.
- Wholesalers meticulously track footwear fashion trends by analyzing market research, attending industry trade shows and monitoring social media and influencer activities. They focus on styles, colors and materials and subsequently modify their purchasing strategies to align with anticipated high-demand preferences among retailers and consumers.
- This market segment has been affected by manufacturers that bypass wholesalers to sell directly to retailers or through their own outlets. This approach enables manufacturers to achieve higher profit. However, it also increases their control over distribution, pricing and market understanding.
- However, major footwear manufacturers such as Nike have recognized the importance of wholesalers in maintaining a broad market reach, product visibility and consumer access. After reducing wholesale accounts under its 2020 Consumer Direct Acceleration strategy to prioritize direct and digital sales, Nike faced slower growth and weaker shelf presence, prompting it to restore relationships with retailers, including DSW and Macy's, in 2023.

Manufacturer-owned outlets strengthen direct consumer access and support omnichannel growth

- This segment includes footwear manufacturers that manage their retail outlets and sell directly to consumers, businesses and government agencies. By strategically engaging with diverse markets, these manufacturers employ a comprehensive approach, optimizing their product marketing and distribution across multiple channels to maximize reach and effectiveness.
- Over the past five years, manufacturers have increasingly boosted sales through their own sales outlets, a trend that accelerated in 2020. Despite the growth in DTC, the wholesale channel remains valuable for manufacturers, offering broader distribution and valuable consumer insights. This balance between DTC and wholesale allows manufacturers to maximize reach, adapt to market shifts and maintain a strong brand presence across multiple channels.

Major Markets Segmentation

Industry revenue in 2026 broken down by key markets



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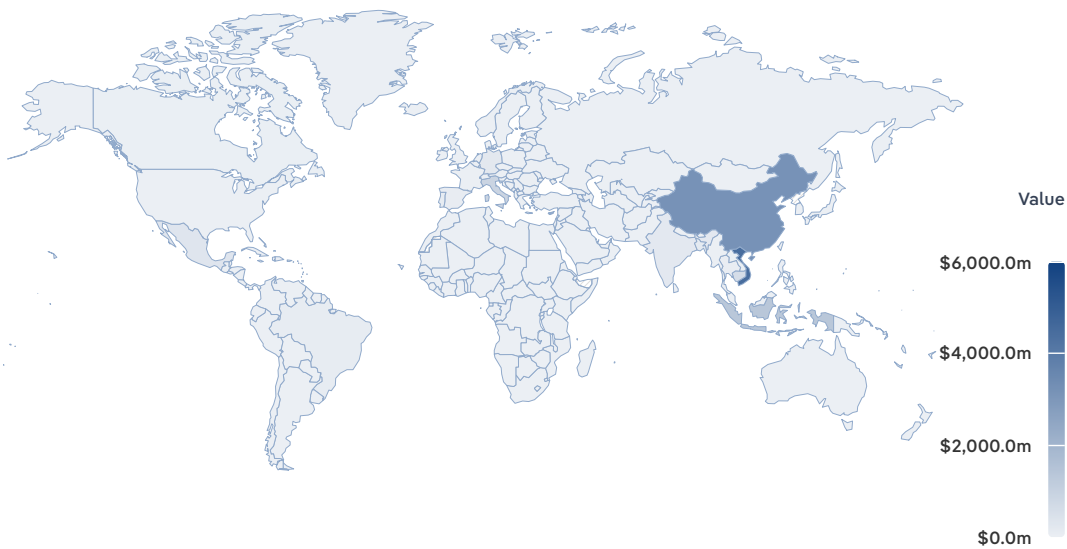
Source: IBISWorld

International Trade

Total Imports		Total Exports		Trade Balance
$24.4bn	2021-26 ↓ 17.3% 2026-31 ↑ 1.7%	$1.4bn	2021-26 ↑ 4.6% 2026-31 ↑ 0.1%	Net Importer Deficit: $-23.0bn

International Trade: Imports

Concentration of imports and exports from each country based on industry revenue

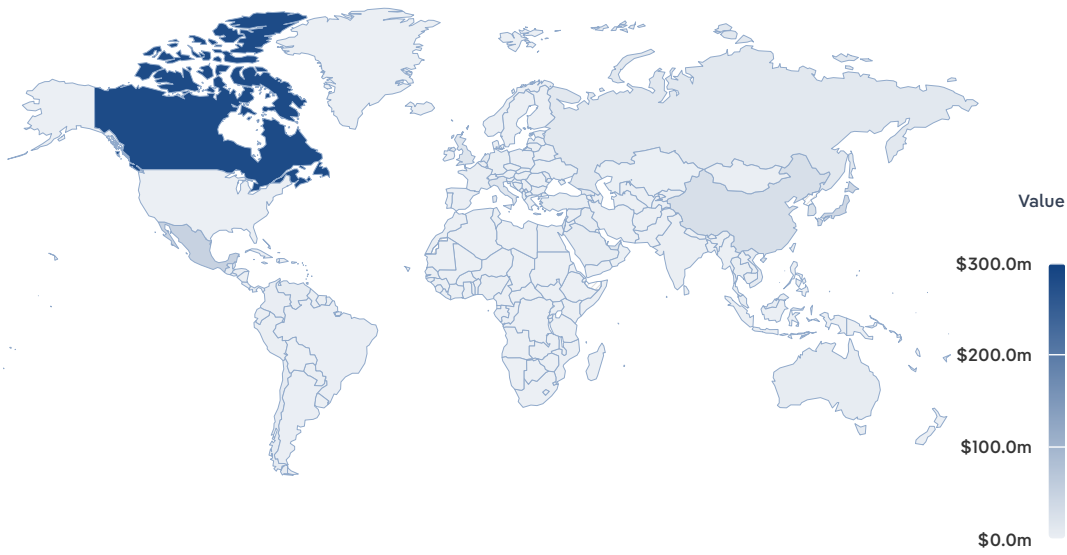


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Sources: IBISWorld

International Trade: Exports

Concentration of imports and exports from each country based on industry revenue



IBISWorld

Sources: IBISWorld

Imports

High | Decreasing

What are the industry's import trends?

Import tariffs weaken Asia's historic footwear cost advantage in US markets

- Lower labor costs and large-scale manufacturing capacity have historically made China, Vietnam and Indonesia the leading foreign suppliers to the US footwear market. Footwear production is labor-intensive, particularly in cutting, stitching, assembly, finishing and quality control. Asian factories can produce large volumes at lower unit costs than domestic manufacturers, encouraging brands and retailers to source basic and mass-market footwear abroad.
- Well-developed footwear clusters in Asia reinforce this cost advantage. Suppliers in China, Vietnam and Indonesia combine specialized labor, established material networks, component producers, port infrastructure and high-volume factories. These capabilities enable short production lead times and economies of scale that US manufacturers generally cannot match in price-sensitive categories such as casual shoes, sandals, basic athletic footwear and children's footwear.
- Since 2025, however, higher US tariffs and policy uncertainty have weakened the cost advantage of imported footwear and made importers more cautious about purchase commitments. Chinese footwear faced tariffs exceeding 50.0% during 2025, compared with roughly 20.0% for key alternative sources; by May 2026, duties on imports from China, Vietnam, Indonesia and Cambodia had become more comparable at around 20.0%. This has increased landed costs, raised price pressure and contributed to lower import volumes.

European premium footwear imports compete with US producers through design and craftsmanship

- Imported European footwear, especially Italian, French, German, Spanish and Portuguese premium products, competes with US manufacturers in luxury, fashion, leather, dress and handcrafted segments. European suppliers benefit from long-standing reputations for design, craftsmanship, heritage and high-quality materials. These attributes enable luxury brands to command premium prices and reduce direct competition based solely on manufacturing cost.
- Currency effects and tariffs make European footwear more expensive in the US market, but premium brands can partly absorb or pass through these costs because their customers place a high value on exclusivity, design and brand identity. However, additional US tariffs on European goods since 2025 have further raised shoe import costs, increasing pressure on European footwear suppliers.
- The tariff environment makes the import market more challenging for premium footwear retailers and brands. Higher duties add to foreign-exchange movements, shipping costs and retail markups, which may reduce demand and compress profit. This gives domestic footwear

manufacturers an opening in premium and made-in-USA categories, but success depends on investing in design, material quality, craftsmanship, brand recognition and customer relationships rather than competing on price alone.

Exports

High | Increasing

What are the industry's export trends?

Tariff uncertainty and supply-chain diversification strengthen the appeal of North American production

- Ongoing tariff exposure and uncertainty surrounding Asian sourcing have prompted footwear companies to diversify their production networks. China's share of US footwear imports fell to 28.9% between 2024 and 2025, reflecting a sustained shift away from China as tariffs and policy uncertainty discourage a major return to sourcing from China. This environment is increasing interest in closer, more flexible North American supply options.
- This sourcing shift is creating export opportunities for US manufacturers, particularly when overseas buyers need shorter lead times, smaller order quantities, customized production, or faster product replenishment. Domestic producers are better able to serve these requirements than large overseas factories focused on long production runs, helping domestic manufacturers compete in selected export markets.
- However, the strengthen in exports should not be interpreted as a full recovery in US footwear manufacturing. The industry remains small and faces strong import competition, while the global footwear trade weakened in early 2026. Export growth is therefore more likely to be concentrated in premium, technical and supply-chain-sensitive segments than in basic, price-sensitive footwear categories.

Digital channels expand footwear brands' export reach through direct consumer engagement

- US footwear brands are using e-commerce, brand-owned websites, mobile apps and digital marketplaces to reach international consumers without relying exclusively on traditional distributors or physical retail expansion. These channels give brands a lower-risk way to enter or test foreign markets, particularly for specialized, premium and limited-edition footwear that may not require large overseas wholesale orders.
- Direct-to-consumer digital channels give footwear companies greater control over product presentation, pricing, inventory and customer relationships across markets. Online sales also generate first-party customer data that can improve product development, demand forecasting, localized marketing and assortment decisions.
- Digital marketing, athlete partnerships and limited-edition product launches can gain global awareness and encourage cross-border demand for US footwear brands. For example, New Balance has continued to use Shohei Ohtani in global campaigns and product collaborations, including footwear releases connected to the 2025 Tokyo Series and a Spring/Summer 2026 signature collection. These efforts help the brand strengthen visibility in Japan and other international markets.

Geographic Breakdown

Key Takeaways

Manufacturers position near international ports to minimize shipping costs. Being close to these ports enables them to efficiently meet domestic and foreign demand, thereby reducing transportation expenditures.

West draws footwear companies through its design talent, sustainability expertise and product-development capabilities rather than large-scale factory capacity. Nike, Allbirds and Skechers support the region's role in innovation, although most footwear manufacturing still occurs overseas.

Business Locations

State	Establishments (Units)	Establishments (%)	Revenue ($k)	Revenue (%)	Wages ($k)	Wages (%)	Employment (Units)	Employment (%)	Population (%)
Alabama	5	0.5	5,166.0	0.4	1,494.1	0.4	44	0.5	1.5
Arizona	19	1.8	869.4	0.1	342.6	0.1	19	0.2	2.2
Arkansas	18	1.7	32,417.9	2.3	14,113.2	3.4	527	5.5	0.9
California	162	15.6	69,244.1	4.8	25,656.7	6.1	384	4.0	11.5
Colorado	20	1.9	3,048.6	0.2	891.9	0.2	27	0.3	1.8
Connecticut	15	1.4	11,643.2	0.8	92.7	0.0	15	0.2	1.1
Florida	42	4.0	6,278.6	0.4	2,026.0	0.5	54	0.6	7.0
Georgia	18	1.7	16,312.7	1.1	7,681.0	1.8	158	1.7	3.3
Hawaii	5	0.5	2,794.0	0.2	870.2	0.2	31	0.3	0.4
Idaho	5	0.5	2,429.1	0.2	709.2	0.2	29	0.3	0.6
Illinois	18	1.7	74,448.5	5.2	17,499.1	4.2	382	4.0	3.7
Indiana	6	0.6	13,275.6	0.9	3,275.5	0.8	84	0.9	2.0
Iowa	5	0.5	4,244.1	0.3	1,231.8	0.3	39	0.4	0.9
Kansas	5	0.5	4,231.2	0.3	1,299.8	0.3	41	0.4	0.9
Kentucky	6	0.6	5,008.8	0.4	1,295.1	0.3	45	0.5	1.3
Maine	48	4.6	161,800.4	11.3	39,430.4	9.4	1,013	10.6	0.4
Maryland	14	1.3	17,070.8	1.2	7,349.3	1.7	110	1.2	1.8
Massachusetts	35	3.4	87,578.6	6.1	36,988.2	8.8	517	5.4	2.1
Michigan	15	1.4	25,591.8	1.8	10,295.7	2.5	246	2.6	3.0
Minnesota	14	1.3	85,734.2	6.0	27,278.9	6.5	427	4.5	1.7
Mississippi	5	0.5	3,457.5	0.2	932.9	0.2	37	0.4	0.9
Missouri	31	3.0	94,636.9	6.6	18,524.8	4.4	582	6.1	1.8
Montana	14	1.3	2,204.9	0.2	346.6	0.1	20	0.2	0.3
Nebraska	5	0.5	3,825.9	0.3	989.8	0.2	36	0.4	0.6
New Hampshire	22	2.1	39,041.7	2.7	4,678.1	1.1	73	0.8	0.4
New Jersey	19	1.8	8,646.9	0.6	3,943.9	0.9	49	0.5	2.8

State	Establishments (Units)	Establishments (%)	Revenue ($k)	Revenue (%)	Wages ($k)	Wages (%)	Employment (Units)	Employment (%)	Population (%)
New Mexico	5	0.5	2,430.9	0.2	658.0	0.2	29	0.3	0.6
New York	70	6.7	19,445.5	1.4	7,729.4	1.8	131	1.4	5.8
North Carolina	10	1.0	14,462.5	1.0	3,864.5	0.9	160	1.7	3.3
North Dakota	5	0.5	2,843.5	0.2	767.7	0.2	30	0.3	0.2
Ohio	14	1.3	2,727.8	0.2	751.1	0.2	14	0.1	3.5
Oklahoma	5	0.5	3,897.3	0.3	1,073.2	0.3	38	0.4	1.2
Oregon	39	3.8	87,866.6	6.1	16,681.3	4.0	284	3.0	1.2
Pennsylvania	37	3.6	89,989.6	6.3	28,676.7	6.8	377	4.0	3.8
Rhode Island	5	0.5	3,276.4	0.2	1,123.9	0.3	34	0.4	0.3
South Carolina	5	0.5	4,391.9	0.3	1,085.8	0.3	36	0.4	1.6
Tennessee	15	1.4	11,471.6	0.8	3,700.9	0.9	168	1.8	2.1
Texas	131	12.6	210,010.3	14.7	79,387.6	18.9	2,243	23.5	9.4
Utah	14	1.3	6,201.5	0.4	2,429.7	0.6	55	0.6	1.0
Vermont	9	0.9	4,700.3	0.3	1,476.4	0.4	52	0.5	0.2
Virginia	30	2.9	20,402.2	1.4	4,005.8	1.0	116	1.2	2.6
Washington	26	2.5	21,952.4	1.5	7,630.7	1.8	144	1.5	2.3
West Virginia	5	0.5	2,889.8	0.2	712.4	0.2	34	0.4	0.5
Wisconsin	43	4.1	139,438.8	9.8	29,107.4	6.9	598	6.3	1.7

Where are businesses located?

West emerges as hub for innovative and sustainable footwear manufacturing expansion

- The West hosts significant technology and innovation centers. Nike, for instance, established a research and Development (R&D) center in Oregon to harness advanced manufacturing techniques, including 3D printing. This strategic location choice underscores the area's appeal to manufacturers seeking cutting-edge technology integration, which enables faster, more customized production.
- Portland is undergoing a significant transformation with the $125.0 million Made in Old Town project. This initiative is expected to turn the city into a major sportswear manufacturing hub by 2028, with projections indicating the creation of 6,000 jobs. The project aims to enhance economic development by rejuvenating neglected areas and bolstering employment within the footwear sector.
- In 2024, Skechers moved its design headquarters to Southern California to capitalize on a rich pool of design talent and proximity to key consumer markets. This decision reflects a trend of companies choosing locations that offer creative talent and direct access to large markets, reinforcing the West as a prime location for industry establishment.
- The West, particularly California, is a leader in sustainability. Its strict environmental regulations attract eco-conscious manufacturers. Major footwear brands like Allbirds expanded operations in California to leverage the state's commitment to green manufacturing practices, aligning with consumer demand for sustainable products.

Southwest benefits manufacturers with Mexico's proximity, cost efficiency, skilled labor, despite potential tariff concerns

- Proximity to Mexican manufacturing hubs offers the Southwest a strategic advantage. Texas and Arizona benefit from close connections with Mexican supply chains. This location reduces transportation costs and aligns with the benefits of the US-Mexico-Canada Agreement (USMCA), promoting trade collaboration. Nonetheless, tariffs on Canadian and Mexican goods pose a risk to manufacturers dependent on these supply chains.
- Texas stands out as a pivotal state for shoe manufacturing, largely because of its significant cotton production. In 2025, Texas planted approximately 5.3 million acres of upland cotton, according to USDA National Agricultural Statistics Service data. The abundance of local cotton provides essential materials for manufacturing sneakers, attracting companies to the region.

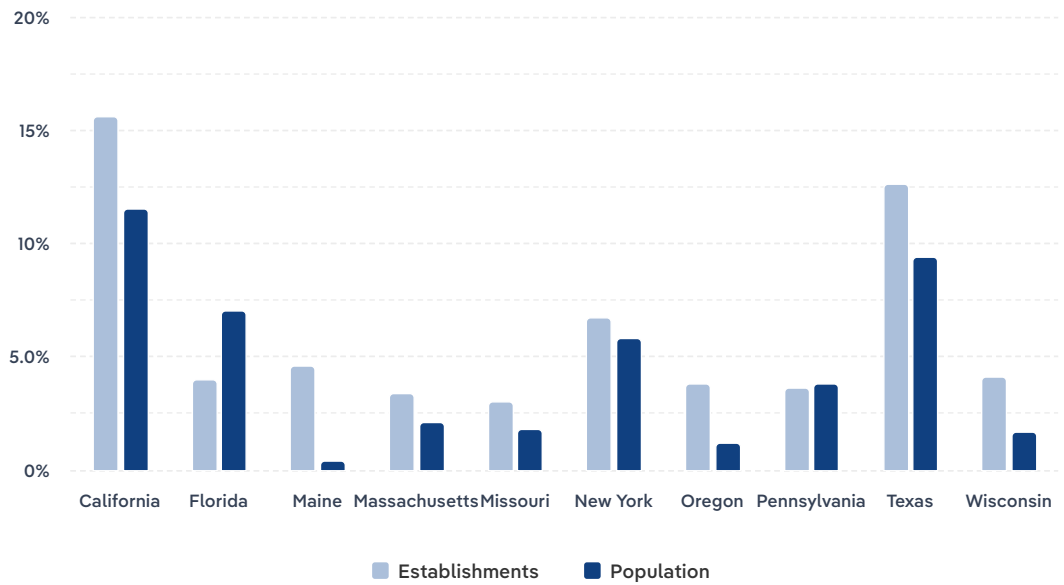
- Cost efficiency remains a key factor for businesses choosing to operate in the Southwest. The area offers lower labor costs compared to other regions in the US. Also, the availability of skilled labor, especially in manufacturing, has historically benefited the industry. These factors combine to make the Southwest an attractive destination for footwear manufacturers aiming to optimize expenses without compromising quality.

Mid-Atlantic's strategic location benefits footwear manufacturing, but labor disputes pose challenges

- The Mid-Atlantic's ample access to major ports and distribution centers, such as the Port of New York and New Jersey, enhances its appeal to the shoe and footwear manufacturing sector. Easy access to transportation routes facilitates both the importation of raw materials and the exportation of finished goods, thereby enhancing the industry's overall efficiency.
- Despite these advantages, the region faces logistical challenges because of labor disputes, like the 2024 dockworkers' strike. The strike has interrupted the flow of goods, causing significant setbacks for manufacturers. Delays in receiving materials lead to production bottlenecks, while disruptions in shipping finished products incur financial losses for manufacturers. These conditions stress the importance of operational resilience and supply chain diversification.
- Under Armour's expansion of its Baltimore headquarters highlights the strategic potential of the Mid-Atlantic region. The decision to develop a sustainable, energy-efficient space reflects the company's commitment to environmental responsibility while capitalizing on the area's skilled workforce. Under Armour's move may encourage other businesses to invest in the region, which is influenced by Baltimore's rich history in sportswear and advantageous geographic location.

Business Concentration

Share of establishments (%) vs. share of population (%)



IBISWorld

Sources: IBISWorld

Key Success Factors

How do businesses use location to their advantage?

Ensure skilled labor is available

New England's technical, automation-ready workforce, built over decades even as most domestic shoemaking moved offshore, enables New Balance to run automation-heavy lines that would be uneconomical without workers already trained for precision assembly.

Operate in a location that is close to key suppliers

New Balance has responded to thin regional supplier density by building its own domestic supplier network alongside plant investment. The company treats supplier proximity as something to be built at each site, rather than a pre-existing regional advantage.

Competitive Forces

Key Takeaways

Competition among manufacturers relies on price, quality and style. These variables are key in determining the industry's top manufacturers as they influence consumer choice and brand popularity.

Imports dominate US footwear demand, leaving domestic manufacturers to compete in a market shaped by lower-cost foreign production. With imports supplying roughly 90.0% of consumption, local producers must differentiate themselves through quality, speed, specialization and supply chain reliability.

Concentration	Competition	Barriers to Entry
Low	High Increasing	Moderate Increasing
Substitutes	**Buyer Power**	**Supplier Power**
Moderate Steady	High Increasing	High Increasing

Concentration

What impacts the industry's market share concentration?

Small domestic factories reinforce the industry's fragmented structure

- A 2025 count from the Footwear Distributors and Retailers of America put the domestic factory base at 197 sites, employing 9,240 workers in 2024. That workforce is spread thin enough that no single plant could plausibly anchor a dominant share of industry output. Even the largest surviving factories operate well below the volume needed to set price or supply terms for the wider market, reinforcing the industry's fragmented profile.
- New entrants have responded by building small, highly automated, single-site plants rather than large, multi-region operations. That approach shows up concretely in Summitz Footwear's new automated facility in Henderson, Nevada, which adds domestic capacity without the capital required to challenge incumbents for market share.

Direct-to-consumer and e-commerce boost major brands' market control

- Adopting direct-to-consumer (DTC) models and e-commerce has enabled major footwear brands to refine their pricing strategies and enhance customer interactions. This shift allows them to boost their market share by bypassing traditional retail channels, often involving additional costs and limitations.
- In contrast, niche and specialty footwear brands, such as Allbirds, use direct-to-consumer sales to penetrate the market. By emphasizing unique product offerings and sustainable practices, these brands attract a dedicated customer base, enabling them to establish a foothold in the competitive footwear market.

Vertical integration and niche specialization shape footwear market dynamics

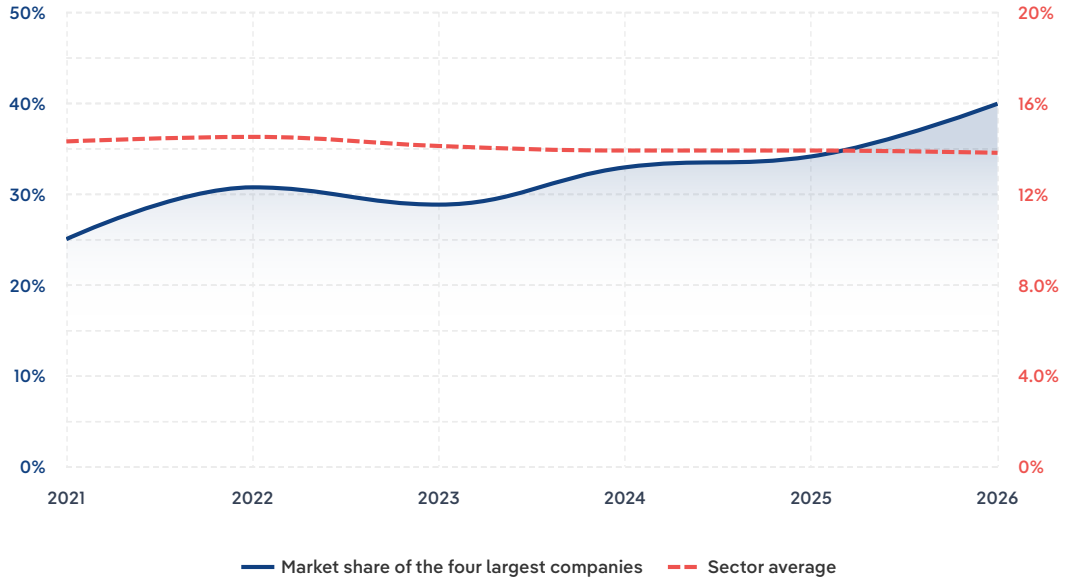
- The footwear manufacturing industry remains predominantly fragmented, even with major players like New Balance, which holds a notable market share but doesn't dominate. Their success is attributed to targeting specific consumer segments and specializing in particular product lines, underscoring the effectiveness of niche market penetration.
- Vertical integration influences market share concentration within the industry. Companies that oversee their own supply chains and retail distribution minimize dependence on external manufacturers. This strategy enhances operational control and provides a competitive advantage by improving efficiency and reducing costs.

Offshore manufacturing reduces footwear production despite domestic design and wholesale roles

- Major companies like Nike and Wolverine World Wide, Inc., produce most of their shoes offshore, thereby reducing their US manufacturing presence. This strategic move underscores the preference for cost-effective production methods in countries like Vietnam and China.
- The shift towards offshore manufacturing has left domestic activities primarily focused on design and wholesale, thereby reducing market share concentration in US-based manufacturing. This trend highlights a broader industry trend in which the domestic market's role is largely strategic rather than production-focused.

Market Share Concentration

Combined market share of the four largest companies in this industry



IBISWorld Source: IBISWorld

☆ Key Success Factors

How do successful businesses handle concentration?

Concentrate on core products

Manufacturers without New Balance's scale tend to compete in narrow categories, such as protective footwear, house slippers or specialty comfort lines, where focused expertise and loyal repeat buyers substitute for the scale that bigger diversified competitors can leverage.

Use new technology to contain costs and boost productivity

New domestic capacity typically launches automation-first rather than adding automation later, since a labor-intensive plant cannot compete with far lower-cost production in Asian manufacturing hubs.

Barriers to Entry

Moderate Increasing

What challenges do potential industry entrants face?

Legal

- New entrants face no unusual federal licensing hurdles for footwear production, only standard state business registration and compliance requirements. Entrants pursuing the federal military footwear channel face a separate barrier. The Berry Amendment requires 100.0% domestic-content sourcing and the Army's Supporting Warfighters through Innovative Footwear Technologies (SWIFT) program issued a request for information seeking domestic bootmakers.

Start-Up Costs

- Tooling, facilities and working capital are the core start-up costs an entrant funds before revenue begins. Most manufacturers keep this modest. In 2024, 55.8% of the industry's factories employed fewer than 10 workers, per the Footwear Distributors & Retailers of America (FDRA), well below the scale of major brands. Leasing shared production space could allow entrants to match that scale without a full build-out.

Differentiation

- Established brands dominate the footwear market with strong brand identities and customer loyalty. New companies face a daunting challenge in creating unique designs and convincing consumers to switch, making differentiation a crucial barrier to successfully entering and sustaining the US market.

Labor Expenses

- The shoe and footwear manufacturing industry is labor-intensive, especially for handmade products. This necessitates significant investment in skilled labor, increasing operational costs and posing a substantial barrier for new entrants who must compete on craftsmanship and pricing.

☆ Key Success Factors

How can potential entrants overcome barriers to entry?

Invest in new equipment to enhance mechanical efficiency and improve productivity

Entrants that commit early to automated stitching and assembly lines absorb the domestic wage gap with capital rather than headcount. Keen and New Balance are already pursuing this model.

Optimize operating capacity

Entrants can match capacity to demand by starting at the small scale that most domestic manufacturers already operate at, or by leasing shared production space instead of committing to major-brand-scale output from day one.

Substitutes

Moderate Steady

What are substitutes for industry services?

Imports

- Manufacturers rely heavily on imports from China, Vietnam and Indonesia because of their lower labor costs and inexpensive raw materials. This significantly reduces production expenses compared to US-based manufacturing. Many well-known global brands, like Adidas and Puma, manufacture their shoes abroad and are particularly attractive to US consumers.
- Italy's reputation for high fashion and innovative footwear designs positions it as a key player in offering alternatives to US consumers. Italian brands like Gucci, Ferragamo and Prada lead the market and are known for their classic and avant-garde styles. These brands cater to fashion-conscious buyers prioritizing elegance and sophistication over mass-produced options.
- Established import networks have streamlined logistics and supply chain processes, ensuring a consistent supply of products to US markets. Global shipping and technology advancements have reduced lead times, making imports a dependable alternative to domestic manufacturing.
- Domestic manufacturers concentrate instead on premium, technical, comfort and performance footwear, where design expertise and faster restocking blunt the import price advantage. In the federal procurement channel, some also supply the Berry Amendment's import-closed contracts for military footwear.

☆ Key Success Factors

How do successful businesses compete with substitutes?

Produce a differentiated product

New Balance channels domestic production into technical and performance running lines instead of competing broadly, a differentiation strategy that imported mass production struggles to match in terms of fit and comfort.

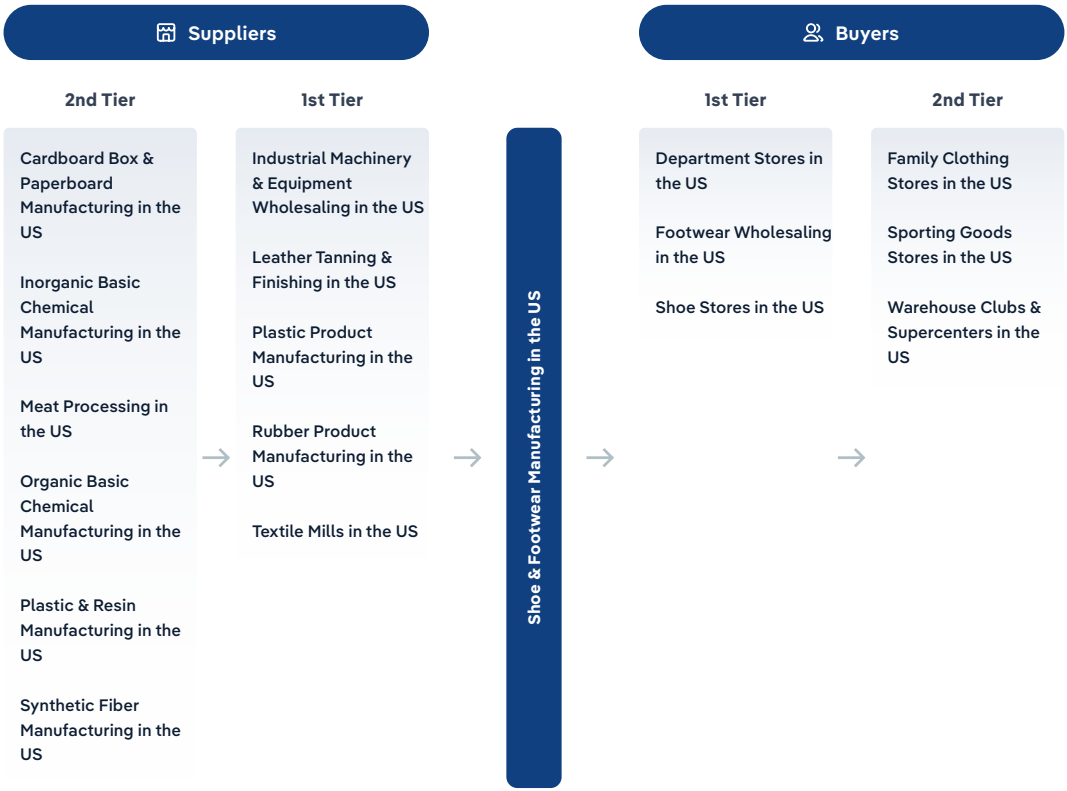
Secure a highly skilled workforce

Technical and performance footwear demands pattern-making and fit expertise that imported mass-production lines don't readily replicate, making a skilled domestic workforce a durable defense against price-driven substitution.

Buyer & Supplier Power

Supply Chain

Direct and indirect supplier and buyer industries related to this industry



IBISWorld

Source: IBISWorld

What power do buyers and suppliers have over the industry?

High | Increasing

Buyers: Large retailers hold significant leverage

- Large retailers, department stores and e-commerce platforms account for a substantial share of footwear sales, giving them leverage in negotiations with manufacturers. Their scale allows them to demand lower wholesale prices, favorable payment terms, reliable inventory availability and exclusive product assortments from suppliers.
- Consumers can compare footwear prices, product features, brand reputations and online reviews across many retailers with limited effort. This transparency increases price sensitivity and makes it harder for manufacturers to pass along higher material, labor, freight, or tariff-related costs without risking reduced sales volumes.
- Buyer power varies by product category and brand strength. Major athletic and lifestyle brands retain greater control because consumers seek specific products, whereas manufacturers of basic, private-label and fashion-sensitive footwear face greater pressure from retailers that can switch suppliers or source from abroad.

High Increasing

Suppliers: Imported materials and specialized components increase leverage

- Suppliers hold moderate power because footwear manufacturers depend heavily on imported leather, rubber, textiles, soles and other components. Limited domestic production of several inputs exposes manufacturers to global price changes, shipping disruptions, currency movements and trade policy shifts that can quickly raise production costs.
- Specialized suppliers gain additional leverage when they provide performance materials, proprietary cushioning systems, technical fabrics or branded components required for athletic, safety and premium footwear. Manufacturers can't always substitute these inputs without affecting product quality, certification requirements, design specifications or consumer perceptions of brand value.
- Large footwear companies can reduce supplier influence through high-volume purchasing, long-term contracts, multi-sourcing strategies and direct relationships with overseas factories. Smaller manufacturers, however, often have less negotiating leverage and face higher minimum-order requirements, less favorable payment terms and fewer alternative sourcing options.

☆ Key Success Factors

How do successful businesses manage buyer & supplier power?

Establish long-term working relationships with raw material suppliers

Manufacturers that lock in multi-year contracts with leather, rubber and textile processors secure stable pricing and priority capacity, insulating output from the shipping-cost volatility reshaping Asia-based sourcing routes.

Leverage the degree of vertical integration within the company

Manufacturers that control more of their own component processing, rather than relying entirely on outside tanneries and mills, reduce their exposure to freight disruptions and price swings in imported inputs.

Companies

Key Takeaways

New Balance thrives in a fragmented footwear market. Their success comes from targeting specific consumer segments and specializing in particular product lines, demonstrating the effectiveness of penetrating niche markets within the industry.

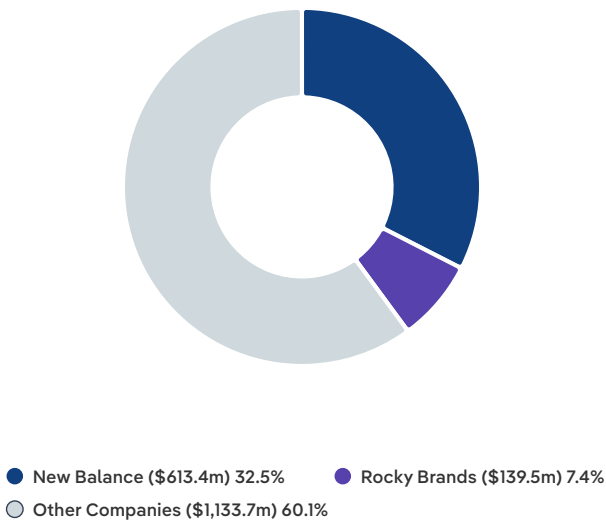
New Balance's US factories give the brand greater production control and resilience when overseas shipping or sourcing disruptions emerge. Still, its Made in USA line accounts for a limited share of domestic sales, so the company remains exposed to global supply chain risks.

Rocky Brands competes through a broad portfolio spanning work, western, outdoor, safety and military footwear, rather than a single product niche. Its Rocky, Georgia Boot, Durango, Muck, XTRATUF and Ranger brands widen customer reach and diversify demand across specialized categories.

Market Share

Industry Market Share by Company

Industry-specific company revenue as a share of total industry revenue.



IBISWorld Source: IBISWorld

This chart has been simplified for the PDF and may not display all available data. View the full interactive chart on my.ibisworld.com for additional data and detail.

Company	Market Share (%)	Employees	Locations	Company Type	Headquarters
New Balance	32.5	5,001-10,000	13	Private	Boston, Massachusetts
Rocky Brands	7.4	1,000-5,000	1	Public	Nelsonville, Ohio
Red Wing Shoes	2.5–5	1,000-5,000	1	Private	Red Wing, Minnesota

Company	Market Share (%)	Employees	Locations	Company Type	Headquarters
Caleres Inc.	2.5–5	5,001-10,000	1,000	Public	Kansas City, Missouri
Nike	2.5–5	10,000+	18	Public	Beaverton, Oregon
Crocs	0–2.5	5,001-10,000	2	Public	Broomfield, Colorado
Deckers Brands	0–2.5	5,001-10,000	7	Public	Goleta, California
Caleres	0–2.5	5,001-10,000	45	Public	Clayton, Missouri
The Frye Company	0–2.5	51-200	4	Private	Fenton, Missouri
L.L.Bean	0–2.5	5,001-10,000	1	Private	Freeport, Maine
Timberland Pro	0–2.5	1,001-5,000	133	Private	Denver, Colorado
Red Wing	0–2.5	1,001-5,000	568	Private	Red Wing, Minnesota
Weyco Group	0–2.5	501-1,000	4	Public	Glendale, Wisconsin
Lacrosse Footwear	0–2.5	201-500	1	Private	Portland, Oregon
McRae Industries	0–2.5	201-500	3	Private	Mount Gilead, North Carolina
Sebago	0–2.5	501-1,000	5	Private	Portland, Maine
Tecovas	0–2.5	501-1,000	42	Private	Austin, Texas
Trudave Gear	0–2.5	201-500	2	Private	San Dimas, California
The Original Footwear Co.	0–2.5	201-500	4	Private	Morristown, Tennessee
Weinbrenner Shoe Company	0–2.5	201-500	2	Private	Merrill, Wisconsin

Company Details

New Balance

Description

New Balance Athletics, Inc. is an American multinational corporation engaged in the design, manufacturing, and distribution of footwear, apparel, and sports equipment for sports and lifestyle applications. The company operates manufacturing facilities and distribution centers in the United States and the United Kingdom, serving markets in North America, Europe and other regions. In addition to its core footwear and apparel business, New Balance produces skateboarding shoes and maintains a presence in the sportswear and athletic shoe sectors. The company also participates in community service and volunteerism initiatives.

Company Total Revenue (2026)

$8.0bn

Industry Specific Revenue (2026)

$613.4m

Industry Market Share (2026)

32.5%

Employees (2026)

5,001-10,000

Headquarters

Boston, Massachusetts

Company Type

Private

Locations (Top 10)

Albuquerque, New Mexico | Allen, Texas | Arlington, Texas | Asheville, North Carolina | Aurora, Illinois | Aurora, Ohio | Avon, Connecticut | Avon, Massachusetts | Barstow, California | Benton, Arkansas

Other Industries

Shoe Stores in Canada | Manufacturing in the US

A Full Locations list can be accessed in Atlas.

What's impacting New Balance's performance?

New Balance's Londonderry investment strengthens US manufacturing and local impact

- New Balance is committing $70.0 million to expand its Londonderry, New Hampshire, manufacturing facility, creating more than 150 jobs to support growing US and global demand, underscoring the brand's emphasis on American craftsmanship and regionally anchored production capabilities.
- The Londonderry expansion advances New Balance's strategic focus on innovation and lean manufacturing, deepens its domestic supply network, improves responsiveness to market needs and supports local economic development through high-quality jobs and long-term operational investment in the community.

New Balance's wildfire relief pledge underscores deep community commitment

- New Balance, through the New Balance Foundation, has pledged $2.0 millio to support Southern California wildfire relief, providing immediate aid and long-term rebuilding assistance while demonstrating a strong, values-driven commitment to social responsibility and community resilience in times of crisis.
- The initiative also includes footwear donations and matching employee contributions, extending the impact of corporate giving, empowering associates to participate directly in relief efforts and reflecting a deeply rooted dedication to supporting individuals and communities affected by the disaster.

New Balance's 442 v3 elevates classic style with modern football performance

- New Balance's 442 v3 football boot fuses traditional craftsmanship with contemporary innovation, combining timeless aesthetics for style-focused players with performance-driven features that prioritize touch, comfort and stability to meet the demands of modern elite

and aspiring football athletes.

- Featuring TrueTouch Tech for enhanced ball feel, molded heel foxing for improved lockdown and a re-engineered outsole for optimized traction, the 442 v3 launches first in Japan in December 2025, followed by a global release in early 2026 to reach players worldwide.

You can view and download more company details on my.ibisworld.com.

Rocky Brands

Description

Rocky Brands, Inc. is an American manufacturing company engaged in the design, development, production and marketing of footwear and apparel for outdoor, work, western and military applications. The company operates as a wholesale distributor, supplying products to domestic and international markets. Its operations include managing multiple brand portfolios and coordinating a global supply chain and logistics network. Rocky Brands is publicly traded and is part of the Russell 2000 index.

Company Total Revenue (2026)

$480.5m

Industry Specific Revenue (2026)

$139.5m

Industry Market Share (2026)

7.4%

Employees (2026)

1,000-5,000

Headquarters

Nelsonville, Ohio

Company Type

Public

Locations (Top 10)

Logan, Ohio | Nelsonville, West Virginia

Other Industries

Manufacturing in the US

A Full Locations list can be accessed in Atlas.

What's impacting Rocky Brands's performance?

Tariff shock spurs Rocky's price hikes, accelerated shift to nearshore production hubs

- By mid-2025, Rocky had already pushed through broad footwear price increases to defend gross profit dollars against higher US tariffs, leaning on a six-to-seven-month inventory buffer and selective shipment pauses from China, which softened the immediate profit hit while competitors moved more slowly and occasionally faced tighter shelf inventory.
- As 2025 progressed, Rocky executed its plan to cut China's share of volume below 20.0% and ramp production in long-standing Dominican Republic and Puerto Rico plants, plus partners in Vietnam, India and Cambodia, turning a short-term tariff shock into a lasting sourcing reset that reduced trade-policy risk and underpinned healthier pricing power into 2026.

Rocky Brands deploys board planning technology to improve supply-chain coordination

- Rocky Brands is implementing the Board's enterprise planning platform to connect financial, operational and supply-chain planning. The system is intended to centralize real-time information, improve demand forecasting and help teams make quicker decisions on inventory and supply requirements as footwear and apparel market conditions change.
- Quisitive will manage system integration and employee training for the Board rollout. This adds an execution component to Rocky Brands' strategy: successful adoption will depend on connecting the platform with internal systems and ensuring employees can use its planning tools effectively across relevant business functions.

You can view and download more company details on my.ibisworld.com.

External Environment

Key Takeaways

Footwear manufacturers face a broad compliance burden spanning workplace safety, environmental controls, children's product testing, import requirements, labeling and brand protection. Strong documentation and product controls help smaller producers limit regulatory risk while meeting retailer and consumer expectations.

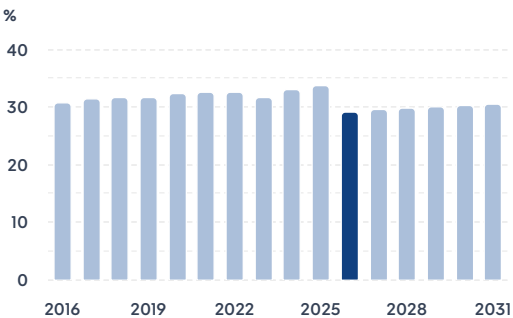
Public and private support gives domestic footwear makers a stronger platform, combining Berry Amendment-backed military demand with industry advocacy on trade, sourcing and supply-chain policy. Still, these programs support selected procurement and policy goals rather than insulating manufacturers from import competition.

Regulation & Policy		Assistance	
Moderate	Steady	High	Decreasing

External Drivers

What demographic and macroeconomic factors impact the industry?

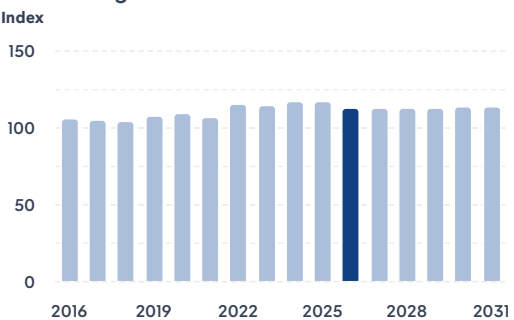
Import penetration into the manufacturing sector



IBISWorld Source: IBISWorld

Import penetration measures the share of domestic footwear consumption supplied by imports rather than home production. When that share rises, imported footwear displaces domestic output in the same retail and wholesale channels, cutting order volumes and capacity use for onshore manufacturers. Easing import penetration allows domestic manufacturers to recapture some of the lost volume without new end demand. A persistent US-overseas cost gap keeps this driver skewed against domestic output.

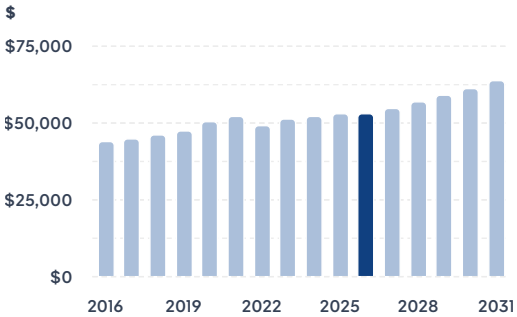
Trade-weighted index



IBISWorld Source: IBISWorld

A rising trade-weighted index means the dollar has strengthened against trading partners' currencies, reducing the landed cost of imported footwear relative to domestic output. For onshore producers in the shoe and footwear manufacturing industry, cheaper imports intensify price competition, especially when tariffs squeeze the same cost base. A weakening dollar reverses that pressure, narrowing the price gap and helping domestic products compete. This exposure makes a strengthening dollar the section's dominant threat.

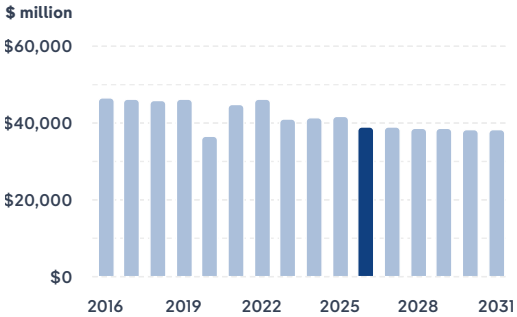
Per capita disposable income



Source: IBISWorld

Because footwear is a discretionary purchase, the income households have left sets how much they spend on new shoes. Rising disposable income lets shoppers trade up to premium and performance styles and replace footwear more often, lifting demand for domestic manufacturers. When income contracts, footwear purchases are among the first to be deferred or chosen for the cheapest option. A sustained climb in disposable income is the section's clearest opportunity.

Demand from footwear wholesaling



Source: IBISWorld

Retail shelf-stocking cycles set the pace of demand from footwear wholesalers, since wholesalers order from manufacturers based on how quickly retailers sell through existing inventory. Faster sell-through prompts wholesalers to reorder sooner and in larger volumes, pulling extra production from manufacturers. When sell-through slows, wholesalers hold existing stock longer and delay reorders, leaving manufacturers with idle capacity. Manufacturer output, therefore, tracks retail inventory turnover more closely than consumer spending itself.

Regulation & Policy

Moderate Steady

What regulations impact the industry?

Occupational Health and Safety Administration (OSHA)

Occupational Health and Safety Administration general industry standards require employers to guard cutting and molding equipment, control chemical exposure and noise on stitching and finishing lines and supply personal protective equipment at no cost to workers. Employers must also document hazard communication training and keep injury and illness records available for inspection. For repeat or willful violations, civil penalties escalate. A documented safety program is increasingly a baseline requirement that retail buyers check before placing orders, giving smaller manufacturers a direct incentive to formalize compliance paperwork ahead of any audit.

Environmental Protection Agency (EPA)

The Environmental Protection Agency (EPA) regulates the shoe and footwear manufacturing industry primarily through the enforcement of the Clean Air Act, Clean Water Act and Resource Conservation and Recovery Act. These regulations focus on controlling air emissions, wastewater discharge and hazardous waste generation. Manufacturers must comply with specific standards and obtain necessary permits. The EPA also promotes sustainable practices and pollution prevention to minimize environmental impact, helping ensure that footwear production adheres to national environmental standards.

Consumer Product Safety Commission (CPSC)

Footwear made for children carries heightened liability exposure under the Consumer Product Safety Act, the 1972 federal statute that created the Consumer Product Safety Commission (CPSC). As later amended, the Act imposes strict limits on lead and phthalate content in children's products. Manufacturers must conduct third-party safety testing for flammability and mechanical hazards, certify compliance in writing and report a known safety defect to the CPSC once they become aware of it. The agency can order recalls and pursue civil penalties for failure to report.

Customs and Border Protection (CBP)

Customs and Border Protection (CBP) plays a crucial role in regulating the shoe and footwear manufacturing industry primarily through import and export controls. CBP enforces tariffs, classifies footwear products and ensures compliance with US trade laws and environmental regulations. They inspect shipments for proper labeling and counterfeit issues and verify declarations to protect domestic industries. By maintaining these regulations, CBP ensures fair competition, compliance with safety standards and adherence to international trade agreements.

Federal Trade Commission (FTC)

The Federal Trade Commission (FTC) regulates the shoe and footwear industry by enforcing consumer protection and maintaining fair competition. The Fair Packaging and Labeling Act (FPLA) is key to its role, which mandates clear and truthful labeling, including product identity and manufacturer details, ensuring consumers make informed choices. The FTC also scrutinizes advertising claims, ensuring they are substantiated and non-deceptive and oversees industry mergers to prevent anti-competitive practices, fostering a transparent and fair marketplace for footwear consumers.

Lanham Act

The Lanham Act regulates the shoe and footwear manufacturing industry by addressing trademarks, service marks and unfair competition. It helps manufacturers protect their brands and logos from infringement, ensuring that consumers can identify the source of goods. The Act provides legal recourse for trademark violations, which is crucial in the competitive footwear market to maintain brand integrity and consumer trust. It also guards against false advertising and deceptive practices, fostering fair competition in the industry.

Assistance

High Decreasing

What assistance is available to this industry?

Government

World Trade Organization (WTO)

The World Trade Organization (WTO) supports shoe and footwear manufacturing by promoting fair trade practices and reducing trade barriers. It facilitates access to international markets through negotiated tariff reductions and trade agreements. The WTO also provides a platform for resolving trade disputes, ensuring a level playing field for American manufacturers. Fostering international trade rules and transparency helps US companies expand their global reach and enhances competitive opportunities in the international footwear market.

Berry Amendment

The Berry Amendment supports shoe and footwear manufacturing by mandating the Department of Defense to prioritize domestically produced goods, including footwear, when using budgetary resources. This requirement ensures that military personnel are equipped exclusively with American-made boots and shoes, thereby boosting local manufacturing and sustaining jobs within the industry. By securing a stable and significant customer base, the Berry Amendment encourages investment in domestic production facilities and innovation, strengthening US footwear manufacturers' overall competitiveness and sustainability.

Non-government

Footwear Distributors and Retailers of America (FDRA)

The Footwear Distributors and Retailers of America (FDRA) supports shoe manufacturers by advocating for favorable trade policies and tariff reductions to enhance competitiveness. They provide industry insights, market data and trend analyses to help manufacturers make informed decisions. FDRA facilitates networking opportunities and collaborations through events and conferences, fostering innovation and best practices. Also, they address regulatory issues and promote sustainable practices, ensuring the industry's growth and alignment with consumer demands.

United States Footwear Manufacturers Association (USFMA)

The United States Footwear Manufacturers Association added eight new manufacturer and supplier members between February and August 2026, one of its fastest periods of growth since its 1986 founding. New members gain access to USFMA's advocacy infrastructure without having to build their own government relations capacity, which matters most for smaller manufacturers that can't otherwise afford a dedicated lobbying presence in Washington. That broader base gives the association greater standing before Congress and federal buyers when it argues for domestic-sourcing rules, a case it makes for every member, regardless of size.

National Council of Textile Organizations (NCTO)

The National Council of Textile Organizations (NCTO) supports shoe and footwear manufacturing indirectly by advocating policies that strengthen the domestic textile supply chain on which footwear makers rely. It promotes enforcement against unfair imports, stronger origin and customs rules and trade agreements that favor US-made yarns, fabrics, technical textiles and sewn components. NCTO also supports domestic

procurement, including measures intended to prevent foreign-made military boots from displacing US producers. Its advocacy can improve supply chain resilience, demand for domestic inputs and the competitive conditions for American footwear factories.

Financial Benchmarks

Key Takeaways

Customization and direct-to-consumer sales help footwear makers defend profit by differentiating products and retaining more control over pricing. Yet rising tariffs still raise landed costs and squeeze profitability, forcing brands to balance sourcing changes, price increases and supplier negotiations.

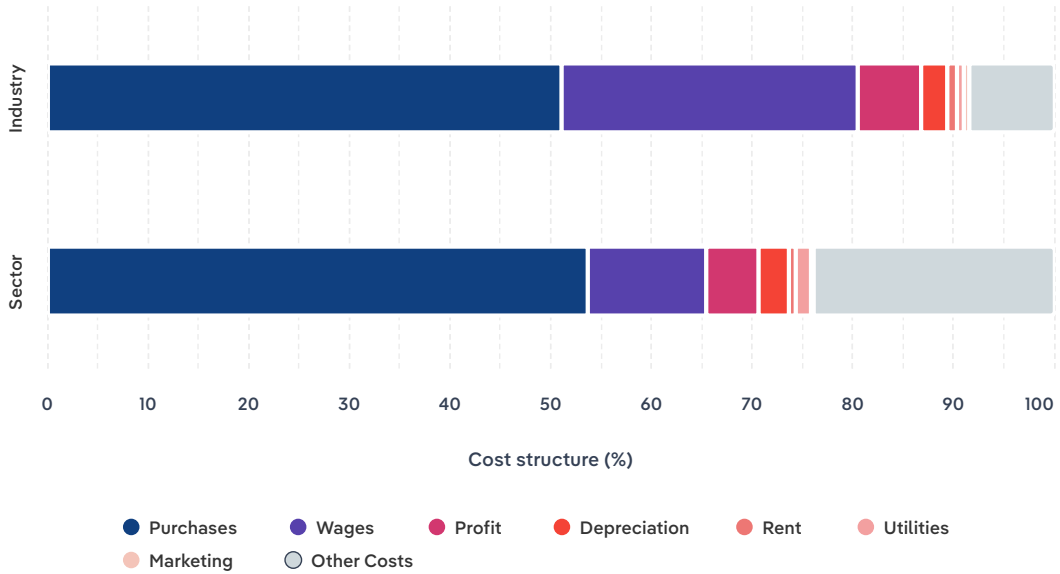
Tariffs and port disruptions underscore footwear makers' exposure to concentrated sourcing in Asia and fragile import logistics. Nike's production remains heavily concentrated in Vietnam, Indonesia and China, prompting manufacturers to diversify their supplier base, build inventory flexibility and manage higher landed costs.

Profit Margin	Average Wage	Largest Cost
6.3% ↑ Higher than sector	$43.8k ↓ Lower than sector	Purchases 51.1% of Revenue

Cost Structure

Cost Structure Benchmarks

Average operating costs by industry and sector as a share (%) of revenue 2026



IBISWorld

Source: IBISWorld

What trends impact industry costs?

Customization and D2C models bolster profit amid low-cost import challenges

- While industry profit have remained stable, the influx of low-cost imports has posed significant challenges over the past five years. In response, the industry has strategically realigned its focus toward emerging trends, emphasizing product customization and direct-to-consumer (D2C)

sales models to remain competitive and meet evolving consumer demands.

- Customization allows manufacturers to compete on uniqueness rather than price, meeting consumer demands for personalized products. Also, selling directly to consumers via online platforms or brand-exclusive stores reduces the costs associated with middlemen, thereby offsetting some of the pressure from cheaper imported shoes.
- However, tariff increases in 2025–2026 have intensified cost pressures for shoe and footwear manufacturers. Because many key production inputs are imported, higher tariffs have raised material and component costs, compressing profit and forcing manufacturers to reconsider sourcing strategies, supplier relationships, pricing and production planning.

Supply-chain shocks strengthen costs and sourcing risks for footwear manufacturers

- Recent US tariff proposals and implementations have increased costs for footwear manufacturers that depend on Chinese materials, components and finished goods. Companies such as Nike and VF Corporation are adjusting sourcing strategies and supplier networks to reduce future exposure. Nike's fiscal 2026 production mix illustrates the sector's Asian concentration: Vietnam accounted for 52.0%, Indonesia 27.0% and China 160% of NIKE Brand footwear production.
- The October 2024 International Longshoremen's Association strike disrupted major East and Gulf Coast ports for three days, delaying imported footwear inputs and increasing logistics costs. Manufacturers faced rerouting, longer transit times, inventory disruption and expedited freight expenses. Although a tentative wage agreement ended the strike, vessel backlogs and unresolved labor negotiations continued to create supply-chain uncertainty into early 2025.
- Recent US tariff proposals and implementations have increased costs for footwear manufacturers that depend on Chinese materials, components and finished goods. Companies such as Nike and VF Corporation are adjusting sourcing strategies and supplier networks to reduce future exposure. Nike's fiscal 2026 production mix illustrates the sector's Asian concentration: Vietnam accounted for 52.0%, Indonesia 27.0% and China 160% of NIKE Brand footwear production.

Reduced domestic production and efficiency gains have constrained footwear wages

- Reduced domestic production has weakened demand for labor in footwear manufacturing. Ongoing reliance on imported finished shoes, limited domestic production capacity and lower order volumes at US facilities have reduced demand for workers involved in cutting, stitching, lasting, assembly, sole attachment, finishing and quality control. This weaker labor demand gives manufacturers less incentive to raise compensation aggressively and can limit overtime opportunities, scheduled hours and total payroll expenditure.
- Operational efficiency has also reduced labor requirements. Automation in material cutting, component handling, adhesive application, stitching and production-line monitoring, along with better production planning and lean manufacturing practices, enables footwear facilities to produce more output with fewer labor hours. These efficiency gains help manufacturers contain wage costs, particularly as they compete with lower-cost imported footwear and manage volatile material costs for leather, rubber, textiles and synthetic inputs.

Automation investment increases depreciation costs across domestic footwear manufacturing

- Depreciation expense has increased as domestic footwear manufacturers expanded investment in automated production technology, machinery and software. Computerized cutting systems, digital footwear design platforms, material-handling equipment, stitching machines, sole-attaching systems, molding technology and warehouse assets have raised the industry's depreciable asset base.
- Domestic footwear manufacturers have become more capital-intensive as they invest in technology to offset relatively high US labor costs and compete against lower-cost imported shoes. Automation improves cutting precision, material utilization, production speed, quality consistency and labor productivity. These investments have increased depreciation expense despite declines in domestic industry revenue and employment over the past five years.

Limited specialized industrial supply keeps footwear manufacturing rent elevated

- Limited supply of small, specialized industrial space has supported higher rents. Shoe and footwear manufacturers typically need smaller, flexible facilities rather than large distribution centers. Although overall US industrial vacancy reached 7.1% in 2025, small-bay construction remains limited, keeping rents firmer for production-oriented space in suitable locations.
- High replacement costs make new manufacturing space more expensive. Elevated construction costs, financing costs, land prices and power infrastructure requirements have constrained industrial development. PwC estimates replacement-cost rents are roughly 20.0% above US Class A market rents, discouraging new projects and allowing landlords of existing, functional facilities to maintain higher rents.
- Demand for modern, automation-ready facilities raises effective occupancy costs. Footwear manufacturers and logistics partners increasingly require reliable electricity, loading infrastructure, access to labor and layouts that support automation. These specifications concentrate demand in newer or upgraded buildings, where landlords can command premiums. Reshoring activity and third-party logistics leasing are also expected to support industrial demand during 2026.

Shoe manufacturers adopt energy-efficient machinery and renewable energy to stabilize utility costs

- Shoe and footwear manufacturers have increasingly adopted modern, energy-efficient machinery, including automated cutting machines, energy-efficient injection molding machines and 3D printers. These machines are designed to optimize energy use, reduce material waste and enhance production efficiency. By integrating these technologies, manufacturers can maintain production capabilities while stabilizing and

reducing the overall energy consumption, contributing to a plateau in utility costs over the past year.

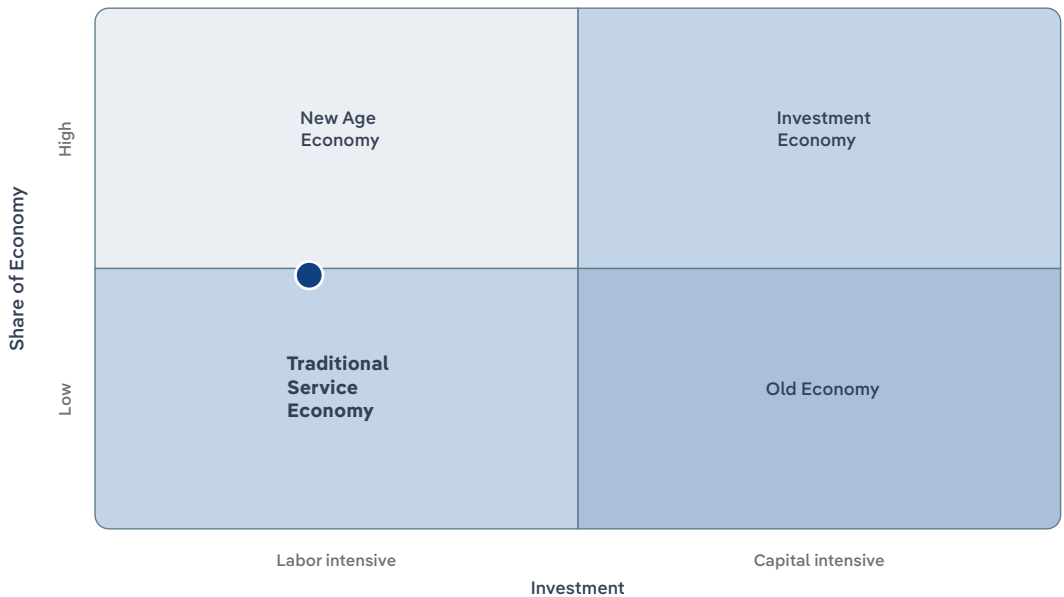
- Companies such as New Balance have increased their use of renewable energy and incorporated energy-efficient features to reduce operational emissions. In its 2024 Sustainability and Impact Report, New Balance stated that it had implemented on-site renewable energy and other sustainability features at two U.S.-owned manufacturing facilities. As part of its Skowhegan, Maine, factory expansion, the company planned a 1 MW rooftop solar system, expected to be completed in 2025, alongside LED lighting, low-flow toilets and electric-vehicle charging stations. New Balance also planned to open its first fully electrified footwear manufacturing facility in Londonderry, New Hampshire, in 2025.

Marketing costs plateau as digital strategies streamline budgets

- Digital marketing strategies have become more targeted and efficient. Data analytics, social media and online advertising have enabled shoe and footwear manufacturers to target their desired demographic at a lower cost than traditional marketing methods.
- As digital marketing strategies mature and become more optimized, the incremental cost of reaching additional consumers decreases, leading to a plateau in overall marketing expenses over the past year. A prime example is Nike's strategic use of its Nike Training Club app and collaborations with influential social media personalities. These tactics enable Nike to engage its target audience more effectively at a lower cost, demonstrating how advanced digital strategies can reduce marketing expenditures over time.

Traditional Service Economy

Share of economy vs. Investment



IBISWorld

Source: IBISWorld

Financial Ratios

Days' Receivables	Interest Coverage	Debt/Net Worth
28.2 ↓ Lower than sector	2.1 ↓ Lower than sector	3.1 ↓ Lower than sector

Earnings Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
EBIT/Revenue	0.9	5.5	2.1	5.1	8.2	5.1	4.4	5.2

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
EBITDA/Revenue	4.0	8.3	4.6	8.3	11.8	8.2	7.4	8.4
Leverage Ratio	24.8	12.1	22.1	12.0	8.5	14.2	15.9	13.3

Income Statement

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Advertising	0.6	0.6	0.2	0.6	0.5	0.4	0.5	0.8
Amortization	0.9	0.6	0.4	1.2	2.1	1.3	1.1	1.1
Bad debts	0.0	0.1	0.1	0.4	0.2	0.2	0.2	0.2
Business receipts	97.5	98.0	97.7	97.9	96.5	97.4	97.5	97.5
Charitable contributions	0.2	0.1	0.1	0.1	0.1	0.1	0.1	0.2
Compensation of officers	2.2	1.5	1.7	5.7	6.0	4.5	3.4	2.9
Cost of goods	67.9	69.2	73.0	62.5	60.2	65.2	66.5	64.3
Depletion	0.5	0.4	0.4	0.1	0.2	0.2	0.3	0.2
Depreciation	1.8	1.8	1.6	1.9	1.2	1.6	1.7	1.9
Dividends, domestic corporations	0.0	0.0	0.1	0.9	0.6	0.5	0.3	0.2
Employee benefit programs	1.7	1.3	1.2	2.2	2.2	1.9	1.7	1.8
Expenses	67.9	69.2	73.0	62.5	60.2	65.2	66.5	64.3
Gross Profit	32.1	30.8	27.1	37.5	39.8	34.8	33.5	35.7
Interest Income	0.1	0.1	0.1	0.1	0.7	0.3	0.2	0.3
Interest Paid	1.2	1.5	1.1	2.8	3.8	2.6	2.1	1.9
Net gain, noncapital assets	0.6	0.2	0.6	0.3	0.2	0.4	0.4	0.3
Net Income	-1.5	2.8	0.3	1.0	3.4	1.6	1.2	1.9
Net L-T cap gain less net ST loss	0.3	0.4	0.3	0.2	0.5	0.3	0.3	0.3
Net loss, noncapital assets	0.0	0.1	0.0	0.0	0.0	0.0	0.0	0.2
Net S-T cap gain less net LT loss	0.4	0.3	0.4	0.4	0.4	0.4	0.4	0.3
Other deductions	10.8	10.0	9.7	9.3	9.0	9.3	9.7	9.3
Other receipts	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Pension, profit sharing plans, stock, annuity	0.2	0.1	0.5	1.3	1.5	1.1	0.7	0.5
Rent Income	0.9	0.6	0.6	0.1	0.1	0.3	0.5	0.6
Rent paid	1.5	1.0	1.1	1.8	1.6	1.5	1.4	1.7
Repairs	0.7	0.6	0.6	0.1	0.1	0.3	0.4	0.5
Royalties	0.1	0.3	0.0	0.0	1.0	0.3	0.3	0.4
Salaries and wages	10.0	7.0	7.3	7.7	6.9	7.3	7.8	9.1
Sales/Fixed Assets	2.2	2.9	1.7	1.3	1.5	1.5	1.9	2.0
Taxes paid	1.2	1.3	0.7	1.3	1.0	1.0	1.1	1.5

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Total Revenue	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Balance Sheet

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Accounts payable	6.2	1.1	0.8	4.5	6.5	3.9	3.8	4.4
Accumulated amortization	2.4	1.7	1.2	2.4	2.1	1.9	1.9	2.0
Accumulated depletion	0.3	0.3	0.1	0.5	0.4	0.3	0.3	0.3
Accumulated depreciation	1.8	5.4	14.4	18.7	16.5	16.5	11.4	11.1
Additional paid-in capital	33.0	33.0	16.3	14.4	29.9	20.2	25.3	25.9
Allowance for bad debts	0.7	0.5	0.5	1.3	1.0	0.9	0.8	0.9
Capital stock	2.8	3.4	11.0	6.6	0.1	5.9	4.8	4.2
Cash and Equivalents	10.4	8.6	5.2	2.5	3.0	3.5	5.9	5.5
Cost of treasury stock	15.5	13.4	15.5	8.8	9.0	11.1	12.4	9.1
Current Assets	35.9	38.1	43.6	34.9	32.1	36.9	36.9	37.6
Current Liabilities	23.1	18.9	20.0	15.7	20.0	18.6	19.5	19.1
Depletable assets	0.8	0.8	0.2	1.4	1.3	1.0	0.9	0.7
Government Obligations	1.7	2.1	1.0	1.0	0.8	0.9	1.3	1.8
Intangible assets (Amortizable)	16.8	14.6	6.3	15.4	11.8	11.1	13.0	16.6
Inventories	13.5	15.8	24.2	19.5	15.6	19.8	17.7	17.1
Land	3.1	4.6	6.9	6.9	5.0	6.3	5.3	4.4
Loans from shareholders	2.0	0.1	0.7	7.1	7.0	4.9	3.4	5.5
Loans to shareholders	1.3	1.6	0.9	1.8	1.4	1.4	1.4	2.1
Mort, notes, and bonds under 1 yr	13.5	12.7	14.0	9.9	10.2	11.4	12.1	9.5
Mort, notes, bonds, 1 yr or more	33.3	39.2	42.4	34.6	33.1	36.7	36.5	35.2
Mortgage and real estate loans	0.0	2.4	1.4	7.1	5.0	4.5	3.2	3.6
Net worth	34.3	35.9	35.5	35.0	31.9	34.1	34.5	31.4
Notes and accounts receivable	8.1	7.9	7.8	6.3	7.7	7.3	7.6	9.2
Other assets	7.1	12.0	10.5	9.8	7.2	9.1	9.3	6.7
Other current assets	1.2	2.2	2.3	2.8	3.0	2.7	2.3	2.4
Other current liabilities	3.4	5.1	5.3	1.3	3.3	3.3	3.7	5.1
Other investments	19.6	27.4	18.7	12.5	28.4	19.9	21.3	22.4
Other liabilities	7.3	6.0	1.5	7.5	8.1	5.7	6.1	8.9
Property, Plant and Equipment	21.3	7.0	28.4	34.6	28.7	30.6	24.0	21.1
Retained earnings,	-2.5	-2.4	5.7	4.3	-2.3	2.6	0.6	-1.4

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
appropriated								
Retained earnings-unappropriated	16.5	15.4	17.9	18.4	13.2	16.5	16.3	11.8
Tax Exempt Securities	0.4	1.0	2.8	1.4	1.1	1.7	1.3	0.8
Total assets	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Total liabilities	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Liquidity Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Current Ratio	1.6	2.0	2.2	2.2	1.6	2.0	1.9	2.0
Days' Inventory	72.5	83.5	122.1	114.1	94.4	110.2	97.3	93.6
Days' Payables	33.6	5.6	4.0	26.3	39.2	23.2	21.7	24.9
Days' Receivables	29.6	28.8	28.4	23.1	28.2	26.6	27.6	32.0
Inventory Turnover	5.0	4.4	3.0	3.2	3.9	3.4	3.9	4.5
Payables Turnover	10.9	65.4	90.5	13.9	9.3	37.9	38.0	30.1
Quick Ratio	1.0	1.2	1.0	1.0	0.8	0.9	1.0	1.1
Sales/Receivables	12.4	12.7	12.9	15.8	12.9	13.9	13.3	13.9
Sales/Working Capital	7.6	5.1	4.1	5.1	7.9	5.7	6.0	5.9

Coverage Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Debt Service Coverage Ratio	0.3	0.7	0.0	0.0	0.0	0.0	0.2	0.9
Interest Coverage	0.7	3.8	1.9	1.8	2.2	2.0	2.1	2.8

Leverage Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Debt/Net Worth	2.9	2.8	2.8	2.9	3.1	2.9	2.9	3.3
Fixed Assets/Net Worth	1.4	1.0	1.6	2.3	2.1	2.0	1.7	1.8
Tangible Net Worth	34.3	35.9	35.5	35.0	31.9	34.1	34.5	31.4

Operating Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
EBIT/Revenue	0.9	5.5	2.1	5.1	8.2	5.1	4.4	5.2
EBITDA/Revenue	4.0	8.3	4.6	8.3	11.8	8.2	7.4	8.4
Return on Assets, %	0.9	5.5	2.1	5.1	8.2	5.1	4.4	5.6
Sales/Total Assets	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.1

Cash Flow & Debt Service Ratios (% of sales)

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Cash after Operations	10.0	23.6	11.4	20.7	30.1	20.7	19.2	19.4
Cash from Trading	27.9	33.5	20.4	42.0	43.3	35.2	33.4	34.9
Debt Service P&I Coverage	0.9	1.5	0.5	1.9	1.9	1.4	1.3	1.7
Interest Coverage (Operating Cash)	11.4	15.0	7.2	9.8	7.9	8.3	10.3	11.1
Net Cash after Operations	14.0	22.0	7.8	27.6	30.2	21.9	20.3	19.9

Industry Tax Structure

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Taxes Paid/Revenue	1.2	1.3	0.7	1.3	1.0	1.0	1.1	1.5

Valuation Multiples

Earnings Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
EV/Revenue	0.7	0.8	0.9	0.8	0.8	0.8	0.8	0.8
EV/EBITDA	18.0	4.8	19.1	10.2	6.7	12.0	11.8	7.9
EV/EBIT	80.8	7.2	41.8	16.6	9.6	22.7	31.2	19.0

Key Ratios

Year	Revenue per Employee ($k)	Revenue per Enterprise ($m)	Employees per Establishment (Units)	Employees per Enterprise (Units)	Average Wage ($k)	Wages/ Revenue (%)	Establishments per Enterprise (Units)	IVA/ Revenue (%)	Exports/ Revenue (%)	Imports/ Demand (%)
2007	171.8	2.6	15.0	15.4	40.6	23.6	1.0	33.8	42.2	97.3
2008	215.6	3.2	14.7	15.0	41.6	19.3	1.0	25.9	48.7	97.5
2009	204.8	3.0	14.5	14.8	39.9	19.5	1.0	37.5	49.9	97.6
2010	218.0	3.2	14.4	14.8	43.2	19.8	1.0	30.2	54.8	98.0
2011	224.5	3.2	13.9	14.2	43.3	19.3	1.0	31.9	61.0	98.3
2012	238.1	3.0	12.5	12.8	45.1	18.9	1.0	30.3	59.4	98.2
2013	221.1	3.0	13.5	13.7	42.4	19.2	1.0	26.9	58.6	98.3
2014	207.1	2.8	13.2	13.4	43.6	21.1	1.0	28.1	64.9	98.7
2015	195.0	2.7	13.7	14.0	45.3	23.2	1.0	28.9	65.4	98.8
2016	204.6	2.8	13.3	13.6	45.8	22.4	1.0	30.9	55.4	98.4
2017	184.3	2.7	14.3	14.6	43.1	23.4	1.0	32.7	55.8	98.4
2018	191.5	2.6	13.3	13.6	46.0	24.0	1.0	31.9	61.1	98.7
2019	194.9	2.6	13.4	13.6	45.6	23.4	1.0	35.1	68.6	98.9
2020	173.0	2.2	12.4	12.6	39.9	23.0	1.0	28.2	56.8	98.4
2021	199.5	2.2	11.1	11.2	46.9	23.5	1.0	31.1	55.9	98.6
2022	169.5	1.9	10.9	11.0	48.5	28.6	1.0	36.2	64.5	99.2
2023	195.3	1.9	9.6	9.7	43.6	22.3	1.0	31.1	71.0	99.0

Year	Revenue per Employee ($k)	Revenue per Enterprise ($m)	Employees per Establishment (Units)	Employees per Enterprise (Units)	Average Wage ($k)	Wages/ Revenue (%)	Establishments per Enterprise (Units)	IVA/ Revenue (%)	Exports/ Revenue (%)	Imports/ Demand (%)
2024	195.6	1.9	9.5	9.6	43.6	22.3	1.0	31.1	67.9	99.0
2025	196.6	1.8	9.3	9.4	43.7	22.2	1.0	30.9	72.5	99.1
2026	198.8	1.9	9.2	9.3	43.8	22.0	1.0	30.8	73.3	98.0
2027	199.7	1.8	9.1	9.2	43.8	21.9	1.0	30.8	73.2	98.1
2028	200.1	1.8	9.0	9.0	43.8	21.9	1.0	30.9	73.2	98.1
2029	199.8	1.8	8.8	8.9	43.8	21.9	1.0	30.9	73.2	98.1
2030	200.2	1.8	8.8	8.8	43.8	21.9	1.0	31.0	73.2	98.1
2031	200.1	1.8	8.7	8.8	43.8	21.9	1.0	31.0	73.2	98.1
2032	199.5	1.7	8.7	8.7	43.8	22.0	1.0	31.0	73.2	98.1

Key Statistics

Industry Data

Values

Year	Revenue ($m)	IVA ($m)	Establishments (Units)	Enterprises (Units)	Employment (Units)	Exports ($m)	Imports ($m)	Wages ($m)
2007	2,707.7	914.4	1,050	1,027	15,761	1,141.4	57,112.9	640.1
2008	2,880.4	746.5	911	890	13,359	1,402.3	56,477.5	555.4
2009	2,549.7	955.4	861	840	12,449	1,270.9	51,043.9	497.3
2010	2,629.4	793.1	837	815	12,061	1,439.8	59,151.5	521.4
2011	2,738.0	874.1	878	858	12,198	1,669.4	63,166.0	528.8
2012	2,869.4	869.4	963	944	12,050	1,703.8	65,188.0	542.9
2013	2,728.4	732.5	917	899	12,342	1,598.0	66,481.4	523.7
2014	2,502.2	702.1	919	902	12,083	1,622.9	68,437.5	527.2
2015	2,434.3	704.4	913	895	12,485	1,590.9	71,855.4	565.6
2016	2,473.5	763.9	907	889	12,088	1,371.2	66,918.9	553.6
2017	2,375.6	776.2	899	881	12,889	1,324.5	65,434.4	555.8
2018	2,296.2	732.8	901	884	11,989	1,402.3	66,668.2	550.9
2019	2,355.1	826.0	903	889	12,086	1,616.2	66,508.0	551.4
2020	1,914.7	539.0	892	880	11,066	1,086.6	50,075.1	441.2
2021	1,980.5	614.9	894	883	9,926	1,106.8	63,065.7	465.0
2022	1,815.5	657.0	986	976	10,712	1,171.0	77,428.4	520.0
2023	1,870.3	582.5	997	985	9,577	1,328.5	54,677.2	417.8
2024	1,854.2	576.0	1,002	991	9,480	1,259.1	56,180.1	413.7
2025	1,848.2	571.4	1,011	1,000	9,400	1,340.2	53,732.6	410.6
2026	1,886.9	581.6	1,029	1,019	9,493	1,383.2	24,398.9	415.6
2027	1,890.4	582.4	1,042	1,032	9,466	1,384.2	25,979.7	414.8
2028	1,894.0	584.3	1,057	1,048	9,467	1,386.7	26,134.8	415.0
2029	1,896.8	585.9	1,074	1,065	9,494	1,388.6	26,277.8	416.1
2030	1,899.7	588.1	1,082	1,074	9,487	1,390.7	26,424.7	416.0
2031	1,902.8	589.4	1,091	1,083	9,508	1,392.8	26,575.6	416.8
2032	1,892.7	585.8	1,096	1,090	9,489	1,385.4	26,543.2	415.7

Annual Change

Year	Revenue (%)	IVA (%)	Establishments (%)	Enterprises (%)	Employment (%)	Exports (%)	Imports (%)	Wages (%)
2008	6.4	-18.4	-13.2	-13.3	-15.2	22.9	-1.1	-13.2
2009	-11.5	28.0	-5.5	-5.6	-6.8	-9.4	-9.6	-10.5
2010	3.1	-17.0	-2.8	-3.0	-3.1	13.3	15.9	4.8
2011	4.1	10.2	4.9	5.3	1.1	15.9	6.8	1.4
2012	4.8	-0.5	9.7	10.0	-1.2	2.1	3.2	2.7
2013	-4.9	-15.7	-4.8	-4.8	2.4	-6.2	2.0	-3.6
2014	-8.3	-4.2	0.2	0.3	-2.1	1.6	2.9	0.7
2015	-2.7	0.3	-0.7	-0.8	3.3	-2.0	5.0	7.3
2016	1.6	8.4	-0.7	-0.7	-3.2	-13.8	-6.9	-2.1
2017	-4.0	1.6	-0.9	-0.9	6.6	-3.4	-2.2	0.4
2018	-3.3	-5.6	0.2	0.3	-7.0	5.9	1.9	-0.9
2019	2.6	12.7	0.2	0.6	0.8	15.3	-0.2	0.1
2020	-18.7	-34.7	-1.2	-1.0	-8.4	-32.8	-24.7	-20.0
2021	3.4	14.1	0.2	0.3	-10.3	1.9	25.9	5.4
2022	-8.3	6.8	10.3	10.5	7.9	5.8	22.8	11.8
2023	3.0	-11.3	1.1	0.9	-10.6	13.4	-29.4	-19.6
2024	-0.9	-1.1	0.5	0.6	-1.0	-5.2	2.7	-1.0
2025	-0.3	-0.8	0.9	0.9	-0.8	6.4	-4.4	-0.7
2026	2.1	1.8	1.8	1.9	1.0	3.2	-54.6	1.2
2027	0.2	0.1	1.3	1.3	-0.3	0.1	6.5	-0.2
2028	0.2	0.3	1.4	1.6	0.0	0.2	0.6	0.0
2029	0.1	0.3	1.6	1.6	0.3	0.1	0.5	0.3
2030	0.2	0.4	0.7	0.8	-0.1	0.2	0.6	-0.0
2031	0.2	0.2	0.8	0.8	0.2	0.2	0.6	0.2
2032	-0.5	-0.6	0.5	0.6	-0.2	-0.5	-0.1	-0.3

Figures are inflation adjusted to 2026-2027

Key Success Factors

Key Success Factors

How do successful businesses overcome volatility?

Leverage product design, quality and brand strengths

Investing in innovative designs, ensuring high-quality materials and craftsmanship and building strong, recognizable brands creates customer loyalty, allows premium pricing, differentiates from competitors and enhances market stability for footwear manufacturers.

Secure export markets

Export demand in Canada, Mexico and Japan gives manufacturers a revenue channel priced under different trade terms than the domestic tariff regime, partly offsetting swings tied to the trade-weighted index.

What products or services do successful businesses offer?

Invest in new technology to enhance operational efficiency and quality

Automation lets manufacturers offset a labor cost gap with Asian producers that runs into double digits, making robotics and process technology a precondition for keeping any domestic production viable at all.

Leverage product design, quality and brand strengths

Brand heritage and consistent quality let a handful of manufacturers command premium pricing despite import competition, turning design reputation and perceived durability into the industry's clearest defense against cheaper alternatives.

How do businesses use location to their advantage?

Ensure skilled labor is available

New England's technical, automation-ready workforce, built over decades even as most domestic shoemaking moved offshore, enables New Balance to run automation-heavy lines that would be uneconomical without workers already trained for precision assembly.

Operate in a location that is close to key suppliers

New Balance has responded to thin regional supplier density by building its own domestic supplier network alongside plant investment. The company treats supplier proximity as something to be built at each site, rather than a pre-existing regional advantage.

How do successful businesses handle concentration?

Concentrate on core products

Manufacturers without New Balance's scale tend to compete in narrow categories, such as protective footwear, house slippers or specialty comfort lines, where focused expertise and loyal repeat buyers substitute for the scale that bigger diversified competitors can leverage.

Use new technology to contain costs and boost productivity

New domestic capacity typically launches automation-first rather than adding automation later, since a labor-intensive plant cannot compete with far lower-cost production in Asian manufacturing hubs.

How can potential entrants overcome barriers to entry?

Invest in new equipment to enhance mechanical efficiency and improve productivity

Entrants that commit early to automated stitching and assembly lines absorb the domestic wage gap with capital rather than headcount. Keen and New Balance are already pursuing this model.

Optimize operating capacity

Entrants can match capacity to demand by starting at the small scale that most domestic manufacturers already operate at, or by leasing shared production space instead of committing to major-brand-scale output from day one.

How do successful businesses compete with substitutes?

Produce a differentiated product

New Balance channels domestic production into technical and performance running lines instead of competing broadly, a differentiation strategy that imported mass production struggles to match in terms of fit and comfort.

Secure a highly skilled workforce

Technical and performance footwear demands pattern-making and fit expertise that imported mass-production lines don't readily replicate, making a skilled domestic workforce a durable defense against price-driven substitution.

How do successful businesses manage buyer & supplier power?

Establish long-term working relationships with raw material suppliers

Manufacturers that lock in multi-year contracts with leather, rubber and textile processors secure stable pricing and priority capacity, insulating output from the shipping-cost volatility reshaping Asia-based sourcing routes.

Leverage the degree of vertical integration within the company

Manufacturers that control more of their own component processing, rather than relying entirely on outside tanneries and mills, reduce their exposure to freight disruptions and price swings in imported inputs.

Call Preparation Questions

Role Specific Questions

Sales & Marketing

Did you experience any change in demand as imports became scarcer in 2020?

- Imports have hindered pricing power. Companies in the industry have less flexibility when setting prices. While import penetration has generally intensified the competitive pressures experienced by domestic manufacturers, given supply-chain interruptions due to COVID-19, some consumers chose to buy domestically.

How have imports from low-wage countries impacted your operations?

- This price-based competition has forced manufacturers to outsource and specialize in niche markets. Some companies move to high-value manufacturing with skilled labor and outsource low-skilled processes to remain competitive.

Strategy & Operations

Has your company been exposed to volatile input prices?

- The world price of rubber is a main input in many shoe and footwear manufacturing processes. Fluctuations in the price of rubber significantly impact manufacturers' profits.

Have you considered setting up manufacturing facilities in states or countries with less restrictive working conditions?

- As states now have varying regulations regarding work safety and what facilities can be open, establishing operations elsewhere in response to idling facilities in more regulated regions may be key to success among price-sensitive consumers.

Technology

How is your company using new technology to mitigate downturns?

- Tagless labeling technology has recently increased consumer comfort, branding opportunities, cost savings and security management. Also, investing in technology, like online portals and marketplaces, helps establish a competitive edge.

Have you been able to reduce wage costs by automating operations over the past five years?

- While some manufacturers have looked into automating some processes, footwear manufacturing remains highly labor intensive. Total wages have declined primarily because of outsourcing, but automation has played a role.

Compliance

Have any regulatory expenses significantly impacted profitability during the period?

- Shoe and footwear manufacturers have experienced increased expenses because of stringent environmental regulations.

Is your company adequately prepared to adjust to changing environmental standards?

- EPA regulations surrounding manufacturing are constantly evolving. Companies within this industry are subject to environmental and anti-dumping laws regarding the discharge of material waste from some footwear inputs, like synthetic and leather-made footwear.
- Noncompliance with regulatory controls like environmental laws can carry heavy penalties, including revocation of permits, corrective action orders, administrative or civil penalties and criminal prosecution.

Finance

How frequently does your company purchase new equipment?

- Expenditure on wages in this industry accounts for a much larger portion of revenue than expenditure on capital.

How have your company's growth and profit compared to your main competitors?

- Average profit across the industry has recently suffered because of supply chain interruptions and a lack of consumer confidence. Like most clothing industries, companies compete based largely on price, and diminishing consumer sentiment has spurred many losses as companies compete for this reduced demand.

External Impacts Questions

Import penetration into the manufacturing sector

What proportion of your products come from foreign suppliers?

- Since manufacturing in this industry is highly labor-intensive, US companies source many of their products from low-cost suppliers in foreign countries.

Trade-weighted index

Do you monitor the trade-weighted index? When the dollar depreciates, how is your revenue affected?

- An appreciation of the US dollar makes imported footwear less costly and, thus, more price competitive. However, a depreciating dollar provides a potential opportunity for domestic manufacturers to boost their revenue from exports.

Per capita disposable income

How has your company responded to fluctuations in per capita disposable income?

- If disposable income is low, consumers will buy far fewer discretionary items. Increases in the level of per capita disposable income can boost demand for consumer goods supplied by this industry.

Internal Issues Questions

Establishment of brand names

Do you manufacture any well-known brands? How do you build your brand?

- Brand strength can create consumer demand for a specific company's footwear products. During economic volatility, brand-name companies have been more successful than smaller-name manufacturers, as they need to spend less on marketing to capture limited consumer demand.

Economies of scope

How many types of footwear does your company manufacture? What other products could your company manufacture?

- Growth in consumer spending stimulates apparel sales, boosting industry revenue. Manufacturing a diverse selection of footwear can help capture a larger customer base.

Ability to alter goods and services produced in favor of market conditions

How does your company maintain a high level of quality in its products? How do you keep up with changing fashion trends?

- The quality of footwear manufactured and the ability to adapt to changing fashion trends provide major competitive advantages, including hiring top designers.

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Manufacturing • 31621

Shoe & Footwear Manufacturing in the US

Tariff tensions hike: Elevated shoe manufacturing costs loom amid trade disputes with China, challenging supply chains and reshaping economic landscapes

Christian Perdomo
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About

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About This Industry

Definition

The shoe and footwear manufacturing industry produces a wide range of products for men, women and children. These include rubber and plastic footwear, protective shoes, house slippers and slipper socks. In addition, manufacturers create footwear tailored for casual, formal and work settings. These products often feature rubber or plastic soles paired with leather or vinyl uppers, catering to diverse consumer needs while maintaining a variety of functional and stylistic attributes.

Codes

NAICS

2022	31621 – Footwear Manufacturing
2022	316210 – Footwear Manufacturing
2017	31621 – Footwear Manufacturing
2017	316210 – Footwear Manufacturing

ISIC

2006	1520 – Manufacture of footwear

What's Included

- Manufacturing rubber and plastic footwear
- Manufacturing men's footwear
- Manufacturing women's footwear

Companies

- New Balance
- Rocky Brands
- Red Wing Shoes
- Caleres Inc.
- Nike
- Crocs
- Deckers Brands
- Caleres
- The Frye Company
- L.L.Bean
- Timberland Pro
- Red Wing
- Weyco Group
- Lacrosse Footwear
- McRae Industries
- Sebago
- Tecovas
- Trudave Gear
- The Original Footwear Co.
- Weinbrenner Shoe Company

Related Industries

Domestic industries

Competitors

- Women's, Girls' and Infants' Apparel Manufacturing in the US
- Leather Goods & Luggage Manufacturing in the US

Complementors

- Textile Mills in the US
- Medical Instrument & Supply Manufacturing in the US

International industries

- Footwear Manufacturing in the UK
- Footwear Manufacturing in China
- Footwear Manufacturing in Germany
- Footwear Manufacturing in Australia
- Global Footwear Manufacturing
- Shoe & Footwear Manufacturing in Canada

Related Terms

NORTH AMERICAN FREE TRADE AGREEMENT (NAFTA)

A generally duty-free agreement signed by the governments of Canada, Mexico and the United States, creating a trilateral trade bloc in North America.

OFFSHORING

The transfer of manufacturing operations to another country, regardless of whether the work is outsourced or stays within the same corporation or company.

OUTSOURCING

Subcontracting process in which manufacturing is conducted by a third-party company either locally or internationally.

Additional Resources

- Textile World
- US Census Bureau
- Textile Society of America
- Manufacturing News
- American Apparel and Footwear Association

At a Glance

Revenue		Employees		Businesses	
$1.9bn	2021-26 ↓ 1.0% 2026-31 ↑ 0.2%	9.5k	2021-26 ↓ 0.9% 2026-31 ↑ 0.0%	1.0k	2021-26 ↑ 2.9% 2026-31 ↑ 1.2%
Profit		**Profit Margin**		**Wages**	
$118.9m	2021-26 ↓ 0.6%	6.3%	2021-26 ↑ 0.1pp	$415.6m	2021-26 ↓ 2.2% 2026-31 ↑ 0.1%

ⓘ Five-year growth rates display historic and forecast CAGRs

Major Players

Company	Revenue ($m)	Market Share (%)
New Balance	613.4	32.5
Rocky Brands	139.5	7.4
Other Companies	1,133.7	60.1

Products & Services

Item	Revenue ($m)	Market Share (%)
Men's footwear (except athletic)	670.4	46.9
Rubber and plastic footwear including athletic footwear	303.0	21.2
Other footwear	265.9	18.6
Women's footwear (except athletic)	190.1	13.3

Key External Drivers

Driver	Impact
Import penetration into the manufacturing sector	Negative
Trade-weighted index	Negative
Per capita disposable income	Positive
Demand from footwear wholesaling	Positive

Key Takeaways

Performance

New forced-labor tariffs could give footwear makers a pricing edge as imports from major sourcing hubs become costlier. But the upside isn't uniform: domestic capacity is limited, and import-dependent producers may still face higher input costs and disruptions.

Domestic footwear makers won't get a legislative boost from the failed BOOTS Act and must compete for military and commercial buyers on merit. Without a new domestic-content requirement, consistent demand will depend on stronger products, competitive pricing, dependable capacity and resilient supply chains.

Products and Markets

Men's dress and casual shoe makers are squeezed between tariff-driven cost increases and an enduring consumer shift toward athleisure. Winning brands are making classic styles less formal, adding lightweight construction, flexible soles and cushioning without sacrificing a polished look.

Footwear manufacturers face fewer specialty-store doors and less wholesale visibility as retailers shrink their physical footprints and consumers move online. That shift favors vertically integrated brands with direct digital channels, while supplier-dependent manufacturers contend with fewer replenishment orders and tighter relationships with retailers.

SWOT

Strengths	Low Capital Requirements Low Product/Service Concentration Medium & Increasing Barriers to Entry
Weaknesses	Decline Life Cycle Stage High & Decreasing Level of Assistance High Competition High Customer Class Concentration High Imports Low Profit vs. Sector Average Low Revenue per Employee
Opportunities	Per capita disposable income
Threats	Low Revenue Growth (2021-2026) Trade-weighted index

Industry Structure

Characteristic	Level & Trend
Concentration	Low
Barriers to Entry	Moderate, Increasing
Regulation and Policy	Moderate, Steady
Life Cycle	Decline
Revenue Volatility	Moderate
Assistance	High, Decreasing
Competition	High, Increasing
Innovation	Moderate

Executive Summary

Tariff tensions hike: Elevated shoe manufacturing costs loom amid trade disputes with China, challenging supply chains and reshaping economic landscapes

The Shoe and Footwear Manufacturing industry is experiencing notable trends amid changing consumer behavior and global economic shifts. Over recent years, the industry has contended with challenges like price sensitivity among consumers, increased competition from imports, the imposition of new tariffs and a shift towards athleisure and casual footwear. Industry revenue has dropped at a CAGR of 1.0% over the past five years and is expected to total $1.9 billion in 2026, while revenue will increase by an estimated 2.1%.

Historically, the industry has faced stagnation because of high domestic production costs and heavy reliance on foreign manufacturing. US–China trade tensions further intensified these challenges by disrupting supply chains and prompting brands to reassess sourcing and domestic production strategies. During the period, the industry has increasingly focused on supply-chain diversification, e-commerce expansion and demand for comfortable, performance-oriented footwear. In response, many brands have streamlined product assortments, expanded digital sales channels and incorporated more sustainable materials. These strategies reflect consumer preferences for value, quality, convenience and ethically produced products.

The industry is poised for modest growth, driven largely by the continuing shift toward casual and sportswear and an increased focus on innovation in materials and production processes. The integration of technologies such as 3D printing and advanced robotics is expected to enhance manufacturing efficiency and customization capabilities. In addition, the Berry Amendment, which requires certain Department of Defense procurement to use domestically produced textiles and apparel, is likely to broaden the domestic customer base and support further expansion. Over the next five years, revenue will hike at a CAGR of 0.2% to reach an estimated $1.9 billion in 2031. However, ongoing geopolitical tensions, including conflict between the US and Iran, are expected to contribute to fluctuations in global energy and raw material prices, adding cost pressure on manufacturers. The industry will also contend with competition from overseas producers and increased tariffs, which may limit profit.

Performance

Key Takeaways

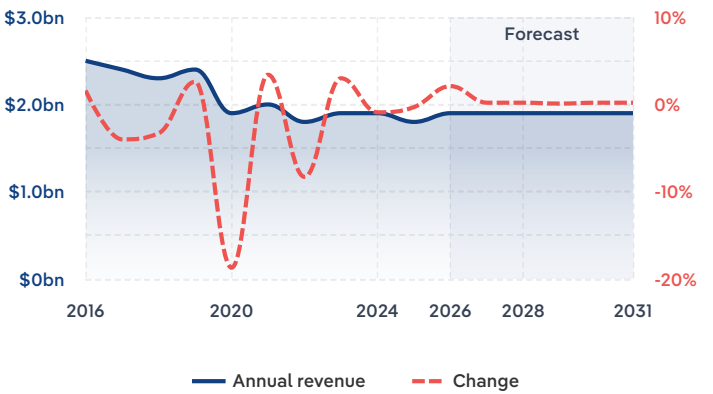
New forced-labor tariffs could give footwear makers a pricing edge as imports from major sourcing hubs become costlier. But the upside isn't uniform: domestic capacity is limited, and import-dependent producers may still face higher input costs and disruptions.

Domestic footwear makers won't get a legislative boost from the failed BOOTS Act and must compete for military and commercial buyers on merit. Without a new domestic-content requirement, consistent demand will depend on stronger products, competitive pricing, dependable capacity and resilient supply chains.

Performance Snapshot

Revenue

Total value ($) and annual change from 2016 – 2031. Includes 5-year outlook.



IBISWorld Source: IBISWorld

Revenue

$1.9bn

2021-26 ↓ 1.0%

2026-31 ↑ 0.2%

2026 Revenue Growth

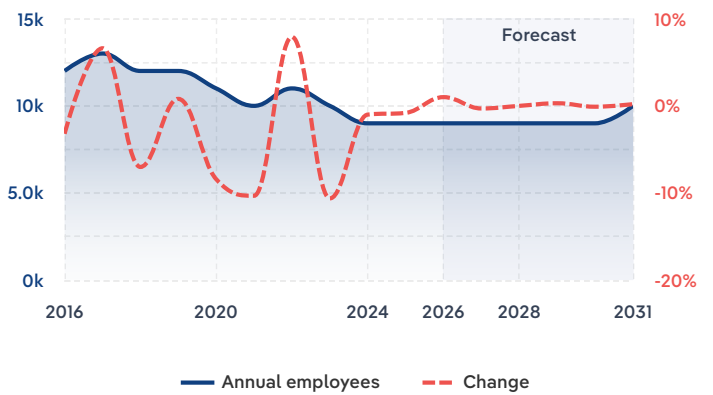
2.1% ↑ Increasing

Revenue Volatility

Moderate

Employees

Total number of employees and annual change from 2016 – 2031. Includes 5-year outlook.



IBISWorld Source: IBISWorld

Employees

9.5k

2021-26 ↓ 0.9%

2026-31 ↑ 0.0%

Employees per Business

9

2021-26 ↓ 3.7%

2026-31 ↓ 1.2%

Revenue per Employee

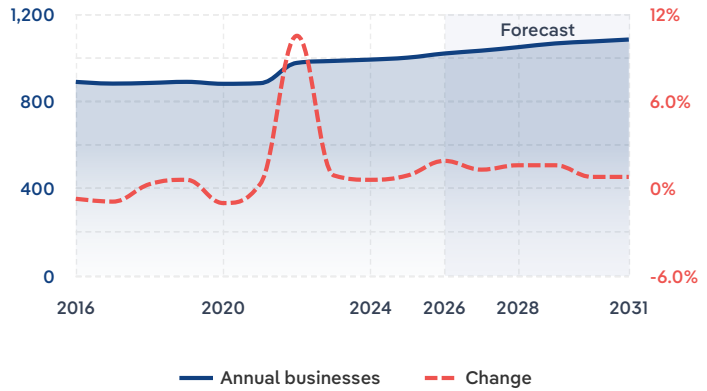
$198.8k

2021-26 ↓ 0.1%

2026-31 ↑ 0.1%

Businesses

Total number of businesses and annual change from 2016 – 2031. Includes 5-year outlook.



IBISWorld Source: IBISWorld

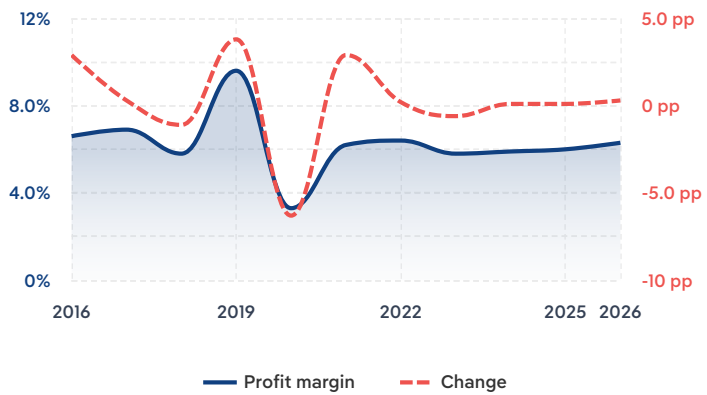
Businesses
1.0k
2021-26 ↑ 2.9%
2026-31 ↑ 1.2%

Employees per Business
9
2021-26 ↓ 3.7%
2026-31 ↓ 1.2%

Revenue per Business
$1.9m
2021-26 ↓ 3.8%
2026-31 ↓ 1.0%

Profit Margin

Total profit margin (%) and annual change from 2016 – 2026



IBISWorld Source: IBISWorld

Total Profit
$118.9m
2021-26 ↓ 0.6%

Profit Margin
6.3%
2021-26 ↑ 0.1pp

Profit per Business
$116.7k

Current Performance

↓2021-26 Revenue CAGR: -1.0%

What's driving current industry performance?

Rising crude prices reverse temporary cost relief across footwear production supply chains

- The 14.4% drop in crude oil prices in 2025 reduced petroleum-based input costs for footwear manufacturing, lowering prices for EVA, PU, PVC and other synthetic materials used in soles, midsoles, uppers, adhesives and coatings. This created temporary cost relief across the production chain, particularly for manufacturers with substantial reliance on oil-derived materials.
- This favorable cost environment improved the sector's ability to compete in price-sensitive markets during 2025. Brands and suppliers had greater flexibility to support promotional activity, protect consumer demand, absorb expenses elsewhere in the supply chain and retain more of each sale as operating profit.
- However, since US and Israeli forces began strikes against Iran in February 2026, escalating regional tensions have created substantial upside risk for oil and petrochemical prices. The projected 38.2% strengthen in global crude oil prices during 2026 would raise feedstock and resin costs, reverse recent cost relief for footwear manufacturers, climb the cost of synthetic components and further compress sector profitability.

Forced-labor tariffs create uneven opportunities for footwear manufacturing

- The July 2026 Section 301 forced-labor tariff action imposed new duties on imports from 60 economies, including additional 12.5% duties on imports from China and Vietnam and 10.0% duties on imports from Indonesia. For footwear manufacturers, the measure can improve the relative price competitiveness of domestically made finished shoes versus affected imports; however, its benefit is limited because approximately 90.0% of footwear sold in the US is imported and domestic production capacity remains comparatively small.
- The impact on domestic manufacturers will vary with their input-sourcing model. Producers that make finished footwear in the US and procure more materials domestically may gain a competitive advantage as imported shoes become more expensive. Conversely, manufacturers dependent on imported leather, uppers, soles, components, machinery, or other specialized inputs may face higher costs or supply chain disruptions, although the July policy provides exemptions for certain manufacturing inputs and goods not available from US sources in sufficient quantities.
- Nike demonstrates the industry's continued exposure to offshore production and the financial significance of tariff policy changes. In fiscal 2026, Vietnam, Indonesia and China manufactured 52%, 27% and 16%, respectively, of NIKE Brand footwear; following the February 2026 Supreme Court ruling that IEEPA tariffs were unauthorized, Nike recognized a $986.0 million recovery in cost of sales for previously paid IEEPA tariffs. The recovery reduced the impact of the invalidated emergency tariffs, but it does not eliminate the company's or the wider industry's exposure to the separate Section 301 duties on imports from key footwear-sourcing countries, effective July 2026.

Declining household confidence drives value-focused footwear demand and inventory restraint

- In 2025, consumer confidence fell 8.4%, signaling a marked deterioration in household sentiment and greater caution around discretionary purchases. Footwear, especially mid-tier and premium products, was particularly exposed because consumers could postpone replacements, trade down to lower-priced alternatives and delay purchases until promotional events offered a more compelling value proposition.
- Persistent inflation, elevated borrowing costs and excess retail inventories further weakened demand and profitability. As retailers cleared stock through deeper promotions and markdowns, manufacturers faced lower sales volumes and reduced pricing power. Consequently, producers narrowed assortments, reduced production commitments and scaled back planned product launches to protect profit and limit inventory risk.
- With consumer confidence projected to decline a further 0.6% in 2026, footwear manufacturers will likely remain exposed to cautious, value-conscious shoppers. Companies could respond by expanding value-oriented offerings, improving omnichannel convenience and service and reinforcing brand authenticity, product quality and price-value messaging to strengthen trust, defend demand and support customer retention.

Athleisure trends drive demand for versatile, technology-enhanced athletic footwear

- The surge in athleisure fashion is increasing demand for athletic footwear that combines aesthetics with practicality. Consumers are gravitating toward versatile, stylish designs that can be worn for exercise, wellness activities and everyday use, supporting brands such as Alo as they expand across the activewear category.
- Footwear manufacturers are responding through technological innovation, developing athletic shoes with greater in-shoe comfort, shock absorption, energy return and recovery-oriented features. Nike's 2025 Nike x Hyperice Hyperboot—featuring dual-air Normatec bladders and warming technology designed to support muscle recovery—illustrates how biomechanical innovation can differentiate products for casual consumers and serious athletes alike.
- Celebrity and influencer collaborations provide a route to translate performance and lifestyle innovation into broader consumer relevance. Nike's 2025 NikeSKIMS partnership with Kim Kardashian demonstrates how brands can use star power to strengthen visibility among women and extend performance-and-lifestyle footwear lines into new and wider consumer segments.

Consumer demand for eco-friendly products drives sustainable footwear innovation

- The footwear manufacturing industry is increasingly turning to sustainable practices in response to rising consumer demand for eco-friendly products. Many manufacturers are adopting environmentally conscious practices, such as using sustainable materials and energy-efficient processes, to align with these expectations.
- Leading brands, including Adidas and Nike, are setting industry standards by incorporating recycled plastics into their shoe designs. Adidas collaborates with Parley for the Oceans, while Nike's "Move to Zero" initiative reflects a strong commitment to reducing environmental impact. These efforts underscore a broader industry trend, highlighting the importance of sustainable production.
- Corporate sustainability goals further underscore this transformation. New Balance's 2024 Sustainability and Impact Report reiterates its ambitious 2030 product targets, including sourcing 100% "preferred" leather—defined as chrome-free, regenerative, or low-emission based on life-cycle assessment—and 100% "preferred" polyester, with 25% of the polyester fibers derived specifically from textile waste by 2030. These updated benchmarks strengthen the link between material choices and climate science, highlighting an industry response to consumer expectations and global environmental challenges that reflects a long-term commitment to sustainability beyond short-term trends.

Outlook

↑2026-31 Revenue CAGR: 0.2%

What's driving the industry outlook?

Domestic footwear producers will compete commercially after the BOOTS Act mandate fails

- Domestic producers will continue to compete for commercial and existing military footwear demand following the BOOTS Act's failure to establish a new domestic-content requirement for optional combat boots. Introduced in June 2025, the Better Outfitting Our Troops (BOOTS) Act would have required optional boots worn with military uniforms to be made in the US from domestic materials and components, effectively extending Berry Amendment-style requirements to this category.
- The policy would have addressed a gap in existing procurement rules. Supporters argued that service members purchase about 1 million pairs of optional combat boots annually, with much of that spending going to foreign manufacturers; advocates estimated the market at up to $250.0 million per year. Domestic producers viewed a mandate as a way to create steadier demand, support production scale and strengthen the US footwear supply chain.
- The measure faced a significant setback when House lawmakers rejected it 38–18 during consideration of the fiscal year 2026 NDAA, after an earlier House version had not advanced in the Senate. Without legislation, manufacturers could win demand through product performance, price, capacity and supply-chain reliability rather than through a new sourcing mandate. The Army's 2026 SWIFT RFI remains a positive longer-term signal of interest in reshoring and modernizing domestic footwear production, but it is not a funded procurement program.

Rising incomes will spur demand and profit growth for footwear manufacturers

- In 2027, per capita disposable income will climb by 2.1%, marking a moderate but meaningful boost to consumer purchasing power. This will encourage greater spending in mid-range and premium footwear categories, supporting steady output growth among domestic manufacturers, who will benefit from improved retail volumes and reduced inventory pressures.
- Higher disposable income will lead consumers to allocate a larger share of their budgets to discretionary goods, including shoes and specialized footwear. This will enhance manufacturers' pricing flexibility, strengthen brand loyalty and sustain healthier profit despite persistent input cost challenges. Improved household sentiment will also stimulate demand for innovative, comfort-driven and ethically produced footwear lines across core buyer segments.
- Footwear manufacturers could capitalize on this surge in demand by enhancing production efficiency, adopting data-driven forecasting, and expanding their direct-to-consumer channels. Companies could also invest in product differentiation and material innovation to align with evolving consumer preferences. Over the next year, these strategic adaptations will strengthen competitiveness, enhance profitability and bolster the sector's resilience amid global cost and trade volatility.

Resale growth will pressure footwear manufacturers to offer value and circular solutions

- The shoe and footwear manufacturing industry will be increasingly affected by the growth of second-hand shopping, particularly as rising import costs and retail prices encourage consumers to seek lower-cost alternatives. According to ThredUp, nearly 60.0% of consumers said they would seek more affordable options, such as second-hand purchases, if tariffs raised apparel and footwear prices.
- Footwear already has a meaningful presence on resale platforms. In the BoF–McKinsey State of Fashion 2026 Consumer Survey, sneakers ranked among the five most commonly purchased resale categories in the US, with 59.0% of resale consumers reporting purchases in the category. In China, boots ranked fourth, purchased by 55.0% of consumers, while watches, bags and outerwear also showed strong resale demand across the US, UK and China. For footwear producers, these results support investment in resale programs that authenticate, clean, repair and resell returned, traded-in or cosmetically imperfect shoes. Such programs can make brand-name footwear accessible at lower price points while protecting product quality and brand equity.
- For footwear producers, these results support investment in resale programs that authenticate, clean, repair and resell returned, traded-in or cosmetically imperfect shoes. Such programs can make brand-name footwear accessible at lower price points while protecting product quality and brand equity.
- Programs such as New Balance Reconsidered will demonstrate how footwear brands can resell pre-owned, returned and cosmetically imperfect products while accepting eligible consumer trade-ins. Similar initiatives are expected to help manufacturers advance circularity commitments, recover value from returned inventory and attract younger and more price-conscious shoppers. Trade-in credits will also be used to encourage repeat purchases of new footwear, while resale activity will provide manufacturers with insights into product durability, condition, price sensitivity and consumer preferences.

Customization and personalization of shoes and footwear will drive change in the industry

- The shoe and footwear manufacturing industry is poised to capitalize on personalization trends, with industry giants such as Nike and Adidas leading the way. As consumers increasingly seek unique and tailored footwear, platforms like Nike By You enable individuals to customize design elements such as color and material. This shift meets consumer demand and helps brands differentiate themselves in a competitive market.
- Emerging technologies, such as 3D printing and AI-powered customization, will continue to play pivotal roles in advancing the footwear sector. These technologies enable the creation of highly customized shoes, supporting more flexible and digitally streamlined production processes.
- Recent launches, including Nike's 3D-printed Air Max 1000, adidas' fully 3D-printed Climacool24 line and PUMA's technology-led PUMA x F1 collaboration under A$AP Rocky's creative direction, exemplify the industry's shift toward innovative, experimentally designed footwear. This emphasis on cutting-edge digital design and manufacturing underscores how leading shoe brands are striving to stay ahead of rapidly evolving consumer expectations in terms of performance, style, and personalization.

- Manufacturers will also likely intensify the release of limited-edition collections and collaborate with celebrities to boost consumer engagement. Such strategies have proven effective; for example, Nike's collaboration with Billie Eilish has heightened the brand's allure through exclusivity and trendsetting designs.

Volatility

Moderate

What influences industry volatility?

Weaker dollar and volatile input costs intensify earnings pressure on footwear manufacturers

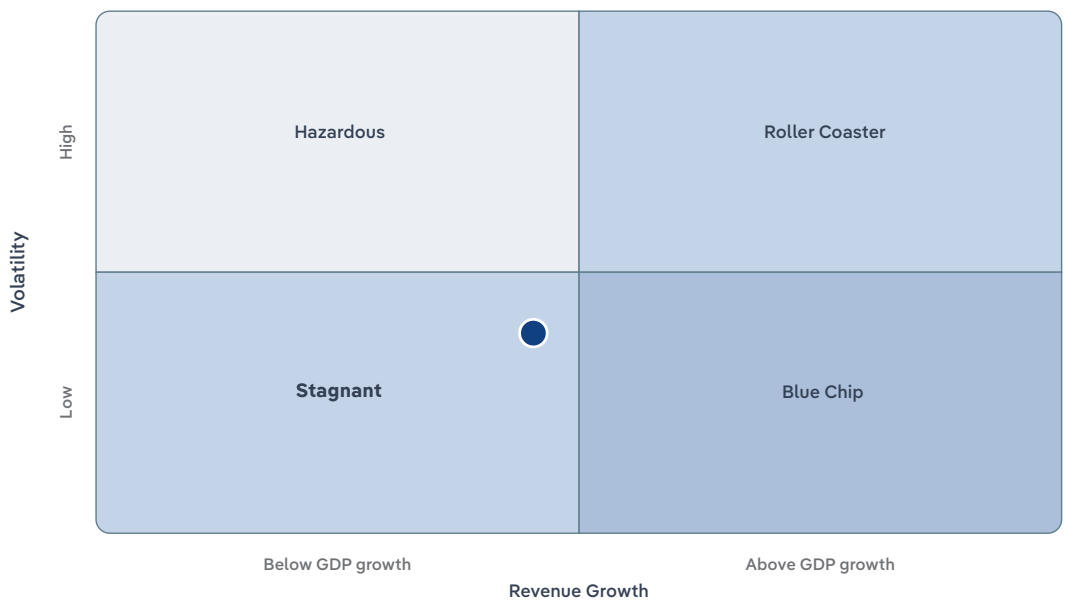
- Volatile input prices, particularly for plastics, rubber, leather and other synthetic materials, continue to pressure footwear manufacturers' profit, even as plastic materials and resin prices slipped 1.4% in 2025. Persistent cost swings complicate pricing strategies, disrupt budgeting and inventory planning and ultimately contribute to heightened revenue volatility.
- The trade-weighted index is expected to drop a further 3.7% in 2026, signaling a weaker US dollar relative to major trading partners. This depreciation can improve export competitiveness for US-made footwear but may also raise costs for imported components and materials, reinforcing overall earnings volatility for manufacturers.

Consumer preferences and celebrity endorsements drive footwear volatility

- Rapid changes in fashion trends lead to significant volatility within the footwear market. Manufacturers must frequently adapt their production and sales strategies to align with what consumers find stylish at any given moment. As a result, manufacturers face challenges in maintaining consistent revenue streams, with some seasons experiencing substantial increases or decreases in sales.
- Celebrity endorsements can dramatically alter demand for specific footwear styles. When influential figures embrace a particular shoe, its popularity can surge, influencing market trends. An example is the collaboration between Nike and Kim Kardashian's SKIMS in February 2025, which aims to revitalize Nike's appeal by tapping into Kardashian's widespread influence, illustrating how endorsements can shape industry dynamics.

Stagnant

Industry volatility vs. revenue growth (2021-2026 CAGR)



IBISWorld

Source: IBISWorld

Key Success Factors

How do successful businesses overcome volatility?

Leverage product design, quality and brand strengths

Investing in innovative designs, ensuring high-quality materials and craftsmanship and building strong, recognizable brands creates customer loyalty, allows premium pricing, differentiates from competitors and enhances market stability for footwear manufacturers.

Secure export markets

Export demand in Canada, Mexico and Japan gives manufacturers a revenue channel priced under different trade terms than the domestic tariff regime, partly offsetting swings tied to the trade-weighted index.

Life Cycle

Decline

Life Cycle

Indication of the industry's stage in its life cycle compared to similar industries



*Growth is based on change in share of economy combined with change in establishment numbers

IBISWorld

Source: IBISWorld

Why is the industry declining?

Contribution to GDP

The shoe and footwear manufacturing industry is experiencing slower growth compared to the US GDP, primarily because of intense global competition, elevated labor costs, market saturation and supply chain disruptions. Shifting consumer preferences and growing sustainability concerns pose additional challenges for domestic production, thereby limiting its economic contribution.

Market Saturation

Numerous companies compete fiercely for the same consumer base and differentiating products has become increasingly challenging. This saturation leads to heightened competition, often resulting in price wars and a heavy reliance on promotions and discounts. Companies must innovate or consolidate to maintain their positions as the market becomes more crowded.

Innovation

Innovation focuses on sustainable materials, such as recycled plastics and plant-based alternatives, as well as customization options through 3D scanning for perfect fits and technological enhancements in design and production processes. These innovations cater to consumer demands for eco-friendliness, comfort and a unique style, helping manufacturers distinguish themselves in crowded markets.

Consolidation

More prominent manufacturers strategically acquire smaller companies to expand their market share, diversify product offerings and enhance operational efficiencies. This necessity for consolidation stems from the need to remain competitive amid limited growth prospects and intense market rivalry domestically and abroad.

Technology & Systems

The industry relies heavily on technology and systems to drive efficiency and maintain competitiveness. Automation, 3D printing and advanced analytics optimize production and distribution, reducing costs and improving customer experiences. These tech-driven enhancements are crucial for manufacturers seeking to remain competitive in a highly saturated market.

Products and Markets

Key Takeaways

Men's dress and casual shoe makers are squeezed between tariff-driven cost increases and an enduring consumer shift toward athleisure. Winning brands are making classic styles less formal, adding lightweight construction, flexible soles and cushioning without sacrificing a polished look.

Footwear manufacturers face fewer specialty-store doors and less wholesale visibility as retailers shrink their physical footprints and consumers move online. That shift favors vertically integrated brands with direct digital channels, while supplier-dependent manufacturers contend with fewer replenishment orders and tighter relationships with retailers.

Largest Market

$670.4m

Men's footwear (except athletic)

Product Innovation

Moderate

Products and Services

How are the industry's products and services performing?

Men's non-athletic footwear faces tariff pressures and shifting consumer preferences

- Men's footwear (except athletic) comprises manufactured shoes and boots intended for dress, casual, street and work use. Products are made from leather, synthetic materials, textiles and other inputs, serving everyday, professional and formal consumer needs across retail and wholesale markets.
- Men's non-athletic footwear has faced higher landed costs as US tariffs compound already significant footwear duties on imported leather shoes, dress shoes, boots and casual styles. Retailers and brands have responded with price increases, margin pressure, supplier negotiations and sourcing diversification; FDRA reported that men's footwear prices rose 5.4% in May 2026, underscoring tariff-driven consumer price pressure.
- The athleisure shift has weakened demand for traditional men's dress shoes by making comfort and casual versatility central to everyday and office wardrobes. To remain competitive, brands such as Cole Haan have redesigned classic styles, including wingtips and cap-toe oxfords, with lightweight, flexible, sneaker-inspired outsoles and cushioned midsoles, preserving a polished appearance while delivering all-day comfort.

Rubber and plastic footwear benefits from wellness demand but faces energy-cost risks

- Rubber and plastic footwear includes sneakers, sandals, rain boots and similar shoes made mainly from synthetic materials. These products are designed for everyday wear, sports and outdoor activities, offering consumers practical benefits such as durability, comfort, water resistance and relatively affordable pricing.
- Total health expenditure rose 7.1% in 2025, reflecting a broader consumer focus on health and wellness that has supported demand for athletic footwear. As more consumers incorporate running, training and studio workouts into their daily routines, brands such as Alo Yoga have expanded into performance-oriented sneakers alongside their yoga apparel. Likewise, Nike and Adidas leverage partnerships with star athletes and celebrities to generate buzz and build preference for specific shoe lines.
- The roughly 13.9% drop in global crude oil prices in 2025 likely lowered the cost of petroleum-derived inputs, including synthetic rubber, plastics and foam, providing some profit relief for footwear manufacturers. However, this benefit may be eroded in 2026 as the oil and natural gas price index is projected to strengthen 37.7%, driven by geopolitical disruptions and infrastructure constraints. The conflict involving Iran has damaged regional energy infrastructure, including facilities in Qatar and disrupted shipping through the Strait of Hormuz, a critical export corridor for Gulf Cooperation Council producers. Higher energy and petrochemical prices could therefore raise material and manufacturing costs for footwear producers.

Women's footwear manufacturers face rising pressure from fast fashion and imports

- Women's footwear, excluding athletic shoes, includes non-sport styles designed specifically for women, such as heels, boots, flats, sandals and dress shoes. Characterized by fashion-led design and frequent style updates, the segment addresses diverse consumer preferences across formal, casual, professional and seasonal occasions.
- The growing presence of fast-fashion retailers is reshaping the women's footwear segment. These retailers are introducing trend-driven styles at low prices and refreshing assortments frequently, encouraging consumers to expect new fashion options more often and at lower price points. This is heightening competitive pressure on shoe and footwear manufacturers, which must respond to shorter fashion cycles, faster-changing demand and greater risk of unsold inventory.
- Demand for luxury, Italian-made women's footwear is increasing

competition for US manufacturers serving the upper end of the women's footwear segment. Italian producers benefit from an established reputation for craftsmanship, premium materials and fashion design, enabling them to command high prices without competing primarily on cost. This pressure domestic manufacturers to invest in product quality, specialized materials, distinctive design and brand-building to secure premium positioning and protect profit against established luxury imports.

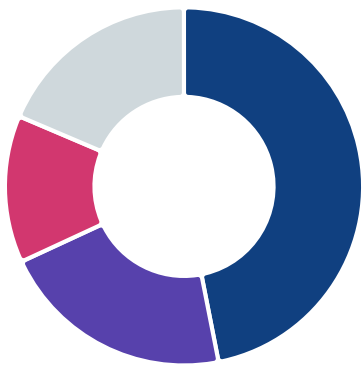
- Consumers are also increasingly purchasing women's footwear through e-commerce, online marketplaces and social-commerce platforms. This shift expands product visibility and price transparency, allowing consumers to compare US-made offerings with a wide range of lower-priced imported footwear. For shoe and footwear manufacturers, digital retail therefore intensifies import competition and puts pressure on selling prices and profit, as domestically produced women's footwear generally faces higher production costs than comparable imported products.

Other footwear manufacturers benefit from the lasting demand for comfort and protected military procurement

- This category encompasses all other forms of footwear that don't fit neatly into the conventional classifications. It includes casual footwear like slippers and flip-flops, as well as highly specialized shoes designed for specific activities or scenarios.
- The continued prevalence of hybrid and remote work has reinforced consumer demand for comfortable, casual and versatile footwear. This broader shift has supported interest in slippers, sandals and flip-flops for home and everyday wear, while encouraging brands to emphasize cushioning, support and indoor-outdoor versatility in product design.
- The Berry Amendment benefits shoe and footwear manufacturers by requiring the Department of Defense to purchase covered footwear made entirely in the US, generally including domestic materials, components and manufacturing processes. This creates protected demand for US military boots, recruits athletic-shoe suppliers, supports domestic supply chains and jobs and reduces direct competition from lower-cost imports.

Products & Services Segmentation

Industry revenue in 2026 broken down by key product and service lines.



- Men's footwear (except athletic) ($670.4m) 46.9%
- Rubber and plastic footwear including athletic footwear ($303.0m) 21.2%
- Women's footwear (except athletic) ($190.1m) 13.3%
- Other footwear ($265.9m) 18.6%

IBISWorld

Source: IBISWorld

☆ Key Success Factors

What products or services do successful businesses offer?

Invest in new technology to enhance operational efficiency and quality

Automation lets manufacturers offset a labor cost gap with Asian producers that runs into double digits, making robotics and process technology a precondition for keeping any domestic production viable at all.

Leverage product design, quality and brand strengths

Brand heritage and consistent quality let a handful of manufacturers command premium pricing despite import competition, turning design reputation and perceived durability into the industry's clearest defense against cheaper alternatives.

Innovations

Moderate

What are innovations in industry products and services?

Automated footwear manufacturing expands through robotics, nearshoring and streamlined production

- On's Busan facility demonstrates product innovation through its LightSpray technology, where 32 robotic units spray shoe uppers directly onto molds. This converts a traditionally fragmented, 200-step upper production process into a single automated operation, enabling lightweight performance footwear with a distinctly differentiated construction method.
- The factory represents a service and supply-chain innovation by shortening the path between production and major consumer markets. Planned automated sites in the US and Europe could improve time-to-market, reduce dependence on Asian sourcing and help manage tariff exposure and geopolitical disruption.
- Automation also advances sustainability-oriented manufacturing services. Producing closer to consumers may reduce the transport requirements for shipping finished footwear from Asia to Western markets, while robot-led processes can reduce production complexity. The model responds to tighter labor availability and rising expectations for faster, lower-impact product delivery.

Adjustable and growth-adaptable footwear revolutionizes shoe longevity

- The introduction of ÜNOS sneakers by Sz brings a revolutionary approach to the footwear industry by incorporating an expandable, Z-shaped outsole. This innovation allows the shoes to grow alongside the user's feet, potentially extending their lifecycle and reducing waste by minimizing the need for frequent replacements as individuals outgrow their shoe sizes.
- These sneakers are machine washable, providing consumers with a convenient maintenance option. Constructed from a blend of ethylene vinyl acetate, viscose, and rubber, they emphasize durability and environmental sustainability. This design ensures the product adapts to the user's needs while adhering to eco-conscious principles.

Major Markets

What's influencing demand from the industry's markets?

Fewer specialty footwear stores weaken manufacturers' physical retail exposure

- Footwear retailers are businesses that specialize in selling shoes, boots, sandals and related products directly to consumers, typically in small quantities. They occupy a significant position in the supply chain as the final point before products reach consumers.
- Footwear retail consolidation is constraining downstream demand for shoe and footwear manufacturers. In the first quarter of 2026, Foot Locker closed 88 stores across its Foot Locker, Champs, Kids Foot Locker and WSS banners, while Shoe Carnival plans to close 12–14 locations during fiscal 2026. The shrinking specialty-footwear retail footprint is reducing shelf space, consumer visibility and wholesale replenishment opportunities for domestic manufacturers that rely on these accounts. As retailers operate fewer physical locations, manufacturers have fewer outlets through which to place products, build brand exposure and generate repeat orders.
- Footwear retailers are also being affected by the continued shift toward e-commerce. According to the Census Bureau, seasonally adjusted retail e-commerce sales reached $327.9 billion in the first quarter of 2026, up 3.1% from the fourth quarter of 2025 and 10.1% from the prior-year quarter. E-commerce represented 17.0% of total retail sales.
- Growth in online sales is shifting footwear purchases from physical stores to brand-owned direct-to-consumer websites, online marketplaces and other digital retailers. As a result, store-based footwear retailers face weaker in-store traffic, greater price competition and higher spending on e-commerce platforms, omnichannel fulfillment, digital marketing and flexible returns. These

pressures have constrained wholesale inventory purchases and replenishment orders, reducing demand for shoe and footwear manufacturers.

- Vertically integrated companies, such as New Balance and Nike, which are prominent players in the footwear manufacturing industry, leverage their control over the supply chain to optimize efficiency and maintain a competitive edge in retail.

Direct-to-consumer sales reduce footwear wholesalers' role in distribution

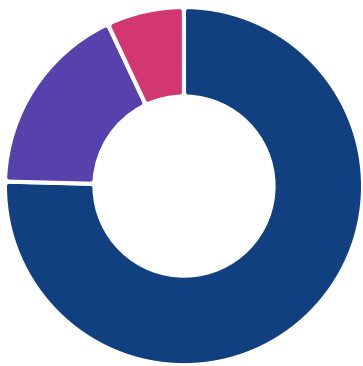
- Footwear wholesalers serve as crucial intermediaries in the supply chain, purchasing shoes in bulk directly from manufacturers and distributing products to specialty retailers, mass merchandisers and department stores. This role supports an efficient flow of goods from production facilities to consumer markets.
- Wholesalers meticulously track footwear fashion trends by analyzing market research, attending industry trade shows and monitoring social media and influencer activities. They focus on styles, colors and materials and subsequently modify their purchasing strategies to align with anticipated high-demand preferences among retailers and consumers.
- This market segment has been affected by manufacturers that bypass wholesalers to sell directly to retailers or through their own outlets. This approach enables manufacturers to achieve higher profit. However, it also increases their control over distribution, pricing and market understanding.
- However, major footwear manufacturers such as Nike have recognized the importance of wholesalers in maintaining a broad market reach, product visibility and consumer access. After reducing wholesale accounts under its 2020 Consumer Direct Acceleration strategy to prioritize direct and digital sales, Nike faced slower growth and weaker shelf presence, prompting it to restore relationships with retailers, including DSW and Macy's, in 2023.

Manufacturer-owned outlets strengthen direct consumer access and support omnichannel growth

- This segment includes footwear manufacturers that manage their retail outlets and sell directly to consumers, businesses and government agencies. By strategically engaging with diverse markets, these manufacturers employ a comprehensive approach, optimizing their product marketing and distribution across multiple channels to maximize reach and effectiveness.
- Over the past five years, manufacturers have increasingly boosted sales through their own sales outlets, a trend that accelerated in 2020. Despite the growth in DTC, the wholesale channel remains valuable for manufacturers, offering broader distribution and valuable consumer insights. This balance between DTC and wholesale allows manufacturers to maximize reach, adapt to market shifts and maintain a strong brand presence across multiple channels.

Major Markets Segmentation

Industry revenue in 2026 broken down by key markets



IBISWorld

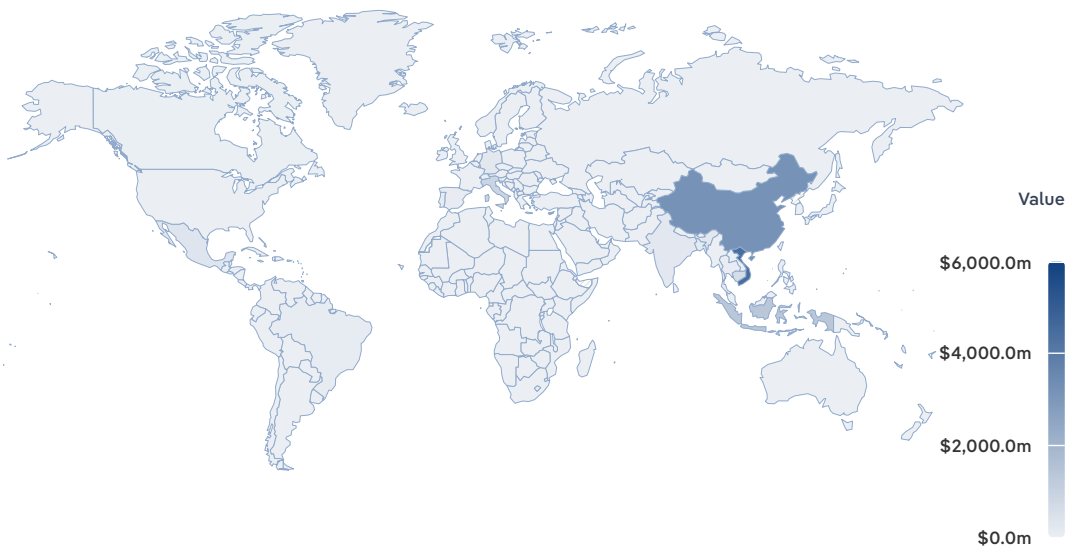
Source: IBISWorld

International Trade

Total Imports		Total Exports		Trade Balance
$24.4bn	2021-26 ↓ 17.3% 2026-31 ↑ 1.7%	$1.4bn	2021-26 ↑ 4.6% 2026-31 ↑ 0.1%	Net Importer Deficit: $-23.0bn

International Trade: Imports

Concentration of imports and exports from each country based on industry revenue

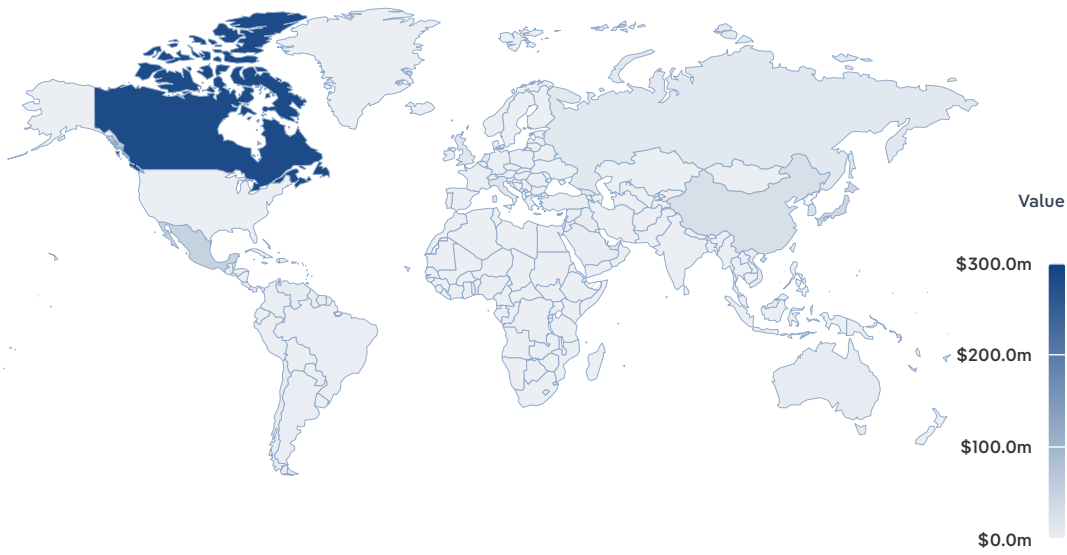


IBISWorld

Sources: IBISWorld

International Trade: Exports

Concentration of imports and exports from each country based on industry revenue



IBISWorld

Sources: IBISWorld

Imports

High | Decreasing

What are the industry's import trends?

Import tariffs weaken Asia's historic footwear cost advantage in US markets

- Lower labor costs and large-scale manufacturing capacity have historically made China, Vietnam and Indonesia the leading foreign suppliers to the US footwear market. Footwear production is labor-intensive, particularly in cutting, stitching, assembly, finishing and quality control. Asian factories can produce large volumes at lower unit costs than domestic manufacturers, encouraging brands and retailers to source basic and mass-market footwear abroad.
- Well-developed footwear clusters in Asia reinforce this cost advantage. Suppliers in China, Vietnam and Indonesia combine specialized labor, established material networks, component producers, port infrastructure and high-volume factories. These capabilities enable short production lead times and economies of scale that US manufacturers generally cannot match in price-sensitive categories such as casual shoes, sandals, basic athletic footwear and children's footwear.
- Since 2025, however, higher US tariffs and policy uncertainty have weakened the cost advantage of imported footwear and made importers more cautious about purchase commitments. Chinese footwear faced tariffs exceeding 50.0% during 2025, compared with roughly 20.0% for key alternative sources; by May 2026, duties on imports from China, Vietnam, Indonesia and Cambodia had become more comparable at around 20.0%. This has increased landed costs, raised price pressure and contributed to lower import volumes.

European premium footwear imports compete with US producers through design and craftsmanship

- Imported European footwear, especially Italian, French, German, Spanish and Portuguese premium products, competes with US manufacturers in luxury, fashion, leather, dress and handcrafted segments. European suppliers benefit from long-standing reputations for design, craftsmanship, heritage and high-quality materials. These attributes enable luxury brands to command premium prices and reduce direct competition based solely on manufacturing cost.
- Currency effects and tariffs make European footwear more expensive in the US market, but premium brands can partly absorb or pass through these costs because their customers place a high value on exclusivity, design and brand identity. However, additional US tariffs on European goods since 2025 have further raised shoe import costs, increasing pressure on European footwear suppliers.
- The tariff environment makes the import market more challenging for premium footwear retailers and brands. Higher duties add to foreign-exchange movements, shipping costs and retail markups, which may reduce demand and compress profit. This gives domestic footwear

manufacturers an opening in premium and made-in-USA categories, but success depends on investing in design, material quality, craftsmanship, brand recognition and customer relationships rather than competing on price alone.

Exports

High | Increasing

What are the industry's export trends?

Tariff uncertainty and supply-chain diversification strengthen the appeal of North American production

- Ongoing tariff exposure and uncertainty surrounding Asian sourcing have prompted footwear companies to diversify their production networks. China's share of US footwear imports fell to 28.9% between 2024 and 2025, reflecting a sustained shift away from China as tariffs and policy uncertainty discourage a major return to sourcing from China. This environment is increasing interest in closer, more flexible North American supply options.
- This sourcing shift is creating export opportunities for US manufacturers, particularly when overseas buyers need shorter lead times, smaller order quantities, customized production, or faster product replenishment. Domestic producers are better able to serve these requirements than large overseas factories focused on long production runs, helping domestic manufacturers compete in selected export markets.
- However, the strengthen in exports should not be interpreted as a full recovery in US footwear manufacturing. The industry remains small and faces strong import competition, while the global footwear trade weakened in early 2026. Export growth is therefore more likely to be concentrated in premium, technical and supply-chain-sensitive segments than in basic, price-sensitive footwear categories.

Digital channels expand footwear brands' export reach through direct consumer engagement

- US footwear brands are using e-commerce, brand-owned websites, mobile apps and digital marketplaces to reach international consumers without relying exclusively on traditional distributors or physical retail expansion. These channels give brands a lower-risk way to enter or test foreign markets, particularly for specialized, premium and limited-edition footwear that may not require large overseas wholesale orders.
- Direct-to-consumer digital channels give footwear companies greater control over product presentation, pricing, inventory and customer relationships across markets. Online sales also generate first-party customer data that can improve product development, demand forecasting, localized marketing and assortment decisions.
- Digital marketing, athlete partnerships and limited-edition product launches can gain global awareness and encourage cross-border demand for US footwear brands. For example, New Balance has continued to use Shohei Ohtani in global campaigns and product collaborations, including footwear releases connected to the 2025 Tokyo Series and a Spring/Summer 2026 signature collection. These efforts help the brand strengthen visibility in Japan and other international markets.

Geographic Breakdown

Key Takeaways

Manufacturers position near international ports to minimize shipping costs. Being close to these ports enables them to efficiently meet domestic and foreign demand, thereby reducing transportation expenditures.

West draws footwear companies through its design talent, sustainability expertise and product-development capabilities rather than large-scale factory capacity. Nike, Allbirds and Skechers support the region's role in innovation, although most footwear manufacturing still occurs overseas.

Business Locations

State	Establishments (Units)	Establishments (%)	Revenue ($k)	Revenue (%)	Wages ($k)	Wages (%)	Employment (Units)	Employment (%)	Population (%)
Alabama	5	0.5	5,166.0	0.4	1,494.1	0.4	44	0.5	1.5
Arizona	19	1.8	869.4	0.1	342.6	0.1	19	0.2	2.2
Arkansas	18	1.7	32,417.9	2.3	14,113.2	3.4	527	5.5	0.9
California	162	15.6	69,244.1	4.8	25,656.7	6.1	384	4.0	11.5
Colorado	20	1.9	3,048.6	0.2	891.9	0.2	27	0.3	1.8
Connecticut	15	1.4	11,643.2	0.8	92.7	0.0	15	0.2	1.1
Florida	42	4.0	6,278.6	0.4	2,026.0	0.5	54	0.6	7.0
Georgia	18	1.7	16,312.7	1.1	7,681.0	1.8	158	1.7	3.3
Hawaii	5	0.5	2,794.0	0.2	870.2	0.2	31	0.3	0.4
Idaho	5	0.5	2,429.1	0.2	709.2	0.2	29	0.3	0.6
Illinois	18	1.7	74,448.5	5.2	17,499.1	4.2	382	4.0	3.7
Indiana	6	0.6	13,275.6	0.9	3,275.5	0.8	84	0.9	2.0
Iowa	5	0.5	4,244.1	0.3	1,231.8	0.3	39	0.4	0.9
Kansas	5	0.5	4,231.2	0.3	1,299.8	0.3	41	0.4	0.9
Kentucky	6	0.6	5,008.8	0.4	1,295.1	0.3	45	0.5	1.3
Maine	48	4.6	161,800.4	11.3	39,430.4	9.4	1,013	10.6	0.4
Maryland	14	1.3	17,070.8	1.2	7,349.3	1.7	110	1.2	1.8
Massachusetts	35	3.4	87,578.6	6.1	36,988.2	8.8	517	5.4	2.1
Michigan	15	1.4	25,591.8	1.8	10,295.7	2.5	246	2.6	3.0
Minnesota	14	1.3	85,734.2	6.0	27,278.9	6.5	427	4.5	1.7
Mississippi	5	0.5	3,457.5	0.2	932.9	0.2	37	0.4	0.9
Missouri	31	3.0	94,636.9	6.6	18,524.8	4.4	582	6.1	1.8
Montana	14	1.3	2,204.9	0.2	346.6	0.1	20	0.2	0.3
Nebraska	5	0.5	3,825.9	0.3	989.8	0.2	36	0.4	0.6
New Hampshire	22	2.1	39,041.7	2.7	4,678.1	1.1	73	0.8	0.4
New Jersey	19	1.8	8,646.9	0.6	3,943.9	0.9	49	0.5	2.8

State	Establishments (Units)	Establishments (%)	Revenue ($k)	Revenue (%)	Wages ($k)	Wages (%)	Employment (Units)	Employment (%)	Population (%)
New Mexico	5	0.5	2,430.9	0.2	658.0	0.2	29	0.3	0.6
New York	70	6.7	19,445.5	1.4	7,729.4	1.8	131	1.4	5.8
North Carolina	10	1.0	14,462.5	1.0	3,864.5	0.9	160	1.7	3.3
North Dakota	5	0.5	2,843.5	0.2	767.7	0.2	30	0.3	0.2
Ohio	14	1.3	2,727.8	0.2	751.1	0.2	14	0.1	3.5
Oklahoma	5	0.5	3,897.3	0.3	1,073.2	0.3	38	0.4	1.2
Oregon	39	3.8	87,866.6	6.1	16,681.3	4.0	284	3.0	1.2
Pennsylvania	37	3.6	89,989.6	6.3	28,676.7	6.8	377	4.0	3.8
Rhode Island	5	0.5	3,276.4	0.2	1,123.9	0.3	34	0.4	0.3
South Carolina	5	0.5	4,391.9	0.3	1,085.8	0.3	36	0.4	1.6
Tennessee	15	1.4	11,471.6	0.8	3,700.9	0.9	168	1.8	2.1
Texas	131	12.6	210,010.3	14.7	79,387.6	18.9	2,243	23.5	9.4
Utah	14	1.3	6,201.5	0.4	2,429.7	0.6	55	0.6	1.0
Vermont	9	0.9	4,700.3	0.3	1,476.4	0.4	52	0.5	0.2
Virginia	30	2.9	20,402.2	1.4	4,005.8	1.0	116	1.2	2.6
Washington	26	2.5	21,952.4	1.5	7,630.7	1.8	144	1.5	2.3
West Virginia	5	0.5	2,889.8	0.2	712.4	0.2	34	0.4	0.5
Wisconsin	43	4.1	139,438.8	9.8	29,107.4	6.9	598	6.3	1.7

Where are businesses located?

West emerges as hub for innovative and sustainable footwear manufacturing expansion

- The West hosts significant technology and innovation centers. Nike, for instance, established a research and Development (R&D) center in Oregon to harness advanced manufacturing techniques, including 3D printing. This strategic location choice underscores the area's appeal to manufacturers seeking cutting-edge technology integration, which enables faster, more customized production.
- Portland is undergoing a significant transformation with the $125.0 million Made in Old Town project. This initiative is expected to turn the city into a major sportswear manufacturing hub by 2028, with projections indicating the creation of 6,000 jobs. The project aims to enhance economic development by rejuvenating neglected areas and bolstering employment within the footwear sector.
- In 2024, Skechers moved its design headquarters to Southern California to capitalize on a rich pool of design talent and proximity to key consumer markets. This decision reflects a trend of companies choosing locations that offer creative talent and direct access to large markets, reinforcing the West as a prime location for industry establishment.
- The West, particularly California, is a leader in sustainability. Its strict environmental regulations attract eco-conscious manufacturers. Major footwear brands like Allbirds expanded operations in California to leverage the state's commitment to green manufacturing practices, aligning with consumer demand for sustainable products.

Southwest benefits manufacturers with Mexico's proximity, cost efficiency, skilled labor, despite potential tariff concerns

- Proximity to Mexican manufacturing hubs offers the Southwest a strategic advantage. Texas and Arizona benefit from close connections with Mexican supply chains. This location reduces transportation costs and aligns with the benefits of the US-Mexico-Canada Agreement (USMCA), promoting trade collaboration. Nonetheless, tariffs on Canadian and Mexican goods pose a risk to manufacturers dependent on these supply chains.
- Texas stands out as a pivotal state for shoe manufacturing, largely because of its significant cotton production. In 2025, Texas planted approximately 5.3 million acres of upland cotton, according to USDA National Agricultural Statistics Service data. The abundance of local cotton provides essential materials for manufacturing sneakers, attracting companies to the region.

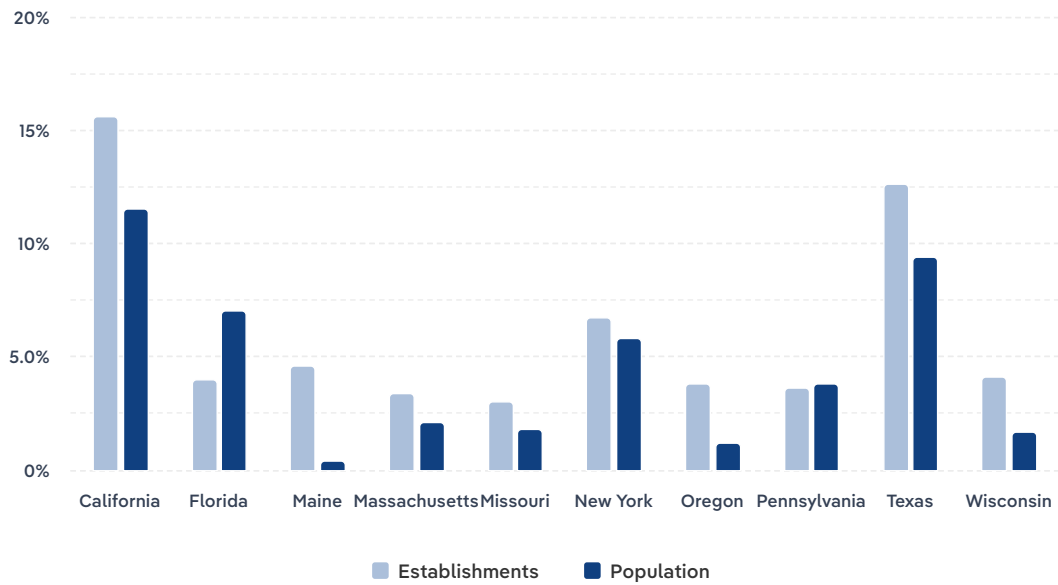
- Cost efficiency remains a key factor for businesses choosing to operate in the Southwest. The area offers lower labor costs compared to other regions in the US. Also, the availability of skilled labor, especially in manufacturing, has historically benefited the industry. These factors combine to make the Southwest an attractive destination for footwear manufacturers aiming to optimize expenses without compromising quality.

Mid-Atlantic's strategic location benefits footwear manufacturing, but labor disputes pose challenges

- The Mid-Atlantic's ample access to major ports and distribution centers, such as the Port of New York and New Jersey, enhances its appeal to the shoe and footwear manufacturing sector. Easy access to transportation routes facilitates both the importation of raw materials and the exportation of finished goods, thereby enhancing the industry's overall efficiency.
- Despite these advantages, the region faces logistical challenges because of labor disputes, like the 2024 dockworkers' strike. The strike has interrupted the flow of goods, causing significant setbacks for manufacturers. Delays in receiving materials lead to production bottlenecks, while disruptions in shipping finished products incur financial losses for manufacturers. These conditions stress the importance of operational resilience and supply chain diversification.
- Under Armour's expansion of its Baltimore headquarters highlights the strategic potential of the Mid-Atlantic region. The decision to develop a sustainable, energy-efficient space reflects the company's commitment to environmental responsibility while capitalizing on the area's skilled workforce. Under Armour's move may encourage other businesses to invest in the region, which is influenced by Baltimore's rich history in sportswear and advantageous geographic location.

Business Concentration

Share of establishments (%) vs. share of population (%)



IBISWorld

Sources: IBISWorld

Key Success Factors

How do businesses use location to their advantage?

Ensure skilled labor is available

New England's technical, automation-ready workforce, built over decades even as most domestic shoemaking moved offshore, enables New Balance to run automation-heavy lines that would be uneconomical without workers already trained for precision assembly.

Operate in a location that is close to key suppliers

New Balance has responded to thin regional supplier density by building its own domestic supplier network alongside plant investment. The company treats supplier proximity as something to be built at each site, rather than a pre-existing regional advantage.

Competitive Forces

Key Takeaways

Competition among manufacturers relies on price, quality and style. These variables are key in determining the industry's top manufacturers as they influence consumer choice and brand popularity.

Imports dominate US footwear demand, leaving domestic manufacturers to compete in a market shaped by lower-cost foreign production. With imports supplying roughly 90.0% of consumption, local producers must differentiate themselves through quality, speed, specialization and supply chain reliability.

Concentration	Competition	Barriers to Entry
Low	High Increasing	Moderate Increasing
Substitutes	**Buyer Power**	**Supplier Power**
Moderate Steady	High Increasing	High Increasing

Concentration

What impacts the industry's market share concentration?

Small domestic factories reinforce the industry's fragmented structure

- A 2025 count from the Footwear Distributors and Retailers of America put the domestic factory base at 197 sites, employing 9,240 workers in 2024. That workforce is spread thin enough that no single plant could plausibly anchor a dominant share of industry output. Even the largest surviving factories operate well below the volume needed to set price or supply terms for the wider market, reinforcing the industry's fragmented profile.
- New entrants have responded by building small, highly automated, single-site plants rather than large, multi-region operations. That approach shows up concretely in Summitz Footwear's new automated facility in Henderson, Nevada, which adds domestic capacity without the capital required to challenge incumbents for market share.

Direct-to-consumer and e-commerce boost major brands' market control

- Adopting direct-to-consumer (DTC) models and e-commerce has enabled major footwear brands to refine their pricing strategies and enhance customer interactions. This shift allows them to boost their market share by bypassing traditional retail channels, often involving additional costs and limitations.
- In contrast, niche and specialty footwear brands, such as Allbirds, use direct-to-consumer sales to penetrate the market. By emphasizing unique product offerings and sustainable practices, these brands attract a dedicated customer base, enabling them to establish a foothold in the competitive footwear market.

Vertical integration and niche specialization shape footwear market dynamics

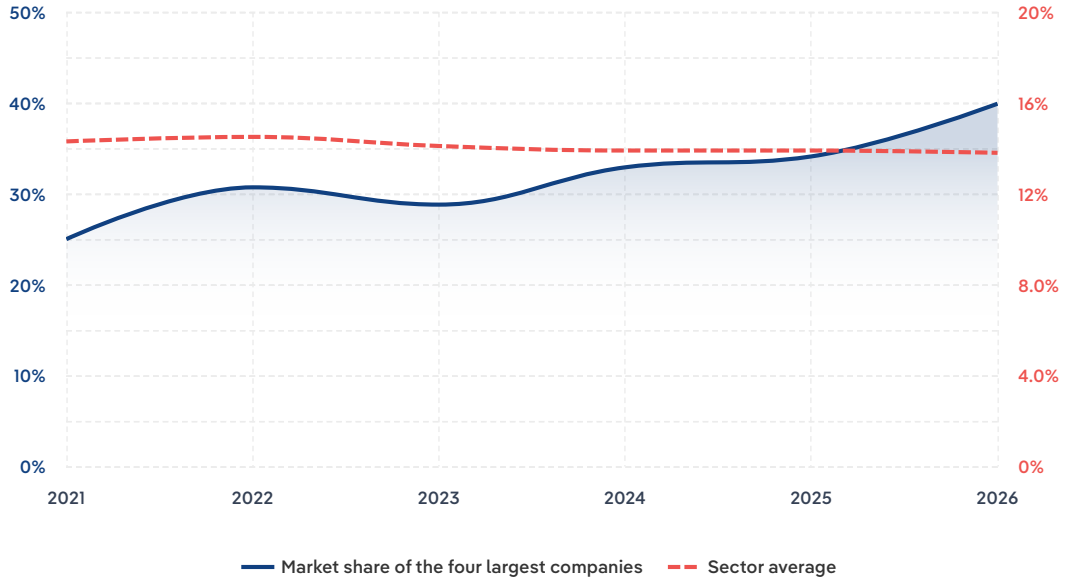
- The footwear manufacturing industry remains predominantly fragmented, even with major players like New Balance, which holds a notable market share but doesn't dominate. Their success is attributed to targeting specific consumer segments and specializing in particular product lines, underscoring the effectiveness of niche market penetration.
- Vertical integration influences market share concentration within the industry. Companies that oversee their own supply chains and retail distribution minimize dependence on external manufacturers. This strategy enhances operational control and provides a competitive advantage by improving efficiency and reducing costs.

Offshore manufacturing reduces footwear production despite domestic design and wholesale roles

- Major companies like Nike and Wolverine World Wide, Inc., produce most of their shoes offshore, thereby reducing their US manufacturing presence. This strategic move underscores the preference for cost-effective production methods in countries like Vietnam and China.
- The shift towards offshore manufacturing has left domestic activities primarily focused on design and wholesale, thereby reducing market share concentration in US-based manufacturing. This trend highlights a broader industry trend in which the domestic market's role is largely strategic rather than production-focused.

Market Share Concentration

Combined market share of the four largest companies in this industry



IBISWorld

Source: IBISWorld

☆ Key Success Factors

How do successful businesses handle concentration?

Concentrate on core products

Manufacturers without New Balance's scale tend to compete in narrow categories, such as protective footwear, house slippers or specialty comfort lines, where focused expertise and loyal repeat buyers substitute for the scale that bigger diversified competitors can leverage.

Use new technology to contain costs and boost productivity

New domestic capacity typically launches automation-first rather than adding automation later, since a labor-intensive plant cannot compete with far lower-cost production in Asian manufacturing hubs.

Barriers to Entry

Moderate | Increasing

What challenges do potential industry entrants face?

Legal

- New entrants face no unusual federal licensing hurdles for footwear production, only standard state business registration and compliance requirements. Entrants pursuing the federal military footwear channel face a separate barrier. The Berry Amendment requires 100.0% domestic-content sourcing and the Army's Supporting Warfighters through Innovative Footwear Technologies (SWIFT) program issued a request for information seeking domestic bootmakers.

Start-Up Costs

- Tooling, facilities and working capital are the core start-up costs an entrant funds before revenue begins. Most manufacturers keep this modest. In 2024, 55.8% of the industry's factories employed fewer than 10 workers, per the Footwear Distributors & Retailers of America (FDRA), well below the scale of major brands. Leasing shared production space could allow entrants to match that scale without a full build-out.

Differentiation

- Established brands dominate the footwear market with strong brand identities and customer loyalty. New companies face a daunting challenge in creating unique designs and convincing consumers to switch, making differentiation a crucial barrier to successfully entering and sustaining the US market.

Labor Expenses

- The shoe and footwear manufacturing industry is labor-intensive, especially for handmade products. This necessitates significant investment in skilled labor, increasing operational costs and posing a substantial barrier for new entrants who must compete on craftsmanship and pricing.

☆ Key Success Factors

How can potential entrants overcome barriers to entry?

Invest in new equipment to enhance mechanical efficiency and improve productivity

Entrants that commit early to automated stitching and assembly lines absorb the domestic wage gap with capital rather than headcount. Keen and New Balance are already pursuing this model.

Optimize operating capacity

Entrants can match capacity to demand by starting at the small scale that most domestic manufacturers already operate at, or by leasing shared production space instead of committing to major-brand-scale output from day one.

Substitutes

Moderate Steady

What are substitutes for industry services?

Imports

- Manufacturers rely heavily on imports from China, Vietnam and Indonesia because of their lower labor costs and inexpensive raw materials. This significantly reduces production expenses compared to US-based manufacturing. Many well-known global brands, like Adidas and Puma, manufacture their shoes abroad and are particularly attractive to US consumers.
- Italy's reputation for high fashion and innovative footwear designs positions it as a key player in offering alternatives to US consumers. Italian brands like Gucci, Ferragamo and Prada lead the market and are known for their classic and avant-garde styles. These brands cater to fashion-conscious buyers prioritizing elegance and sophistication over mass-produced options.
- Established import networks have streamlined logistics and supply chain processes, ensuring a consistent supply of products to US markets. Global shipping and technology advancements have reduced lead times, making imports a dependable alternative to domestic manufacturing.
- Domestic manufacturers concentrate instead on premium, technical, comfort and performance footwear, where design expertise and faster restocking blunt the import price advantage. In the federal procurement channel, some also supply the Berry Amendment's import-closed contracts for military footwear.

☆ Key Success Factors

How do successful businesses compete with substitutes?

Produce a differentiated product

New Balance channels domestic production into technical and performance running lines instead of competing broadly, a differentiation strategy that imported mass production struggles to match in terms of fit and comfort.

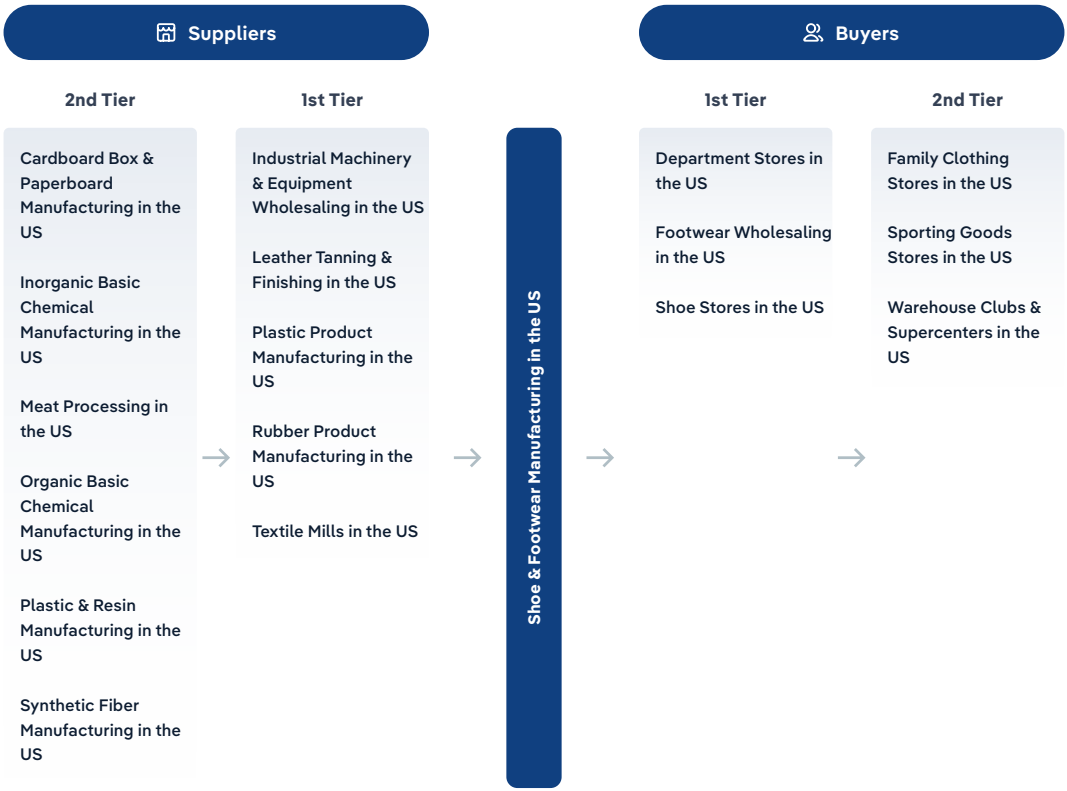
Secure a highly skilled workforce

Technical and performance footwear demands pattern-making and fit expertise that imported mass-production lines don't readily replicate, making a skilled domestic workforce a durable defense against price-driven substitution.

Buyer & Supplier Power

Supply Chain

Direct and indirect supplier and buyer industries related to this industry



IBISWorld

Source: IBISWorld

What power do buyers and suppliers have over the industry?

High | Increasing

Buyers: Large retailers hold significant leverage

- Large retailers, department stores and e-commerce platforms account for a substantial share of footwear sales, giving them leverage in negotiations with manufacturers. Their scale allows them to demand lower wholesale prices, favorable payment terms, reliable inventory availability and exclusive product assortments from suppliers.
- Consumers can compare footwear prices, product features, brand reputations and online reviews across many retailers with limited effort. This transparency increases price sensitivity and makes it harder for manufacturers to pass along higher material, labor, freight, or tariff-related costs without risking reduced sales volumes.
- Buyer power varies by product category and brand strength. Major athletic and lifestyle brands retain greater control because consumers seek specific products, whereas manufacturers of basic, private-label and fashion-sensitive footwear face greater pressure from retailers that can switch suppliers or source from abroad.

High | Increasing

Suppliers: Imported materials and specialized components increase leverage

- Suppliers hold moderate power because footwear manufacturers depend heavily on imported leather, rubber, textiles, soles and other components. Limited domestic production of several inputs exposes manufacturers to global price changes, shipping disruptions, currency movements and trade policy shifts that can quickly raise production costs.
- Specialized suppliers gain additional leverage when they provide performance materials, proprietary cushioning systems, technical fabrics or branded components required for athletic, safety and premium footwear. Manufacturers can't always substitute these inputs without affecting product quality, certification requirements, design specifications or consumer perceptions of brand value.
- Large footwear companies can reduce supplier influence through high-volume purchasing, long-term contracts, multi-sourcing strategies and direct relationships with overseas factories. Smaller manufacturers, however, often have less negotiating leverage and face higher minimum-order requirements, less favorable payment terms and fewer alternative sourcing options.

☆ Key Success Factors

How do successful businesses manage buyer & supplier power?

Establish long-term working relationships with raw material suppliers

Manufacturers that lock in multi-year contracts with leather, rubber and textile processors secure stable pricing and priority capacity, insulating output from the shipping-cost volatility reshaping Asia-based sourcing routes.

Leverage the degree of vertical integration within the company

Manufacturers that control more of their own component processing, rather than relying entirely on outside tanneries and mills, reduce their exposure to freight disruptions and price swings in imported inputs.

Companies

Key Takeaways

New Balance thrives in a fragmented footwear market. Their success comes from targeting specific consumer segments and specializing in particular product lines, demonstrating the effectiveness of penetrating niche markets within the industry.

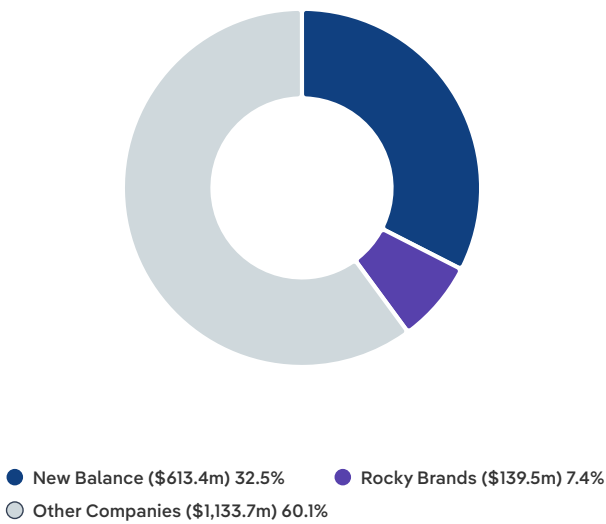
New Balance's US factories give the brand greater production control and resilience when overseas shipping or sourcing disruptions emerge. Still, its Made in USA line accounts for a limited share of domestic sales, so the company remains exposed to global supply chain risks.

Rocky Brands competes through a broad portfolio spanning work, western, outdoor, safety and military footwear, rather than a single product niche. Its Rocky, Georgia Boot, Durango, Muck, XTRATUF and Ranger brands widen customer reach and diversify demand across specialized categories.

Market Share

Industry Market Share by Company

Industry-specific company revenue as a share of total industry revenue.



IBISWorld Source: IBISWorld

This chart has been simplified for the PDF and may not display all available data. View the full interactive chart on my.ibisworld.com for additional data and detail.

Company	Market Share (%)	Employees	Locations	Company Type	Headquarters
New Balance	32.5	5,001-10,000	13	Private	Boston, Massachusetts
Rocky Brands	7.4	1,000-5,000	1	Public	Nelsonville, Ohio
Red Wing Shoes	2.5–5	1,000-5,000	1	Private	Red Wing, Minnesota

Company	Market Share (%)	Employees	Locations	Company Type	Headquarters
Caleres Inc.	2.5–5	5,001-10,000	1,000	Public	Kansas City, Missouri
Nike	2.5–5	10,000+	18	Public	Beaverton, Oregon
Crocs	0–2.5	5,001-10,000	2	Public	Broomfield, Colorado
Deckers Brands	0–2.5	5,001-10,000	7	Public	Goleta, California
Caleres	0–2.5	5,001-10,000	45	Public	Clayton, Missouri
The Frye Company	0–2.5	51-200	4	Private	Fenton, Missouri
L.L.Bean	0–2.5	5,001-10,000	1	Private	Freeport, Maine
Timberland Pro	0–2.5	1,001-5,000	133	Private	Denver, Colorado
Red Wing	0–2.5	1,001-5,000	568	Private	Red Wing, Minnesota
Weyco Group	0–2.5	501-1,000	4	Public	Glendale, Wisconsin
Lacrosse Footwear	0–2.5	201-500	1	Private	Portland, Oregon
McRae Industries	0–2.5	201-500	3	Private	Mount Gilead, North Carolina
Sebago	0–2.5	501-1,000	5	Private	Portland, Maine
Tecovas	0–2.5	501-1,000	42	Private	Austin, Texas
Trudave Gear	0–2.5	201-500	2	Private	San Dimas, California
The Original Footwear Co.	0–2.5	201-500	4	Private	Morristown, Tennessee
Weinbrenner Shoe Company	0–2.5	201-500	2	Private	Merrill, Wisconsin

Company Details

New Balance

Description

New Balance Athletics, Inc. is an American multinational corporation engaged in the design, manufacturing, and distribution of footwear, apparel, and sports equipment for sports and lifestyle applications. The company operates manufacturing facilities and distribution centers in the United States and the United Kingdom, serving markets in North America, Europe and other regions. In addition to its core footwear and apparel business, New Balance produces skateboarding shoes and maintains a presence in the sportswear and athletic shoe sectors. The company also participates in community service and volunteerism initiatives.

Company Total Revenue (2026)

$8.0bn

Industry Specific Revenue (2026)

$613.4m

Industry Market Share (2026)

32.5%

Employees (2026)

5,001-10,000

Headquarters

Boston, Massachusetts

Company Type

Private

Locations (Top 10)

Albuquerque, New Mexico | Allen, Texas | Arlington, Texas | Asheville, North Carolina | Aurora, Illinois | Aurora, Ohio | Avon, Connecticut | Avon, Massachusetts | Barstow, California | Benton, Arkansas

Other Industries

Shoe Stores in Canada | Manufacturing in the US

A Full Locations list can be accessed in Atlas.

What's impacting New Balance's performance?

New Balance's Londonderry investment strengthens US manufacturing and local impact

- New Balance is committing $70.0 million to expand its Londonderry, New Hampshire, manufacturing facility, creating more than 150 jobs to support growing US and global demand, underscoring the brand's emphasis on American craftsmanship and regionally anchored production capabilities.
- The Londonderry expansion advances New Balance's strategic focus on innovation and lean manufacturing, deepens its domestic supply network, improves responsiveness to market needs and supports local economic development through high-quality jobs and long-term operational investment in the community.

New Balance's wildfire relief pledge underscores deep community commitment

- New Balance, through the New Balance Foundation, has pledged $2.0 millio to support Southern California wildfire relief, providing immediate aid and long-term rebuilding assistance while demonstrating a strong, values-driven commitment to social responsibility and community resilience in times of crisis.
- The initiative also includes footwear donations and matching employee contributions, extending the impact of corporate giving, empowering associates to participate directly in relief efforts and reflecting a deeply rooted dedication to supporting individuals and communities affected by the disaster.

New Balance's 442 v3 elevates classic style with modern football performance

- New Balance's 442 v3 football boot fuses traditional craftsmanship with contemporary innovation, combining timeless aesthetics for style-focused players with performance-driven features that prioritize touch, comfort and stability to meet the demands of modern elite

and aspiring football athletes.

- Featuring TrueTouch Tech for enhanced ball feel, molded heel foxing for improved lockdown and a re-engineered outsole for optimized traction, the 442 v3 launches first in Japan in December 2025, followed by a global release in early 2026 to reach players worldwide.

You can view and download more company details on my.ibisworld.com.

Rocky Brands

Description

Rocky Brands, Inc. is an American manufacturing company engaged in the design, development, production and marketing of footwear and apparel for outdoor, work, western and military applications. The company operates as a wholesale distributor, supplying products to domestic and international markets. Its operations include managing multiple brand portfolios and coordinating a global supply chain and logistics network. Rocky Brands is publicly traded and is part of the Russell 2000 index.

Company Total Revenue (2026)

$480.5m

Industry Specific Revenue (2026)

$139.5m

Industry Market Share (2026)

7.4%

Employees (2026)

1,000-5,000

Headquarters

Nelsonville, Ohio

Company Type

Public

Locations (Top 10)

Logan, Ohio | Nelsonville, West Virginia

Other Industries

Manufacturing in the US

A Full Locations list can be accessed in Atlas.

What's impacting Rocky Brands's performance?

Tariff shock spurs Rocky's price hikes, accelerated shift to nearshore production hubs

- By mid-2025, Rocky had already pushed through broad footwear price increases to defend gross profit dollars against higher US tariffs, leaning on a six-to-seven-month inventory buffer and selective shipment pauses from China, which softened the immediate profit hit while competitors moved more slowly and occasionally faced tighter shelf inventory.
- As 2025 progressed, Rocky executed its plan to cut China's share of volume below 20.0% and ramp production in long-standing Dominican Republic and Puerto Rico plants, plus partners in Vietnam, India and Cambodia, turning a short-term tariff shock into a lasting sourcing reset that reduced trade-policy risk and underpinned healthier pricing power into 2026.

Rocky Brands deploys board planning technology to improve supply-chain coordination

- Rocky Brands is implementing the Board's enterprise planning platform to connect financial, operational and supply-chain planning. The system is intended to centralize real-time information, improve demand forecasting and help teams make quicker decisions on inventory and supply requirements as footwear and apparel market conditions change.
- Quisitive will manage system integration and employee training for the Board rollout. This adds an execution component to Rocky Brands' strategy: successful adoption will depend on connecting the platform with internal systems and ensuring employees can use its planning tools effectively across relevant business functions.

You can view and download more company details on my.ibisworld.com.

External Environment

Key Takeaways

Footwear manufacturers face a broad compliance burden spanning workplace safety, environmental controls, children's product testing, import requirements, labeling and brand protection. Strong documentation and product controls help smaller producers limit regulatory risk while meeting retailer and consumer expectations.

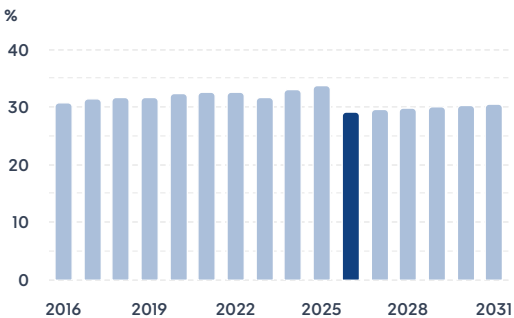
Public and private support gives domestic footwear makers a stronger platform, combining Berry Amendment-backed military demand with industry advocacy on trade, sourcing and supply-chain policy. Still, these programs support selected procurement and policy goals rather than insulating manufacturers from import competition.

Regulation & Policy		Assistance	
Moderate	Steady	High	Decreasing

External Drivers

What demographic and macroeconomic factors impact the industry?

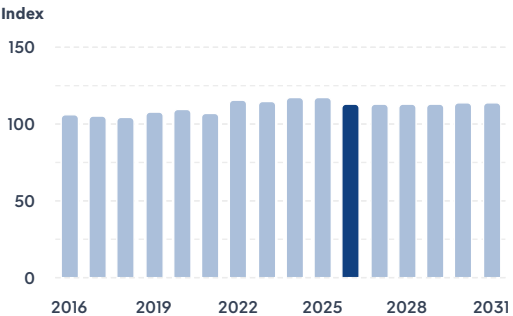
Import penetration into the manufacturing sector



IBISWorld Source: IBISWorld

Import penetration measures the share of domestic footwear consumption supplied by imports rather than home production. When that share rises, imported footwear displaces domestic output in the same retail and wholesale channels, cutting order volumes and capacity use for onshore manufacturers. Easing import penetration allows domestic manufacturers to recapture some of the lost volume without new end demand. A persistent US-overseas cost gap keeps this driver skewed against domestic output.

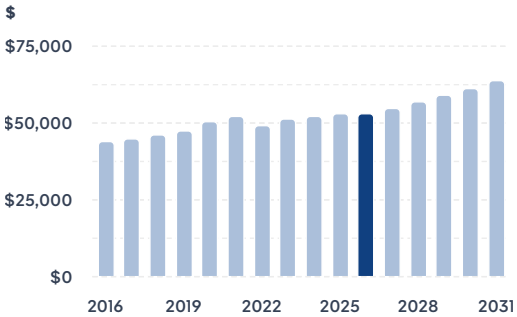
Trade-weighted index



IBISWorld Source: IBISWorld

A rising trade-weighted index means the dollar has strengthened against trading partners' currencies, reducing the landed cost of imported footwear relative to domestic output. For onshore producers in the shoe and footwear manufacturing industry, cheaper imports intensify price competition, especially when tariffs squeeze the same cost base. A weakening dollar reverses that pressure, narrowing the price gap and helping domestic products compete. This exposure makes a strengthening dollar the section's dominant threat.

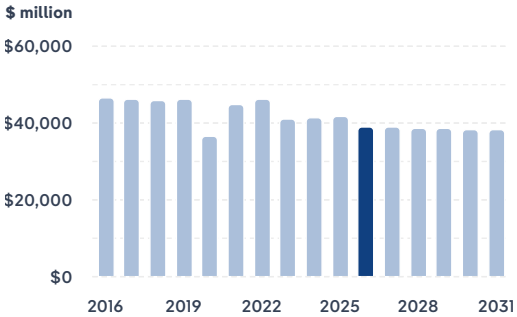
Per capita disposable income



Source: IBISWorld

Because footwear is a discretionary purchase, the income households have left sets how much they spend on new shoes. Rising disposable income lets shoppers trade up to premium and performance styles and replace footwear more often, lifting demand for domestic manufacturers. When income contracts, footwear purchases are among the first to be deferred or chosen for the cheapest option. A sustained climb in disposable income is the section's clearest opportunity.

Demand from footwear wholesaling



Source: IBISWorld

Retail shelf-stocking cycles set the pace of demand from footwear wholesalers, since wholesalers order from manufacturers based on how quickly retailers sell through existing inventory. Faster sell-through prompts wholesalers to reorder sooner and in larger volumes, pulling extra production from manufacturers. When sell-through slows, wholesalers hold existing stock longer and delay reorders, leaving manufacturers with idle capacity. Manufacturer output, therefore, tracks retail inventory turnover more closely than consumer spending itself.

Regulation & Policy

Moderate Steady

What regulations impact the industry?

Occupational Health and Safety Administration (OSHA)

Occupational Health and Safety Administration general industry standards require employers to guard cutting and molding equipment, control chemical exposure and noise on stitching and finishing lines and supply personal protective equipment at no cost to workers. Employers must also document hazard communication training and keep injury and illness records available for inspection. For repeat or willful violations, civil penalties escalate. A documented safety program is increasingly a baseline requirement that retail buyers check before placing orders, giving smaller manufacturers a direct incentive to formalize compliance paperwork ahead of any audit.

Environmental Protection Agency (EPA)

The Environmental Protection Agency (EPA) regulates the shoe and footwear manufacturing industry primarily through the enforcement of the Clean Air Act, Clean Water Act and Resource Conservation and Recovery Act. These regulations focus on controlling air emissions, wastewater discharge and hazardous waste generation. Manufacturers must comply with specific standards and obtain necessary permits. The EPA also promotes sustainable practices and pollution prevention to minimize environmental impact, helping ensure that footwear production adheres to national environmental standards.

Consumer Product Safety Commission (CPSC)

Footwear made for children carries heightened liability exposure under the Consumer Product Safety Act, the 1972 federal statute that created the Consumer Product Safety Commission (CPSC). As later amended, the Act imposes strict limits on lead and phthalate content in children's products. Manufacturers must conduct third-party safety testing for flammability and mechanical hazards, certify compliance in writing and report a known safety defect to the CPSC once they become aware of it. The agency can order recalls and pursue civil penalties for failure to report.

Customs and Border Protection (CBP)

Customs and Border Protection (CBP) plays a crucial role in regulating the shoe and footwear manufacturing industry primarily through import and export controls. CBP enforces tariffs, classifies footwear products and ensures compliance with US trade laws and environmental regulations. They inspect shipments for proper labeling and counterfeit issues and verify declarations to protect domestic industries. By maintaining these regulations, CBP ensures fair competition, compliance with safety standards and adherence to international trade agreements.

Federal Trade Commission (FTC)

The Federal Trade Commission (FTC) regulates the shoe and footwear industry by enforcing consumer protection and maintaining fair competition. The Fair Packaging and Labeling Act (FPLA) is key to its role, which mandates clear and truthful labeling, including product identity and manufacturer details, ensuring consumers make informed choices. The FTC also scrutinizes advertising claims, ensuring they are substantiated and non-deceptive and oversees industry mergers to prevent anti-competitive practices, fostering a transparent and fair marketplace for footwear consumers.

Lanham Act

The Lanham Act regulates the shoe and footwear manufacturing industry by addressing trademarks, service marks and unfair competition. It helps manufacturers protect their brands and logos from infringement, ensuring that consumers can identify the source of goods. The Act provides legal recourse for trademark violations, which is crucial in the competitive footwear market to maintain brand integrity and consumer trust. It also guards against false advertising and deceptive practices, fostering fair competition in the industry.

Assistance

High Decreasing

What assistance is available to this industry?

Government

World Trade Organization (WTO)

The World Trade Organization (WTO) supports shoe and footwear manufacturing by promoting fair trade practices and reducing trade barriers. It facilitates access to international markets through negotiated tariff reductions and trade agreements. The WTO also provides a platform for resolving trade disputes, ensuring a level playing field for American manufacturers. Fostering international trade rules and transparency helps US companies expand their global reach and enhances competitive opportunities in the international footwear market.

Berry Amendment

The Berry Amendment supports shoe and footwear manufacturing by mandating the Department of Defense to prioritize domestically produced goods, including footwear, when using budgetary resources. This requirement ensures that military personnel are equipped exclusively with American-made boots and shoes, thereby boosting local manufacturing and sustaining jobs within the industry. By securing a stable and significant customer base, the Berry Amendment encourages investment in domestic production facilities and innovation, strengthening US footwear manufacturers' overall competitiveness and sustainability.

Non-government

Footwear Distributors and Retailers of America (FDRA)

The Footwear Distributors and Retailers of America (FDRA) supports shoe manufacturers by advocating for favorable trade policies and tariff reductions to enhance competitiveness. They provide industry insights, market data and trend analyses to help manufacturers make informed decisions. FDRA facilitates networking opportunities and collaborations through events and conferences, fostering innovation and best practices. Also, they address regulatory issues and promote sustainable practices, ensuring the industry's growth and alignment with consumer demands.

United States Footwear Manufacturers Association (USFMA)

The United States Footwear Manufacturers Association added eight new manufacturer and supplier members between February and August 2026, one of its fastest periods of growth since its 1986 founding. New members gain access to USFMA's advocacy infrastructure without having to build their own government relations capacity, which matters most for smaller manufacturers that can't otherwise afford a dedicated lobbying presence in Washington. That broader base gives the association greater standing before Congress and federal buyers when it argues for domestic-sourcing rules, a case it makes for every member, regardless of size.

National Council of Textile Organizations (NCTO)

The National Council of Textile Organizations (NCTO) supports shoe and footwear manufacturing indirectly by advocating policies that strengthen the domestic textile supply chain on which footwear makers rely. It promotes enforcement against unfair imports, stronger origin and customs rules and trade agreements that favor US-made yarns, fabrics, technical textiles and sewn components. NCTO also supports domestic

procurement, including measures intended to prevent foreign-made military boots from displacing US producers. Its advocacy can improve supply chain resilience, demand for domestic inputs and the competitive conditions for American footwear factories.

Financial Benchmarks

Key Takeaways

Customization and direct-to-consumer sales help footwear makers defend profit by differentiating products and retaining more control over pricing. Yet rising tariffs still raise landed costs and squeeze profitability, forcing brands to balance sourcing changes, price increases and supplier negotiations.

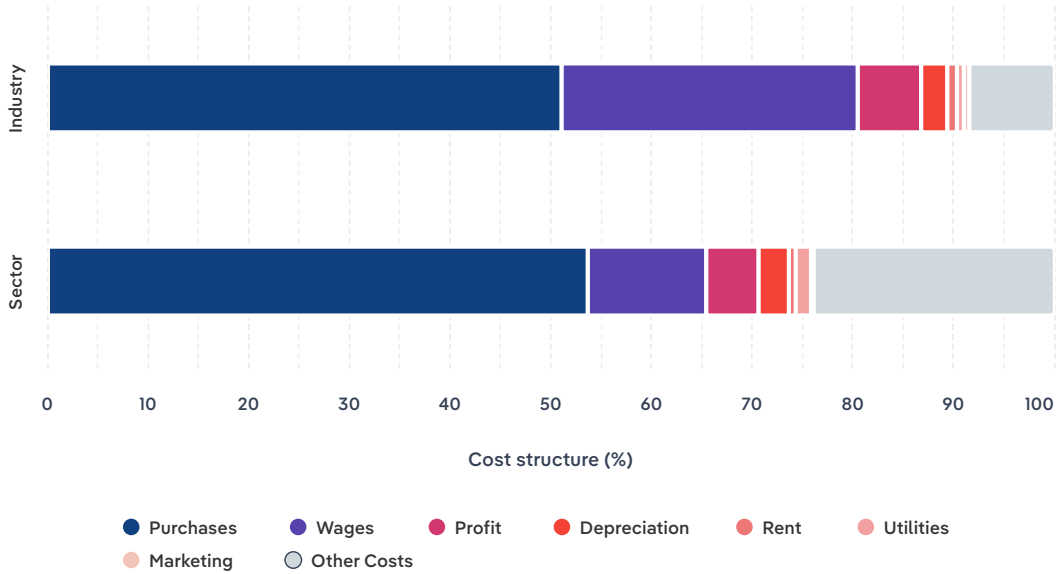
Tariffs and port disruptions underscore footwear makers' exposure to concentrated sourcing in Asia and fragile import logistics. Nike's production remains heavily concentrated in Vietnam, Indonesia and China, prompting manufacturers to diversify their supplier base, build inventory flexibility and manage higher landed costs.

Profit Margin	Average Wage	Largest Cost
6.3% ↑ Higher than sector	$43.8k ↓ Lower than sector	Purchases 51.1% of Revenue

Cost Structure

Cost Structure Benchmarks

Average operating costs by industry and sector as a share (%) of revenue 2026



IBISWorld

Source: IBISWorld

What trends impact industry costs?

Customization and D2C models bolster profit amid low-cost import challenges

- While industry profit have remained stable, the influx of low-cost imports has posed significant challenges over the past five years. In response, the industry has strategically realigned its focus toward emerging trends, emphasizing product customization and direct-to-consumer (D2C)

sales models to remain competitive and meet evolving consumer demands.

- Customization allows manufacturers to compete on uniqueness rather than price, meeting consumer demands for personalized products. Also, selling directly to consumers via online platforms or brand-exclusive stores reduces the costs associated with middlemen, thereby offsetting some of the pressure from cheaper imported shoes.
- However, tariff increases in 2025–2026 have intensified cost pressures for shoe and footwear manufacturers. Because many key production inputs are imported, higher tariffs have raised material and component costs, compressing profit and forcing manufacturers to reconsider sourcing strategies, supplier relationships, pricing and production planning.

Supply-chain shocks strengthen costs and sourcing risks for footwear manufacturers

- Recent US tariff proposals and implementations have increased costs for footwear manufacturers that depend on Chinese materials, components and finished goods. Companies such as Nike and VF Corporation are adjusting sourcing strategies and supplier networks to reduce future exposure. Nike's fiscal 2026 production mix illustrates the sector's Asian concentration: Vietnam accounted for 52.0%, Indonesia 27.0% and China 160% of NIKE Brand footwear production.
- The October 2024 International Longshoremen's Association strike disrupted major East and Gulf Coast ports for three days, delaying imported footwear inputs and increasing logistics costs. Manufacturers faced rerouting, longer transit times, inventory disruption and expedited freight expenses. Although a tentative wage agreement ended the strike, vessel backlogs and unresolved labor negotiations continued to create supply-chain uncertainty into early 2025.
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Reduced domestic production and efficiency gains have constrained footwear wages

- Reduced domestic production has weakened demand for labor in footwear manufacturing. Ongoing reliance on imported finished shoes, limited domestic production capacity and lower order volumes at US facilities have reduced demand for workers involved in cutting, stitching, lasting, assembly, sole attachment, finishing and quality control. This weaker labor demand gives manufacturers less incentive to raise compensation aggressively and can limit overtime opportunities, scheduled hours and total payroll expenditure.
- Operational efficiency has also reduced labor requirements. Automation in material cutting, component handling, adhesive application, stitching and production-line monitoring, along with better production planning and lean manufacturing practices, enables footwear facilities to produce more output with fewer labor hours. These efficiency gains help manufacturers contain wage costs, particularly as they compete with lower-cost imported footwear and manage volatile material costs for leather, rubber, textiles and synthetic inputs.

Automation investment increases depreciation costs across domestic footwear manufacturing

- Depreciation expense has increased as domestic footwear manufacturers expanded investment in automated production technology, machinery and software. Computerized cutting systems, digital footwear design platforms, material-handling equipment, stitching machines, sole-attaching systems, molding technology and warehouse assets have raised the industry's depreciable asset base.
- Domestic footwear manufacturers have become more capital-intensive as they invest in technology to offset relatively high US labor costs and compete against lower-cost imported shoes. Automation improves cutting precision, material utilization, production speed, quality consistency and labor productivity. These investments have increased depreciation expense despite declines in domestic industry revenue and employment over the past five years.

Limited specialized industrial supply keeps footwear manufacturing rent elevated

- Limited supply of small, specialized industrial space has supported higher rents. Shoe and footwear manufacturers typically need smaller, flexible facilities rather than large distribution centers. Although overall US industrial vacancy reached 7.1% in 2025, small-bay construction remains limited, keeping rents firmer for production-oriented space in suitable locations.
- High replacement costs make new manufacturing space more expensive. Elevated construction costs, financing costs, land prices and power infrastructure requirements have constrained industrial development. PwC estimates replacement-cost rents are roughly 20.0% above US Class A market rents, discouraging new projects and allowing landlords of existing, functional facilities to maintain higher rents.
- Demand for modern, automation-ready facilities raises effective occupancy costs. Footwear manufacturers and logistics partners increasingly require reliable electricity, loading infrastructure, access to labor and layouts that support automation. These specifications concentrate demand in newer or upgraded buildings, where landlords can command premiums. Reshoring activity and third-party logistics leasing are also expected to support industrial demand during 2026.

Shoe manufacturers adopt energy-efficient machinery and renewable energy to stabilize utility costs

- Shoe and footwear manufacturers have increasingly adopted modern, energy-efficient machinery, including automated cutting machines, energy-efficient injection molding machines and 3D printers. These machines are designed to optimize energy use, reduce material waste and enhance production efficiency. By integrating these technologies, manufacturers can maintain production capabilities while stabilizing and

reducing the overall energy consumption, contributing to a plateau in utility costs over the past year.

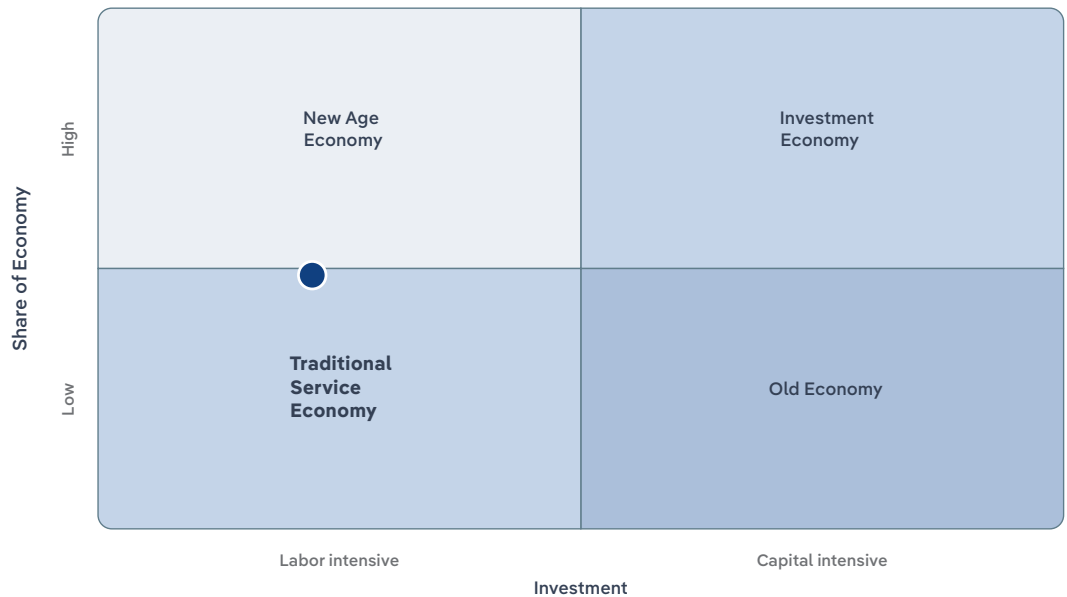
- Companies such as New Balance have increased their use of renewable energy and incorporated energy-efficient features to reduce operational emissions. In its 2024 Sustainability and Impact Report, New Balance stated that it had implemented on-site renewable energy and other sustainability features at two U.S.-owned manufacturing facilities. As part of its Skowhegan, Maine, factory expansion, the company planned a 1 MW rooftop solar system, expected to be completed in 2025, alongside LED lighting, low-flow toilets and electric-vehicle charging stations. New Balance also planned to open its first fully electrified footwear manufacturing facility in Londonderry, New Hampshire, in 2025.

Marketing costs plateau as digital strategies streamline budgets

- Digital marketing strategies have become more targeted and efficient. Data analytics, social media and online advertising have enabled shoe and footwear manufacturers to target their desired demographic at a lower cost than traditional marketing methods.
- As digital marketing strategies mature and become more optimized, the incremental cost of reaching additional consumers decreases, leading to a plateau in overall marketing expenses over the past year. A prime example is Nike's strategic use of its Nike Training Club app and collaborations with influential social media personalities. These tactics enable Nike to engage its target audience more effectively at a lower cost, demonstrating how advanced digital strategies can reduce marketing expenditures over time.

Traditional Service Economy

Share of economy vs. Investment



IBISWorld

Source: IBISWorld

Financial Ratios

Days' Receivables	Interest Coverage	Debt/Net Worth
28.2 ↓ Lower than sector	2.1 ↓ Lower than sector	3.1 ↓ Lower than sector

Earnings Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
EBIT/Revenue	0.9	5.5	2.1	5.1	8.2	5.1	4.4	5.2

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
EBITDA/Revenue	4.0	8.3	4.6	8.3	11.8	8.2	7.4	8.4
Leverage Ratio	24.8	12.1	22.1	12.0	8.5	14.2	15.9	13.3

Income Statement

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Advertising	0.6	0.6	0.2	0.6	0.5	0.4	0.5	0.8
Amortization	0.9	0.6	0.4	1.2	2.1	1.3	1.1	1.1
Bad debts	0.0	0.1	0.1	0.4	0.2	0.2	0.2	0.2
Business receipts	97.5	98.0	97.7	97.9	96.5	97.4	97.5	97.5
Charitable contributions	0.2	0.1	0.1	0.1	0.1	0.1	0.1	0.2
Compensation of officers	2.2	1.5	1.7	5.7	6.0	4.5	3.4	2.9
Cost of goods	67.9	69.2	73.0	62.5	60.2	65.2	66.5	64.3
Depletion	0.5	0.4	0.4	0.1	0.2	0.2	0.3	0.2
Depreciation	1.8	1.8	1.6	1.9	1.2	1.6	1.7	1.9
Dividends, domestic corporations	0.0	0.0	0.1	0.9	0.6	0.5	0.3	0.2
Employee benefit programs	1.7	1.3	1.2	2.2	2.2	1.9	1.7	1.8
Expenses	67.9	69.2	73.0	62.5	60.2	65.2	66.5	64.3
Gross Profit	32.1	30.8	27.1	37.5	39.8	34.8	33.5	35.7
Interest Income	0.1	0.1	0.1	0.1	0.7	0.3	0.2	0.3
Interest Paid	1.2	1.5	1.1	2.8	3.8	2.6	2.1	1.9
Net gain, noncapital assets	0.6	0.2	0.6	0.3	0.2	0.4	0.4	0.3
Net Income	-1.5	2.8	0.3	1.0	3.4	1.6	1.2	1.9
Net L-T cap gain less net ST loss	0.3	0.4	0.3	0.2	0.5	0.3	0.3	0.3
Net loss, noncapital assets	0.0	0.1	0.0	0.0	0.0	0.0	0.0	0.2
Net S-T cap gain less net LT loss	0.4	0.3	0.4	0.4	0.4	0.4	0.4	0.3
Other deductions	10.8	10.0	9.7	9.3	9.0	9.3	9.7	9.3
Other receipts	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Pension, profit sharing plans, stock, annuity	0.2	0.1	0.5	1.3	1.5	1.1	0.7	0.5
Rent Income	0.9	0.6	0.6	0.1	0.1	0.3	0.5	0.6
Rent paid	1.5	1.0	1.1	1.8	1.6	1.5	1.4	1.7
Repairs	0.7	0.6	0.6	0.1	0.1	0.3	0.4	0.5
Royalties	0.1	0.3	0.0	0.0	1.0	0.3	0.3	0.4
Salaries and wages	10.0	7.0	7.3	7.7	6.9	7.3	7.8	9.1
Sales/Fixed Assets	2.2	2.9	1.7	1.3	1.5	1.5	1.9	2.0
Taxes paid	1.2	1.3	0.7	1.3	1.0	1.0	1.1	1.5

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Total Revenue	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Balance Sheet

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Accounts payable	6.2	1.1	0.8	4.5	6.5	3.9	3.8	4.4
Accumulated amortization	2.4	1.7	1.2	2.4	2.1	1.9	1.9	2.0
Accumulated depletion	0.3	0.3	0.1	0.5	0.4	0.3	0.3	0.3
Accumulated depreciation	1.8	5.4	14.4	18.7	16.5	16.5	11.4	11.1
Additional paid-in capital	33.0	33.0	16.3	14.4	29.9	20.2	25.3	25.9
Allowance for bad debts	0.7	0.5	0.5	1.3	1.0	0.9	0.8	0.9
Capital stock	2.8	3.4	11.0	6.6	0.1	5.9	4.8	4.2
Cash and Equivalents	10.4	8.6	5.2	2.5	3.0	3.5	5.9	5.5
Cost of treasury stock	15.5	13.4	15.5	8.8	9.0	11.1	12.4	9.1
Current Assets	35.9	38.1	43.6	34.9	32.1	36.9	36.9	37.6
Current Liabilities	23.1	18.9	20.0	15.7	20.0	18.6	19.5	19.1
Depletable assets	0.8	0.8	0.2	1.4	1.3	1.0	0.9	0.7
Government Obligations	1.7	2.1	1.0	1.0	0.8	0.9	1.3	1.8
Intangible assets (Amortizable)	16.8	14.6	6.3	15.4	11.8	11.1	13.0	16.6
Inventories	13.5	15.8	24.2	19.5	15.6	19.8	17.7	17.1
Land	3.1	4.6	6.9	6.9	5.0	6.3	5.3	4.4
Loans from shareholders	2.0	0.1	0.7	7.1	7.0	4.9	3.4	5.5
Loans to shareholders	1.3	1.6	0.9	1.8	1.4	1.4	1.4	2.1
Mort, notes, and bonds under 1 yr	13.5	12.7	14.0	9.9	10.2	11.4	12.1	9.5
Mort, notes, bonds, 1 yr or more	33.3	39.2	42.4	34.6	33.1	36.7	36.5	35.2
Mortgage and real estate loans	0.0	2.4	1.4	7.1	5.0	4.5	3.2	3.6
Net worth	34.3	35.9	35.5	35.0	31.9	34.1	34.5	31.4
Notes and accounts receivable	8.1	7.9	7.8	6.3	7.7	7.3	7.6	9.2
Other assets	7.1	12.0	10.5	9.8	7.2	9.1	9.3	6.7
Other current assets	1.2	2.2	2.3	2.8	3.0	2.7	2.3	2.4
Other current liabilities	3.4	5.1	5.3	1.3	3.3	3.3	3.7	5.1
Other investments	19.6	27.4	18.7	12.5	28.4	19.9	21.3	22.4
Other liabilities	7.3	6.0	1.5	7.5	8.1	5.7	6.1	8.9
Property, Plant and Equipment	21.3	7.0	28.4	34.6	28.7	30.6	24.0	21.1
Retained earnings,	-2.5	-2.4	5.7	4.3	-2.3	2.6	0.6	-1.4

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
appropriated								
Retained earnings-unappropriated	16.5	15.4	17.9	18.4	13.2	16.5	16.3	11.8
Tax Exempt Securities	0.4	1.0	2.8	1.4	1.1	1.7	1.3	0.8
Total assets	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Total liabilities	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Liquidity Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Current Ratio	1.6	2.0	2.2	2.2	1.6	2.0	1.9	2.0
Days' Inventory	72.5	83.5	122.1	114.1	94.4	110.2	97.3	93.6
Days' Payables	33.6	5.6	4.0	26.3	39.2	23.2	21.7	24.9
Days' Receivables	29.6	28.8	28.4	23.1	28.2	26.6	27.6	32.0
Inventory Turnover	5.0	4.4	3.0	3.2	3.9	3.4	3.9	4.5
Payables Turnover	10.9	65.4	90.5	13.9	9.3	37.9	38.0	30.1
Quick Ratio	1.0	1.2	1.0	1.0	0.8	0.9	1.0	1.1
Sales/Receivables	12.4	12.7	12.9	15.8	12.9	13.9	13.3	13.9
Sales/Working Capital	7.6	5.1	4.1	5.1	7.9	5.7	6.0	5.9

Coverage Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Debt Service Coverage Ratio	0.3	0.7	0.0	0.0	0.0	0.0	0.2	0.9
Interest Coverage	0.7	3.8	1.9	1.8	2.2	2.0	2.1	2.8

Leverage Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Debt/Net Worth	2.9	2.8	2.8	2.9	3.1	2.9	2.9	3.3
Fixed Assets/Net Worth	1.4	1.0	1.6	2.3	2.1	2.0	1.7	1.8
Tangible Net Worth	34.3	35.9	35.5	35.0	31.9	34.1	34.5	31.4

Operating Ratios

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
EBIT/Revenue	0.9	5.5	2.1	5.1	8.2	5.1	4.4	5.2
EBITDA/Revenue	4.0	8.3	4.6	8.3	11.8	8.2	7.4	8.4
Return on Assets, %	0.9	5.5	2.1	5.1	8.2	5.1	4.4	5.6
Sales/Total Assets	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.1

Cash Flow & Debt Service Ratios (% of sales)

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Cash after Operations	10.0	23.6	11.4	20.7	30.1	20.7	19.2	19.4
Cash from Trading	27.9	33.5	20.4	42.0	43.3	35.2	33.4	34.9
Debt Service P&I Coverage	0.9	1.5	0.5	1.9	1.9	1.4	1.3	1.7
Interest Coverage (Operating Cash)	11.4	15.0	7.2	9.8	7.9	8.3	10.3	11.1
Net Cash after Operations	14.0	22.0	7.8	27.6	30.2	21.9	20.3	19.9

Industry Tax Structure

Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
Taxes Paid/Revenue	1.2	1.3	0.7	1.3	1.0	1.0	1.1	1.5

Valuation Multiples

Earnings Ratio	2020	2021	2022	2023	2024	3-Year	5-Year	10-Year
EV/Revenue	0.7	0.8	0.9	0.8	0.8	0.8	0.8	0.8
EV/EBITDA	18.0	4.8	19.1	10.2	6.7	12.0	11.8	7.9
EV/EBIT	80.8	7.2	41.8	16.6	9.6	22.7	31.2	19.0

Key Ratios

Year	Revenue per Employee ($k)	Revenue per Enterprise ($m)	Employees per Establishment (Units)	Employees per Enterprise (Units)	Average Wage ($k)	Wages/ Revenue (%)	Establishments per Enterprise (Units)	IVA/ Revenue (%)	Exports/ Revenue (%)	Imports/ Demand (%)
2007	171.8	2.6	15.0	15.4	40.6	23.6	1.0	33.8	42.2	97.3
2008	215.6	3.2	14.7	15.0	41.6	19.3	1.0	25.9	48.7	97.5
2009	204.8	3.0	14.5	14.8	39.9	19.5	1.0	37.5	49.9	97.6
2010	218.0	3.2	14.4	14.8	43.2	19.8	1.0	30.2	54.8	98.0
2011	224.5	3.2	13.9	14.2	43.3	19.3	1.0	31.9	61.0	98.3
2012	238.1	3.0	12.5	12.8	45.1	18.9	1.0	30.3	59.4	98.2
2013	221.1	3.0	13.5	13.7	42.4	19.2	1.0	26.9	58.6	98.3
2014	207.1	2.8	13.2	13.4	43.6	21.1	1.0	28.1	64.9	98.7
2015	195.0	2.7	13.7	14.0	45.3	23.2	1.0	28.9	65.4	98.8
2016	204.6	2.8	13.3	13.6	45.8	22.4	1.0	30.9	55.4	98.4
2017	184.3	2.7	14.3	14.6	43.1	23.4	1.0	32.7	55.8	98.4
2018	191.5	2.6	13.3	13.6	46.0	24.0	1.0	31.9	61.1	98.7
2019	194.9	2.6	13.4	13.6	45.6	23.4	1.0	35.1	68.6	98.9
2020	173.0	2.2	12.4	12.6	39.9	23.0	1.0	28.2	56.8	98.4
2021	199.5	2.2	11.1	11.2	46.9	23.5	1.0	31.1	55.9	98.6
2022	169.5	1.9	10.9	11.0	48.5	28.6	1.0	36.2	64.5	99.2
2023	195.3	1.9	9.6	9.7	43.6	22.3	1.0	31.1	71.0	99.0

Year	Revenue per Employee ($k)	Revenue per Enterprise ($m)	Employees per Establishment (Units)	Employees per Enterprise (Units)	Average Wage ($k)	Wages/ Revenue (%)	Establishments per Enterprise (Units)	IVA/ Revenue (%)	Exports/ Revenue (%)	Imports/ Demand (%)
2024	195.6	1.9	9.5	9.6	43.6	22.3	1.0	31.1	67.9	99.0
2025	196.6	1.8	9.3	9.4	43.7	22.2	1.0	30.9	72.5	99.1
2026	198.8	1.9	9.2	9.3	43.8	22.0	1.0	30.8	73.3	98.0
2027	199.7	1.8	9.1	9.2	43.8	21.9	1.0	30.8	73.2	98.1
2028	200.1	1.8	9.0	9.0	43.8	21.9	1.0	30.9	73.2	98.1
2029	199.8	1.8	8.8	8.9	43.8	21.9	1.0	30.9	73.2	98.1
2030	200.2	1.8	8.8	8.8	43.8	21.9	1.0	31.0	73.2	98.1
2031	200.1	1.8	8.7	8.8	43.8	21.9	1.0	31.0	73.2	98.1
2032	199.5	1.7	8.7	8.7	43.8	22.0	1.0	31.0	73.2	98.1

Key Statistics

Industry Data

Values

Year	Revenue ($m)	IVA ($m)	Establishments (Units)	Enterprises (Units)	Employment (Units)	Exports ($m)	Imports ($m)	Wages ($m)
2007	2,707.7	914.4	1,050	1,027	15,761	1,141.4	57,112.9	640.1
2008	2,880.4	746.5	911	890	13,359	1,402.3	56,477.5	555.4
2009	2,549.7	955.4	861	840	12,449	1,270.9	51,043.9	497.3
2010	2,629.4	793.1	837	815	12,061	1,439.8	59,151.5	521.4
2011	2,738.0	874.1	878	858	12,198	1,669.4	63,166.0	528.8
2012	2,869.4	869.4	963	944	12,050	1,703.8	65,188.0	542.9
2013	2,728.4	732.5	917	899	12,342	1,598.0	66,481.4	523.7
2014	2,502.2	702.1	919	902	12,083	1,622.9	68,437.5	527.2
2015	2,434.3	704.4	913	895	12,485	1,590.9	71,855.4	565.6
2016	2,473.5	763.9	907	889	12,088	1,371.2	66,918.9	553.6
2017	2,375.6	776.2	899	881	12,889	1,324.5	65,434.4	555.8
2018	2,296.2	732.8	901	884	11,989	1,402.3	66,668.2	550.9
2019	2,355.1	826.0	903	889	12,086	1,616.2	66,508.0	551.4
2020	1,914.7	539.0	892	880	11,066	1,086.6	50,075.1	441.2
2021	1,980.5	614.9	894	883	9,926	1,106.8	63,065.7	465.0
2022	1,815.5	657.0	986	976	10,712	1,171.0	77,428.4	520.0
2023	1,870.3	582.5	997	985	9,577	1,328.5	54,677.2	417.8
2024	1,854.2	576.0	1,002	991	9,480	1,259.1	56,180.1	413.7
2025	1,848.2	571.4	1,011	1,000	9,400	1,340.2	53,732.6	410.6
2026	1,886.9	581.6	1,029	1,019	9,493	1,383.2	24,398.9	415.6
2027	1,890.4	582.4	1,042	1,032	9,466	1,384.2	25,979.7	414.8
2028	1,894.0	584.3	1,057	1,048	9,467	1,386.7	26,134.8	415.0
2029	1,896.8	585.9	1,074	1,065	9,494	1,388.6	26,277.8	416.1
2030	1,899.7	588.1	1,082	1,074	9,487	1,390.7	26,424.7	416.0
2031	1,902.8	589.4	1,091	1,083	9,508	1,392.8	26,575.6	416.8
2032	1,892.7	585.8	1,096	1,090	9,489	1,385.4	26,543.2	415.7

Annual Change

Year	Revenue (%)	IVA (%)	Establishments (%)	Enterprises (%)	Employment (%)	Exports (%)	Imports (%)	Wages (%)
2008	6.4	-18.4	-13.2	-13.3	-15.2	22.9	-1.1	-13.2
2009	-11.5	28.0	-5.5	-5.6	-6.8	-9.4	-9.6	-10.5
2010	3.1	-17.0	-2.8	-3.0	-3.1	13.3	15.9	4.8
2011	4.1	10.2	4.9	5.3	1.1	15.9	6.8	1.4
2012	4.8	-0.5	9.7	10.0	-1.2	2.1	3.2	2.7
2013	-4.9	-15.7	-4.8	-4.8	2.4	-6.2	2.0	-3.6
2014	-8.3	-4.2	0.2	0.3	-2.1	1.6	2.9	0.7
2015	-2.7	0.3	-0.7	-0.8	3.3	-2.0	5.0	7.3
2016	1.6	8.4	-0.7	-0.7	-3.2	-13.8	-6.9	-2.1
2017	-4.0	1.6	-0.9	-0.9	6.6	-3.4	-2.2	0.4
2018	-3.3	-5.6	0.2	0.3	-7.0	5.9	1.9	-0.9
2019	2.6	12.7	0.2	0.6	0.8	15.3	-0.2	0.1
2020	-18.7	-34.7	-1.2	-1.0	-8.4	-32.8	-24.7	-20.0
2021	3.4	14.1	0.2	0.3	-10.3	1.9	25.9	5.4
2022	-8.3	6.8	10.3	10.5	7.9	5.8	22.8	11.8
2023	3.0	-11.3	1.1	0.9	-10.6	13.4	-29.4	-19.6
2024	-0.9	-1.1	0.5	0.6	-1.0	-5.2	2.7	-1.0
2025	-0.3	-0.8	0.9	0.9	-0.8	6.4	-4.4	-0.7
2026	2.1	1.8	1.8	1.9	1.0	3.2	-54.6	1.2
2027	0.2	0.1	1.3	1.3	-0.3	0.1	6.5	-0.2
2028	0.2	0.3	1.4	1.6	0.0	0.2	0.6	0.0
2029	0.1	0.3	1.6	1.6	0.3	0.1	0.5	0.3
2030	0.2	0.4	0.7	0.8	-0.1	0.2	0.6	-0.0
2031	0.2	0.2	0.8	0.8	0.2	0.2	0.6	0.2
2032	-0.5	-0.6	0.5	0.6	-0.2	-0.5	-0.1	-0.3

Figures are inflation adjusted to 2026-2027

Key Success Factors

Key Success Factors

How do successful businesses overcome volatility?

Leverage product design, quality and brand strengths

Investing in innovative designs, ensuring high-quality materials and craftsmanship and building strong, recognizable brands creates customer loyalty, allows premium pricing, differentiates from competitors and enhances market stability for footwear manufacturers.

Secure export markets

Export demand in Canada, Mexico and Japan gives manufacturers a revenue channel priced under different trade terms than the domestic tariff regime, partly offsetting swings tied to the trade-weighted index.

What products or services do successful businesses offer?

Invest in new technology to enhance operational efficiency and quality

Automation lets manufacturers offset a labor cost gap with Asian producers that runs into double digits, making robotics and process technology a precondition for keeping any domestic production viable at all.

Leverage product design, quality and brand strengths

Brand heritage and consistent quality let a handful of manufacturers command premium pricing despite import competition, turning design reputation and perceived durability into the industry's clearest defense against cheaper alternatives.

How do businesses use location to their advantage?

Ensure skilled labor is available

New England's technical, automation-ready workforce, built over decades even as most domestic shoemaking moved offshore, enables New Balance to run automation-heavy lines that would be uneconomical without workers already trained for precision assembly.

Operate in a location that is close to key suppliers

New Balance has responded to thin regional supplier density by building its own domestic supplier network alongside plant investment. The company treats supplier proximity as something to be built at each site, rather than a pre-existing regional advantage.

How do successful businesses handle concentration?

Concentrate on core products

Manufacturers without New Balance's scale tend to compete in narrow categories, such as protective footwear, house slippers or specialty comfort lines, where focused expertise and loyal repeat buyers substitute for the scale that bigger diversified competitors can leverage.

Use new technology to contain costs and boost productivity

New domestic capacity typically launches automation-first rather than adding automation later, since a labor-intensive plant cannot compete with far lower-cost production in Asian manufacturing hubs.

How can potential entrants overcome barriers to entry?

Invest in new equipment to enhance mechanical efficiency and improve productivity

Entrants that commit early to automated stitching and assembly lines absorb the domestic wage gap with capital rather than headcount. Keen and New Balance are already pursuing this model.

Optimize operating capacity

Entrants can match capacity to demand by starting at the small scale that most domestic manufacturers already operate at, or by leasing shared production space instead of committing to major-brand-scale output from day one.

How do successful businesses compete with substitutes?

Produce a differentiated product

New Balance channels domestic production into technical and performance running lines instead of competing broadly, a differentiation strategy that imported mass production struggles to match in terms of fit and comfort.

Secure a highly skilled workforce

Technical and performance footwear demands pattern-making and fit expertise that imported mass-production lines don't readily replicate, making a skilled domestic workforce a durable defense against price-driven substitution.

How do successful businesses manage buyer & supplier power?

Establish long-term working relationships with raw material suppliers

Manufacturers that lock in multi-year contracts with leather, rubber and textile processors secure stable pricing and priority capacity, insulating output from the shipping-cost volatility reshaping Asia-based sourcing routes.

Leverage the degree of vertical integration within the company

Manufacturers that control more of their own component processing, rather than relying entirely on outside tanneries and mills, reduce their exposure to freight disruptions and price swings in imported inputs.

Call Preparation Questions

Role Specific Questions

Sales & Marketing

Did you experience any change in demand as imports became scarcer in 2020?

- Imports have hindered pricing power. Companies in the industry have less flexibility when setting prices. While import penetration has generally intensified the competitive pressures experienced by domestic manufacturers, given supply-chain interruptions due to COVID-19, some consumers chose to buy domestically.

How have imports from low-wage countries impacted your operations?

- This price-based competition has forced manufacturers to outsource and specialize in niche markets. Some companies move to high-value manufacturing with skilled labor and outsource low-skilled processes to remain competitive.

Strategy & Operations

Has your company been exposed to volatile input prices?

- The world price of rubber is a main input in many shoe and footwear manufacturing processes. Fluctuations in the price of rubber significantly impact manufacturers' profits.

Have you considered setting up manufacturing facilities in states or countries with less restrictive working conditions?

- As states now have varying regulations regarding work safety and what facilities can be open, establishing operations elsewhere in response to idling facilities in more regulated regions may be key to success among price-sensitive consumers.

Technology

How is your company using new technology to mitigate downturns?

- Tagless labeling technology has recently increased consumer comfort, branding opportunities, cost savings and security management. Also, investing in technology, like online portals and marketplaces, helps establish a competitive edge.

Have you been able to reduce wage costs by automating operations over the past five years?

- While some manufacturers have looked into automating some processes, footwear manufacturing remains highly labor intensive. Total wages have declined primarily because of outsourcing, but automation has played a role.

Compliance

Have any regulatory expenses significantly impacted profitability during the period?

- Shoe and footwear manufacturers have experienced increased expenses because of stringent environmental regulations.

Is your company adequately prepared to adjust to changing environmental standards?

- EPA regulations surrounding manufacturing are constantly evolving. Companies within this industry are subject to environmental and anti-dumping laws regarding the discharge of material waste from some footwear inputs, like synthetic and leather-made footwear.
- Noncompliance with regulatory controls like environmental laws can carry heavy penalties, including revocation of permits, corrective action orders, administrative or civil penalties and criminal prosecution.

Finance

How frequently does your company purchase new equipment?

- Expenditure on wages in this industry accounts for a much larger portion of revenue than expenditure on capital.

How have your company's growth and profit compared to your main competitors?

- Average profit across the industry has recently suffered because of supply chain interruptions and a lack of consumer confidence. Like most clothing industries, companies compete based largely on price, and diminishing consumer sentiment has spurred many losses as companies compete for this reduced demand.

External Impacts Questions

Import penetration into the manufacturing sector

What proportion of your products come from foreign suppliers?

- Since manufacturing in this industry is highly labor-intensive, US companies source many of their products from low-cost suppliers in foreign countries.

Trade-weighted index

Do you monitor the trade-weighted index? When the dollar depreciates, how is your revenue affected?

- An appreciation of the US dollar makes imported footwear less costly and, thus, more price competitive. However, a depreciating dollar provides a potential opportunity for domestic manufacturers to boost their revenue from exports.

Per capita disposable income

How has your company responded to fluctuations in per capita disposable income?

- If disposable income is low, consumers will buy far fewer discretionary items. Increases in the level of per capita disposable income can boost demand for consumer goods supplied by this industry.

Internal Issues Questions

Establishment of brand names

Do you manufacture any well-known brands? How do you build your brand?

- Brand strength can create consumer demand for a specific company's footwear products. During economic volatility, brand-name companies have been more successful than smaller-name manufacturers, as they need to spend less on marketing to capture limited consumer demand.

Economies of scope

How many types of footwear does your company manufacture? What other products could your company manufacture?

- Growth in consumer spending stimulates apparel sales, boosting industry revenue. Manufacturing a diverse selection of footwear can help capture a larger customer base.

Ability to alter goods and services produced in favor of market conditions

How does your company maintain a high level of quality in its products? How do you keep up with changing fashion trends?

- The quality of footwear manufactured and the ability to adapt to changing fashion trends provide major competitive advantages, including hiring top designers.

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Shoe & Footwear Manufacturing in the US

Christian Perdomo
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About

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Risk Overview

Recent Developments

Companies Overview

New Balance thrives in a fragmented footwear market. Their success comes from targeting specific consumer segments and specializing in particular product lines, demonstrating the effectiveness of penetrating niche markets within the industry.

New Balance's US factories give the brand greater production control and resilience when overseas shipping or sourcing disruptions emerge. Still, its Made in USA line accounts for a limited share of domestic sales, so the company remains exposed to global supply chain risks.

Rocky Brands competes through a broad portfolio spanning work, western, outdoor, safety and military footwear, rather than a single product niche. Its Rocky, Georgia Boot, Durango, Muck, XTRATUF and Ranger brands widen customer reach and diversify demand across specialized categories.

Competitive Forces

Competition among manufacturers relies on price, quality and style. These variables are key in determining the industry's top manufacturers as they influence consumer choice and brand popularity.

Imports dominate US footwear demand, leaving domestic manufacturers to compete in a market shaped by lower-cost foreign production. With imports supplying roughly 90.0% of consumption, local producers must differentiate themselves through quality, speed, specialization and supply chain reliability.

External Environment

Footwear manufacturers face a broad compliance burden spanning workplace safety, environmental controls, children's product testing, import requirements, labeling and brand protection. Strong documentation and product controls help smaller producers limit regulatory risk while meeting retailer and consumer expectations.

Public and private support gives domestic footwear makers a stronger platform, combining Berry Amendment-backed military demand with industry advocacy on trade, sourcing and supply-chain policy. Still, these programs support selected procurement and policy goals rather than insulating manufacturers from import competition.

Financial Benchmarks

Customization and direct-to-consumer sales help footwear makers defend profit by differentiating products and retaining more control over pricing. Yet rising tariffs still raise landed costs and squeeze profitability, forcing brands to balance sourcing changes, price increases and supplier negotiations.

Tariffs and port disruptions underscore footwear makers' exposure to concentrated sourcing in Asia and fragile import logistics. Nike's production remains heavily concentrated in Vietnam, Indonesia and China, prompting manufacturers to diversify their supplier base, build inventory flexibility and manage higher landed costs.

Geographic Breakdown

Manufacturers position near international ports to minimize shipping costs. Being close to these ports enables them to efficiently meet domestic and foreign demand, thereby reducing transportation expenditures.

West draws footwear companies through its design talent, sustainability expertise and product-development capabilities rather than large-scale factory capacity. Nike, Allbirds and Skechers support the region's role in innovation, although most footwear manufacturing still occurs overseas.

Performance

New forced-labor tariffs could give footwear makers a pricing edge as imports from major sourcing hubs become costlier. But the upside isn't uniform: domestic capacity is limited, and import-dependent producers may still face higher input costs and disruptions.

Domestic footwear makers won't get a legislative boost from the failed BOOTS Act and must compete for military and commercial buyers on merit. Without a new domestic-content requirement, consistent demand will depend on stronger products, competitive pricing, dependable capacity and resilient supply chains.

Products Markets

Men's dress and casual shoe makers are squeezed between tariff-driven cost increases and an enduring consumer shift toward athleisure. Winning brands are making classic styles less formal, adding lightweight construction, flexible soles and cushioning without sacrificing a polished look.

Footwear manufacturers face fewer specialty-store doors and less wholesale visibility as retailers shrink their physical footprints and consumers move online. That shift favors vertically integrated brands with direct digital channels, while supplier-dependent manufacturers contend with fewer replenishment orders and tighter relationships with retailers.

Industry Definition & Activities

Definition

The shoe and footwear manufacturing industry produces a wide range of products for men, women and children. These include rubber and plastic footwear, protective shoes, house slippers and slipper socks. In addition, manufacturers create footwear tailored for casual, formal and work settings. These products often feature rubber or plastic soles paired with leather or vinyl uppers, catering to diverse consumer needs while maintaining a variety of functional and stylistic attributes.

The primary activities of this industry are:

- Manufacturing rubber and plastic footwear
- Manufacturing men's footwear
- Manufacturing women's footwear

Industry Risk Score

Risk Component	Level	Weight (%)	Score
Structural risk	High	25	6.8
Growth risk	High	25	6.4
Sensitivity risk	Low	50	4.0
Overall risk	Medium	N/A	5.3

Note

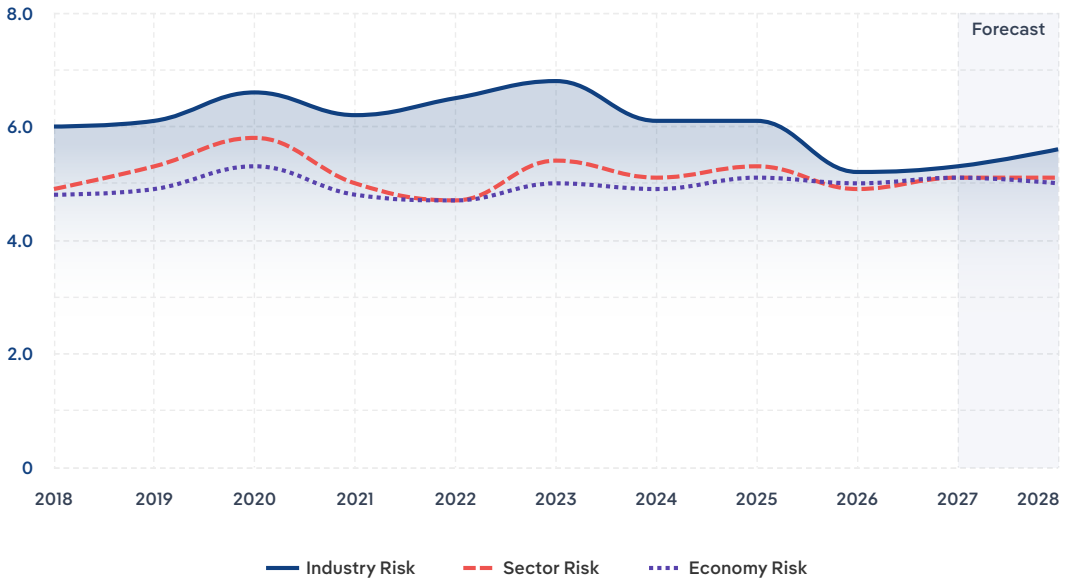
Forecast Period: Ending April 15, 2027

The overall risk score is calculated by evaluating three areas: industry structure (structural risk), future outlook (growth risk) and exposure to economic forces (sensitivity risk). Each component is scored on a scale from 1 to 9, with 1 being the lowest risk and 9 the highest. The three component scores are then weighted and combined to produce the overall risk score.

Risk Rating Analysis

Risk Rating

Overall risk in the Shoe & Footwear Manufacturing industry is forecast to be MEDIUM over 2027. The primary negative factor affecting this industry is high competition, while the primary positive factor is medium barriers to entry. Overall risk will be slightly higher than the previous year, a result of unfavorable movements in trade-weighted index as well as demand from footwear wholesaling. Additionally, growth risk is projected to rise.



IBISWorld

Sources: IBISWorld

Risk Score Trend Analysis

Overall risk in the Shoe & Footwear Manufacturing industry is forecast to be MEDIUM over 2027. The primary negative factor affecting this industry is high competition, while the primary positive factor is medium barriers to entry. Overall risk will be slightly higher than the previous year, a result of unfavorable movements in trade-weighted index as well as demand from footwear wholesaling. Additionally, growth risk is projected to rise.

Risk Score Context

In 2027, the average risk score for all US industries is expected to be in the MEDIUM band. Furthermore, the risk score for the Manufacturing sector, which includes this industry, is also at a MEDIUM level. Therefore, the level of risk in the Shoe & Footwear Manufacturing industry will be similar to that of the US economy and the Manufacturing sector.

Structural Risk Analysis

Structural risk will be HIGH over the outlook period. This industry struggles with high competition. Businesses competing for market share must incur expenses to differentiate offerings or keep prices low to entice demand. This results in greater likelihood of declining revenue and lower profits. Operators are exposed to high revenue volatility. This requires prudent cash flow management and planning in times of uncertain demand. Businesses failing to account for these challenges risk sudden losses or diminished margins. Operators within the industry benefit from medium and increasing barriers to entry buffering against long-run competition by hindering the entry of new operators to the marketplace.

Growth Risk Score Analysis

Growth risk is expected to be HIGH over the outlook period. IBISWorld forecasts that annual industry revenue will grow 0.2% to $1.9 billion. In comparison, revenue expanded 0.9% per year between 2024 and 2026.

Sensitivity Risk Analysis

Sensitivity risk is forecast to be LOW over the outlook period, down marginally from 2026. The two factors with the most significant impacts on the industry are import penetration into the manufacturing sector and trade-weighted index. A rise in either of these factors will lower industry risk.

Import penetration into the manufacturing sector: Import penetration into the shoe and footwear manufacturing industry significantly hampers local industry performance. As cheaper overseas products flood the market, domestic manufacturers face intense price competition, eroding their market share and profitability. Consequently, many struggle to stay afloat, leading to decreased production, job losses and lower overall industry growth. This factor's contribution to risk is expected to increase in the coming year.

Trade-weighted index: Fluctuations in the trade-weighted index significantly impact the global competitiveness of the shoe and footwear manufacturing industry. An appreciating US dollar lowers the cost of imported footwear, enhancing its price competitiveness and substantially threatening the industry's overall performance. Conversely, a depreciating dollar makes domestically produced products more appealing in international markets, potentially boosting export sales and bolstering the industry's economic health. This factor's contribution to risk is expected to remain the same in the coming year.

Demand from footwear wholesaling: Manufacturers rely heavily on demand from footwear wholesalers. Periods of increased footwear consumption lead wholesalers to order more shoes from manufacturers to supply retailers, boosting industry sales. As result of heightened demand from footwear wholesaling directly correlates with increased production and revenue for manufacturers, presenting significant growth opportunities within the industry. This factor's contribution to risk is expected to remain the same in the coming year.

Per capita disposable income: Per capita disposable income directly impacts the shoe and footwear manufacturing industry. As disposable income rises, consumers are more likely to spend on non-essential goods, including footwear, boosting sales and profitability. Conversely, shoe spending tends to drop when disposable income falls, challenging the industry's growth. This dynamic underscores the industry's sensitivity to economic conditions and consumer purchasing power. This factor's contribution to risk is expected to decrease in the coming year.

Structural Risk

Structural Risk Score

Structure Component	Level	Trend	Weight (%)	Score
Barriers to Entry	Medium	Increasing	13	2.0
Competition	High	N/A	20	9.0
Industry Exports	High	Increasing	7	4.0
Industry Imports	High	Decreasing	7	7.0
Level of Assistance	High	Decreasing	13	9.0
Life Cycle Stage	Decline	N/A	20	9.0
Volatility of Industry	Medium	N/A	20	5.0
Overall Structural Risk Score	High	N/A	N/A	6.8

Note

The structural risk score reflects how an industry's fundamental characteristics affect its overall risk. Seven components are evaluated individually, then weighted and combined to calculate the score.

Barriers to Entry

Moderate Increasing

Legal

- New entrants face no unusual federal licensing hurdles for footwear production, only standard state business registration and compliance requirements. Entrants pursuing the federal military footwear channel face a separate barrier. The Berry Amendment requires 100.0% domestic-content sourcing and the Army's Supporting Warfighters through Innovative Footwear Technologies (SWIFT) program issued a request for information seeking domestic bootmakers.

Start-Up Costs

- Tooling, facilities and working capital are the core start-up costs an entrant funds before revenue begins. Most manufacturers keep this modest. In 2024, 55.8% of the industry's factories employed fewer than 10 workers, per the Footwear Distributors & Retailers of America (FDRA), well below the scale of major brands. Leasing shared production space could allow entrants to match that scale without a full build-out.

Differentiation

- Established brands dominate the footwear market with strong brand identities and customer loyalty. New companies face a daunting challenge in creating unique designs and convincing consumers to switch, making differentiation a crucial barrier to successfully entering and sustaining the US market.

Labor Expenses

- The shoe and footwear manufacturing industry is labor-intensive, especially for handmade products. This necessitates significant investment in skilled labor, increasing operational costs and posing a substantial barrier for new entrants who must compete on craftsmanship and pricing.

Competition

High Increasing

- **Competition among manufacturers relies on price, quality and style.** These variables are key in determining the industry's top manufacturers as they influence consumer choice and brand popularity.
- **Imports dominate US footwear demand, leaving domestic manufacturers to compete in a market shaped by lower-cost foreign**

production. With imports supplying roughly 90.0% of consumption, local producers must differentiate themselves through quality, speed, specialization and supply chain reliability.

Domestic And International Markets

Exports		Imports	
High	↑ Increasing	High	↓ Decreasing

Assistance

High Decreasing

Footwear Distributors and Retailers of America (FDRA)

- The Footwear Distributors and Retailers of America (FDRA) supports shoe manufacturers by advocating for favorable trade policies and tariff reductions to enhance competitiveness. They provide industry insights, market data and trend analyses to help manufacturers make informed decisions. FDRA facilitates networking opportunities and collaborations through events and conferences, fostering innovation and best practices. Also, they address regulatory issues and promote sustainable practices, ensuring the industry's growth and alignment with consumer demands.

United States Footwear Manufacturers Association (USFMA)

- The United States Footwear Manufacturers Association added eight new manufacturer and supplier members between February and August 2026, one of its fastest periods of growth since its 1986 founding. New members gain access to USFMA's advocacy infrastructure without having to build their own government relations capacity, which matters most for smaller manufacturers that can't otherwise afford a dedicated lobbying presence in Washington. That broader base gives the association greater standing before Congress and federal buyers when it argues for domestic-sourcing rules, a case it makes for every member, regardless of size.

National Council of Textile Organizations (NCTO)

- The National Council of Textile Organizations (NCTO) supports shoe and footwear manufacturing indirectly by advocating policies that strengthen the domestic textile supply chain on which footwear makers rely. It promotes enforcement against unfair imports, stronger origin and customs rules and trade agreements that favor US-made yarns, fabrics, technical textiles and sewn components. NCTO also supports domestic procurement, including measures intended to prevent foreign-made military boots from displacing US producers. Its advocacy can improve supply chain resilience, demand for domestic inputs and the competitive conditions for American footwear factories.

World Trade Organization (WTO)

- The World Trade Organization (WTO) supports shoe and footwear manufacturing by promoting fair trade practices and reducing trade barriers. It facilitates access to international markets through negotiated tariff reductions and trade agreements. The WTO also provides a platform for resolving trade disputes, ensuring a level playing field for American manufacturers. Fostering international trade rules and transparency helps US companies expand their global reach and enhances competitive opportunities in the international footwear market.

Berry Amendment

- The Berry Amendment supports shoe and footwear manufacturing by mandating the Department of Defense to prioritize domestically produced goods, including footwear, when using budgetary resources. This requirement ensures that military personnel are equipped exclusively with American-made boots and shoes, thereby boosting local manufacturing and sustaining jobs within the industry. By securing a stable and significant customer base, the Berry Amendment encourages investment in domestic production facilities and innovation, strengthening US footwear manufacturers' overall competitiveness and sustainability.

Life Cycle

Decline

Contribution to GDP

- The shoe and footwear manufacturing industry is experiencing slower growth compared to the US GDP, primarily because of intense global competition, elevated labor costs, market saturation and supply chain disruptions. Shifting consumer preferences and growing

sustainability concerns pose additional challenges for domestic production, thereby limiting its economic contribution.

Market Saturation

- Numerous companies compete fiercely for the same consumer base and differentiating products has become increasingly challenging. This saturation leads to heightened competition, often resulting in price wars and a heavy reliance on promotions and discounts. Companies must innovate or consolidate to maintain their positions as the market becomes more crowded.

Innovation

- Innovation focuses on sustainable materials, such as recycled plastics and plant-based alternatives, as well as customization options through 3D scanning for perfect fits and technological enhancements in design and production processes. These innovations cater to consumer demands for eco-friendliness, comfort and a unique style, helping manufacturers distinguish themselves in crowded markets.

Consolidation

- More prominent manufacturers strategically acquire smaller companies to expand their market share, diversify product offerings and enhance operational efficiencies. This necessity for consolidation stems from the need to remain competitive amid limited growth prospects and intense market rivalry domestically and abroad.

Technology & Systems

- The industry relies heavily on technology and systems to drive efficiency and maintain competitiveness. Automation, 3D printing and advanced analytics optimize production and distribution, reducing costs and improving customer experiences. These tech-driven enhancements are crucial for manufacturers seeking to remain competitive in a highly saturated market.

Volatility

Moderate

Weaker dollar and volatile input costs intensify earnings pressure on footwear manufacturers

- Volatile input prices, particularly for plastics, rubber, leather and other synthetic materials, continue to pressure footwear manufacturers' profit, even as plastic materials and resin prices slipped 1.4% in 2025. Persistent cost swings complicate pricing strategies, disrupt budgeting and inventory planning and ultimately contribute to heightened revenue volatility.
- The trade-weighted index is expected to drop a further 3.7% in 2026, signaling a weaker US dollar relative to major trading partners. This depreciation can improve export competitiveness for US-made footwear but may also raise costs for imported components and materials, reinforcing overall earnings volatility for manufacturers.

Consumer preferences and celebrity endorsements drive footwear volatility

- Rapid changes in fashion trends lead to significant volatility within the footwear market. Manufacturers must frequently adapt their production and sales strategies to align with what consumers find stylish at any given moment. As a result, manufacturers face challenges in maintaining consistent revenue streams, with some seasons experiencing substantial increases or decreases in sales.
- Celebrity endorsements can dramatically alter demand for specific footwear styles. When influential figures embrace a particular shoe, its popularity can surge, influencing market trends. An example is the collaboration between Nike and Kim Kardashian's SKIMS in February 2025, which aims to revitalize Nike's appeal by tapping into Kardashian's widespread influence, illustrating how endorsements can shape industry dynamics.

Growth Risk

Growth Risk Score

Growth Component	Level	Revenue (%)	Weight (%)	Score
2025-2027 Annualized growth	Medium - High	0.9	25	5.8
2027-2028 Forecast growth	High	0.2	75	6.6
Overall Growth Risk Score	High	N/A	N/A	6.4

Note

The growth risk score compares an industry's forecast revenue growth with its past performance and with expected growth across all industries. Higher growth rates generally indicate lower risk for industry operators.

Growth Risk Analysis

The Shoe and Footwear Manufacturing industry is experiencing notable trends amid changing consumer behavior and global economic shifts. Over recent years, the industry has contended with challenges like price sensitivity among consumers, increased competition from imports, the imposition of new tariffs and a shift towards athleisure and casual footwear. Industry revenue has dropped at a CAGR of 1.0% over the past five years and is expected to total $1.9 billion in 2026, while revenue will increase by an estimated 2.1%.

Historically, the industry has faced stagnation because of high domestic production costs and heavy reliance on foreign manufacturing. US–China trade tensions further intensified these challenges by disrupting supply chains and prompting brands to reassess sourcing and domestic production strategies. During the period, the industry has increasingly focused on supply-chain diversification, e-commerce expansion and demand for comfortable, performance-oriented footwear. In response, many brands have streamlined product assortments, expanded digital sales channels and incorporated more sustainable materials. These strategies reflect consumer preferences for value, quality, convenience and ethically produced products.

The industry is poised for modest growth, driven largely by the continuing shift toward casual and sportswear and an increased focus on innovation in materials and production processes. The integration of technologies such as 3D printing and advanced robotics is expected to enhance manufacturing efficiency and customization capabilities. In addition, the Berry Amendment, which requires certain Department of Defense procurement to use domestically produced textiles and apparel, is likely to broaden the domestic customer base and support further expansion. Over the next five years, revenue will hike at a CAGR of 0.2% to reach an estimated $1.9 billion in 2031. However, ongoing geopolitical tensions, including conflict between the US and Iran, are expected to contribute to fluctuations in global energy and raw material prices, adding cost pressure on manufacturers. The industry will also contend with competition from overseas producers and increased tariffs, which may limit profit.

Sensitivity Risk

Sensitivity Risk Score

Sensitivity Component	Level	Weight (%)	Score
Per capita disposable income	Low	20	3.8
Demand from footwear wholesaling	Medium - High	20	5.8
Import penetration into the manufacturing sector	Medium - Low	30	4.5
Trade-weighted index	Very Low	30	2.4
Overall Sensitivity Risk Score	Low	N/A	4.0

Note

We calculate sensitivity risk by examining external and exogenous factors that affect risk within the industry. Examples include input costs, number of housing starts, commodity prices, etc. This component contributes to 50% of the overall score.

Sensitivity Risk Analysis

Demand from footwear wholesaling

Estimated Value in 2026

$38,712.2 million

2021-26 CAGR ↓ 2.9 %

2025-26 Change ↓ 6.5 %

Forecast Value in 2031

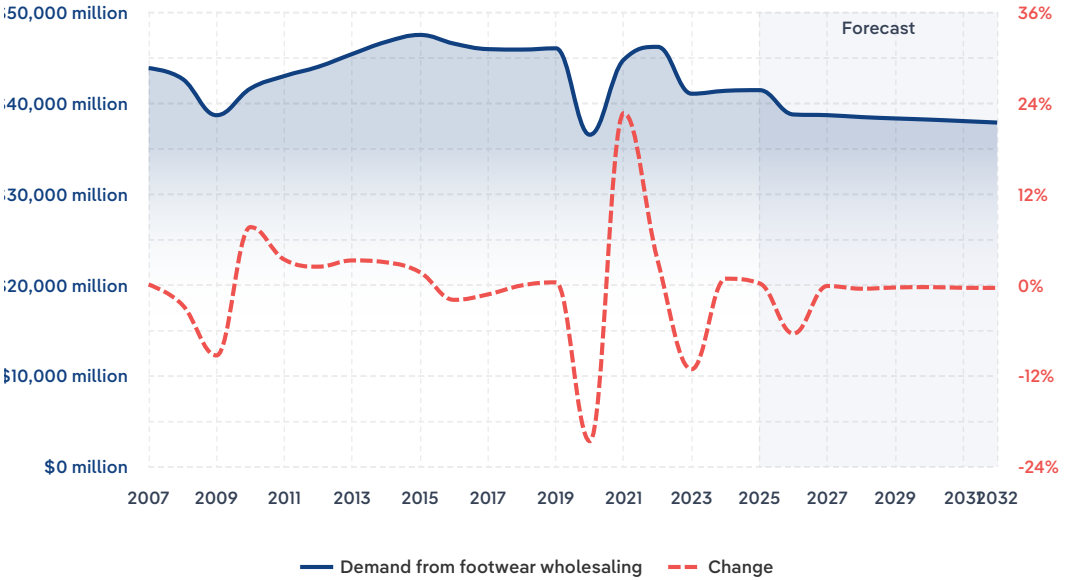
$37,989.4 million

2026-31 CAGR ↓ 0.4 %

2026-27 Change ↓ 0.2 %

Demand from footwear wholesaling

The percentage change in real household disposable income from 2007-2032



IBISWorld

Sources: IBISWorld

Year	$ million	Change (%)
2007	43,808.6	N/A
2008	42,622.9	-2.7
2009	38,634.4	-9.4
2010	41,570.4	7.6
2011	42,943.2	3.3
2012	43,965.2	2.4
2013	45,369.5	3.2
2014	46,707.0	2.9
2015	47,464.4	1.6
2016	46,506.2	-2.0
2017	45,903.3	-1.3
2018	45,854.4	-0.1
2019	45,993.1	0.3
2020	36,487.9	-20.7
2021	44,745.7	22.6
2022	46,153.6	3.1
2023	40,998.8	-11.2

Year	$ million	Change (%)
2024	41,319.8	0.8
2025	41,392.2	0.2
2026	38,712.2	-6.5
2027	38,639.1	-0.2
2028	38,429.2	-0.5
2029	38,279.4	-0.4
2030	38,150.9	-0.3
2031	37,989.4	-0.4
2032	37,824.7	-0.4

Operators in this industry wholesale footwear, including athletic shoes, made of leather, rubber and other materials. Businesses in this industry purchase shoes from manufacturers and resell them to retailers with minimal or no further development or processing. Most wholesalers in this industry undertake sales and administrative activities, like establishing relationships with manufacturers and retailers.

Risk Score Methodology

What is Industry Risk?

Industry risk is the difficulty or otherwise of operating in an industry. We calculate industry risk using non-financial information. We represent industry risk with forward-looking numerical scores for specific industries. Industry Risk Scores measure the expected risk for the upcoming 12 to 18 months.

Industry Risk Scoring Methodology

We represent industry risk on a scale of 1 to 9, where 1 represents the lowest risk, and 9 is the highest risk.Industry risk is broken down into Growth, Structure and Sensitivity risk, which are combined to calculate the overall risk score.

Growth: Growth risk is a combination of recent and forecast growth scores. Growth scores account for between 0 and 25% of the overall score.The base case contribution is 25%, which is dampened at inflection points where extreme declines produce misleading positive forecast growth.

Structure: We calculate structural risk by analyzing internal industry risk factors.These factors are an industry's volatility, barriers to entry, external assistance, trade exposure, imports and exports (if any), industry life cycle and amount of competition. When our analysis identifies that an external factor creates a transitory shift to industry structure, the ratings are subjected to a structural adjustment score. The structure score contributes 25% plus any contribution dampened from the growth score.

Sensitivity: We calculate sensitivity risk by examining external and exogenous factors that affect risk within the industry.Examples include input costs, number of housing starts, commodity prices, etc.This component contributes to 50% of the overall score.

Risk Rating Score Ranges

Very Low	Low	Medium-Low	Moderate	Medium-High	High	Very High
1.0-3.0	3.0-4.1	4.1-4.7	4.7-5.3	5.3-5.9	5.9-7.0	7.0-9.0

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News

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NIKE's Fiscal 2027 Outlook Puts Pace Savings Against Revenue Risk
11/06/2026

NIKE's fiscal 2027 outlook signals lower sales and earnings pressure, while its $2.5 billion Pace savings plan offers longer-term benefits amid near-term risks.

NIKE, Inc. NKE opened fiscal 2027 with better-than-expected earnings but weaker revenues, highlighting the uneven state of its turnaround. The company is also introducing Pace, a multi-year operating-model transformation aimed at lowering structural costs and improving execution.
The challenge is timing. NIKE expects another year of declining sales and near-term margin pressure, while most Pace savings are not expected until later in the program.

NIKE's Q1 Beat Masks a Revenue Miss

First-quarter fiscal 2027 earnings of 48 cents per share beat the Zacks Consensus Estimate of 43 cents by 11.6%. Gross margin expanded 60 basis points to 42.8%, while selling and administrative expenses declined 3%.

Revenues fell 4.3% year over year to $11.2 billion and missed the Zacks Consensus Estimate of $11.4 billion by 1.6%. The result showed that better cost control and margin performance have yet to translate into broad top-line stabilization.

NIKE, Inc. Price, Consensus and EPS Surprise

NIKE, Inc. price-consensus-eps-surprise-chart | NIKE, Inc. Quote

NKE's Fiscal 2027 Guidance Extends the Reset

Management expects fiscal 2027 revenues to decline in the high-single-digit range as NIKE reduces supply in Sportswear, Jordan Brand and Greater China. These actions are intended to improve marketplace health, but they will weigh on reported sales through the current fiscal year and into fiscal 2028.

Earnings pressure is expected to be heavier. NIKE projects earnings before interest and taxes to fall by a greater percentage than revenues, while adjusted earnings are expected at $1.15-$1.35 per share, excluding about 15 cents of Pace-related restructuring expenses.

The broader athletic-apparel backdrop is also difficult. lululemon athletica inc. LULU now expects 2026 revenue to decline 5%-7% after second-quarter revenue fell 4%.

Under Armour, Inc. UAA likewise reduced its fiscal 2027 revenue outlook to a mid-single-digit decline, citing softer demand, particularly in North America and Asia-Pacific. Those peer trends reinforce the pressure facing discretionary athletic brands.

NIKE's Pace Savings Come Later Than the Costs

Pace is expected to generate about $2.5 billion in cumulative savings through fiscal 2031. The program includes supply-chain modernization, organizational simplification, new enterprise capabilities and a realignment into three geographic operating groups.

NIKE also expects about $1 billion in pretax implementation charges over the program's life, in addition to roughly $300 million of severance-related costs recognized in fiscal 2026. Most savings are expected in fiscal 2029 and fiscal 2030, leaving a meaningful timing gap between restructuring costs and the larger efficiency benefits.

NKE's Performance Portfolio Offers an Offset

The Performance portfolio grew in the high single digits in the first quarter. Running, Global Football, Tennis and Golf each delivered double-digit growth, giving NIKE a clearer source of demand than its weaker lifestyle businesses.

North America also provided support. Revenues increased 2% to $5.13 billion, wholesale revenues advanced 9% and regional earnings before interest and taxes rose 3%. These gains show that sport-led innovation and stronger wholesale relationships can still produce growth while the broader reset continues.

NIKE's Signals Underscore Near-Term Risk

Pace could strengthen NIKE's cost structure over time, but fiscal 2027 still carries substantial execution risk. Revenue declines, earnings pressure and delayed restructuring benefits leave the company dependent on continued performance-category gains while major lifestyle businesses are repositioned.

NKE currently carries a Zacks Rank #5 (Strong Sell), along with a Value Score of F, Growth Score of F, Momentum Score of F and VGM Score of F.

The Rank reflects unfavorable earnings-estimate revision trends, while the Style Scores point to weak characteristics across valuation, growth and momentum. Those readings support a cautious near-term view until the operating reset shows broader financial traction.

Source: zacks.com

Connor Sports; Gerflor North America Announces Availability of Sports Flooring Made with Nike Grind Materials
11/06/2026

2026 NOV 7 (VerticalNews) -- By a News Reporter-Staff News Editor at Investment Weekly News -- Gerflor North America announced the availability of select sports flooring products containing Nike Grind materials. As an authorized Nike Grind licensee, Gerflor North America uses materials derived from manufacturing scrap and end-of-life footwear as an ingredient in eligible flooring products.

The use of Nike Grind materials supports Gerflor North America's ongoing focus on responsible material sourcing and product innovation. Its Connor Sports brand brings extensive athletic flooring experience to applications serving schools, universities, recreation centers, and other sports facilities.
"At Gerflor North America, we continue to look for practical ways to advance material innovation without compromising the performance and durability our customers expect," said Benjamin Bachman, CEO of Gerflor North America. "Our status as an authorized Nike Grind licensee allows us to incorporate recycled materials into select flooring products and build on our commitment to responsible product development."

Connor Sports, a member of the Gerflor family of brands, has more than 150 years of flooring experience and supplies championship basketball courts for the NCAA Men's and Women's Final Four.

"Our focus is on delivering athletic surfaces that facilities and athletes can rely on," said Zach Riberdy, Marketing Director of Connor Sports. "Using Nike Grind materials in select flooring applications offers another way to consider responsible material use alongside the performance requirements of sports environments."

Nike Grind is a material ingredient in applicable Gerflor North America products. Gerflor North America and Connor Sports are independent of Nike; authorized licensee status does not constitute a partnership, collaboration, affiliation, or endorsement by Nike.

Keywords for this news article include: Connor Sports.

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Source: Investment Weekly News

Nike's ultra-cushioned Vomero 18 sneaker just got a major price cut; Nike has a sweet deal on its super cushioned Vomero 18 sneaker and you can actually snag a pair for a whopping up to $72 off. Discounted in loads of colors, too!
11/06/2026

Nike's Vomero 18 sneaker is designed for comfort, and now you can actually grab this top-rated style with a major discount.

The Nike Vomero 18 sneaker is now on sale for up to 43% off in men's and women's sizes. This slashes up to $72 off the price of this $155-$165 running and walking shoe. This is a huge discount on this max-cushioned sneaker that fans say is "very comfortable like walking on clouds."

Nike's Vomero 18 sneaker design

Nike didn't miss any details when it designed the Vomero 18. This high-performance shoe is one of its softest and most cushioned styles yet. It has a thick stack of lightweight ZoomX foam paired with responsive ReactX foam in the midsole.

Together, this cushioning provides a smooth ride that feels natural with every step.

The Vomero 18 also features a reengineered outsole pattern that offers enhanced traction, while pods staggered around the outsole to provide agility, so you're in charge of your stride.

Even the upper styling of the Vomero 18 was thoughtfully crafted. Its mesh upper is breathable to keep your feet comfortable, while the reflective detailing ensures visibility.

Podiatrists also approved of Nike's Vomero 18 shoe. The American Podiatric Medical Association has awarded it the Seal of Acceptance because it benefits foot health when worn.

You can scoop up the Vomero 18 in over 30 colors with a discount.

More Nike sneaker deals

Nike has even more top-rated sneaker styles on sale, including these popular picks:

* Nike Air Superfly (Women) for $63-$89, instead of $105-$125

* Nike Air Max Muse (Women) for $96-$145, instead of $170

* Nike Air Max 95 Big Bubble (Women) for $101-$165, instead of $180-$200

* Nike Air Max Moto 2K (Men) for $77-$110, instead of $135-$145

* Nike Air Force 1 '07 LV8 (Men) for $70-$106, instead of $115-$140

* Nike Air Max Torch 4 (Men) for $60-$75, instead of $100

Source: The Post-Standard Online

Nike's Classic Air Max Gets a New Release With Updated Logos and Reflective Details
11/05/2026

The just-released Air Max 90 features rarely seen mini Swoosh embroidery.

View image.
Nike's streak of remixing the branding on its classic Air Max 90 retro sneaker continues with a just-released colorway that's available right now.

The NikeAir Max 90 is subtle in its Cream II/Phantom/Light Bone/Medium Ash color blocking, but a closer look reveals some notable modifications to the model's typical branding.

An embroidered mini Swoosh logo has been added to the toe tip, a detail which has been previously yet rarely seen on other styles. Also of note is the Air Max badge just below the lateral and medial Swoosh, which has been given a reflective treatment that will illuminate in low-lighting conditions.

While the Air Max 90 typically doesn't receive the same amount of marketing attention from the Beaverton, Ore.-based sportswear brand as models such as the Air Max 1 and Air Max 95, it's a perpetually available classic sneaker which is frequently introduced in new spins.

Nike Air Max 90 Mini Swoosh (lateral).Nike

On Nov. 13, Nike will issue two limited-edition puffy leather Air Max 90s with stripped-back branding in Medium Olive/Sequoia and Black/Black colorways. And looking even further ahead, the retro running shoe has been previewed in several square-toe styles as well as a boat shoe-themed iteration, all of which are expected to arrive at retail in 2027.

As its name implies, the Air Max 90 was first released in 1990 and was originally known as the Air Max 3. Designed by Tinker Hatfield, the model was an evolution of 1987's Air Max 1 and 1989's Air Max Light, further refining Hatfield's groundbreaking visible Air unit concept.

This Nike Air Max 90 Mini Swoosh sneaker in Cream II/Phantom is available now from nike.com for a retail price of $135 in men's sizing. The sneaker's style code is IM5989-236 and readers can find a full look in the gallery below.

Nike Air Max 90 'Mini Swoosh' IM5989-236 [PHOTOS]

View image.

View image.

View image.

View Gallery

Nike Air Max 90 Mini Swoosh. (Nike)

Source: Footwear News

Nike's Fan-Favorite Air Max Boot Has Just Been Reissued in a Limited-Edition Luxe Version That Sold Out Quickly Last Year
11/05/2026

The beloved ACG boot swaps rugged leather for plush pony hair.

View image.
After Nike elevated its ACG Air Max Goadome boot last year with a first-of-its-kind pony hair construction, the limited-edition style has quietly been restocked at select retailers — but don't expect it to last too long.

The Nike ACG Air Max Goadome QS Pony Hair is available now from the Beaverton, Ore.-based brand's e-commerce store and select retailers. Eschewing the model's typical leather build, the luxe-leaning spin on the brand's Air Max sneaker boot is covered in tonal black pony hair across the entirety of its upper.

The boot's elevated status is also signaled through a set of braided rope shoelaces, but the style otherwise maintains all of the Goadome's signature components including an Air Max-cushioned midsole and rugged outsole tread.

Last year's pony hair-adorned ACG Air Max Goadome releases suggested that Nike was giving the beloved boot a renewed push, a resurgence which has continued to play out in 2026. A recently introduced revamped low-top version of the boot has been a particular focus, with highlights including an acclaimed Taller De Rafa collaboration, a Foamposite-enhanced variation and a batch of croc-embossed colorways.

Nike ACG Air Max Goadome QS Pony Hair Black (lateral).Nike

The ACG Air Max Goadome was introduced to retail in 2000 to compete for the share of the street-style boot market that had been dominated by Timberland throughout the 1990s. It was quickly embraced by Baltimore and Washington, D.C., cities which have since had a decades-long connection with the boot.

"D.C. and Baltimore were the first cities to truly embrace the [Goadome], so big props to them for having the courage to bring something new to the market," Carl Blakeslee, the boot's creator and former Nike ACG designer, said in 2008.

2025's ACG Air Max Goadome Pony Hair releases also included a brown-and-white cow print colorway, but there's been no confirmation of that style returning to retail as of yet.

The Nike ACG Air Max Goadome QS Pony Hair Black is available now in select sizes from nike.com and retailers including Foot Locker and Snipes for $230. The style code for the Black/Black/Black colorway is IO4635-001.

Nike ACG Air Max Goadome Pony Hair Black QS IO4635-001 [PHOTOS]

View image.

View image.

View image.

View Gallery

Nike ACG Air Max Goadome QS Pony Hair Black. (Nike)

Source: Footwear News

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